

Lemon Tree Hotels Ltd. (LEMONTREE)

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Call: Aug 2022

August 9, 2022

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, C-1, Block G Phiroze Jeejeebhoy Towers
Bandra Kurla Complex Dalal Street, Mumbai - 400001
Bandra (E), Mumbai - 400051

NSE Scrip Symbol: LEMONTREE BSE Scrip Code: 541233

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015

Ref: Outcome of Conference Call with Analysts/Institutional Investors

Dear Sir

Pursuant to Regulation 30 of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we wish to inform you that in continuation to the disclosure made on August 4, 2022 wr.t. the audio recordings of the conference call on unaudited financial results for the quarter ended June 30, 2022 held on Thursday, August 4, 2022 please find enclosed herewith the transcript of the conference call with investors/analysts.

Kindly take the same on your record.

Thanking You

For Lemon Tree & Hotel : Limited

WEB |

Nikhil :

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Lemon Tree Hotels Limited

Q1 FY23 Earnings Conference Call Transcript

August 4, 2022

Moderator:

Anoop Poojari:

Patanjali Keswani: Ladies and gentlemen, good day and welcome to the Lemon Tree Hotels Limited

- Earnings conference call. As a reminder, all participant lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal a moderator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you, sir.

Good afternoon, everyone and thank you for joining us on Lemon Tree Hotels

Q1 FY23 Earnings conference Call. We have with us today, Mr. Patanjali

Keswani, Chairman and Managing Director; Mr. Kapil Sharma, Chief Financial Officer; and Mr. Vikramjit Singh, President of the company.

We will begin the call with brief opening remarks from the management, following which we'll have the forum open for an interactive question-and-answer session.

Before we start, I would like to point out that some statements made in today's call may be forward looking in nature and a disclaimer to this effect has been included in the results presentation that was shared with you earlier.

I would now request Mr. Keswani to make his opening remarks.

Good afternoon, everyone and thank you for joining us on the call. I'll be covering the quarterly business highlights and the financial performance for the quarter ended June 30, 2022, post which we will open the forum for your questions and suggestions.

FY23 began on a strong note bolstered by strong demand, corporate travel increased resulting in a recovery in our business destinations. We saw increased demand for meetings, incentives, conferences and exhibitions which contributed to our growth. The gross ARR increased 104% year-on-year and

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18% quarter-on-quarter to Rs. 4,822. Focus on cost optimization resulted in our best ever quarter. In terms of EBITDA margins of 48.2%, up 4354 basis points year-on-year and 1,320 basis points quarter-on-quarter. As we move forward, we hope to deliver significantly higher profit margins as operating leverage and demand outlook improve.

In Q1 FY23, our occupancy stood at 65.1% on full inventory, which is an increase of 3546 bps year-on-year and 1894 bps quarter-on-quarter.

Subsequently, total revenue increased by 334% year-on-year to Rs. 192.3 crore and 51% quarter-on-quarter to Rs. 192.3 crore. Our PAT in Q1 FY23 improved by Rs. 73 crore year-on-year and Rs. 53 crore quarter-on-quarter.

Over the last two years, there has been a substantial focus on cost optimization and ARR recovery, which has resulted in significant EBITDA margin expansion for our company. I'm happy to announce that the company had its best ever quarter in terms of net EBITDA, which stood at Rs. 92.6 crore up 4400% year-on-year and 108% quarter-on-quarter. Our expenses as a percentage of revenue have been steadily decreasing, down 1,580 bps since Q1 FY20. This has largely been accomplished through lower payroll costs, power and fuel costs and raw material costs. Our RevPAR is up 66% quarter-on-quarter and 350% year-on-year owing primarily to an increase in ARRs during the quarter.

Our current operational inventory comprises 84 hotels, and 8,251 rooms with 2,424 more rooms in the pipeline. Hence, based on the current pipeline by FY 25, our total operational inventory will be 10,675 rooms with 110 hotels.

Moving onto the P&L statement. Our top priority remains to strengthen our financial position. On a consolidated basis, our net cash profit for the quarter, which is really PAT plus depreciation was Rs. 42.9 crore, a 1542% increase year-on-year. We are optimistic that we will generate significantly more cash in the coming quarters, allowing us to meet our debt obligations and fund the Aurika Mile entirely through internal accruals.

Lemon Tree Hotels' standalone net EBITDA stood at 51.9%, up 2093 bps quarter-on-quarter and 6269 bps year-on-year. A key reason for this is an increase in management fees received from our subsidiary Fleur Hotels and our Managed and Franchise portfolio, both of which performed well during the quarter. Furthermore, the Keys portfolio has begun to perform in key markets for the company, and will have its first full normal year of operation since its acquisition in the end of 2019. Although there is still room for improvement, we are confident in our ability to turn the position around with effective renovation and upgrades to make the brand more appealing to customers.

The Lemon Tree Premier brand has been the strongest performer among our seven brands with 71% occupancy and a rise in ARR of 138% on a year-on-year basis. The markets of Delhi, Hyderabad, Bangalore, and Mumbai have seen a big uptick in occupancy and ARR due to corporate demand coming back, while Gurgaon has lagged. We are confident that Gurgaon will cover up in H2 FY23.

Furthermore, LTH has had better ARR percentage growth in May 2022 versus April 2022 compared to the market in the cities of Delhi, Mumbai, Hyderabad,

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Moderator:

Archana Gude:

Patanjali Keswani:

Archana Gude:

Patanjali Keswani: Pune, Goa, Chennai and Chandigarh. We are pleased to report that we have signed new Hotels in Vishakhapatnam, Malad in Mumbai, Jaipur, and Assam and Kharar in Chandigarh during the quarter as well as operationalized the Keys Hotel in Tapovan, Rishikesh. Our main goal is to expand our portfolio to an asset light approach in key strategic cities. Consumers are increasingly interested in leisure travel. This, combined with consumer preference for branded hotels bodes well for organized players in this space. Furthermore, the construction of our largest hotel Aurika Mumbai is on track, and will open by the end of calendar year 2023.

Large diversity of team and gender inclusion, is one of the key pillars of our corporate mission. We have been 'actively engaging with differently abled and economically, educationally, socially or geographically challenged individuals over the years. As we look forward, we aim to have around one-third of our employees from these segments of society in our team by FY26.

In terms of demand, we see a significant improvement in consumer sentiment.

Leisure and corporate travel continue to gain traction. We anticipate that consumption will strengthen even further in the coming quarters as we continue to focus on expanding our presence across India and addressing demand across the upper upscale, upscale, midscale and economy segments with our portfolio of seven brands.

The first question is from the line of Archana Gude from IDBI Capital. Please go ahead.

Thank you for the opportunity and congratulations on a very good set of numbers. First, starting with this Aurika, Udaipur. So when I look at the occupancy growth for Udaipur compared to rest of the key cities, so there has been kind of subdued occupancy. How much business we have lost due to unrest in the city and what is the situation now on both occupancy and area front. Now, the fact is that, you know in Aurika, we did only 37% occupancy, partly due to the unrest, but partly also due to the fact that we are trying to hold our prices at about Rs. 11,000 in summer. I don't know if you know, but this is the first summer Aurika has been open in a normal year. So we are really stressing out in trying to position this hotel. There are other Hotels who have significantly dropped prices but we took a conscious call that in Q1 and Q2 we will try and hold onto a price of about Rs. 11,000 rupees and build demand at this price point rather than drop it. So this is a temporary phenomenon. I think you will find that based on our forward bookings in H2, this positioning will pay us very good dividends, and for the full year, we will witness a very good performance in this hotel.

That was helpful. Sir, my second question, in Q1 there were new signings, so should we expect the same momentum to continue, like, adding 18 to 20 Hotels going forward, and also what is the mix of timings in terms of hotels which are already operational and have come to us and will be the completely new property to be developed?

We will open 14 hotels with over 1,000 rooms in this year and we will definitely sign an additional 2,000 rooms. Now when we signed 2,000 rooms, there are three types of hotels we sign, greenfield, which typically take 3 to 4

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Archana Gude:

Patanjali Keswani: years to open, brownfield, which take 12 to 24 months, and conversions, which is existing operating hotels, which we normally open within six months.

So if you look at the five hotels, we added in Q1, the Keys Lite in Vishakhapatnam is a conversion and will open at the end of this year. The Malad Hotel, which is in Mumbai, which is a 93-room hotel will open also in December 2022, which is a conversion. The Keys Lite in Jaipur will open in April, 2023. It is more of a brownfield. The Keys Select in Chirang, Assam, will open in July, 2023 it's a brownfield. The Lemon Tree Hotel in Chandigarh, Kharar, will open in April 2025 because it is a greenfield.

So based on the type of the state of the hotel, the openings are at a different time. But as far as signings go, we will definitely sign more than 2,000 additional rooms for our company this year and what we will open from the backlog is about 14 Hotels with over 1,000 rooms.

My last question on margins, so there is almost 600 bps decline in employee cost and 270 bps decline in F&B in Q1 FY23 compared to Q1 FY20. So how did we achieve this despite higher room inventory and F&B cost inflation, what we're seeing currently, and how sustainable it is going forward, like you know, earlier in the interview I heard in the morning, we were talking about 50% EBITDA margin. So if I take, let's say, two- three years down the line view, will we be in the position to maintain that 50% plus margins going forward?

So the first point is about the cost, what we learnt during COVID, those two years, see what happens over time is all companies get into what is called a stable state of operations, and sometimes being a little successful means there is a certain level of complacency. So when we listed in 2018, we had an all India study done by an external reputed agency, where it turned out that our staff per room was 0.95 and the India average in the mid-market was 1.6. So we are under the impression, we were doing a good job.

However, I think what COVID has shown us, the other thing about the hotel business is it is not the demand for work, it's not even in the day or in the week or in the month, because there is always cyclicality. So normally, you start staffing for high levels of demand. So if there is a lot of check-ins at 11 o'clock in the

morning, there you will have peak staffing to meet that demand, which will be actually underutilized for the remaining 20 hours of the day. So we rationalized all this, and today our staff is roughly 0.63 per room, and we are very confident that at peak, at 77% to 78% occupancy, which is what we did in Q1 FY20, we will go up 0.66. We are also undergoing a major digital transformation exercise for our company, which is focused on revenue, on customer, on cost and productivity, and we are very confident in fact that this 0.66 will be maintained as a standard for our company going forward.

Similarly, as far as food and beverage cost went, we found that we had, over time, built fairly complex menus, which led to a certain amount of wastage. So we found that if you re-engineer menus, you can drop the food cost which was earlier 9% of our revenue, today is 6% of our revenue. So really, this was re-engineering menus, redefining of buffets and so on and so forth.

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Moderator:

Nihal Jham:

Patanjali Keswani:

Nihal Jham:

Patanjali Keswani: As far as power and fuel goes, from 10% of revenue it is down to 9%, and that is because we have looked consciously at wherever we could to reduce consumption and go into renewable energy, which is part of our ESG strategy. We want to be 50% renewable in the next four years.

Other expenses, again we looked at all areas of the wastage. And typically, that was 24% of our revenue that is dropped to 19%. Now obviously, part of this is because basically our expenses in say Q1 FY20, was 67% and we had a 33% Net EBITDA, this has come to 52%, so 48% Net EBITDA margin. Now the key question is, how much of this is because of increase in revenue and distribution of fixed costs, and how much is the reduction in variable costs.

So fixed cost clearly has been distributed, with a higher revenue base because we were Rs. 142 crore, now we are Rs. 192 crore, but the variable costs, which used to be roughly 29% of our sales, it's today 23%. So there is a 6% clear reduction in variable cost on revenue basis and as our revenues grow, clearly the fixed cost component will also be distributed better.

I know some of you are skeptical, but I can say with 100% confidence that Net EBITDA will exceed 50% of revenue in this year, and will continue to be so for the next three years, primarily because the variable costs have come down by 6% and fixed costs will be spread on the larger revenue base. Also keep in mind that Q1 is the lowest revenue quarter, historically, and accounts typically for only 21% of the company's revenue.

The next question is from the line of Nihal Jham from Edelweiss. Please go ahead.

Yes, thank you so much and congratulations on the strong performance, Mr. Keswani. Couple of questions from my side. The first one is, while you alluded to ARR's being at Rs. 4,800 and it being 20% higher, I think the like-to-like comparison should be to look at it without Keys? Because Q1 20 did not have Keys. So you've actually seen a 28% increase in ARR. Is that the right thought, first of all?

Yes, because like to like, I think we have Rs. 5,120 or something in the Lemon Tree portfolio.

That's helpful. The other thing is that if I look at the occupancy for this quarter, which is at 65%, and is still, say, 10%-12% lower than what it was pre-COVID, so obviously, I think there has been a choice at Room nights which you alluded to in case of Udaipur that we've tried maintaining prices and seen to it that the ARR's don't drop across our portfolio, rather than ideally looking at getting a base occupancy and then trying to drive ARR's higher. So what was the thought behind taking this choice? Is this something you plan to continue even ahead, where the focus will be pricing and not occupancy?

See, when you open in a new market and you are not too well-known a brand, then what happens, Nihal, is that you drop prices because you want to be preferred based on price. But over time, I think our brand as widely accepted by customers and we were anyway planning pre-COVID to refocus changing the strategy from occupancy led revenue growth to a price led revenue growth, which obviously is a much more profitable way of looking at the business.

Nihal Jham:

Patanjali Keswani: Also, what happened is, | think when COVID occurred, for two years, our original customers all disappeared. The customers we had were not our traditional customers. So we felt that we had an opportunity once COVID got done that we would be able to reposition and re-price ourselves. So it was a conscious call which we took, in fact, in March this year, and we said that we will now price according to what feedback we have got from various agents who work with us or what our customers feel value for money proposition is.

So if you look at, now, our occupancy, yes, it is 20% below in terms than what it was in Q1 FY20, which means that in Q1 FY20, | think it was closer to 78%, now it is 65%. So really, at this price point, we are very confident we could go up to 78% to 80% in winter. Not only that, we are very clear we intend to increase the price this winter

One big impact will be when Aurikas goes to about 70% to 75% occupancy in winter, its impact alone on ARR will be Rs. 200-300 on the company ARR because it is going to be at an ARR of Rs.18,000-odd. So put together, if | look forward, | would say that our ARR certainty should be in the mid Rs.5,000 in H2, and our occupancy should be in the mid-70%. And I'm very confident, we'll be there.

Just one last question and more a thought from your end that on this forum we have regularly discussed about maybe the impact of COVID on corporate travel will see some demand permanently getting impacted. And at this point in time, we are seeing a significant surge in corporate travel because of IT travel opening up and a lot of other things have seen a pent-up element. So as you look forward, are you expecting that the room nights sustain from the corporate segment going forward at this very level? Why | am asking that is because if we expect rates to sustain, what is going to drive the room night demand from us, or in COVID, have you seen a big shift where even the non-corporate demand has become a key driver, which is expected to sustain for you.

So let me answer this in a slightly different way. If you look at Q1 FY20, we did 77% - 78% occupancy, we did roughly 3,000 rooms that was the sale. Of which, 1,500 rooms were corporate, and if | remember right, about 1,000 rooms were retail. So 1,500 corporate, 1,000 retail and another 500-odd rooms were airline and meetings, incentives, conferences.

This year, because we've opened some more hotels, we did about 3,350 rooms, which mean the number of rooms grew. | think exactly, it was about 376 rooms. Where did this growth come from, and where was the de-growth? The corporate travel dropped from 1,500-odd rooms to 1,400 and some rooms, which was a drop of about 75 rooms. So FY22 to FY23, corporate usage of rooms in Lemon Tree dropped by 76 rooms.

However, retail increased by 473 rooms. So what happened is that when corporate, which was 50% of our occupancy, today is 43%. Retail, which was 33%- 34%, today is 45%. So retail, which is 45% is priced in such a way that the revenue is 50% of our company. The 43% from corporate from revenue terms is 39%.

Nihal Jham:

Patanjali Keswani:

Moderator:

Meet Jain:

Kapil Sharma:

Meet Jain:

Kapil Sharma:

Meet Jain:

Kapil Sharma:

Moderator: So here is a funny thing, roughly equal amount of room nights, but one is priced at 1.25 times the other guy's pricing. So you see, one is corporate demand, even if it maintains at current levels. | am a little agnostic to that. What we are completely focused on is the retail segment, because the retail segment is a bigger segment, it's more difficult to shift them once they take a choice to stay

with you, it's not a decision taken by a company but by individuals. So there is brand loyalty. It is not so transactional. And lastly, they pay higher prices. | would look at from the management perspective is how quickly can we grow the retail segment, because the faster we grow it, the less we need large lower paying corporates.

| just had a follow-up on this discussion is that given the focus on retail then, then doesn't pricing become important that this segment is known to be price sensitive that in case you keep your rates higher as we discussed, maybe that then becomes a little contradictory?

So I'm going to give you a teaser. | charge retail lower rates than corporates in summer and much higher rates in winter. My problem is corporates, | have to give them a year around rate. So if | give them a rate of say Rs.4,500 in summer and winter, in summer they typically use me less when | need them more, and in winter when | can substitute that demand with higher rate demand, they use me more.

Next question is from the line of Meet Jain from Motilal Oswal. Please go ahead.

| have one question regarding the tax rate. In this quarter we are witnessing a higher tax burden as compared to previous quarter. So can you elaborate on that part?

Yes, so actually since you would notice that this is the first quarter, where we are PBT positive after more than seven quarters, so as a conservative accounting we have not yet identified our deferred tax assets. So we had a discussion with our auditor that it's too early to recognize. So that's why you would see that the number would look higher, but going forward when we identify, this number would substantially go down for the full year.

Okay. So this quarter's impact can be seen in other quarters, like it will be a lower tax as compared to previous quarters?

Yes.

So any tax rate we can gauge in the financial model ?

On a safer side, you can take 20% because if you look at current results, there are two slabs where current tax is roughly 15%,-16%. So it would be in that averaged range.

Thank you. The next question is from the line of Nikhil Agrawal from VT Capital. Please go ahead.

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Nikhil Agrawal:

Patanjali Keswani:

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Patanjali Keswani:

Nikhil Agrawal:

Patanjali Keswani:

Nikhil Agrawal:

Patanjali Keswani: Yes, good afternoon, sir, and thank you for the opportunity. Sir, | wanted some highlight on the debt reduction plan, and what is the net debt expected at the end of FY23 and FY24?

Our gross debt is coming down slightly from | think Rs. 1,700 crore to Rs. 1,690 crore in this quarter. We are spending a significant amount of money in MIAL, which is our Aurika. We have said that we need another Rs. 500-odd crore which we will go through internal accruals. We have fairly clear line of sight and a high degree of confidence that in the next four to four and a half years we will be debt free. We are not looking at any additional capital deployment, other than ongoing routine renovation expenses, some expenditure in our digital transformation exercise and some minor expenditure moving more towards renewable and reduction in greenhouse gases. Our conservative estimate is that within five years, we will be debt free. But if certain things which we expect, occur and we move towards the top of cycle, then this would be significantly earlier.

Coming to your Q1 performance, | mean this is one of your best quarters. And on the EBITDA front, the best quarter till date. Do you think like is sort of Q1 is sustainable going forward?

| am very disappointed with our results . Let me tell you that | have given guidance based on Mr. Narayana Murthy's principles which is under-promise and over-deliver. And | said we will do double, we will do at least double our revenue this year as compared to last year, and we will do at least 50% Net EBITDA. So | think you should ask me this question in May 2023.

One last question, coming to your employee cost, as a percentage of revenue, of course, they have gone down, but if you look at it from -on a quarter-on-quarter basis, it is up by approximately 20%. So | mean, there aren't any hotel openings on the owned and leased side. So whether you have contractual workers, I'm assuming permanent worker, like any reason for this 20% increase? Was it because of some bonuses or some other reasons? And is this the run rate going forward?

So let me explain, employee cost per room has gone up, cost per employee has gone up. So if you look at it from that perspective, let me answer this. The number of employees has dropped from 0.95 per room to 0.64. That's a 33% reduction. But the cost per employee has gone up from Rs. 27,500 to Rs. 31,500 per month. So that is a 15% increase.

Okay. So, sir, this is a permanent kind of run rate that we expect as going forward.

Yes. But typically, because we are adding another 20 plus hotels in the next 20 months, whenever we try and avoid legacy costs. So whenever we open a new hotel, we promote internally rather than promote within that hotel and increase the average cost per employee within the hotel, we transfer a promotable employee to the new hotel. Where that role is filled at that cost. So we replace that employee then with a lower cost employee. So think of it this way, if | transfer an Assistant Head of Department from one hotel as a Head of Department from other to a new hotel, then in the new hotel that was anyway in the budgeted cost. The Assistant HOD who is been transferred is not replaced by another

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Moderator:

Sagar Gandhi:

Patanjali Keswani:

Sagar Gandhi:

Patanjali Keswani:

Sagar Gandhi:

Patanjali Keswani:

Moderator:

Jayesh Shah: assistant HOD, he is replaced by an executive who moves up to his role, typically at a lower cost.

Deputy HOD is at a cost of Rs. 60,000 and has moved to another hotel at Rs. 70,000 where that's being factored in from a Deputy to a full HOD. The deputy is replaced by an executive who is promoted to Rs. 50,000. So over 15 years, if you look at it, our average increase in cost per employee has grown only at 2% because of this growth and this constant transfer.

Thank you. The next question is from the line of Sagar Gandhi from Future Generali Life Insurance. Please go ahead.

The first question is that the Mumbai airport hotel, which is coming up, what are likely to be our average ARR's? And second question is, what is likely to with the capital structure of this hotel? | mean how much of it is funded through debt and equity?

So capital structure is 100% equity. There is no debt it is being funded through internal accruals. So, think of it this way, we are writing down debt equal to what we are borrowing, it would have added debt of Rs.500 crore instead, we are generating it internally. So the Rs. 1,700 crore of gross debt will remain the same till the hotel opens.

This hotel, will open in the end of calendar year 2023, because our current hotel in Mumbai is a shade under Rs. 7,000, and we think this hotel based on our expectations with Aurika in Udaipur, and the quality of this hotel and the quality of competitive Hotels at that level in Bombay, we think we should be in the range of Rs. 11,500 to Rs.12,500.

Fantastic. Because most of the incremental rooms that are coming in over the next two years is from this segment. So if there is a flip in the ARR's, we can see. And this will start from CY20 end of CY23 and it will be in phases rooms, all the 659 rooms will come in will come in one go?

So basically, we will do a soft opening. We are hoping that we can open about half the hotel in 1st October that is about 300 to 350 rooms. The other half before the end of December, in stages.

Okay. And sir, you think total of Rs. 500 crore will be deployed for getting the hotel up and running. Is that correct?

Yes, we have already deployed about Rs. 450 crore and there is another Rs.

500 crore.

Thank you. The next question is from the line of Jayesh Shah from OHM Portfolio Equity Research. Please go ahead.

Hello, Mr. Keswani, great numbers. Congratulations. I have two questions. The first one is what is the outlook for the coming quarter, and how are the exit rate panning out? Is there some softness in the second quarter, because since it's monsoons?

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Patanjali Keswani:

Jayesh Shah:

Patanjali Keswani:

Jayesh Shah:

Patanjali Keswani:

Moderator: If you do a breakdown of summer and winter. So I'm going to talk first of the full-year. In a bad year, 45% of your revenue comes in summer H1, and 55% in H2. In a good year, this could be 40%- 42% in summer, and 58%-60% in winter. I'll explain why in summer, half year pricing is in segment for, say, Lemon Tree, that retail pricing is a function of demand and supply, and in summer, typically, demand of retail is lower than in winter. So there is no significant upside in the retail pricing that you get in summer, but a huge upside in winter.

As far as corporate rates goes, which is the other half of our business roughly, prices are determined in October every year for about 70% of your business and 30% is determined in January, because they have different rate cycles. So in either case, in summer of a year, the pricing has been determined either in October of the previous year or January of that year. So you have no ability to change that price.

What happens is in a good year, in October you increase corporate prices significantly and obviously, retail prices anyway, go up significantly. So typically the ARR of summer in a good year is much lower than the ARR of Q3, which is also lower than the ARR of Q4, because in Q4 there is further increased in January of the remaining corporates.

Now in a good year, you also do better occupancy in winter, obviously because price is function of demand, and that's why your winter-summer revenue can be 1.4 to 1.5 times as a ratio. In a bad year, you will do 45% in summer and 55% in winter, which means the winter revenue will be 1.2 - 1.25 times your summer rate.

So what have we done in Q1, my estimate is Q1 is 21% of our annual income, that's my estimate. Now, when you go to Q2, Q2 is better than Q1. I can tell you already. But it is not significantly better. The real significantly better one will occur from Q3, and that is the hotels cycle in India. It's not Lemon Tree, it's generally the cycle.

Right. And the fact that in Q3 and Q4 you also have weddings along with winter, so it looks like a perfect storm.

No, it's not only that, I expect foreign travel will also start remember, for Lemon Tree, 10% of its business is high-rate foreign travel, and we don't have any of that, or very little of that today. I'm told that is all going to start in winter. Talking of the industry, I expect, and I have said this before that winter will be great and there will be significant price hikes in winter, and next year and the following year will be the top of the cycle, and it will go back to the 2006, 2007, 2008, because Lemon Tree's ARR in 2006 and 2007 was Rs. 7,000.

If I just do back of the envelope calculation on Rs.192 crore of turnover at 65% utilization, it seems in the winter month, you could exit at a run rate of Rs.250 crore per quarter. Just mathematically.

I don't want to give specific guidance, but I said I want to under-promise and over-deliver.

The next question is from the line of Kunal Lakhan from CLSA. Please go ahead.

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Kunal Lakhan:

Patanjali Keswani:

Kunal Lakhan:

Patanjali Keswani: Thank you. So just quickly on the outlook on ADRs, you highlighted that the inbound international travel will increase, but at the same time, I think even the

outbound travel will increase, which can have, especially on the leisure side, which can have some impact on the ADRs also. So just wanted to understand, like, now, I know you said that you know the ADRs would be in the range of mid-5,000 in the second half, but what could go wrong there?

Nothing, because 86% of our hotels depend on retail and corporate, and not on leisure. So the inventory that we have in leisure is fundamentally only in Bandhavgarh, where we have a small hotel, in Alleppey, where we have another small hotel, Goa which is a year-round destination irrespective of outbound travel, and Udaipur, which is also a year-round destination.

So I would say, this would be a more appropriate for a company which has a much larger inventory in leisure. In our case, total leisure is only 14% of our inventory.

That's helpful. My second question was on, so we have seen improvement in the occupancy levels and ADRs for the industry per se, and also resulting sharp improvement in the profitability even including for our peers. So I just wanted your view on two things here. Like, I know we've talked about supply lagging demand in the mid-term, but the kind of profitability levels that the industry is reaching now, you'd think in the mid to long-term, the supply cycle bills will revive, that's first. And secondly, like you know how this impacts the competitive intensity for acquiring management contracts? Will that also increase?

See, competitive intensity to acquire management contracts has always been there, Kunal. So it is neither more nor less. We feel that we are able to convert. In fact, my Head of Business Development was telling me he needs 10 more people. And I asked him why, he said, because every day we get one new inquiry for a conversion to a Lemon Tree. So it is a very healthy sign, at least as far as we are concerned.

You may have heard today in CNBC, they asked me what do you expect as a minimum inventory in four years, and I said 20,000. I'm very sure we will get there, what really it means is we will double from the current 11,000 we expect by the end of the next financial.

As far as the overall scenario goes, I am very sure this is a cyclical business. When people see absurd returns on capital, because even Lemon Tree in 2005, 2006, 2007, 2008, was doing ROCE north of 50%. When that kind of returns start returning at the top of the cycle, there is no doubt that people will plan additional supply. It is the nature of any cyclical business.

But the advantage with hotels is that it takes anywhere from three and half to five years to operationalize supply, which is why I was careful when I said that, I mean, next year and the year after, will be golden years, perhaps even the year after. So FY24, FY25 and perhaps FY26, but then, sure, there will be additional supply.

But keep in mind that additional supply will come in at a very high cost per room. The rate of increase in building hotels every year is north of 10%. So if somebody

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Moderator:

Sumant Kumar:

Patanjali Keswani:

Sumant Kumar:

Patanjali Keswani:

Sumant Kumar: is going to build a hotel which opens five years later, due to inflation his cost per room compared to, say, a hotel of ours which opened two years ago, will be double. So either that person will have to be happy at half the ROCE, or if he is happy with his ROCE, we will be getting twice that ROCE.

The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Yes, hi, sir. We have seen a decent growth in ARR compared to pre-pandemic level, 20%. So when we see the occupancy side is still lower, so there might be some impact in the Keys Hotel or can you explain that mathematics?

Yes, so we'll go to that slide of the portfolio occupancy, Aurika Lemon Tree. Just give me a moment. If you go to Slide 18, you will see that Lemon Tree Premier has already crossed 70% in Q1, Lemon Tree hotels have crossed hit 68%. So the drags were really Keys, which was 56%, Red Fox because a large part of the inventory was in two markets which have yet to pick up, and Aurika. So my broad expectation is, if you look at Keys specifically in Bangalore and Pune and these two markets, they have bounced back. They are doing very well and are

in the 70%'s. The markets where we have 250 rooms of Keys in Kerala and 100 rooms in Ludhiana and 100 rooms in Vishakhapatnam, these are the laggards, and we are very focused on increasing their occupancy. We have been looking at renovating some of them. And in fact, the renovation is underway. In fact, let me tell you, Sumant, if I remove renovation expenses, our Net EBITDA in Q1 was 51%.

So coming back to these hotels, Aurika will certainly cross 70% in winter. I'm hopeful that Keys will be in the mid to late 60%, and the others will be north of 75%. So if you take a weighted average, that's why I said broadly we will do north of 70% -75% at least. And by the way, as a company, we have always done occupancy of mid 70% to late 70%. And I see no reason why with the tailwinds that we are currently very clearly seeing plus increase in demand in meetings, incentives, conferences and foreign travel, why we should not be in the mid to late 70% as a portfolio.

So when we see your occupancy for, say, pre-pandemic, say, FY '18-'19, the historical higher compared to industry. The Industry's occupancy and your occupancy, blended occupancy was higher. I think, excluding Keys, when we include Keys the occupancy, do you think occupancy for future will be lower from what we have seen historically?

Historically, like in Q1 FY20, we were at 77%. Now we are at 65%. If I take out Keys. If I take out Keys, we would be at about 67% in Q1, and Keys were 56% So that's the average 65% that we did. I'm pretty sure that Lemon Tree as a portfolio will be in the late 70%. Keys, the question is how much will Keys be less than what net EBIT impact it will have. As I said, I expect Keys is to be in the mid to late 60% I mean, if you take Keys as about 18% of our inventory or 17% of our inventory, then that 10% difference will translate to a overall drop of 2%. So maybe 77% will become 75%.

Yes. so we are not expecting the 77% kind of occupancy will come in the future of this same quarter?

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Patanjali Keswani:

Sumant Kumar:

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Sumant Kumar:

Patanjali Keswani:

Moderator:

Rajiv Bharati:

Patanjali Keswani:

Rajiv Bharati: No, it could come. If India occupancy hits 70%, we will certainly be 77%- 78%.

When India occupancy was 64%- 65%, Lemon Tree was 67%, and part of the reason was, we still have some new hotels which are stabilizing. Remember, I opened a lot of hotels in the year immediately preceding COVID. So that stabilization will occur in H2. I have no doubt.

So to answer your question, assuming no big downturns, and the industry occupancy continues like this, in winter occupancy will definitely be north of 70%, and we should be, therefore, with a 10% premium, north of 75%

And the price ARR increase of 20%, so how much is the price increase, how much is product mix changes? When we are comparing with the Q1 '20, I think that time Aurika and Mumbai were just started.

Correct.

And so I think there will be a product mix changes also in Q1 FY22. So, out of 20%, how much is price increase, how much is product mix, can you talk about that?

Because Aurika did a very low occupancy, Aurika, the impact will be not material. If you look at Bombay, which was at Rs.7,000, Rs.2,000 higher and you take 6%, because Bombay's inventory was 6% of the total inventory. So 6% of Rs. 2,000 is Rs.120. So if you take that out, our rate would have been close to 4700.

Okay.

So, net of Bombay, still there has been a north of 15% hike.

And that is a pure price increase.

| would assume

So some other hotels also you have opened, so that might be some effect also.

To be more specific, the Keys hike is much less in Kerala, in fact, there is no hike in Kerala, there is no hike in Ludhiana, there is no hike in Red Fox, Jaipur, there is no hike in Vishakhapatnam. So obviously, when we increased prices, we looked at markets. Where we felt, we could increase prices and those were specifically Bombay, Pune, Bangalore, Hyderabad and Calcutta, where we have an enormous amount of owned inventory.

The next question is from the line of Rajiv from DAM Capital. Please go ahead.

Yes. Good afternoon, sir, Thanks for the opportunity and congratulation on great set of numbers. Sir, on the Keys side, can you call out what is the best ARR for the 936 Keys portfolio we have seen historically?

It could be in Bangalore about Rs. 3,5000 to Rs. 3,600. Pune will be about Rs. 4,000. So those are the two.

No, | was looking at what is the peak, which we have seen historically?

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Patanjali Keswani:

Rajiv Bharati:

Patanjali Keswani:

Rajiv Bharati:

Patanjali Keswani:

Rajiv Bharati:

Patanjali Keswani:

Rajiv Bharati:

Patanjali Keswani:

Moderator:

Jaiveer Shekhawat: Less than these.

The non-room business on the Keys portfolio has gone down substantially during this quarter, is it?

How we are looking at Keys is the following. The reason for acquisition for Keys was really acquiring the two hotels in Bangalore. The way we priced it, the hotel in Pune, the hotel in Vishakhapatnam. So put together, these were roughly 500 and some rooms. So we value those at a crore a room, basically because we would have put up hotels there at that price.

Now, when we acquired Keys, so in our case, we didn't attribute any value to the two hotels in Cochin and to the hotel in Ludhiana. Now having acquired these hotels, we have a two-fold strategy, and the renovation has already started. We are going to upgrade the two Bangalore hotels, the Pune hotel and the Vishakhapatnam hotel to a level where we think we can take the rate up by a minimum of Rs. 1,000 and the occupancy up a minimum of 20 percentage points.

As far as the other three go, they have been unfortunately deprived of capital and renovation. In fact, the whole portfolio. So there, we are going to spend far less to bring it to what we call a minimum hygiene level. So the investment will be while the portfolio is 550 rooms and 400 room in the high performing and low performing, potential hotel, we will deploy 80% in the first lot. And this will play out this year and the following financial year. And we are pretty confident then that -- with what we expect will happen in these markets that Keys will be a high performing portfolio by H2 next year.

It is already, by the way, let me tell you, high performing in 450 rooms. Most of the revenue is coming from there, which is Keys Whitefield, Keys Hosur Road and Keys Pune.

But are these three hotels operating, let's say, 50% EBITDA margin?

Yes. These are operating at 50%.

What is the management fee this time around in Q1?

It's about Rs. 8 crore from non-owned hotels. | mean, I'm not including Fleur obviously, because it's consolidated.

Good. And the staff per room ratio is still at 0.66,?

It is at 0.63 now.

Thank you. The next question is from the line of Jaiveer Shekhawat from Ambit Capital. Please go ahead.

We have noted that you have closed down one of your Red Fox Hotel, seizing that operation from 11th May. Could you just highlight what has happened there, lemontree

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Patanjali Keswani:

Jaiveer Shekhawat:

Patanjali Keswani:

Moderator:

Yash Visaria:

Patanjali Keswani: and are you seeing more supply side reduction across the country as well? Your thoughts there.

No supply side reduction. This was a one-off. See, what happened with this hotel was it was a leased hotel, and there were certain issues with the owner. We terminated the lease in mid-May. And before that, we had told him, I think, about a year before that yet certain conditions, he was not meeting. He continued not to meet it, so finally, we terminated it because he went to court, we didn't want to fight it. We just went and said, he still owes of Rs. 3 - 4 crore of lease deposit, and we terminated it because it is not worth our while. But there is no other event like this.

On the ADR recovery itself, now we have noted that given the share of the retail demand was much higher, you clogged much higher ADRs, but then going forward, as the question have been asked before as well, with higher share of corporate demand, do you expect that pressure to sustain because the mix change wouldn't happen. Although you would be increasing our rates, but then the higher share of corporate demand, wouldn't that push your ADRs down?

No, it will not be higher share of corporate. What happens then is, in October, we will reprice corporate. See, what we do is, typically, we look at corporates, we trade-off a year-round business, which is committed business, with the risk of depending on one large customer, which is, say, a corporate, and the fact that we get lower rates.

I'll tell you another thing. Large corporates take their own sweet time to pay you. They will take three months, four months. So we take into account three things. One is, what do they give us when we need them and what do they take from us when we can replace them with higher rate business, what is the payment term, how long do they take to pay, and what is the business they give you nationally in markets where you need them more than elsewhere. So it's this kind of a transactional trade off that you discuss with them.

Now I'm very clear. In October, we expect retail pricing to hit the roof. So the only corporates we will keep will be those who are willing to pay that increase in price in this trade-off calculation. So if a corporate is paying me Rs. 4,500 today, it may happen that if I can get Rs. 2,000 more in retail in winter, then the corporate's price will not be Rs. 5,000, it will be closer to Rs. 6,000. And if they don't use me, I'm confident, of course through revenue management, that we will be able to substitute them.

The next question is from the line of Yash Visaria from Dolat Capital. Please go ahead.

Hello. Hi, sir. Congratulations on a good set of numbers. So I just wanted to understand that the owned rooms has gone down by 102 rooms and managed rooms also has gone down quarter-over-quarter by almost 135 rooms. So which are these locations, and what is the reason?

102 rooms are the leased rooms in Red Fox, and 130 rooms were a hotel in Goa where they were not willing to renovate to our standards. So we de-flagged it.

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Moderator:

Nikhil Agrawal:

Patanjali Keswani:

Nikhil Agrawal:

Patanjali Keswani:

Nikhil Agrawal:

Patanjali Keswani:

Moderator:

Hemant:

Patanjali Keswani:

Moderator:

Patanjali Keswani: The next question is from the line of Nikhil Agrawal from VT Capital. Please go ahead.

Yes, good evening, sir, and thank you for the follow-up. Sir, just a couple of clarifications. You said that Aurika Udaipur can hit Rs. 18,000 ARR in the winters. Like, was that the statement?

Yes, it did Rs. 16,000 last year. So definitely, it will do Rs. 18,000 in this year.

Okay. Great. And sir, coming to the management fees, you said Rs. 8 crore in Q1 on a consolidated basis, right?

Yes.

Okay. any target revenue from the management side in FY23 and FY24?

So this should be north of Rs. 36 crore this year, and north of Rs. 55 crore next year.

The next question is from the line of Hemant, an individual investor. Please go ahead.

Yes, hi, sir. Sir, first of all, congratulations on a very good set of numbers. I would like to know one thing. Like, occupancy levels you are targeting and seem to be very confident that you will be hitting north of 70% by the end of this year. What will be the ARR by end of this year?

That is very specific guidance. All I said was that in H2, and you can calculate from that, our ARR should be north of Rs. 5,500.

Thank you. As there are no further questions, I now hand the conference over to the Management for their closing comments. Over to you.

Thank you, once again, for your interest and support. We continue to stay engaged. Please be in touch with our Investor Relations team or CDR India for any further details or discussions. I look forward to interacting with you soon.

Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

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Call: Nov 2022

November 18, 2022

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, C-1, Block G Phiroze Jeejeebhoy Towers
Bandra Kurla Complex Dalal Street, Mumbai - 400001
Bandra (E), Mumbai — 400051

NSE Scrip Symbol: LEMONTREE BSE Scrip Code: 541233

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015

Ref: Outcome of Conference Call with Analysts/ Institutional Investors

Dear Sir

Pursuant to Regulation 30 of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we wish to inform you that in continuation to the disclosure made on November 14, 2022 wr.t. the audio recordings of the conference call on unaudited financial results for the quarter and half year ended September 30, 2022 held on Monday, November 14, 2022 please find enclosed herewith the transcript of the conference call with investors/analysts.

Kindly take the same on your record.

Thanking You

For Lemon Tree Hotels Limited

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Nikhil Sethi a

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Lemon Tree Hotels Limited

Q2 FY23 Earnings Conference Call Transcript

November 14, 2022

Moderator: Ladies and gentlemen, good day, and welcome to the Lemon Tree Hotels Limited Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone telephone.

Please note that this conference is being recorded.

I now hand the conference over to Ms. Aesha Shah from CDR India. Thank you, and over to you, ma'am.

Aesha Shah: Good afternoon , everyone, and thank you for joining us on Lemon Tree Hotel Q2 & H1 FY23 earnings conference call. We have with us today, Mr. Patanjali Keswani, Chairman and Managing Director; Mr. Kapil Sharma, Chief Financial Officer; and Mr. Vikramjit Singh, President of the company.

We would like to begin the call with brief opening remarks from the management, following which we'll have the forum open for an interactive question-and-answer session.

Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the results presentation that was shared with you earlier.

I will now request Mr. Keswani to make his opening remarks.

Patanjali Keswani: Good afternoon, everyone, and thank you for joining us on the call. I will be covering the quarterly business highlights and the financial performance for Q2 FY23, the post which we'll open the forum for questions and suggestions.

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This quarter, we have centered our presentation around the comparison with Q2 FY20 to highlight the impact of the structural changes in the costs that have been implemented post-COVID.

Q2 FY23 saw a further rise in ARR, while occupancy remained in line with the previous quarter due to the normal seasonal nature of the hotel business. Total revenues for Q2 FY23 stood at INR 197.4 crore, which is 28% up versus Q2 FY20 and 3% up on a quarter-on-quarter basis. Net EBITDA margin stands at 47.8%, which is 1,567 bps above from Q2 FY20 and down 48 bps on a Q-on-Q basis. This very slight fall was due to a rise in payroll costs as our hotels have now ramped up to prepare for Q3 FY23, which typically has higher occupancies.

The PAT for the quarter stands at INR19.4 crore, which is up 742% when compared with Q2 FY20 and 43% up on a quarter-on-quarter basis. Despite occupancy not recovering to pre-COVID levels, Q2 FY23 has recorded the best gross ARR EBITDA and PAT in the last 14 preceding quarters.

Demand from corporate travel remains robust, and it continues to be the highest contributor to room nights sold which is at 44% with a revenue share of 41%. Corporate travel, along with airline and travel trade, contributes 55% of room nights sold and 52% to the revenue. The contribution of the retail segment has grown significantly. Retail's contribution towards room night sold is up 5 percentage points to 45% versus Q2 FY20 and revenue share is up 7 percentage points to 48% versus Q2 FY20.

In terms of future demand, we see a significant improvement in consumer sentiment. Leisure and corporate travel continue to gain traction. We anticipate that consumption will strengthen even further in the coming quarters. The Gross ARR stands at INR 4,917, which is up 19% versus Q2 20 and up 2% on a Q-on-Q basis. Our focus on cost optimization has translated into an expansion of EBITDA by 1,567 bps versus Q2 FY20 with a reduction of 557 bps in payroll, 239 bps in raw material costs, 127 bps in HLP, and 643 bps in other expenses. HLP is power.

We are happy to share that we have expanded our presence with the signing of five new hotels in Hubli, Rajkot, Goa, Erode, Kanha, and two hotels - Keys Lite in Visakhapatnam and Lemon Tree Hotel in Mumbai, Kalina were operationalized in October 2022. Our current operational inventory comprises 85 hotels and about 8,300 rooms with another 2,600 rooms in the pipeline. Hence, based on the current pipeline, by 2025, our total operational inventory will be approximately 10,900 and 115 hotels.

Compared to the industry Lemon Tree same-store hotels, RevPAR grew 14% versus Q2 FY20, while the industry grew 7% in the same period. Lemon Tree same-store hotels recovered faster than the industry in Q2 FY23 versus Q2 FY20 in Mumbai, Hyderabad, Delhi, Bangalore, Pune, Gurugram, and Chennai.

Diversity of team and gender inclusion is one of the key pillars of our

corporate mission. We've been actively engaging with differently abled or economically, educationally, socially, or geographically challenged individuals over the years. As we look forward, we aim to have about 30% of them on our team by FY26.

With this, I come to the end of my opening remarks and hand them over to the moderator.

Moderator: The first question is from the line of Archana Gude from IDBI Capital.

Archana Gude: Congratulations on a good set of numbers. I have 2 or 3 questions. Sir, firstly, on the occupancy part. So, I'm referring to Slide number 12 of our presentation. So, I see this healthy improvement for us in Mumbai and Pune when I compared it to Q2 FY20 in terms of occupancy. But still in our major markets, we have yet to reach Q2 FY 20 levels. So, my question to you is, is there any structural change in these markets in terms of competition, or demand itself is subdued and it may take a while to reach to original level?

Patanjali Keswani: Well, the market has not changed nor has there been any fundamental change. If you look at our business, there is one segment, which is our retail, which is like online travel agents and direct bookings with our hotels. And one is the corporate travel trade the one would call the airline segment. So, what we find is that if you look at our occupancy, vis-a-vis Q2 FY20 is down by about 8 percentage points. But the number of rooms that we have operationalized has gone up. So, in Q2 FY20, we had approximately 3,975 owned and leased rooms, which today is about 5,100. So the number of rooms has increased by over 1,000 rooms.

The actual demand for rooms, if you look at it from an aggregate basis, has shrunk by about 500 room nights per day, and that is entirely on account of corporate. So what we are finding is that in some key markets like Gurgaon and in Bangalore, which are MNC-heavy demand markets because while 55% of our national demand is corporate and travel late and so on, it is much higher in Bangalore and Gurgaon and we have a disproportionately high share of inventory there, which is about 1,300 - 1,400 rooms, or about 25% of our inventory. There, the corporate demand has not reached pre-COVID levels yet and that will really occur in H2, which is why there is a slightly skewed perspective, as you mentioned. But I have no doubt it will come back to full normal as in pre-COVID.

Archana Gude: On this Aurika, Udaipur, when I look at the numbers, the numbers are still subdued. And so, like to know how has been October for us? And how is wedding season looking for our Udaipur hotel?

Patanjali Keswani: I'm trying to win in this market and since it's our very first Aurika, and our second one, which is managed has opened in Coorg, I'm trying to position this brand, right, because our plans in this brand are actually very large. As I said, this is our first summer with Aurika because we opened just before COVID. This is a journey of discovery for us so I mean, as I said earlier, also in the conference call, I am raising the prices. I want to see how the market accepts the brand and we are still doing very well in terms of revenue and in terms of EBITDA.

Perhaps we could do a better occupancy even in winter if we drop the price, but that's not our strategy right now. So, as you will notice throughout, our intention is really to maximize revenue per available room, which is the actual return per room and that requires you to play with the two levels of pricing and occupancy. So sometimes you will trade off on occupancy by keeping a higher price in order to maximize RevPAR.

Archana Gude: Lastly, on Aurika, Mumbai so should we expect some cost escalation given the prices of most of the costs have substantially gone up recently?

Patanjali Keswani: So if you look at our cost structure, we are pretty good at controlling costs. So we have given an indication that it will cost approximately Rs. 950 -1000 crore to the business hotel, but I think we will be still at Rs. 950 crore. We will open it in Q3 next year, as far as the cost structure goes and the target goes, we are still very much there and if there is a change, it can't be material it might be 1% -1.5%, but it won't be significant.

Moderator: Our next question is from the line Nihal Jham from Nuvama.

Nihal Jham: Congratulations on the performance. Sir, a couple of questions from my side. First has the trend that we've seen till September continued ahead in October and November also and based on the business on books that you're currently seeing for the H2 part of the year?

Patanjali Keswani: This is a seasonal business normally, H1 is lower in occupancy, lower in demand, and therefore, lower in price than H2. That's always the case and within H1 and H2, typically, the high demand in H1 is in the first quarter, it is

seasonally a little weaker in the second quarter, though I know we have done better. Then the third quarter is better than the second quarter but not as good as the fourth quarter. Because in the third quarter, in October, for example, this year, you have what's called Dussehra, Diwali, and so forth.

So, for a business hotel-heavy company like us, where about 85% of our inventory is business hotels, actually, Diwali and Dussehra are periods when you do relatively lower occupancy. So as of now, and I'm talking mid-November, things have gone exactly as we anticipated, which is October will be weak and November will be very strong. Let me say, Q3 looks to be just as we anticipated.

Q4, based on advanced demand, also looks to be about what we thought it would be. So broadly, in H2, it could depend on how well you do 130% - 140% of the revenue we do in H1. So, if we do INR100 in H1, you can do anywhere from INR115- INR140 in H2. I don't want to give an exact number because I've already given guidance on the full year. It's as we expected and perhaps slightly better.

Nihal Jham: That is helpful, sir. The second question was that you did allude in the last call that incrementally, you are looking at pricing the rooms right, even if there is a slight loss in occupancy. And I think the results are in a way also reflecting that.

Patanjali Keswani: The results will show you in Q2.

Nihal Jham: In Q2?

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Patanjali Keswani: Exactly what I said.

Nihal Jham: Yes. Absolutely. But just I had this observation on Red Fox specifically where the pricing is much higher while say, for the brand like Lemon Tree or Lemon Tree Premier, there is still a pricing room in terms of the customer set, but does for Red Fox, which is a value-focused brand from our side, this kind of an aggressive pricing changes the mix of the brand? Or ideally, would it be fair to say that going for pricing in the Red Fox brand is the right way ahead for you all?

Patanjali Keswani: So let me be specific here, see Red Fox, it's our value brand. But the reality is that it had a very low base in the past. So, if you look at Q2 FY20 on Slide 11, you will see that it was priced at INR 3,000. And all we've done is, we've kind of repriced it now in line with what the replacement cost of these assets should be. So, it is these assets are typically at 50% of the cost of sale, which is why we look at even the EBITDA per room. We've tried to bring the EBITDA up in these hotels. And as you will see in the quarter, it was INR 1.3 lakh versus, for example, a premium was INR 2.8 lakh. So it required a bigger increase in pricing than a Lemon Tree Premier. And therefore, it had

a bigger impact on its occupancy and the RevPAR is up only 8%. But remember, Red Foxes are far more in the tier well in the less prime locations than a Lemon Tree Premier or even a Lemon Tree. And therefore, the kind of customers we get there are also more by definition, value-conscious, and willing to take a trade-off on location and price.

So it's a process, let me be honest. It's a process of discovery for us. But what we are very clear about is we are going to price right and therefore maximize RevPAR rather than focus only on occupancy, which used to be our strategy earlier. And now I know this may not exactly answer your question, but we are quite clear that we will catch up on occupancy to pre-COVID levels. And it is, therefore, a short-term pain of repricing and then building demand up to pre-COVID levels. I would much prefer we don't go to the other route, which is to build up demand at a low price and then try and raise the price because, at that point, it is very difficult to change pricing.

Nihal Jham: Yes. And I just had a final clarification on the occupancy comment that you made that you have some belief that by keeping these prices also, you can get the

occupancy back to what Red Fox used to do earlier.

Patanjali Keswani: No, I'm saying our prices will go still up. What you are seeing is the prices of Q2. I'm saying that Q3 will be a surprise to you in pricing and we will trade off occupancy because we are convinced that within this year itself, whether in Q3 or in Q4, at some point, our occupancy will catch up to pre-COVID.

What am I saying? I'm saying your ARR, which was whatever it was, say, it was INR 4,900. We are very clear, we are to target at least a 10% improvement in that ARR in Q3, and a further improvement in Q4. And there will be a catch-up in occupancy. This 18% -19% improvement in ARR is not what we want, we want a much higher improvement in ARR, and catch-up in occupancy subsequently, but within the quarter.

Moderator: Our next question is from the line of Karan Khanna from Ambit Capital.
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Karan Khanna: Just a couple of questions from my side. First, we're hearing a lot of international and Indian hotel chains that are looking to expand in the mid-income segment and also the Tier 2 and Tier 3 cities. So how do you think this could impact the ask rate for management fees for the industry?

Patanjali Keswani: See, as long as the branded hotels, by and large, the bigger branded hotel sales are rational in the fees they ask because there is a very big difference between a listed branded player, so to speak, whether international or Indian or a much smaller branded player who focuses more on management contracts. So see, if you are looking only as a relatively smaller player, you are focused on cash flow. So you will pay off fees because your game is to basically get more and more hotels and earn management fees.

The larger players are more interested in two things: one, a fair fee, which means it's typically a much higher fee, and number two, the longevity of contracts. So if you look at the contract between, say, a Taj or a Marriott sign and say standalone smaller chain signs, and I'm not going to comment on Lemon Tree I'm talking in general, the quality of the contract of the former are much stronger. And in fact, you can value that contract based on an NPV of future management, whereas the quality of the contract signed by a local operator of the hotel is very weak, and it is normally the owner of the hotel of the contract with no consequences. Now we have deliberately followed the former strategy, which is we want strong contracts so that we can price our contracts as an NPV of future fees.

When you look at those competitors and a lot of them are getting into the market, which is the branded players, I do not see that there will be a trade-off on fees. Yes, there will be more competition, but whoever gets it, will get it at the right price. The more I see this happening, the better I feel because

all it's doing is organizing a very fragmented market. And I do not see it as a disadvantage. I see it actually as a great advantage because the more consolidated the hotel industry gets in India, the more rationale will be the behavior, whether it's pricing or in terms of quality of rates and so on.

Karan Khanna: In terms of Cap ex, so what we are seeing is that the total Cap ex stood at INR 470 crore for the Aurika and the other hotel as of September versus INR 440 crore as of the end of the June quarter. So just wondering, assuming INR 30 crore of the quarterly run rate that takes for six to eight quarters before you complete the balance of INR 500 crore of Cap ex. So are you on track?

Patanjali Keswani: Very much on track. Let me explain. Think of it as a takeoff. So when the hotel is under construction, what happens is that the first up to about six to nine months before it is ready, the consumption of capital is relatively low because you are really building the structure, okay, which is a low-cost part of the hotel. The high cost part of t

he hotel is the finishing and the ordering of equipment, which typically, as I said, happens about six to nine months before the hotel opens.

So really, the pickup you will see in expenditure will be from Q4 this year because if we are going to open the hotel in Q3 next year, which is the October, December quarter, then, really, you will see a pickup in Cap ex from, Page 7 of 17

say, January or February this coming year. Even in that INR950 crore, which we have said we will spend and let's assume we have spent by then, say, INR500 crore, including this quarter, the next INR450 crore, at least INR100 crore will be spent after opening the hotel because those are related to performance clauses, which contractors when they build our hotels or supply equipment, and we settled that six months to maybe even nine months after opening.

So broadly, we will require about INR 350 crore next year to open this hotel next calendar and another INR 100 crore post opening. And that is why we said we tried to align our cash flow. And you will find even our gross debt has, in fact, remained flat in spite of us constantly investing capital in this hotel .

Karan Khanna: So just continuing the Cap ex, you mentioned roughly INR 540 crore of Capex, which has to be incurred over the next 1.5 years. So, do you think that the internal cash flows will be sufficient to sort of fund this INR 540 crore? Or do you think the debt levels will also go up because of this?

Patanjali Keswani: I have said earlier that, by and large, our gross debt will remain the same. And that implies, of course, that we see that we can fund all this through our internal accruals.

Karan Khanna: Just an extension because your quarterly finance cost run rate is around INR 45 crore, which implies roughly INR 270 crore to INR 300 crore over the next 1.5 years. And if you add the Cap ex amount of around INR 540 crore, that translates into roughly INR 850 crore to INR 900 crore kind of a cash outflow and versus this, you believe that INR 800 crore kind of a cash flow over the next 1.5 years will be achievable.

Patanjali Keswani: Broadly, yes.

Moderator: Our next question is from the line of Sumant Kumar from Motilal Oswal.

Sumant Kumar: So room rent range of INR 2,500 - 3,500 across branded players, we have seen occupancy rate is lower than pre-pandemic versus luxury. Is it because of pressure from the unbranded player or supply is higher? Can you talk on that?

Patanjali Keswani: No, you'll have to be specific. So are you talking about Red Fox total?

Sumant Kumar: So I'm talking about all the room rent we have at Red Fox and other hotels, which is in the range of INR2,500 - 3,500 room rent. The observation in the occupancy not just for you, for others branded players also it is lower. Maybe the room rent is higher for other players as we are. But is there any supply side pressure in this segment?

Patanjali Keswani: No. Actually, quite the reverse so. If you go to Slide 11, you will see we always give by brand occupancy in ARR and then by region. So what I want to alert you about is pre-COVID that Q2 FY20 quarter we are referring to was Keys. There was no Keys then. We had not acquired Keys. As you know, we acquired Keys 3 months before COVID hit. So the way I look at it is, what did we do without Keys and what did we do with Keys. So then there is Page 8 of 17

is another slide a little ahead, which I would like you to look at, which is Slide 21. And I think that answers your point.

So our occupancy actually in Q2 FY23, if you go to Slide 21, was a little short of 70%, with an inventory of 4,154 rooms, which means really, these were 200 additional rooms we added because our inventory of owned rooms was INR 3,975 in Q2 FY20. Then you add Keys and Keys is the deflator as you will see. So when you look here, let me just put it in perspective. Keys has 2 components.

One is about 50% of its inventory is in Bangalore and Pune, where the occupancy we did was a little under 65%, about 63% - 60%. And the other 50%, which is another 470 rooms was in cities like Trivandrum, Kochi, and Ludhiana and so on, where our occupancy even now was sub-40% because Kerala has not recovered at least in this segment. So the average occupancy Keys did was 53%. But the average occupancy Lemon Tree did was a little short of 70%. And that's the key point I'm making. Because if you go even citywide like Bangalore if you go back to my Slide 11. If you go to Bangalore, we did 68% occupancy instead of 80% pre-COVID. But what was that?

Actually, what it meant was that we did in Keys about 61% - 62% and in the original Lemon Tree Hotels, we were well north of 70%. But you can see the average, which is 60%. The real comparison of 80% in Q2 FY20 is with the Lemon Tree products, which did much better than the Keys products. Same logic applies in Pune. If we look at rest of India, where we have 1,660 rooms. If I take out Keys, then we were much higher than this. I haven't calculated exactly, but it was much higher than this 52% that you are seeing, which is the aggregate.

So really, as I have said in the earlier concalls also, Keys is a product which we were unable to renovate because COVID hit us just 3 months after its acquisition. We are in the process of renovating Keys. We have started it, in fact, this summer. By next summer, we will have renovated all these 936 rooms. Our plan is very simple. We think in Bangalore and Hyderabad and Pune, we can reprice it by at least 40% more than it is today. So we are going to invest more capital there in the upgrade. And in the remaining markets, we are going to bring the product up to what we think is a minimum brand standards level. We think there too, we can reprice by 10% - 15%. So really, the upside will be captured next year. So whatever you see about Lemon Tree this year, will be really without Keys contributing to it, which will really show next year.

Sumant Kumar: Can you talk about the corporate rate hike in the upcoming months?

Patanjali Keswani: We have already hiked corporate rates and if you look at corporate rates today in Q2 FY23 versus Q2 FY20, they are already up by north of 15%. This segment, is up by INR 600 in the corporate, airline and travel trade segment versus Q2 FY20. In the retail segment, we are up to INR 1,000. That's why you're seeing a weighted average increase of about INR 800.

Sumant Kumar: Alright. And the mix has increased, right?

Patanjali Keswani: No, mix has changed. When you look at the demand drop, which is

occupancy, as I said. So now I'm aggregating Keys and Lemon Tree. The
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actual in numbers are in Q2 FY23, we did 3,370 rooms on our base of 5090, which translated to that occupancy of 66% -67%, whatever we have announced. But in Q2 FY20 on a smaller inventory, we did a higher RPD. And if I break the 2, then I see that the traditional segment of corporate airline and travel trade is the segment that has really come down.

The retail segment has continued and pick up and that is really the corporate segment which is lagging. So that is why I said that impact has come in Gurgaon mostly and Bangalore, where a lot of corporate still have not picked up travel to the full levels, and I expect it will catch up in H2.

Sumant Kumar: Is there any wastage from the corporate side or industries are not giving more inventory to the corporate?

Patanjali Keswani: No. Actually, month by month, I see corporate demand picking up slightly, except in some markets, see, normally 55% of our business comes from non-retail. In some markets, it's 80% like Gurgaon or Bangalore, okay? So in those markets where we are more dependent on corporate, especially large corporates. Some of those large corporates have not really come back to

the full level. It is possible they may never come back to the full level. But the trend line shows that the demand from those segments is increasing, but has not caught up to pre-COVID. So some segments have caught up to pre-COVID and some haven't. And there, we are very dependent on those segments, which is Gurgaon and Bangalore. The catch-up is still to happen fully.

Sumant Kumar: And can you talk about the demand side for the upcoming quarter and the correlation that the G20 things are also happening? So how the demand is going to be your thoughts on that?

Patanjali Keswani: I think demand is going to be phenomenal with G20, we're going to have hundreds of meetings all over India. And in some cities, the government has already blocked hotels and told them they want rooms from them. So I have no doubt it will be very accretive in terms of value, obviously, to the hotel industry in the calendar year 2023.

As far as demand goes, as we expected, October was a very slow month because of the Dussehra, and Diwali. November is the catch-up month. So it's doing very well. December will also be in our anticipation of our trend line, a good month until about 20th of December when slowdown starts due to Christmas, New Year, but that's an annual event. And Q4 will be again a phenomenal quarter. So it's growing as we expected there are no negative surprises. And I think the positive upside, I do think happened in Q4 because of G20. But I cannot comment on it currently.

Sumant Kumar: So G20 has the higher surprises in Q4, not Q3.

Patanjali Keswani: See, what happens G20, they'll book obviously a certain number of room nights everywhere, and therefore, there will be an improvement in demand, and therefore, that will play out in pricing and demand. So, I have not worked out what will be in Q4 with G20. But we feel it will have a significant impact.

Moderator: The next question is from the line of Sanjaya Satapathy from Ampersand.
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Sanjaya Satapathy: My question is that the recovery hasn't happened at the lower end and also recovery hasn't happened on the corporate side. So, should I conclude that the rooms dedicated to corporate are mainly the lower-yield ones?

Patanjali Keswani: Don't assume that because in some markets, even if corporate is not caught up, the retail demand has been replaced. There are multiple things even though by and large supply additions have been very marginal, pre-COVID,

there were supply additions planned disproportionately in some markets and less in others. So for example, Hyderabad, Gurgaon, and Bangalore have gone through a supply growth to a min or extent, but it is happening.

Demand growth has not been significant on the retail side. These are markets which are heavily dependent on corporate and especially IT. So sometimes combinations like that can affect the demand-supply dynamics of a micro market. What you are seeing is the aggregate. We did very well. But Gurgaon and Bangalore relatively led to negative RevPAR. And while I understand where you're going, I'm repeating to you if you take out Keys because Keys is 20% of our inventory the rest of the group did very well actually. Because if you take Keys out, not only were the occupancy much higher, our ARR was also much higher. I mean just in your mind, just go to Slide 21, and you will understand exactly what I'm saying.

So go to Slide 21 you will see Lemon Tree's ARR grew 25% on FY20 to FY23 from INR 4,100 to INR 5,000 crore to INR 5,200. Occupancy only slipped 5%, okay, for a repricing at the level of 25%. It was Keys that slowed down and specifically in Trivandrum and Cochin and so. So it's just a catch-up there. You have to really think of it as 2 groups and the performance of Keys is what is currently on a weighted average slowing us, but that is the one we are most confident we'll be able to pick up. So it's low

hanging fruit
in that sense.

Sanjaya Satapathy: And my next question is that this corporate sector recovery in Gurgaon and Bangalore, which you are talking about, are you attributing that to this work from home phenomenon or something more?

Patanjali Keswani: No, you see what happens is there is all types of corporates. In some markets, there is heavy dependence on small, medium enterprises. In some markets, there are large corporates in some markets, the largest share is MNCs or tech company and stuff like that. So Gurgaon and Bangalore is really tech companies and large MNCs. And that's where I don't see currently demand fully back to pre-COVID levels.

Sanjaya Satapathy: I mean because of work from home or something else looking

Patanjali Keswani: No, I think you're gradually picking up here. I mean, they all say the demand is coming back our sales team says it, the customers say, so I think it's just a question of catch-up. Everything doesn't catch up at the same time.

Moderator: Our next question is from the line of Venil Shah from Prabhudas Lilladher.

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Venil Shah: Yes. So I have a couple of questions. One being our total expenses have come down nearly 15% compared to Q2 FY20. How much of this should reverse going ahead, especially on the employee cost side as we gear up for a stronger season in H2? And is there a significant portion of temporary workers in our employee mix?

Patanjali Keswani: No, we don't have temporary employees and all that. We have either permanent employees or outsourced employees. So certain roles like security or some housekeeping, etc. we have outsourced employees, but they are not temporary at all because once we take people on, we do not like to ask them to go, whether directly or indirectly. As far as the cost structure goes, see it's a permanent reduction. I have said this before. So, I think you will see it play out. In fact, I had said in the last conference call, I recollect that we are going to keep adding staffing until we find the right level.

Currently, we are nearly there. Our staffing levels are, I think, 0.63 or 0.64 per room or maybe 0.65 and it will stabilize at 0.66 staff per room, which used to be 1 staff per room pre-COVID. So the short answer, though I've given you a long one is our cost structure is permanent, what you are seeing. And as you will notice that if you look at, for example, Slide 21, again, I'm

just having a look here, our expenses without Keys hotels, down by about INR 14 crore versus Q2 FY20, although we added about 200 rooms. And Keys was the reason that the aggregate expenses went up, but even so, it has been less than FY20. So this cost structure will not change.

And as I have said, this will lead an net EBITDA margin north of 50% even in this financial year, as you will see it playing out because think of it very simply. If we did INR 390 crore, what did we do? We did INR 390 crore in H1, even if we do a 10% improvement technically in H2, that is INR 424 crore, INR 430 crore, and we will cross INR 800 crore, which is double of FY22. And that INR 30 - 40 crore of incremental income, the increase in cost will be less than 25% because our variable cost is 23%. So a simple back of the envelope calculation, if we cross INR 810 crore that is we do H2, which is marginally better than H1. Then we will north of 50% and a revenue which is 100% over the previous financial year.

Venil Shah: Sir, taking this question, you mentioned that our staff per room to be around 1, and that has come down to now 0.6, 0.63. Is this something which you're witnessing a cross the industry? Or is it something specific to our strategy?

Patanjali Keswani: Well, to a great or lesser extent across the industry. But in our case, it is much more because we have done some level of automation also.

Venil Shah: Sir, and my second question would be the fee

for managed dates was

around INR 15 crore for H1. Where should we build this number? And where do you think, this will trend say by FY 25? Should this be closer to INR 100 crore?

Patanjali Keswani: Well, it's simple. H1, normally, the fees from managed hotels is much less than H2 because you have what's called incentive fees, which is earned by you based on the EBITDA performance of managed hotel. And normally, in H2, as I said, the income is 22% - 30% above H1, and that really gives you an uplift in your EBITDA. So H1 into H2 is, again, 1:1.5, maybe because the

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fees are much higher. And 3 years later, we have a projection, which is based on how many rooms we expect to operationalize. So right now, when I told you, we, as of today, we'll have 11,000 rooms approximately in the next 2 years, we are also signing very rapidly, and I have given some broad guidance on it. Now if all that plays out, then our fee structure will be north of INR 100 crore in FY25.

Venil Shah: Got it. Sir, and one final question. You mentioned about undergoing some Capex or renovating the entire Keys portfolio. Could we know the quantum for the same?

Patanjali Keswani: So it's very simple. It's INR 4 lakhs a key for half the portfolio and INR 1 lakhs a key for the other half. So, if you average it, it is INR 2.5 lakhs for 1,000 rooms, about INR 25 crore, of which we have spent some this year, which is actually part of the expenses. I think we have spent about INR 7 crore on renovation already this year. And we will spend the balance next year and the following year, and it comes out of before the net EBITDA figures you see.

Moderator: Our next question is from the line of Prateek Kumar from Jefferies.

Prateek Kumar: My questions are both like earlier. So first question is, when you say on second half revenues like higher by 15% to 40% versus first half. So like it feels like with present industry or a company do like a 15% versus first half, that will be a negative surprise standing in like today?

Patanjali Keswani: Assume I do INR 100 in Q1. Typically, I expect to do INR 95 -100 in Q2. So, let's assume I do INR 200 in H1. In H2, I should do, assuming everything is normal, I mean the industry, this is not a guidance for Lemon Tree, you should do anywhere from INR110 to INR120 in Q3 and INR125 to INR135 in Q4.

So what I'm saying really is that if you do INR 200 in summer, you should do INR 230, say, INR 260 in winter. So therefore, your annual revenue will be INR 430 to INR 460. However, your expenses, like if your expenses are INR 100, and let's assume you do an EBITDA of INR 100 in H1, in H2, your revenue is INR 430 to INR 460, but your expenses go up only by 25% of the incremental revenue. So if you do INR 430, your expenses in H2 will be INR 107 or INR 108.

Prateek Kumar: Sure, sir, my question actually was slightly different. So I was asking, like, let's say, in H2 like sitting today in terms of general expectation, in H2 if we do like closer to 15%, I mean 115% of H1 revenue in H2, that will be a negative surprise sitting today? Or I mean, because we are also we can also do like 140% of first half in second half.

Patanjali Keswani: No, actually it's a function of 2 things here. Frankly, it's difficult for me to give a clear number for H2, I can only give you a range. But I'm saying that the broad numbers, which I have given you are true for the industry. And as I said upfront, what I have the guidance I have given is for the full year, we will do more than double last year's revenue, and we will do a net EBITDA north of 50%. That's all. The rest depends on how Q3 and Q4 play out, and how much is the impact of this war continuing impact in terms of, for

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example, a lot of charter traffic to Goa has been affected. So there are negatives there. Then how will G20, what will play out in Q4, that will be

positive? So these are the imponderables, I cannot give specific guidelines on them.

Prateek Kumar: Sure, sir. And my second question is about cost. So are there any pent-up costs in the system, which we foresee?

Patanjali Keswani: No, we are very clear we are very transparent. We don't defer any costs. We are audited by a big 4. So, there are no surprises, negative or positive in our cost. The only point I would urge you to look at is we are not sure what our final tax will be. So, we have been conservative in our taxes.

Moderator: Our next question is from the line of Rajiv Bharati from DAM Capital.

Rajiv Bharati: Sir, on your ROI, which is rest of India, the price increase in Q2 versus the base quarter Q2 FY20, there is INR 1,000 increase, which we see. And the similar number is what we see in case of INR 1,100 in Hyderabad. So -- and while the occupancies are, I mean, down in rest of India. So is there experimentation you are trying to do on the pricing side to test the ROI market possibly because the supply of good hotels there is lower? Or is this an established trend already?

Patanjali Keswani: No. So one is, again, you will have to separate the performance of the rest of India between Keys and Lemon Tree. The occupancy was about 60% and the ARR was north of INR 4,500, okay. It is the Keys portfolio that underperformed. Now the pricing that we are growing the most of the pricing changes that you are seeing, in fact, all of them are with the Lemon Tree portfolio. The Keys portfolio is not yet giving us any change from pre-COVID because pre-COVID, we didn't have it actually. So really Keys is the portfolio that will give us the maximum upside next year. This year, because we are in the middle of our digital transformation, we are focusing heavily on revenue management and the exercise has just started. We will continue to reprice to where we maximize RevPAR and therefore, hotel-level EBITDA. We are personally, at this point, a little indifferent to occupancy. We are only focused on maximizing the revenue per room. So we increased the rate by 10%, and it has a drop in occupancy of 5%. We are quite okay with that. So we are trying to discover the right pricing to maximize EBITDA.

The whole purpose of this digital exercise in revenue management is to maximize EBITDA. So it's an ongoing process, and I think it will continue even into Q4, which is why I say, I would urge you to look at the RevPAR growth in our company and the EBITDA growth in our company rather than

the occupancy versus ARR because ARR has gone up 19%. But if you notice, our ARR grew 31% in the rest of India, but the occupancy went down 15% and therefore, RevPAR only changed by 1. And that change is what we should track because that is going to flow through to the EBITDAR. So it's not a pricing strategy or occupancy strategy, it's a combo of the 2.

Rajiv Bharati: And referring to your Slide 15, where you have given the market share. So pre-COVID number, the market share in terms of room revenue and the night so largely similar so the rates apparently are similar. And now you are basically the room revenue market share on the retail side is higher. So pre -
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COVID the retail should be paying you, I mean, my basic understanding retail is traditionally higher than corporate, right? And you are able to price higher .

Patanjali Keswani: Absolutely right, If you look at revenue share pre -COVID in corporate, it was merely the room night share. So, the room night share of corporate pre - COVID was 48% and revenue share was 47%. But because we increased the ARR, you have to look at it not as a percentage, but as an ARR number. We increased the ARR of retail more, if you look at pre -COVID to post - COVID, our retail ARR has gone up over INR1,000. And our non -retail, that is corporate, airline and travel trade has gone up only INR600, which is wh

y
the revenue share of corporate now is 3% less than the room nights share and the revenue share of non -corporates, which is OTAs and web and others, which is the FIT, is higher than the room night share. And that's what you will see playing out. And pre -COVID, if you notice, OTAs was 29%, room nights, 29%. Revenue share is now 34% to 36%. And even in the web, you can't tell, 2 to 2, but it's 2 to 2.5.

Rajiv Bharati: So, I was under the impression that pre -COVID also the behavior should have been the same, right? The market share versus room night market share, what should be different than the retail versus corporate?

Patanjali Keswani: If you aggregate all as you aggregate all it was about 3% - 4% because you have to look at the columns, the 3 columns on the right and the 3 columns on the left. But remember, this is again including Keys. So, you are not really getting the full picture. If you want to see the full picture, we haven't given it in that form, but if you go to Slide 21, you get a very clear idea of what's happening, and then you can break it backwards.

Rajiv Bharati: And my last question is on I don't know whether this is correct way of looking at it, incremental EBITDA margin on a quarter -on-quarter basis by brand. So, I'm looking at, let's say, Lemon Tree Premier. So, it's not that in your slides. I'm just basically doing Q2 minus Q1, I'm doing in terms of essential EBITDAR and divided by the revenue differential, Q2 minus Q1. So, the incremental flow -through in terms of EBITDA margin. And Lemon Tree Premier looks like it's 33% versus historically, incremental margin has come 75- 80%.

Patanjali Keswani: Go to Slide 11.

Rajiv Bharati: Yes.

Patanjali Keswani: If you go to Slide 11, it's all there, the hotel level EBITDA margins.

Rajiv Bharati: No, I get it. I mean, Q2 versus Q2, I'm talking about Q2 versus Q1. So, because your prices are going up, our RevPAR in fact, has gone up, but the incremental flow -through in Lemon Tree Premier portfolio in terms of EBITDA divided by the incremental revenue you have made is 33% flow - through. I mean maybe I'll take this offline.

Patanjali Keswani: I'm not getting the question. Yes, I would be happy to answer it. But I would urge you just look at a simple number, which is Slide 11. And there, you will find, although Keys is an underperforming portfolio, it has still done an
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EBITDA margin of 52%. So, what you're seeing right now is still a work-in-progress. Across the board, you will find that our EBITDA are at the hotel level, the EBITDA margins are 51%. And what we are reporting at 48%, that 3% is due to basically corporate expenses and of course, there is an ad flow-through of management fee. So, the column you should look at for whichever question you want to ask is the last one on Slide 11.

Moderator: Our next question is from the line of Pallavi Deshpande from Sameeksha Capital.

Pallavi Deshpande: Just wanted to understand what would be this ratio of outsourced employees to your total employees?

Patanjali Keswani: I would reckon that permanent are like 70% and outsourced would be 30% or maybe 75% - 25%, roughly that. But in terms of cost I think your bigger question is the variable cost. But in terms of cost, it may be 25% of our staff, but it will be only 15% of cost because obviously, the permanent employees are include managers and senior staff. So, that cost is higher for employment.

Pallavi Deshpande: And this ratio, how would it move like after this Mumbai property is opened up?

Patanjali Keswani: Very similar, Pallavi. It will remain the same because certain departments are outsourced and certain are permanent. So, that does not really change.

Pallavi Deshpande: And sir, secondly, on the social security code op, any estimate on what kind of provision may be required on that end?

Patanjali Keswani: On which end?

Pallavi Deshpande: For the social security code? On the employee expenses part for pension provisions.

Patanjali Keswani: I didn't get the question.

Pallavi Deshpande: I'm alluding to the notes to accounts mentioned about the social security code that has yet to be implemented and you are examining

Kapil Sharma: So, as you rightly mentioned special security code, we are doing an assessment on this. And probably by next quarter, we will be completing this exercise and we'll get back to you the exact number, what impact will be there if it is. But we feel that it's not going to be very significant.

Moderator: Our next question is from the line of Kushal Shah, an Individual Investor.

Kushal Shah : My question was on the industry room supply additions. So, if I see your return on capital for the quarter or the projections for the year, it is still low - double digits. That too, which is on a historical cost of land and historical cost of construction. So, if I were to calculate the return on capital for constructing a new hotel on today's cost of land and cost of construction, I believe it would be low -single digits. Also, we are one of the most efficient
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players with some management fee income as well, which flows through our bottom line. So in this context, can you help me understand that how much do ARRs have to go up from here where that will become lucrative for an institutional investor or an HNI investor to invest in building on new hotels? And are you seeing any new supply additions being planned already?

Patanjali Keswani: So supply, what you know for a fact is future supply growth up to 5 years out because there are enough agencies in India, professional agencies who track it and supply takes 3 to 5 years to anyway, operationalize. So, future supply growth has really slowed down. There are different estimates, but it would be low -single digits. So between, I would reckon my best guess is it

will be 3.5% to 5% supply growth on an annualized basis for the next 3 to 4 years. The replacement cost of hotels, you're absolutely right, has gone up enormously. And if pricing doesn't catch up, then it does not make rational sense to build new hotels. Now traditionally, Lemon Tree's problem has been that unlike most other players in India,

So in our case, for example, roughly 50% of our capital deployed was operationalized in the 15, 18 months before COVID, which didn't really give a return. And that return is now starting to play out. And in our case, I expect that our ROCEs will show on a quarterly basis, an enormous improvement from H2 onwards. And this will continue in my opinion for the next 3 years because demand typically grows at 12% or 1.6% to 1.7% of GDP growth for branded hotels on a secular trend basis.

So if that plays out, then my guess is that India's GDP growth on a real basis at 6% -7%, then demand will grow at 11% -12% and supply will grow at 5%, which means year-on-year, there will be an improvement in occupancy and automatically an improvement in trade for the next 3 years, certainly. So it is no doubt that the industry is at the cusp of an upcycle. When that happens, ROCEs will change very dramatically. And I'll give you an amazing number. 70% of hotels return in a cycle between 7 to 10 years occurs in two years. It's a Pareto principle. That in the two years of top cycle, the hotel makes 60%- 70% of the capital. So, that's where we are at today.

So, I have no doubt that new supply will be planned in the next year or two or three, but it will take five years to come out. So in that period, the hotel industry will do very well, including the new hotels that we have opened, which have much higher cost per room than the old hotels because as you correctly said, the book value is very much lower of the old hotels. So, that's how I expect it to play out. And yes, HNIs and institutio

nal investors will plan
to build hotels probably from next year end onwards.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the floor back to the management for closing comments.

Patanjali Keswani: Thank you, everybody, for your interest and support. We'll continue to stay engaged. Please be in touch with our Investor Relations team or CDR India for any further details or discussions and I look forward to interacting with all of you soon.

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Call: Feb 2023

February 20, 2023

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G

Bandra Kurla Complex

Bandra (E), Mumbai - 400051

NSE Scrip Symbol: LEMONTREE

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai — 400001

BSE Scrip Code: 541233

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015

Ref: Transcript of Conference Call with Analysts/Institutional Investors

Dear Sir

Pursuant to Regulation 30 of SEBI (Listing Obligations & Disclosure Requirements)

Regulations, 2015, we wish to inform you that in continuation to the disclosure made on

February 13, 2023 wr.t. the audio recordings of the conference call on unaudited financial

results for the quarter and nine months ended December 31, 2022 held on Monday,

February 13, 2023 please find enclosed herewith the transcript of the conference call with investors/analysts.

Kindly take the same on your record.

Thanking You

For Lemon Tree Hotels Limited

Digitally signed by NIKHIL SETHI

DN:c=IN, o=Personal,

postalCode=110015, st=Delhi,

ST serialNumber=095CBADA187FE

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SETH] i.

Nikhil Sethi

AVP Legal & Group Company Secretary

and Compliance Officer

Lemon Tree Hotels Limited

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Lemon Tree Hotels Limited

Q3 & 9M FY23 Earnings Conference Call Transcript

February 13, 2023

Moderator:

Anoop Poojari:

Patanjali Keswani:

Ladies and gentlemen, good day, and welcome to the Lemon Tree Hotels Limited earnings conference call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an Moderator: by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. | now hand the conference over to Mr. Anoop Poojari: from CDR India. Thank you, and over to you, sir.

Good afternoon, everyone, and thank you for joining us on Lemon Tree Hotels Q3 & 9M FY23 earnings conference call. We have with us today Mr. Patanjali Keswani, Chairman and Managing Director; Mr. Kapil Sharma:, Chief Financial Officer; and Mr. Vikramjit Singh, President of the company. We would like to begin the call with brief opening remarks from the management, following which we'll have the forum open for an interactive question-and-answer session.

Before we start, | would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the results presentation that was shared with you earlier. | will now request Mr. Keswani to make his opening remarks.

Good afternoon, everyone, and thank you for joining us on the call. | will be

covering the business highlights and the financial performance of Q3 & 9M FY23, post which we'll open the forum for your questions and suggestions.

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Q3 FY23 occupancy increased by 133 bps and gross ARR increased by 17% over Q2 FY23. The total revenue for the quarter stood at INR 234.1 crore, which is 19% over Q2 FY23 and 15% up versus Q3 FY20.

The net EBITDA margin for the company in Q3 FY23 was industry-leading at 54.3%, which is 648 bps above Q2 FY23 and 1,265 bps above Q3 FY20. The PAT for Q3 FY23 stands for INR 48.6 crore, which is 151% over Q2 FY23 and 338% up versus Q3 FY20. Q3 FY23 has been the best ever quarter for the company with most key metrics such as gross ARR, total revenue, EBITDA, EBITDA margin percentage, PBT and PAT growing significantly.

We are confident in the company's ability to sustain this growth even more in the coming quarters by focusing on the following growth levers: opening of Aurika, MIAL in Q3 next year; accelerated growth in our management and franchise portfolio with proportionate increase in fee-based income; further improvement in gross ARRs and occupancy for the LTH portfolio and a significant increase in ARR and occupancy in the Keys portfolio post renovations.

We are pleased to share that we have expanded our presence with the signing of 7 new hotels in the cities of Thekkady, Haridwar, Jamshedpur, Dehradun, Chandausi, Banswara and Tezpur. And operationalized 3 hotels in this quarter, namely Lemon Tree Hotel in Kalina, Mumbai; Lemon Tree Hotel in Mukteshwar and Keys Lite by Lemon Tree in Vishakapatnam, which were in the pipeline in Q2 FY23. Our total fee from managed hotels in the 9 months of FY23 stood at INR 25.1 crore, which is 94% up versus the nine months of FY20.

I would also like to mention that the opening dates of some of the hotels in our pipeline have been revised due to license delays and unforeseen circumstances on the owners' side. Our team is working hard with them to avoid any disruptions in this schedule. Moving on, our focus on cost optimization has translated into an expansion of EBITDA margin percentage by 648 bps versus Q2 FY23 and 1,265 bps versus Q3 FY20. Cash profit for Q3 FY23 stood at INR 72.1 crore, which is 63% up versus Q2 FY23 and 114% up versus Q3 FY20.

We are optimistic that we will generate more cash in the coming quarters, allowing us to fund the Aurika, MIAL project through internal accruals. I would like to reiterate that the construction of our largest hotel, Aurika, MIAL is on track and

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Moderator:

Nihal Mahesh Jham:

Patanjali Keswani:

Nihal Mahesh Jham:

Patanjali Keswani: should open by October this year. Compared to the industry, Lemon Tree same-store hotels RevPAR is 18% up versus Q3 FY20, while the industry is 2% up. The company has outperformed in the markets of Mumbai, Hyderabad, Delhi, Bangalore, Pune, Gurgaon and Chandigarh, while Chennai and Goa have not performed to the expected level.

Lastly, diversity of team and gender inclusion is one of the key pillars of our corporate mission. We have been actively engaging with differently abled or economically, educationally, socially or geographically challenged individuals over the years, which we classify as opportunity-deprived individuals. As we look forward, we aim to have around 30% of opportunity-deprived individuals in our team by FY26. Thank you once again for your interest and support.

The first question is from the line of Nihal Jham from Nuvama.

Sir, my first question was that we've seen a strong improvement in RevPAR versus pre-COVID, and there is also a mix in terms of the corporate segment going lower and the website segment growing higher. So is there a mixed element that is there, if you would just want to highlight that?

No. Well, if you look at our segment mix, if you compare it to Q3 FY22 and Q3 FY23, in terms of room nights, actually, we did the same in room nights, but since the inventory has gone up, therefore, our percentage is a little down. So when we say that this year, we have done in the portfolio 67.6% actually, Lemon Tree did 71.4% and Keys did 50.6% in this quarter. And if you look at it from that perspective, then

actually, we did the same number of room nights in Q3 FY20 as we did in Q3 FY23. What changed was that corporates were a little less and the retail segment was more. And from 61% and 39% in Q3 FY20 it is now 55% and 45%.

Got that. And the second question was, generally, this is a period where the corporate rate negotiations happen. There are certain other players who are looking at flexi rates. I just wanted to get a sense if we have seen a renegotiation, if they get a sense of the rates or if there are change in contract terms that you want to highlight?

So there is -- but we haven't increased rates as significantly this year. So we do have fixed rates. From next October, that is this coming October, we are going to move into a little more dynamic pricing. So let me explain how this works. In Q3,

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Nihal Mahesh Jham:

Patanjali Keswani:

Nihal Mahesh Jham:

Patanjali Keswani: what we did is whenever we had high occupancy, the lower category rooms and the lower category rates were not offered. Therefore, automatically, it was the higher category rate -- room and rate that was offered even to corporates. So that in itself led to some ARR increase. So when we say that our ARR increased by 17%, 18%, it really means corporates were 13% and the others were say 20% on a weighted average kind of basis.

And so when I look at it from October, what we will do is we will take our top 20 Key accounts who we treat as filler accounts, maybe those rates will go up 8% to 10%. And these accounts will account for about 20% of our total room nights. The other 15% of corporates or 19% will really be more dynamic. So we will give them - we will say, you look at the website and our rate for you. For the full year, will be, say, 10% discount on the website or 15% or 20%, depending on the size of the account and where they use it. And therefore, it will become automatically dynamic. Got that. Just to clarify then, in this last October, what is the kind of price hike versus pre-COVID in October '22?

So see, when you look at our pre-COVID, I think we were about -- let's look at that - one moment. So we were INR 4,644 in Q3 FY20 and now we were INR 5,738. So there was a 24% hike. Now the corporate rates were lower than this ARR that I have just given you. So in that sense, we did take the corporate rates up by 25%. And we took the non-corporate rates also up, so that the overall average was 24%. But individual segments went differently.

For example, the airline segment remained flat. The travel trade segment went up 30%. OTAs and retail went up 22%. So it's a weighted average kind of thing because the rate anyway of the retail segment was 15% higher than the corporate segment. So when I say I took both up by, say, 20%, 25%, the average rate of the corporate still is below the ARR of this declared ARR, which is INR 5,738.

Got that. One last question was on the buyback from APG. If you could just highlight what are the terms ahead? Because I think when they made the investment in May- June 2020, maybe the thought was of transferring hotel assets to keep our stake at around 58%- 59% that we have in Fleur.

Correct. So I'll ask Kapil to answer this. But fundamentally, we put in INR 100, we have to put in INR 150 to equalize. And that means we had to put INR 150 worth of

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Kapil Sharma:

Nihal Mahesh Jham:

Kapil Sharma:

Moderator:

Archana Gude:

Patanjali Keswani: assets. Now slump sales are no longer tax effective. So to put INR 150 worth of assets, the tax was an extremely high concurrent. So it was better for us in that sense to value the company. And since this is like an equity instrument and buy 60% from them. And Kapil there's anything you want to add, please do so.

No, that is correct, Nihal, because of the high transfer costs, we evaluated the transfer of assets does not make sense at this point in time. So it's better to get a buyback of the CCPS, which is an equity instrument, and it is generally bought back at the current valuation of the company, which is generally done by the

merchant banker. So as per the normal FEMA regulation that is what we have planned to do now to ensure that our Lemon Tree shareholding in Fleur remains the same as it was earlier before the issuance of CCPS.

So does this take the stake to the ideal 58% that we are targeting or there is still some more buybacks that we require?

There would be some more, but major part is already happening now. There could be more, yes.

The next question is from the line of Archana Gude from IDBI Capital.

Congrats on very strong set of numbers. I have 2-3 questions, first one to follow up on what you discussed earlier. With this 24%, 25% increase in the gross ARR compared to the pre-COVID quarters, when the occupancy are still subdued. So is it fair to assume that the next leg of growth in sales would be from incremental occupancy rather than ARR? How we should look at it from the midterm perspective?

See, in H1, just when COVID got over, we decided to take our rates up, and we took them up about 20%. So when H1 got over, in H2, we took a further hike of 17%, 18%. So really, customers have seen 2 hikes within the space of 6 months. We tried to equalize it. Now the broad thought was that in October 1, we repriced. So we repriced and the focus was on getting the price up. That's why the occupancy was still a little muted.

And that's why I said, if you look at the occupancy of the 2 hotel divisions, so to speak, Lemon Tree did an occupancy of 71.4% at INR 6,100 in Q3, okay. It was Keys which did an occupancy of INR 3,500 at about 51%, which is why we did a

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Archana Gude:

Patanjali Keswani:

Archana Gude: weighted average of INR 5,738 at 67.6%. But the focus was, get the price hike done. So it automatically led to some churning of some low rate customers. If you now move to Q4, our focus is now to increase the occupancy because we've done the price hike. And what you will find is in Q4, broadly, I expect that we will do over 75% in the group occupancy, which means Lemon Tree will be at 80%, and the ARR will also be above what it was in Q3.

So what you are seeing is a series of steps. First was a 20% price hike for H1, then a 20 or nearly 20% price hike for Q3 and a further small price hike in Q4 and a significant hike in occupancy. So it's an ongoing process because this is 1 year after COVID. So obviously, there are different things we have to do. But what I can tell you is in Q4, Lemon Tree will do its best ever occupancy at the highest ever ARR. In fact, Keys will also probably do much better.

Sure. Sir, my second question is like when I look at our mix of inventory in terms of owned and managed currently stands at close to 60%, 40% respectively, so going forward, what number will be at comfort level? And any guidance of incremental EBITDA margin due to this change in mix?

Yes. So keep one thing in mind. Anything we do in managed is 100% flow through, okay? So to give you a number. This year, we have so far signed 20 hotels and about 1,100 rooms. We've also opened 5 hotels and about 220 rooms. Now the hotels that we have signed will open next year and the following year. By the end of Q4, we are very confident that in this financial year, we will sign a total of 26 hotels with 1,400 rooms. What do we expect in FY24? We will sign another 35 hotels with about 2,000 rooms, we will open 23 managed hotels with about 1,500 rooms plus we will open Mumbai International Airport.

So from the current 87 hotels, they will grow by 24 more hotels to 111 hotels by the end of FY25. We have 8,350 rooms. They will cross 11,500 rooms by the end of FY25, operating. We operate in 53 cities. We will operate in 71 cities by the end of FY25. And we will have another 2,000-odd rooms, which we will have signed, which will open in the following year or 2. So the guidance is 111 hotels, 11,500 rooms, 71 cities and the mix will be 50-50, owned to managed.

Sure, sir. And sir, lastly, if you can give some color on the Bangalore and Goa markets?

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Patanjali Keswani:

Moderator:

Karan Khanna:

Kapil Sharma:

Karan Khanna:

Kapil Sharma: We have a lot of hotels in the very IT-dependent markets, which is Electronic City and Whitefield. So those have been a little subdued, both the Keys and the Lemon Tree Hotels. Gurgaon, you noticed, has picked up, and it has picked up fully now in this quarter. And you will find now all the 9 key markets, well, we are outperforming vis-a-vis our Q3 performance in Q4. I've given you a guidance, I said we'll do 75% in Q4 and we will do a slightly better ARR, so you can work backwards.

The next question is from the line of Karan Khanna from AMBIT Capital.

Congrats on a good set of results. So firstly, regarding the transaction with APG Group, I'm just curious to understand how the 50% premium valuations were arrived at? If you would comment on the rationale as to how these numbers arrived at? And secondly, how you plan to fund this acquisition?

As I just mentioned that this is as per the current valuation of Fleur Hotels, which is done by the merchant banker. And based on that, whatever changes have happened because you know the valuation as of June 2020 of the company and even if you look at from the industry perspective was much lower at that point of time. And now industry has come back very much on the business side and the kind of performance you have seen, especially this is the first quarter post COVID, which is a season quarter, Q3, which performance you have just seen.

So based on this and further projections, which are generally done by the merchant banker, they have evaluated, and the transaction is happening for purchase of the CCPS from APG at the valuation of Fleur Hotels. So that's how you are seeing the change in the value, which is FY21 versus FY23-24, basically.

Sir, regarding funding for the acquisition, will this add debt on the parent's book given most of the cashflow will be used towards investing in the MIAL project?

Not really because as you have seen that in this quarter only, in Q3, we have had a cash profit of INR 72 crore. And this kind of performance is likely looking at from the market perspective is likely to continue. So there are a robust internal accrual in the company, which can take care of this acquisition as well as the capex which is required for the Aurika, Mumbai property. So that is not much different from the debt level, which would happen. There could be a small change, but it's not a significant change, which would happen from here onwards.

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Patanjali Keswani:

Karan Khanna:

Patanjali Keswani:

Karan Khanna:

Patanjali Keswani: Actually Karan, if I could add something. You should look at our cash profit in Q4.

You will get an understanding of what Kapil is saying. Number two, the transfer cost of an asset firstly, the assets were not getting valued right. So we would have transferred it at a lower price than we said was fair. On top of it, there was a very high stamp duty cost, very high. So it did not make sense for us to transfer assets. Rather, it made sense for us to simply buy 58%.

Yes. No, sir, what I wanted to understand is if you're seeing any structural shift in demand towards more premium products like Lemon Tree Premier, and if that's the case, how should one think about occupancies and the outlook for Red Fox and Keys Hotels?

See, Red Fox, if you look at the occupancy change in Q3 FY23, the point is that the ARR went up 20%, and it is a relatively price-sensitive market. So, even though the occupancy came down by 5 percentage points versus Q3 FY20, the RevPAR went up 11%. And I think that's the key number because we did not want very low-rate business there and Red Fox was operating in a low-rate business. So, when you take the ARR up to INR 4,300, you are really touching parts of the Lemon Tree. So I would not suggest you look at it like that.

It is an ongoing process. As I said, obviously, when we started hiking prices at the upper end of the band, there is less price sensitivity at the lower end of the product like a Red Fox, there is more sensitivity. So you will -- what I'm saying is wait for Q4, you will get a complete picture because this is an ongoing process. And Q4 will tell you the results of what we did in the previous 9 months, what we stabilized at. Sure. So third question on the sustainability of the operating efficiencies, do you feel that the reductions that you've achieved post-COVID especially on the employee front is sustainable given the high attrition rate that we are seeing in the industry?

It is completely sustainable because for the last 3 quarters, every quarter, we increased it to the full occupancy level, if you noticed, in a certain slide in our presentation, we have shown that in December, we were doing 77% occupancy. October was a crash because there was Diwali and Dussehra and then in November picked up to about 72% and December was 77%, and we did not increase our staffing significantly. So if you just look at it from the P&L perspective,

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Karan Khanna:

Patanjali Keswani:

Moderator:

Sumant Kumar: we have kind of stabilized at, I think all in our costs are roughly, I would say, about INR 105 crore to INR 110 crore a quarter and the balance is our EBITDA.

And an increase in occupancy, there is an increase in variable costs of 10%, 12%.

If there is an increase in food sales, there is an increase in variable cost of 30%, the company average is about 23%.

Sure. Sure. That's helpful. And my last question is on Aurika Mumbai. So MIAL is one of the most contested markets with premium names like JW Marriott, ITC Maratha and Grand Hyatt being in the market with another 600-room Fairmont that's opening up closer to the date of Aurika launch so how should one think about the demand uptake in terms of the ARR and occupancies for Aurika in the first year of launch?

Okay. I don't want to give you a statement on this quarter. I suggest you look at how Lemon Tree Premier Mumbai did in Q4, and it will completely answer your question. Remember, it is operating in the same market. It opened a few months before COVID hit. So it had no chance to stabilize. The hotel really started operating in a normal market only from April - 9 months from April to December, have a look at its performance in Q4.

So if you look at Slide 11, we have said that in Mumbai, our occupancy in Q3 was only 79% at INR 8,500. Now have a look at it in Q4 and then ask yourself what Aurika Mumbai would do. If a 300-room hotel can do nearly 90% occupancy at INR 9,000-plus in Q4, then surely, Aurika can do much better than that. In fact, you should have a look at how Aurika did in Q3. because I had said earlier that I'm not dropping prices in summer because I wanted to set a standard for this hotel.

So we did only 53% in Q3 at about INR 17,000. Now have a look at how we do in Q4, you will be astounded at how that hotel has done. And so will you be astounded at how the Mumbai hotel has done. So it will give you an idea of how indeed we can price Aurika and the kind of occupancy of Mumbai gets even for a Lemon Tree Premier.

The next question is from the line of Sumant Kumar from Motilal Oswal.

So my question is, except Mumbai and Pune, where we have seen a better than pre-pandemic occupancy, other key markets like Delhi, Gurugram and Hyderabad

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HOTELS

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Patanjali Keswani:

Sumant Kumar:

Patanjali Keswani: and Bengaluru, we are still lower than pre-pandemic occupancy rate. So can we expect in the coming quarter, the occupancy will reach the pre-pandemic level?

And what are the key reasons for that, the occupancy going to the pre-pandemic level?

In Q3 FY20, we did 71%. In Q3 FY23, we did 68%, about 3%, 3.5% down or nearly 4% down. But we took the ARR up by 24%. What I told you is that this was a work in progress. Please wait to see a stable performance because we've taken prices up by nearly 40% in the space of 9 months; first in April and then again in October and then marginally in January also. So if -- let me assume we get to 75% occupancy in Q4 at a higher ARR than Q3 FY23, I think that will answer your question.

Yes. So what about the Keys hotel? The occupancy is still at the lower side.

Yes. Because Keys, what you are seeing in Slide 11 is the partial quarter. So we acquired Keys in the middle of Q3 and we are very clear that it has to be renovated. So what we are selling today is, frankly, a very mediocre product. And in certain markets, it is very low demand, even today, like Kerala or Ludhiana. It is only Bangalore and Pune, where we are able to take prices up somewhat, though

we are not able to really hike the occupancy because that market, Bangalore is quite low, the 2 IT districts.

So you are right, the occupancy came down versus Q3 FY20, but we did reprice the hotel up by 18%. And now you are seeing a 10% fall in RevPAR in Q3 FY23, but you will see we'll catch up in Q4 because it's an ongoing thing. But really, one of the key levers for our future growth in revenues is post renovating these hotels. So | think | mentioned earlier that we have now designed the new rooms for the Keys portfolio. It's actually in Pune. It's been designed and done. All the designs are ready for all the hotels.

We are putting in a fair amount of money in the Bangalore and Pune hotels in order to reprice it by at least INR 1,000. And we are putting in the bare minimum in the other hotels to bring it up to what we consider are the minimum brand standards.

So the total investment in Keys over the next 2 years will be INR 5 lakhs for half the portfolio per room, that is about INR 25 crore and INR 1 lakh per room for the other half. So we would spend INR 30 crore. We have spent a little bit already, but we

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Sumant Kumar:

Patanjali Keswani:

Sumant Kumar:

Patanjali Keswani:

Sumant Kumar:

Patanjali Keswani:

Moderator:

Sanjaya Satapathy:

Patanjali Keswani:

Sanjaya Satapathy:

Patanjali Keswani: would spend INR 30 crore over the next 2 years, and we are pretty confident that we will take the ARR north of INR 4,500, and we'll take the occupancy above pre-COVID, which was 66%.

So going INR 1,000 increase, | think Keys hotel ARR is likely to be near to Red Fox room rent?

No, Red Fox will go up even further, as you will see in Q4. So really, the way to look at it is that Keys, 1 year from now or at least half the portfolio will move to the Red Fox level today, which is about INR 4,300 in Q3, and Keys did about INR 3,500 in Q3. So what I'm saying is that we will take it up by INR 700, INR 800, but when it's fully renovated, then I think you will see it even higher.

So next 2 years, all the Keys hotel will be renovated and the product quality will be improved.

Correct. In all aspects because Keys is a very tired product. You see when we bought it, our intention was to renovate it the following summer. We had actually got approvals, etcetera. But COVID hit so it was put on hold and for 2 years, these hotels were practically shut. So that is the problem.

So we can expect the occupancy will improve post renovation.

What | am saying is that we will exceed 66%, which is what we did in Q3 FY20, and we will increase the price by at least 20%.

The next question is from the line of Sanjaya Satapathy from Ampersand Capital.

Sir, | just wanted to confirm that this 75% occupancy you're talking about in Q4 that is against this 68% in Q3, right, sir?

I'm talking about the group, including Keys, the overall occupancy.

Yes, overall occupancy, which you reported at 67.6% in Q3 will be going to 60 -- 75% in Q4?

Yes, about 75%.

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Sanjaya Satapathy:

Patanjali Keswani:

Sanjaya Satapathy:

Patanjali Keswani: Yes. And you are also talking about increasing ARR in almost all in the last 3 categories that is Keys as well as Red Fox, etcetera, and that is where you were also talking about the price sensitiveness. So why -- and the fact that the prices are already up 20%, 30% in last 3 years, why are you taking such an aggressive stance in terms of pricing?

Because we think we can get that price. We think the products are capable of that price. And if the segments above us are going 20%, then we will naturally also go at 20%.

Understood. And sir, when you also spoke about the Q4 and considering that you have already become so profitable in terms of EBITDA margin in the industry and probably with the kind of ARR and occupancy you're talking about in Q4, the profit margin probably will go up a lot higher. So is there some kind of sustainable number that which you can share with us?

So let me say one thing, Sanjaya. No analysts believed us when we said that we will do double our income this year, and we will do minimum 50% net EBITDA. And what I can tell you is that if you look at the 9 months, we have already crossed 50% net EBITDA. This quarter, I'm already indirectly told, is much better than Q3, where we did nearly 53% net EBITDA. And therefore, we will be over 50% net EBITDA, in fact, significantly over 50% net EBITDA and certainly well over double the income of the last year. Is it sustainable? Well, this is a business that operates on demand and supply.

For the next 4 years, supply will not grow more than 5%. Demand of the branded hotel room is growing at 12% to 14% annually. That was the normal situation pre-COVID, and I presume it will continue now. So therefore, you are going to -- and plus a lot of hotels shut down during COVID and have not come back. Therefore, there has been a constrained supply. There has been an improvement in occupancy, it is not linked to revenge travel.

Revenge travel for leisure purposes may have occurred in the first 6 to 9 months. I don't think it will be at that level now that international travel has opened. But for Lemon Tree where 85% of our inventory is business hotels, it is the business hotels that have bounced. And I -- unless there is some black swan event, this

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Sanjaya Satapathy:

Patanjali Keswani: imbalance of demand being more than supply will definitely continue for the next 4 years.

And you are going to be surprised that the kind of pricing hikes we will see. I'll give you an example. Lemon Tree's ARR in 2006, when we had only 6 hotels, was INR 9,000. Those kinds of prices are going to come back. And you will see it yourself. In fact, I think you will start seeing it in Q4 itself, this Q4. And every quarter, there will be an increase in prices.

The reason why we're asking that, that is because we are seeing quite a few consumers durable as well as consumer companies, who have taken massive price hike over the last 1-odd year or the last 3 years, in fact, are starting to see some kind of a consumer backlash against prices and several segments are starting to see softness in demand. And almost most categories have stopped taking price hikes because of that. Of course, you have a compelling case for hotel industry. But we'll appreciate your thoughts on this, if you can just help us and also the demand outlook...

See, let me answer that. Sanjay, no supply will come in at current prices. Because the cost of replacement, cost of building a hotel today with the kind of inflation we have seen and the high cost of debt, nobody will build a hotel at the current rates, ARR -- even at the current ARRs. It will make sense to build a hotel, say, a Lemon Tree Premier equivalent only at an INR 8,000, INR 8,500, okay? And we are still 15%, 20% below that. So until there is a sustainable price at that level, supply will automatically be constrained.

So I would not worry about it because this is a situation where you have to see 2 or 3 years of sustained pricing before new supply is planned. Otherwise, it's a self-regulating kind of thing like a commodity cycle. So sure, some customers won't like it, they will move down. So some 5-star customers will come to Lemon Tree Premier. Some Lemon Tree Premier customers will go to Lemon Tree. Some Lemon Tree customers will go to Red Fox and so on. But we operate across the entire chain, right? We operate from -- well, from Lemon Tree Premier, which is 4 star to Red Fox which is 2 star. So if there is a movement, it will be within our system.

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HOTELS

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Sanjaya Satapathy:

Patanjali Keswani:

Moderator:

Prateek:

Patanjali Keswani: And what I want you to realize is if you look at Slide 11, Lemon Tree Premier's ARR in Q3 FY20 was slightly higher than the Lemon Tree hotels ARR in Q3 FY23. Similarly, Lemon Tree Hotel's ARR in Q3 FY20 was just slightly higher than the Red Fox Hotel ARR this quarter. And Red Fox's ARR in Q3 FY20 was equal to the Keys ARR today.

So basically, the customer, if he wants that price point, will go down. So Lemon Tree -- you can see it in the diagrams, if you just look at this slide. We are not losing any customers. We may go down at the ARR of the lower hotels, but we are getting enough customers at Lemon Tree Premier from the 5 stars.

Yes, sir, just wanted to hear that, I mean, you're fairly confident about Q4, but if you can just give a bit of color about the demand for the subsequent period. Otherwise, it is fine. That's all from my side.

So typically, what happens in H1 is there is a 5% fall in ARR, and 3%, 4%, 5% fall in occupancy because it is off season. So it is like if you look at pricing, so let me explain, if pricing in summer in 1 year is 100 bucks, and in winter, it goes to 120, then in summer, it comes down to, say, 110 or 112. So 100, 120, then it comes down to 112, then it goes back to 130. So it's a step up, step down, step up, step down and each time the step down is higher than the previous summer.

That's the first point. As far as occupancy goes, if you do 65% in summer and say, 72% in winter, then the next summer, you will do 68%, 69%, if it's an upswing and the following winter, you will do 75%. So again, it's a step up, step down, step up, step down. And if you look at our performance pre-COVID, it is very clearly reflected there.

The next question is from the line of Prateek from Jefferies.

Yes. So sir, basically, we'll exit this year probably on a high in terms of pricing and factoring in the seasonality, which you mentioned for Q1 and Q2 thereafter, for FY24 basis, we should still be like higher by like close to double digit in terms of ARR year-on-year in FY24 versus FY23?

Let me put it this way. We will do better than 20% higher revenue in FY24 over FY23 and our net EBITDA margin will be above the net EBITDA margin of FY 23.

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Prateek:

Patanjali Keswani:

Prateek:

Patanjali Keswani:

Prateek:

Patanjali Keswani:

Prateek:

Patanjali Keswani:

Prateek:

Patanjali Keswani: Okay. So the 20% higher revenues and margins higher than this year, okay.

Yes. So basically, I'm saying our PAT will be 40%, 50% higher.

Right. Right. And on occupancies and demand, one small question. Basically, besides the IT sector, there's some impact on micro markets related to IT sector, but is there any other segment which is showing any signs of softness except for the step-downing of some of the customers from one segment to another, but is there any specific slowdown from any segment which is witnessed now?

Not really. In fact, the IT sector is also showing signs of picking up by the way. And typically, they take a lot of our rooms in Electronic City and in Whitefield for new joiners. And we seem to have been given an indication that there will be a lot of hiring this summer, number one. Number 2 is that the sectors that really give us a lot of business, which is financial services, pharma and so on, we find those sectors are growing very fast. So on an overall basis, the retail segment is growing super-fast. And a large part of the corporate segment is growing super-fast. In fact, IT only accounts for about 5%, 6% of our total business. So even if it drops by 20% or 25%, it will be 3%, 2% drop.

Right. And which will be like top 5 segments like the way you mentioned 5% for IT? IT is a very important segment because it gives us a lot of business in our IT-heavy markets like Hinjewadi in Pune or Electronic City or in Whitefield.

Right. No, so I was asking which should be other like top 5 segments for us, like pharma, you mentioned?

Pharma, financial services, auto, retail.

Right. Okay. Okay. And one last question...

Any of the large services sector. See when the Indian economy is growing at 6%, 7%, the services sector is growing at 10%, manufacturing may be at 4% now may be higher because of PLI and agriculture is anywhere from 1% to 3%. We are 85%, 90% dependent on the services sector. So when it grows at 10%, then our demand normally grows at 1.2, 1.3 times that. So that is why when I say demand for branded hotels is growing 12%, 13%, in fact, my guess is it will be even more now.

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HOTELS

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Moderator:

Kunal Lakhan:

Patanjali Keswani:

Kunal Lakhan:

Patanjali Keswani: It is just for this reason. Retail sector growing and these segments further. Now what is not come back fully is the foreigners.

Typically, foreigners account for 10% of our revenue, and I know that the tourism minister recently said a lot of foreign travel has started. I think he was referring to the domestic, the Indians, the NRIs coming back, actual foreign travel is still, I think, 40% down and that will come from this coming year.

The next question is from the line of Kunal Lakhan from CLSA.

Sir, my first question was on Keys. You mentioned you're doing some renovation to get this portfolio going. So just to understand if the issue is with the markets there and the demand in those markets or the issue is with the kind of product that we have.

Actually, it is 3 problems. In certain markets, the issue is that the market itself is down, but we are not even able to get our fair share in that market because the product is even more down. So we feel that if we spend, say, a lakh a room in those markets, we'll be able to bring the product back, and it may not take the ARR up, but it will take the occupancy up. So in those hotels, it's an occupancy strategy, like Kerala, 2 hotels in Kerala and a hotel in Ludhiana, which is 350 rooms put together and partly in Visakhapatnam, where we have another 100 rooms.

In the other 2 markets, which is Pune and Bangalore, where we have another 450 rooms, there, if we upgrade the product, we will be able to reprice. So there, it's an occupancy and pricing strategy for Bangalore and Pune. And in the others, it is merely an occupancy strategy. And the capital allocation is done on that basis, the return on the incremental capital. So let me tell you an interesting thing. We feel that by spending INR. 30 crore we will get a more than 100% return in EBITDA per year from Keys.

That's great. That's very helpful, sir. And my second question was on Fleur transaction. So we're buying 22 lakh CCPS this -- before 31 March, that would still be about 31 lakh CCPS to be bought and what will be the timeline for this and I would assume that, that will entail again based on current valuation spend of INR 150 crore-plus and how will we fund that?

Kapil, will you answer?

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Kapil Sharma:

Kunal Lakhan:

Kapil Sharma:

Kunal Lakhan:

Kapil Sharma:

Kunal Lakhan:

Kapil Sharma:

Moderator:

Rajiv Bharati

Kapil Sharma: Yes. So which number you are referring to, I think you are looking at the entire CCPS block. But need not buy actually entire CCPS, which were issued to the APG. Second thing is that as you already know that the conversion date was extended till 30 June 2023. So that would happen in June. So what we are doing is, we have to make sure that we acquire enough CCPS to ensure our existing shareholding before conversion remains the same.

So if you look at the current quantum which we have declared and which has been approved by the Board, which is 22 lakh CCPS out of roughly 54 lakh CCPS. So

that brings Lemon Tree shareholding in Fleur to roughly 58%, which is close to the current one only. So that is the situation after this conversion happens for the current acquired share CCPS of 22 lakhs.

Yes. So incrementally, we may not buy any further CCPS shares, that is what you are saying?

We'll have to look at that. But as I mentioned earlier that major part is already been done now.

Sure. Sir, that's helpful. And just 2 follow-ups on that. Did we pay any preference dividend to APG in the last 3 years on these CCPS?

No. These were 0.01% CCPS, but no dividend has been paid.

Sure. And if you can share some numbers on Fleur in the 9 months, like what kind of revenue growth and what kind of margins we are doing there, if you can.

So I think we'll share with you offline about this because we do not -- in our earnings presentation, bifurcate in that manner because it's by brand, by markets and on a group level.

The next question is from the line of Rajiv from DAM Capital.

Sir, on the CCPS thing, so another 18%, 19% needs to be bought. So the valuation will be recalibrated from here onwards or the current valuation will hold for that?

No, as per FEMA regulation, whenever you do a transaction, you have to get a current valuation done at the time of the transaction. So it would depend on what valuation comes at if there is any further transaction.

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Rajiv Bharati

Patanjali Keswani:

Rajiv Bharati

Patanjali Keswani: And is it possible to provide ARR assumption for Aurika MIAL which you have taken ,

I have said INR 12,500 in the first stable year, which will be obviously FY25. But we are pretty confident we'll stabilize if we open it in October, October and November will be very low months because of Diwali now moving into November in this year and Dussehra being in October. So during that period, people generally don't travel, whether it's -- definitely not for business reasons. So that is why you will see this year in this last 9 months, in October, we only did 54%, which was actually low because we had also repriced. So our thought is that Aurika had earlier given a guidance would do INR 12,500. But if it -- so let me give you a range, it will do anywhere from INR 13,000 to INR 15,000.

And from Q2 to Q3, if we do, let's say, incremental EBITDAR margin, it looks like you are actually doing a better EBITDAR, I mean, even higher than the revenue growth sequentially in the sense of the incremental EBITDA margin for some of the assets are over 100%, how is that happening? For example, for Lemon Tree, Lemon Tree Premier, Lemon Tree Hotels, your incremental EBITDAR is actually higher than the revenue growth.

Yes, because we are expensing renovation in some hotels. So what I have always told you gentlemen, is that -- and ladies, is that for us, we spend significant amounts of money every year in renovation. And therefore, for us, the depreciation is just cash because it is effectively double digit because I'm already showing it pre-EBITDA as an operating expense with a little bit of capex later. But typically, of my renovation, 75% is opex. And depreciation, therefore, which is about INR 110 crore a year, is pure cash profit because I've already spent the money in renovating and upgrading the hotel.

So it depends sometimes on the hotel. If we spend a lot of money in renovating it, then obviously, the EBITDA comes down. If we stop the next year, then the EBITDA goes up. So I don't know which hotel you are specifically referring to. But what I can tell you is that I see that there was a certain amount of skepticism about us saying that this is our cost structure. And now you will see it over 4 quarters.

And I think you will find that any increase in our expenses is linked to the net increase in the room revenue and the other income.

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Rajiv Bharati:

Patanjali Keswani:

Rajiv Bharati:

Patanjali Keswani:

Rajiv Bharati:

Patanjali Keswani:

Rajiv Bharati: So if the room revenue goes up mostly and not the food then the margin is -- the contribution is 90%. If the F&B revenue goes up, then the contribution is 70%. And if some other revenue goes up, which is like spa and so on, then the contribution is 40%. So it's a question of which part of the mix went up. But broadly, since we are driving room sales first, the EBITDA margins will keep going up.

So let me specify on your Page 10 of your slide. If you look at, for example, Lemon Tree Premier your revenue I've back-calculated your revenue for the quarter must be close to INR 94.2 crore. And for the last quarter, in a sense of Q2 FY23 must be INR 84.3, so there INR 9.9 crore swing in terms of your revenue and the EBITDA swing is INR 15.7 crore

So there may have been some renovation that did occur. Let me put it this way we are the lowest cost operator, that is why we can talk at our level of ARR and occupancy, we can talk at north of 50% EBITDA. Some of the EBITDA gets reduced because there was renovation and so on. So if we can talk offline and you can give me specific figures, I'll answer that.

Sure. And in terms of, let's say, because other hoteliers have been talking about renovation, which was due from COVID period onwards. Do we have a similar quantum, which is, for example, lined up in this year in reference to the subsequent year?

Yes. We normally spend INR 30 crore, INR 35 crore this year, we'll spend INR 50 crore.

And this will continue in the next fiscal as well...

Yes, yes. 100%. But when I report to you my EBITDA, it will be it will not come from the cash flow post it will be pre the net EBITDA. So if I say I'm going to spend INR 50 crore, you can assume INR 35 crore is going pre-EBITDA and INR 15 crore is going post EBITDA as capex.

Sure. Sure. And just one clarification. On the revenue side, the revenue growth for FY24, you said it's a 20% revenue growth or 20% RevPAR?

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Patanjali Keswani:

Rajiv Bharati:

Patanjali Keswani:

Rajiv Bharati:

Patanjali Keswani:

Moderator:

Nikhil Agrawal:

Patanjali Keswani:

Nikhil Agrawal: I said revenue growth. I don't want to give specifics. It will be a 20% revenue growth and our net EBITDA margin will be higher than this year. And therefore, PAT will be at least 40% higher than this year.

Sure. And lastly, some counterparts, for example, Hilton during a recent con-call had kind of subdued -- or given a slightly subdued commentary in terms of flat occupancy for the current calendar year and less than 5% ARR growth. I mean the main reason they cited was inflation. And a participant asked a similar question. I was just wondering whether are we seeing any risk of that playing out in Indian context as well?

You are talking about Hilton's global con-call?

Yes, yes.

I'm sorry, I'm not familiar with it. I can talk about India. And in India, I don't see that as an issue because you see what happens is when demand grows. See it this way, 4 days in a week, I'm sold out. I mean there is unconstrained demand, which is greater than my supply. So obviously, I churn. I keep increasing the prices, still, I do a 98%, 100% occupancy. And I let go the bottom 10%, 15%, which is the lowest rate and this is how my retail segment ARR keeps growing, and I'm not seeing any slowdown in that in spite of inflation.

The next question is from the line of Nikhil Agrawal from VT Capital.

Sir, I wanted to know what was the retail and corporate contribution in Q3? If possible.

Retail and corporate contribution is there in a certain slide. I have it here, just hold on. Retail gave us 1,532 rooms, corporate gave us 1,300 rooms, airlines gave us 290 and travel trade, which is the leisure side, gave us 370 totalling to 3,440, which

is 67.6%.

Okay. So sir that means retail still a significant portion of your demand portfolio. Sir, | wanted to know that like the Gustavs and Roasters of the world that is coming up like in all these tourist places. So are you seeing that as a threat to your demand to for demand for your hotels in any way?

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Patanjali Keswani:

Nikhil Agrawal:

Patanjali Keswani:

Moderator:

Aditya Damani:

Patanjali Keswani:

Aditya Damani:

Patanjali Keswani: | don't have any leisure in the owned portfolio, | have very little leisure. It is Aurika plus a 100 rooms in Goa and a few rooms in Alleppey and a few rooms in Bandhavgarh. And then we are in markets where there is leisure and business like Aurangabad, Jaipur and so on, where we are doing quite fine.

In fact, Chandigarh, | think we do over 80% or something like that. And Jaipur, we are doing 75% with 108 rooms. So it's not really affected us. You see what we are talking about is not these guys, it is more the villas, which are on offer in Goa and so on, and these are affecting more the 5-star hotels' villas because they are quite highly priced.

But the demand in Goa is such that in spite of a lot of villa accommodation, hotels still continue to do well.

Got it. Great, sir. And sir, any guidance on the management fee, you've talked INR 25 crore in the 9 months this year...

So | said we'll do INR 35 crore, INR 36 crore this year, and we should do 50% more next year. Our broad intent is that we will increase our management fees but we'll hit a INR 100 crore, hopefully, by next to next year.

The next question is from the line of Aditya Damani, as an individual investor.

Congratulations all around. You've answered most of my questions, but | have a question on -- | recently read a news report where you were quoted in a business today forum, where you said in 18 months, you'll expect ARR's to go up 100% almost. Is that base case, best case or whether you see that stabilizing -- maybe worst case?

If things continue like this, and I'm making 2 assumptions that inflation will come under control. And number 2 is that this war will go and that there will be regular foreign travel, which I'm hoping will happen from this October, but it may go to the next October. So yes, if that happens, prices will hit that level.

Wow. Okay. So then is it fair to assume that obviously that if you're hitting low 50s in EBITDA, we could easily surpass 60% maybe?

We did surpass it in 2005, '06 and '07.

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Aditya Damani:

Patanjali Keswani:

Aditya Damani:

Patanjali Keswani:

Aditya Damani:

Patanjali Keswani:

Aditya Damani:

Patanjali Keswani:

Aditya Damani:

Patanjali Keswani: Excellent, sir. Okay. That's great sir, And secondly the question is with all the wellness stays like Yoga and the likes, we have a dearth in the country. We have your Anandas and Vanas in the north. We have your Windflower for example, in the south. And these are -- | mean, there is a massive shortage. There aren't really very good spaces to go to. Is that under active consideration?

Not for me because | think we are very, very focused on the 2 to 4 star and now the upscale segment, and we want to saturate the Indian market. We want to go to 100 cities, which we hope we will reach, and we were to hit 25,000 rooms in the next 4 years.

Right, sir. In continuation to that question, when you say foreign travel comes in, a lot of that goes towards a lot of wellness stays, wouldn't that be a low-hanging fruit? Yes, that's true. But I'm not focused on that. I'm focused on the domestic Indian consumer.

Fair enough.

And I want to be focused I don't want to go all over the place, plus I don't have spa expertise. I outsource spa. And I'm quite happy with the results as they are because we want to, as I said, saturate the mid-market in India.

Absolutely, sir. Okay. And lastly, where are we in terms of largest rooms in terms of ranking? I'd say, Marriott, Taj or if I say OYO in that same breath, where are we ranked close to -- because and the reason...

I don't think you should bring OYO into this. But we are the third largest owners of hotel rooms in India and currently the sixth largest in terms of total managed and owned. But there are others like the international guys are number 1 and so on because they only manage, they don't have capital deployed in asset ownership.

So...

The reason I asked was because of the IPO coming in and the kind of crazy valuation that...

I wish them the best, but they are not really competitors with us.

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Aditya Damani:

Patanjali Keswani:

Moderator:

Patanjali Keswani: Yes. Fair enough. No, I was only referring to the valuation. That's all. And so that could increase our values absolutely in valuation directly, if that makes sense?

Well, I hope you are right. Let us see.

Ladies and gentlemen, that would be our last question for today. I now hand the conference back to the management for their closing comments.

Thank you, everybody, for your interest and support. We will continue to stay engaged. Please be in touch with our Investor Relations team or CDR India for any further details or discussions. I look forward to interacting with you soon. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

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Call: Jun 2023

June 7 , 2023

National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai – 400051

NSE Scrip Symbol: LEMONTREE BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400001

BSE Scrip Code: 541233

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015

Ref: Outcome of Conference Call with Analysts/Institutional Investors

Dear Sir

Pursuant to Regulation 30 of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we wish to inform you that in continuation to the disclosure made on June 1 , 2023 wr.t. the audio recordings of the conference call on Audited financial results for the quarter and financial year ended March 31, 2023 held on Thursday, June 1, 2023 please find enclosed herewith the transcript of the conference call with investors/analysts .

Kindly take the same on your record.

Thanking You

For Lemon Tree Hotels Limited

Nikhil Sethi
AVP Legal & Group Company Secretary
and Compliance Officer

NIKHIL
SETHI Digitally signed
by NIKHIL SETHI
Date: 2023.06.07
19:08:23 +05'30'

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Lemon Tree Hotels Limited
Q4 & FY23 Earnings Conference Call
June 01, 2023

Moderator: Ladies and gentlemen, good day, and welcome to the Lemon Tree Hotels Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you. And over to you, sir.

Anoop Poojari: Good afternoon, everyone, and thank you for joining us on Lemon Tree Hotels - Q4 & FY23 Earnings Conference Call.

We have with us today, Mr. Patanjali Keswani, Chairman and Managing Director; Mr. Kapil Sharma, Chief Financial Officer; and Mr. Vikramjit Singh, President of the company. We would like to begin the call with brief opening remarks from the management, following which we'll have the forum open for an interactive question -and-answer session.

Before we start, I would like to point out that some statements made in today's call may be forward -looking in nature, and a disclaimer to this effect has been included in the results presentation that was shared with you earlier.

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I will now request Mr. Keswani to make his opening remarks.

Patanjali Keswani: Good afternoon, everyone. Thank you for joining us on the call. I'll be covering the quarterly business highlights and financial performance for Q4 & FY23 and then we will open the forum for discussions .

FY23 has been the best year for Lemon Tree Hotels. As anticipated and in line with our initial guidance, we have more than doubled our total revenue versus FY22 and have maintained more than 50% EBITDA margin for the full year. In FY23, our overall total revenue increased by 111% versus FY22 to INR 879 crores with an EBITDA margin of 51.9%.

Q4 FY23 was also the best quarter to date with growth across all metrics. As I've mentioned in the last earnings call, after increasing our ARR in Q3 versus Q2 FY23, in Q4, we focused on building occupancy, which increased by 604 basis points versus Q3, and 1,259 basis points versus Q4 FY20.

Gross ARR stood at INR 5,824, which increased by 2% versus Q3 and by 29% versus Q4 FY20. This translated into an improved RevPAR of INR 4,287 which increased by 11% versus Q3 FY 23 and 55% versus Q4 FY20. In Q4 FY23 versus FY20, Lemon Tree Hotels' RevPAR grew by 55%, whereas according to STR, the branded hotel industry grew 41%.

The net EBITDA margin for the company in Q4 FY23 was industry -leading at 55.7% which increased by 146 bps versus Q3 and by 1,926 bps versus Q4 FY 20. The PAT for Q4 FY 23 stood at INR 59 crores, which increased by 22% versus Q3 FY 23. In Q4 FY 20, we had a negative PAT of INR 19 crores.

Our cash profit stood at INR 82.5 crores, which increased by 14% versus Q3 and by 845% versus Q4 FY20. As of 31st March 2023, our gross debt stood at INR 1,746 crores, and the overall average cost of borrowing stood at 9.08%, while the weighted average cost of borrowings for the full year was 8.38%.

During the quarter, we signed nine new management and franchise contracts, which adds 538 new rooms to our pipeline. As of 31st March 2023, our operational inventory comprised 88 hotels with ~8,400 rooms , and our pipeline comprised of 42 hotels with ~3,300 rooms. This

Page 3 of 26

quarter onwards, we will also be reporting our total management fees received by Lemon Tree Hotels. In FY 23, it was INR 104 crores, which increased by 54% versus FY20.

To further explain, total management fees can be broken into three parts :

1. Management Fees from 3rd party hotel owners to Carnation Hotels which is our 100% subsidiary
2. Brand Fees from 3rd party hotel owners directly to Lemon Tree Hotels
3. Management and Brand Fees to Lemon Tree Hotels from Fleur Hotels which is an asset -owning company and is a JV with Dutch pension fund APG wherein Lemon Tree Hotels owns a nearly 59% stake

For FY24, I will refrain from giving specific guidance, other than saying that our growth momentum is continuing and that we will be investing significantly more than normal in renovating our hotels, especially the Keys portfolio to catch up with the near absence of this during FY21 and FY22. This will increase our operating expenses by a further 2% to 2.5% on a revenue basis for this year but will position our hotels to capture better pricing and demand in H2 and in the following years.

Finally, post -COVID and with the impending opening of our largest Hotel, Aurika Sky City in Mumbai, we would now like to share the roadmap for the next 5 years, which has been released alongside the earnings presentation, where we have set forth clear and highly achievable outcomes for the next 5 years, wherein we intend to deliver superior financial performance, lighten our portfolio, be debt free and be a leader in digital and ESG.

I will request everybody to look through that presentation. And on that note, I come to the end of my opening remarks and would ask the moderator to open the forum for any questions that you may have.

Moderator: We take our

first question from the line of Archana Gude from IDBI Capital.

Archana Gude: Congrats on very robust numbers. Sir, 3 questions. Firstly, I do understand you said that you won't be giving any specific guidance. Still how is the trend looking? And I heard your interview on CNBC wherein you spoke about the next 2 years to be better for the industry. So how we

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should look at it from the top line and margin point of view for Lemon Tree?

Patanjali Keswani: See, what we are looking at is leveraging four separate revenue streams without significantly or, without really increasing our costs. So, the first is, we will look at improving our occupancy and ARR in the portfolio of Lemon Tree Hotels and Red Fox Hotels. So that is one lever we are looking at, which means really, we are looking at increasing both the occupancy and the ARR in this portfolio.

Now that we have started a large-scale renovation and that includes the Keys portfolio, we expect we will be able to command significantly higher ARR and occupancies in the Keys portfolio, which as you know, is about 18% to 19% of our owned hotels portfolio. That will see a significant uptake from H2 this year.

The third lever is management fees. We have very aggressively added hotels. And in my presentation, you may have seen that we expect to close this year with over 10,500 operating rooms, which is a large hike from the 8,400 rooms that we operate now. Now, this increase, about 669 rooms will come from this Aurika, Skycity, Mumbai and another 1,300 to 1,400 rooms will come from hotels under the management and franchise contract, which we will operationalize this year.

So, management fee income will see a significant hike this year and even larger hikes next year as these hotels then start operating for the full year. We capture the fees for the full year rather than part-year when we open it this year. And, of course, the fourth is Aurika, Skycity, Mumbai. So put together what we see is across all these four revenue streams, there should be increasing traction.

And I reckon by this year and by the following year, you will see a, well, a material change in our revenue and EBITDAs. And as you know that we have said that we will look at maintaining the EBITDA margins at 50% at least.

Archana Gude: Sir, earlier we were talking about 50% EBITDA margin for us. Now since in Q4 FY23, we had 55.7% EBITDA margins, should that be the benchmark going ahead?

Patanjali Keswani: The benchmark is 50%, remember the H1 is always in revenue terms anywhere from 42% to

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45% of the annual revenue, whereas the costs are allocated across the year.

So, the way to look at it is that EBITDA in summer, whatever EBITDA margin we report, typically in winter we do 10%, 15% better than that. And that you would have seen in the past year and that you can safely assume for future years.

Archana Gude: Sure, sir. Sir on our Lemon Tree 2.0 guidance of 20,000 plus rooms and 300 plus hotels, how we should look at brand-wise growth or some colour on season-wise expansion? Any brand to take precedence or any market your preference going ahead?

Patanjali Keswani: So, think of it this way. Effectively, management contracts capture 1/6 of the EBITDA of our hotels. So basically, if I managed 600 rooms, I basically take the EBITDA of 100 rooms, okay.

Franchise, you normally take the EBITDA of 1 out of 9. You take about 10% -12% of EBITDA. Now the issue with many hotels we looked at is that they are not coherent as far as products standard goes with the Lemon Tree brand. So, in that sense, Keys is a soft brand, which means really that we provide sales, marketing, and distribution, our brand and we give certain standards, which are more service-oriented to these asset owners. And therefore, the way we look at it is most management contracts will be signed by Lemon Tree and most franchise contracts

will be signed by under the Keys brand.

So, while I cannot give you a breakdown, my broad expectation is that the rate of growth of the franchise within the next year or two, since we have just started this, will start accelerating and will far exceed the rate of growth of the management business.

Now when I look at our portfolios, in FY24, we will open roughly 1,400 rooms, 26 hotels under the managed/ franchise route and another 669 rooms of Aurika, Skycity, Mumbai. So really, that is why I said we will end FY24 with at least 10,500 operational rooms and about 115 operational hotels. Now up to the end of last financial year, the end of Q4, we had already signed another 1,000 rooms, which were due to open after FY24. And in FY24, we are reasonably sure we will sign another 1,500 rooms.

So put together another 2,500 rooms. So, our portfolio, which is why I had shown in the first slide of our 5-year roadmap that we will hit at least 13,000 rooms by the end of this year. And

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we have made conservative estimates.

We will add only 2,000 more rooms a year and therefore, cross 20,000 by FY28. So that's how we're looking at it. We will end FY24 with owned hotels being 54% of the total portfolio. And if I include signed hotels, then it will be 45% of the total portfolio.

Archana Gude: Sir but is there any brand preference when we go for expansion from management contracts ?

Patanjali Keswani: No. See, we were earlier a little reacting when we were letting owners reach out to us. Now that we have proactively set up 2 business development departments in management and franchise. Let's put it this way it's not that we say we want more Keys franchises or more Lemon Tree management. We are open to both. We just want to expand the network and achieve some level of what we call, dominating scale in the mid-market. So, it would be either, whatever is suitable for the relevant hotel.

Archana Gude: Sir, how much is the capital expenditure left for Aurika , Skycity , Mumbai ? And given that we are now focusing on renovation of Keys portfolio, how much would be the total capex for FY24 and FY25?

Patanjali Keswani: About 75% of the renovation expense will be within the opex and therefore, will be expensed before we get to net EBITDA. So , when I said 2.5% of the increase in revenue, I really said about 2.5% , INR 25 crores more we will spend than normal. So , looking at it from that perspective, last year we spent about INR 20 crores including capex . This year, we will spend about INR 55 crores, of which about INR 40 crores will be or INR 43 crores will be opex and that will come pre-net EBITDA.

So, in the capex sense, the capex will only be INR 10 or 11 crores. As far as Aurika , Skycity , Mumbai goes, we have accelerated the deployment of capital because we are going to open it, as I said in October this year. As of 31st March 2023 , it was INR 575 crores, but we have already deployed another INR 80 or 85 crores. It is now about INR 650 crores. So, that leaves about INR 300 crores for opening that hotel.

Moderator: We take the next question from the line of Kaustubh Pawaskar from Sharekhan

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Kaustubh Pawaskar: Congrats for good set of numbers. Sir, my question is on the EBITDA margin front. You just mentioned that we would be spending around 2% to 2.5% of additional on the renovation, which will be part of your opex. And normally, renovation happens during the first half of the year, largely in quarter 2 when it is a lean business period for you.

So considering that should we expect that in H1 FY24, your margins would be lower on Y-o-Y despite the fact that we should expect better occupancies on Y -o-Y and ARR, the higher opex would lead to lower margins? And in the second half of the year, it should be more or less normalized, so that for full FY24, you will be having similar kind of margins what you have achieved in FY23?

Patanjali Keswani: So without comparing it to H1 of FY23, let me just say that whatever margin we do show , Q1 and Q2 is going to be 2.5% less than what we would have done if we had not done this extensive level of renovation. Having said that, let me also add that we expect this to give us much better results in H2. So as a company, on a full -year basis, the EBITDA margins will be 50% or more, number one. Number two, the other thing that can affect our EBITDA margins is the opening of Aurika , Skycity , Mumbai .

Now when Aurika , Skycity , Mumbai opens, it will be opening in October ; October and up to the middle of November is a very light period in India for demand because it includes Dussehra and Diwali where many people do not travel. So, we expect Aurika , Skycity , Mumbai will take time to stabilize, and this will happen in Q4. As a result, on a standalone basis, Aurika , Skycity , Mumbai 's EBITDA margins will certainly not be 50% , and so on, especially when we launch the hotel.

And therefore, while it will increase our revenue and our EBITDA, it will not be at the ratio of the other hotels and therefore, it will also have an impact on our EBITDA margins in Q3 and Q4 as a percentage . But obviously, in absolute terms, it will be an addition to our EBITDA.

Kaustubh Pawaskar: Got your point, sir. So whatever benefit because of the renovation and Aurika , Skycity , Mumbai in terms of when it will be fully operationalized, the benefits would start kicking in from FY25 .

So, you will be having more, better revenues and margins . Is it a right assumption?

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Patanjali Keswani: But Q4 may still surprise.

Kaustubh Pawaskar: Got your point. And sir, my second question is on debt part. So, when do we expect debt to pick out and we should start seeing some bit of reduction in debt maybe from FY25 or FY26?

Any target or guidance on that front?

Patanjali Keswani: See, I had given one guidance once that we think that Lemon Tree Hotels' standalone will be

debt free by FY26 and in the very worst case, will be debt free by FY28. However, we have tried to give in our 5-year roadmap an indication of how we expect Aurika, Skycity, Mumbai to perform.

And I have specifically mentioned it is a conservative estimate. So Aurika in and of itself can generate INR 600-700 crores of EBITDA after fees to Lemon Tree in 4 years. So, my view is that you will start seeing significant debt reductions from next year. See, this custom is the peak of our capex.

You must keep in mind that we were deploying capital enormous amounts of capital over the last 8 years - 40% was deployed, another 40% was deployed 1 year before COVID and the last 20% is this year. So, from next year onwards, obviously, we have zero requirements for capital. We will only be looking at EBITDA to reduce the debt.

Moderator: We'll take the next question from the line of Adhidev Chattopadhyay from ICICI Securities.

Adhidev Chattopadhyay: Sir, give us some sense for the EBITDA breakup for FY23, how much is non-Fleur, and how much would be Fleur EBITDA breakup of the portfolio?

Patanjali Keswani: When we say we do INR 450 crores, really, our EBITDA at the hotel level is about INR 60 crores more? So, about INR 510 crores. No, there is fees also transferred. Yes. So, say about INR 550 crores. Now, I would say Lemon Tree on a standalone would be about INR 175 crores and INR 375 crores would be Fleur or INR 350 crores would be Fleur.

And when we report consolidated A cancelled B, which is why we decided we would show this year the management fees have flown into Lemon Tree standalone even from here because as you may have seen in our 5-year roadmap, we tried to show that we would be lightening

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our ownership of Fleur and progressively moving more and more towards brands/manager of hotels. So, I'm asking, Inder, can you do a breakdown of this in

FY23 and let me know? Can I

answer this in a little while, Adhidev, because we have to calculate it?

Adhidev Chattopadhyay: Yes. Sure, sir. Just wanted to understand. Just a follow-up. Post the buyout of the CC PS in the last quarter, what is our share and APG's stake now in Fleur Hotels?

Patanjali Keswani: APG is now at 42% and it will come down to 41%, which was our shareholding pre-COVID.

Adhidev Chattopadhyay: Sir, and just another question you have mentioned about the possible IPO or REIT, I nVET, listing for Fleur Hotels subsequently a few years down the line. So, in terms of timing, like would you because considering the market scenario?

Patanjali Keswani: See, in a broad way, our plan is very simple, irrespective of anything else, we feel without any other intervention, we will be in a position to be debt free in the next five years, irrespective of any external intervention.

Now, to come back to your earlier question, I've got exact numbers. So, we did a total EBITDA of about INR 460 crores last year. Our share of that EBITDA was INR 350 crores and APG's share of EBITDA was about INR 110 crores.

So, if I look it from the perspective of your question, the EBITDA of Fleur was about INR 320 crores. INR 60 crores went as fees to Lemon Tree, and I'm giving you approximate number for a flavour. So net EBITDA of Fleur was about INR 260 crores. Lemon Tree's owned assets did INR 100 crores of net EBITDA. They did another INR 60 crores of fees from Fleur and another INR 40 crores of management fees. Therefore, Lemon Tree did INR 200 crores. Fleur did INR 260 crores. And APG's share of that INR 260 crores was INR 110 crores. Does that answer the question?

Adhidev Chattopadhyay: Yes, sir. So broadly, it's a 75-25 breakup, right, if I just look at Lemon Tree and APG's share, right, if I look at it that way at the overall level?

Patanjali Keswani: So now let's go forward. The maximum debt is in Fleur. So, if I look at it from the debt perspective and say, we have INR 1,700-odd crores of debt, about 70%, 75% is Fleur. So,

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let's assume in a scenario that, this Aurika, Skycity, Mumbai, we expect that Aurika, net of fees, will be at least INR 150 crores of EBITDA. So, the earnings on a standstill basis, if we just went by INR 260 crores of EBITDA of Fleur today, we are sure that, this will obviously go up fairly significantly with Aurika, Skycity, Mumbai and the increase of the current portfolio and the increase of the Keys' portfolio. So put together, when we look at listing it, the net EBITDA should be north of INR 500 crores.

So if we list this company hypothetically, and you can apply whatever multiple you want, we are currently, we are going to be 59% shareholders. If we do a fresh issue of, say, 18% and come down to 51%, then the 18% means really that, fresh money on a company that has an EBITDA north of INR 500 crores. We feel that, in and of itself, may be enough to write down the debt of Fleur. So there are multiple levers. We have not started exploring those routes. Right now, we are saying, on our existing portfolio, we will be debt free even if we don't list

Fleur, but obviously, we would like to list Fleur, we would like to reduce our ownership in Fleur. We would like to increase our fee-based income. So, there is an entire plan and that's the real plan, which I cannot share with you. You will just have to keep seeing it play out with the five-year plan that we have given out. So, we will do an Annual Report as to, what where we are in this five-year plan, so you see the path that we are following.

Moderator: Thank you. We'll take the next question from the line of Tushar Sarda from Athena Investments. Please go ahead.

Tushar Sarda: Thanks for the opportunity. I had two questions. One you said that on Keys, you are going to spend money and bring them up to standard. If I remember in the past calls,

you also were

mentioning that, these hotels are in cities, which probably are not conducive for running, in terms of demand and ARR and all that. So where do we stand on that?

Patanjali Keswani: Okay. Good point, Tushar. So let me break this down into two parts. Roughly, 60% of the portfolio, about 600 rooms are in locations, where we feel, we have significant ability to use them. So, this includes Whitefield, Bangalore, where we have 222 rooms; Hosur Road/Electronic City in Bangalore, where we have 159 rooms; Pune, Pimpri, where there are about 100 rooms; and Vishakhapatnam, where there are about 100 rooms. So, you add this

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up, I have added Vishakhapatnam because that city is showing signs of high demand. This is nearly 60% of the portfolio.

So in this part of the portfolio, we will invest maybe INR 5 lakhs a room, in order to bring it up because we see that, our payback in incremental EBITDA will be less than one year, just with this investment. That leaves the portfolio of 150 rooms in Cochin, 100 rooms in Trivandrum and another 100 rooms in Ludhiana. Here, we will basically invest INR 1.5 lakhs a room, where our intent is, to really bring them up to standards. Because when we acquired this portfolio, it was just three months before COVID.

And we had certain plans to upgrade it. In fact, in the summer of FY21, which we could not do obviously because of COVID, but we see, even with this marginal intervention to bring that brand up to what we would like to be minimum standards, we will be able to increase the EBITDA and occupancy, there too. But really, there will be a much larger opportunity in the earlier hotels and a smaller opportunity in these hotels. Basically, we've done capital allocation and renovation on that basis.

What do we expect? We expect, we'll be able to increase the EBITDA of Keys hotels by a minimum of INR 40 crores, once we renovate them, maybe even INR 50 crores. It depends on how Whitefield and Vishakhapatnam play out.

Moderator: Thank you. We take the next question from the line of Sakshi Chhabra from Svan Investments. Please go ahead.

Sakshi Chhabra: Yes. Hi, sir. Congratulations on a good set of numbers. Sir, I wanted to understand that, in the roadmap, where you are saying that you are going to be only doing management contracts, are you also looking at adding any hotels on a lease or on a revenue share model, or is it only going to be management and franchise?

Patanjali Keswani: We are completely open to any format, where we do not require capital deployment. So really, lease is an intermediary, you look at risk-reward trade-offs, ownership of assets is obviously the highest risk and highest reward. Franchise is the lowest risk and, an interesting reward. Management is low risk, relatively high reward. Lease is potentially, based on the kind of lease,

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it is potentially, I would say, lowest risk and potentially high reward. The downside of a lease contract is basically, the amount of minimum guarantee that you give. So, I think as a company, we are quite open to leases, but we would like leases to be more oriented towards revenue share because we have a certain cost structure, we think, we can monetize rather than minimum guarantees.

Sakshi Chhabra: So, is there any percentage of additional rooms that you're looking at on the lease, on the revenue share model?

Patanjali Keswani: I told you this is a question of what is available and whether we want, what is available. So, Sakshi, very difficult for me to answer. It is quite likely; we will sign some hotels on lease. But as I said, when we do our sensitivity analysis, we will look at worst-case EBITDA and say that our committed lease rentals must be less than that, with some buffer built in. So, the way we think of a lease is very simple, in good times we take 70% of the upside. In bad times, we may make only 5% because the

balance is going to the asset owner. So, it is in that sense more

volatile. Are you getting me? But also, less risky. More volatile on earnings, but close to zero

risk on capital deployed.

Sakshi Chhabra: Yes. But going forward, higher amount of growth can come, if you go by the lease model rather than only on management contracts, right?

Patanjali Keswani: I totally agree. So, it's not a size fits, but typically, we would look at leasing an asset, where we would really perhaps look at putting, we would have put up our own hotels, if we had the capital. So, that's where we would look at leasing an asset. Otherwise, we will only do management or franchise.

Sakshi Chhabra: Okay. All right. And sir, in terms of the renovation which you were talking about, so how long - like in the next six months, how many rooms would be renovated?

Patanjali Keswani: Well, think of it this way. We have a three -year renovation plan for Keys and for a bunch of our older hotels. Put together, they would be about, I would say, about 3,500 rooms. So, we plan to spend about INR 150 crores, about INR 50 crores each year . So, this renovation will happen in H1 of this year, next year and probably a little less in the following year. So, this is how we

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planned it. But a lot of the renovation of the public areas will happen this year .

Sakshi Chhabra: Okay. So not particularly, you don't have a fixed number as to how many rooms you will be doing in H1 of this year?

Patanjali Keswani: No, it will be about 1,000 rooms.

Sakshi Chhabra: Okay. 1,000 rooms. And the rest will happen in the subsequent years?

Patanjali Keswani: That is right. Because the newer hotels don't really require renovation for another three years, four years. And that will be, what we call the routine renovation. So, you take Bombay, take Pune, take Kolkata, Udaipur, certainly Aurika Skycity, Mumbai , take Dehradun and so on. These are over 1,000 rooms, which will not require renovation. So the balance 3,500 rooms, 4,000 rooms, we will renovate over the next few years.

Sakshi Chhabra: Okay. I got that. And sir, in terms of the franchise model, do you think that, the hotels are ready for, the ones that you give out for franchise, so what are the criteria's that you look at? Because in a management contract, you still have a lot of control, right, but in a franchise that doesn't happen. So how do you make sure that, they maintain the quality standards that Lemon Tree Hotels require?

Patanjali Keswani: Okay. So, you see we've hired the top management team of Choice Hotels in October last year. Choice, as you may know is one of the world's top two franchise operator. It's a US based company. So the CEO, the Head of Franchise and Legal and the Head of Commercial and Operations came on Board. That's why, we have started at an early stage, signing a few contracts. But here's the way we look at it. You're absolutely right, that in a franchise model, you have no control over the service, the experience your customers are getting on this, in these franchise hotels.

So, we have a three -step model. One is before, we sign a franchise, we give a minimum, what is called an improvement plan. It includes training. It includes product improvements. So basically, it's fitting it into the Keys brand.

Number two is, we have an ongoing audit by third -party sources like TripAdvisor, MakeMyTrip.

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And there is a minimum mark that, you must get. Otherwise, you will be given a one -week notice. And if you do not make the necessary changes, then you will be out of the network. Third is that we have what is called mystery audits, which are paid by the owner of the hotel, where we will, on a random basis, start auditing hotels in a cycle, an assessment of the product and service.

Sakshi Chhabra: Okay. That's very helpful, sir. And the franchise will be only for Keys Hotels, not the other brands

? Any other.

Patanjali Keswani: No. Where we have some degree of confidence on the operator, he has hotel experience, he has asked us, so that's like a franchise , where the owner asks us to help get the General Manager, maybe the Head of Housekeeping and so on, where we have closer eyes. We don't mind giving Lemon Tree, but there will be even stronger scrutiny in Lemon Tree than in Keys, in terms of the minimum net promoter score, we need. So Keys might be 3.5 on 5, but Lemon Tree will be 4 on 5.

Sakshi Chhabra: Okay. All right. Thank you.

Moderator: Thank you. We'll take our next question from the line of Jaiveer Shikavat from Ambit Capital. Please go ahead.

Jaiveer Shikavat: Sure. Thanks a lot. Good evening . Firstly, on your capex. Given that, you are still left to incur almost INR 300 crores for Aurika Skycity, Mumbai , so do you expect any further delays in the commissioning of the property beyond the October stated timeline?

Patanjali Keswani: No.

Jaiveer Shikavat: And do you expect that run rate is likely to increase on the capex front?

Patanjali Keswani: See, underst and one thing here. Capex, we have hit nearly INR 650 crores. We need INR 300 crores more. About INR 100 crores of this capex is not required to be paid when the hotel opens. There are performance guarantees. There are payment terms, etcetera. So really, thi s entire capex will continue. The payment will be made, till maybe the end of the financial year.

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And a little bit of impact will go into the following year because it's even more than six months of performance guarantee. So, we really require about, I wou ld say, INR 250 crores. Maybe even less. We are working the numbers out.

So, we will open this hotel, we are certain in October, and we expect this hotel to be EBITDA positive by mid -November, latest end of November. So what we are not able to estimate, obviously, we have ranges, is exactly, how quickly this hotel will stabilize. The only good news is that, the Lemon Tree Premier, M umbai which we opened in FY20, in the first full year of operation really, in fact, even if I remember right, we opened it in July, about six months, seven months before COVID. By November, it was doing very well, okay. And, of course, then in March, it collapsed.

When I lo ok at Lemon Tree Premier, M umbai and say Q1 this year, let me give you an amazing thing. Lemon Tree Premier, M umbai in Q1 this year, has a higher occupancy than Q4 FY23 .

It's amazing, how it's doing. So Aurika , Skycity , Mumbai , in our opinion, could be a showstopper for us. I have given that very conservatively , we will do INR 170 crores of EBITDA and that's guidance in the second year of operation, but I would not be at all surprised, if we did both a better EBITDA in the first year of operation. So, we'll have to wait and see.

Jaiveer Shikavat: Sure. And s econdly, on Fleur itself, given the intention of listing it over the next five years, on APG front, are they also looking to monetize stake? Or will they look to still hold their stake post listing , I mean, given the long association they've had with Lemo n Tree as well?

Patanjali Keswani: See, we've had conversations, but I cannot speak for them. A pension fund manager could, for example, once we list, we will be 51%. There will be obviously multiple other shareholders.

So APG, they may lighten its owners hip. They may look for some yield return because it will be a very significant cash flow positive. So, as you know pension funds, look for yields. So, I cannot speak for them. It will be, I presume, some combination of this.

Moderator: Thank you. We take t he next question from the line of Jinesh Joshi from Prabhudas Lilladher.

Jinesh Joshi: Yes. Thanks for the opportunity. I have a question on Aurika , Skycity, Mumbai mainly. You mentioned that, it could be a showstopper for us. And given that, this hotel is likely to be

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operational in October itself, if you can just help me understand, what are the micro market dynamics in that particular area? Is there any new hotel or new supply, which is coming up over there, which can potentially deepen any impact in ARR in our guidan ce, which we're kind of giving currently?

Patanjali Keswani: Okay. So let me just give you some flavour, Jinesh, and it's just flavour. When we opened our hotel in Delhi, we opened a total inventory of 500 rooms in a market that was near the airport. And w ithin 1.5 years, there were 5,000 rooms in this micro market. Delhi is the second deepest market in India after Bombay. Within 2 years, the average occupancy in this micro -market was 70% plus.

So, that's the flavor of a market that is not as good as Bombay . Now we come to Bombay. We opened our hotel, in fact, partly opened the hotel in July. It got fully operational, I think, in 3 months or 3.5 months. It was a soft opening. Within 3 months, it was doing phenomenal occupancy. Not at very high rates because we were trying to penetrate the market, but it was doing super well. Our current assessment because we are now physically present in that market is the Andheri -Kurla market caters to demand from every possible segment, meetings, incentives, conferences, tourists , transit travellers, business travellers, long stays and across multiple micro markets in North Bombay.

So when you look at this market and you look at Smith Travel Research report on it and if you talk to any hotelier who has a hotel company that h as assets in that market, you will find all supply has always been absorbed. We added 300 rooms and in 3 months it was absorbed. Now we are adding 6 69 rooms. But if you look at passenger traffic, it has increased enormously there. So from the risk perspective and ultimately, you are asking me a question of what is the risk, we are very sanguine that this hotel will be, as I said, a showstopper for our company. You see, think of it as simply, we did INR 450 crores EBITDA this year, and we feel Aurika , Skycity, Mumbai alone ca n be 40% of that.

Jinesh Joshi: Got it, sir. That was pretty much elaborative. And I just have one follow -up question. I guess in the opening remarks, you mentioned that you will probably refrain from giving any guidance

for FY 24. But if I recollect properly in the last earnings call, you had mentioned that you seem to grow revenues by about 20% and our net EBITDA margin in FY 24 will be higher than what

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it is in FY23. Now in FY23, we are already at 52-odd percent and you also mentioned that we have some renovations lined up. So do you kind of still hold down on that guidance that our margins will be higher? And on the revenue side, if you can just throw some light?

Patanjali Keswani: I can't give, as I said. Let me put it slightly differently to you. Aurika, Skycity, Mumbai will deflate - so the way you should look at it is apple-to-apple, which is Lemon Tree as a group without Aurika, Skycity, Mumbai because in Q3 FY24 that will deflate our EBITDA percentage, not the EBITDA number, but the EBITDA percentage, okay, because it will operate both at numerator and denominator. But if I look broadly, what do you see if you look at our company?

Aurika, Skycity, Mumbai is kind of a hotel that does INR 30 lakhs EBITDA per key, Lemon Tree Premier does anywhere from INR 15 to 16 lakhs a key, Lemon Tree Hotel does INR 10 to 11 lakhs a key, Red Fox does INR 7 to 8 lakhs a key and Keys Hotel should do about what Red Fox does. So if you added together into inventory, you get a rough idea in a year, 1.5 years out what our EBITDA will look like. You get a picture of that. And then the management fee income is a simple number. You simply look at the number of rooms we are operating multiplied by the fee per room and you get to an EBITDA, which is a very interesting number within the next 2 years.

Moderator: We take our next question from the line of Rajiv from DAM Capital.

Rajiv: So, your current ownership will be close to 59%, right, after you do the remaining buyback of CCPS. And from there, you are saying that we will settle at 51% after, let's say, whatever route you choose to exit. So in that from 59% to 51%, is there an OFS from the LT's side, which is planned here? Or this 14% dilution is largely due to fresh issue?

Patanjali Keswani: You see we will not need any cash. We will only be generating cash. We feel that on a standalone basis, Lemon Tree will be able to settle its own debt within the next 2 - 2.5 years.

So, there is no reason for us to do an offer for sale. This will be when I said we will come from 59% to 51% or 50.1% or whatever, it will be due to a fresh primary issue of capital. However, I think one of the listeners asked a question. I cannot speak for APG. APG may also decide to do a small monetization when we list.

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So, I cannot speak for that. So basically, what I'm saying is that we will do a primary issue of probably 15% - 17%, and that should hopefully take care of the entire debt of Fleur, after which Fleur will be a large cash-generating company and so will Lemon Tree. So, one possibility is that in the next 2 - 2.5 years, because if you notice, I've written by or before 2028. If market conditions are ripe and right, we will list Fleur, especially after Aurika, Skycity, Mumbai starts showing the kind of results we expect it to and in which case by, in the next 24 months, the whole group will be debt free.

Rajiv: Just to get a size, Aurika, Skycity, Mumbai to versus, let's say, the competition in nearby market, what is the size of market you can cater to versus, let's say, what we have in the nearby districts?

Patanjali Keswani: So right now, Lemon Tree Premier really competes with the Radisson, Courtyard, and it competes, I think, with the Holiday Inn and to some level with The Leela. They are all similar in average rates which is say INR 8,000 to INR 9,000. The higher-rated hotels are JW Marriott and ITC Grand Maratha. So really, we will be competing with them. And the product, you see what I intend to do is somewhere in October or November, once the hotel is open, I'm going to have an Investors/Analyst Meeting in that hotel because I would like people to see what we mean about Aurika, Skycity, Mumbai I think it will be quite an eye-opener.

Rajiv: Sure. And lastly, in terms of the journey we had so far, if you can quantify the number of the hotels we have lost to competition, whichever has come for end of tenure? Is there a number there?

Patanjali Keswani: We have not lost any hotel. We have given up 2 hotels. One for brand standards and one because the owner went into a criminal case. And I don't think we've lost any hotels that we have taken under management or franchise, except for 2 as I said. One was a lease and one was a franchise.

Rajiv: Sure. And the length of the contracts, which you are signing as of now, are they in the historical ballpark of 10 years to 12 years? Or they are getting longer or shorter because the competition is higher now?

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Patanjali Keswani: See, we do not sign any contract less than 10 years. And the average is, I think, closer to 15. Number two, we are very clear that we do not sign contracts for cash flow. We signed contracts for NPV of the management fees till the end of the contract. Since we make investments in time and effort and lend our brand, we are very clear that if you sign a management contract with us, you cannot terminate it. And if you terminate it, then there is a very significant amount of penalty or catch-up on fees that you must pay.

Rajiv: And in the Red Fox data that you shared in terms of room count, there is one hotel, which is lesser on a Q-on-Q basis, and I think 102 rooms which are there. So, thi

s criminal case hotel,
which you're talking about?

Patanjali Keswani: We got into a court I mean, we got into a case. There were a bunch of issues there. I don't want to go into specifics, but let's put it this way it was for us more than anything else an ethics issue. It was not a financial decision as much as an ethics issue.

Moderator: We take the next question from the line of Jayesh Shah from OHM Portfolio Equi Research.

Jayesh Shah: Congratulations again on the grand result. My questions would again be more on the FY24 guidance. It has left us a bit confused in terms of voting and overall terms. If I understand you correctly, there is going to be higher occupancy and perhaps higher prices on a Y-o-Y basis. So, if I break this up, on an occupancy basis, do you think the industry can register a top-line growth of, say, 15-20%? Or is it going to be 10-15%? And where would Lemon Tree meet? I'm asking for a broad range, not a specific number.

Patanjali Keswani: I think for industry growth, I'm the wrong person. As far as we are concerned, certainly, we would like to be, on a real basis, north of, I would say, 14%-15%. This excludes Aurika, Skycity, Mumbai. And this would be a combination - an improvement of ARR and an improvement in occupancy. So really, RevPAR is what I would look at. And yes, we would target around those numbers if not more.

Jayesh Shah: Occupancy and ARR together would give you around 15% top line growth on a like-to-like business?

Patanjali Keswani: And excluding management fee income, so we are talking those hotels which are operating.

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Jayesh Shah: Right. And fair to say that the management fee income should also grow between 10% and 15%?

Patanjali Keswani: That would be crazy under performance.

Jayesh Shah: So, in that case, very simple math would be that your bottom-line growth should exceed your top line growth, even after Aurika's interest depreciation and additional capex, opex that you want to write-off broadly?

Patanjali Keswani: I would be a little careful saying that. So if you want it to be disaggregated, let's put it this way, that if my EBITDA is suppose my revenue is INR 100 and my EBITDA is INR 52, and I have said quite clearly that we will be spending INR 2.5 to INR3 more in terms of renovation. So the costs, which used to be INR 47, INR48 on INR100 will obviously hit INR50. So the challenge for us now is that if we want to hit a 50% EBITDA as a group, we have to make sure that we do better in the existing portfolio and the management fees and through Keys to compensate for the deflation in margin percentage due to Aurika, Skycity, Mumbai while it stabilizes.

Jayesh Shah: Got it. So the big jump in earnings and revenues and all will come in FY25?

Patanjali Keswani: That would be due to Aurika, Skycity, Mumbai and management fee and Keys. You are right, up to a 2-year roadmap that Aurika should do INR 30 lakhs a key, LTP should be doing maybe INR 16 lakhs a key, LTH INR 11 lakhs, Red Fox INR 7 lakhs to INR 8 lakhs and Keys INR 7 lakhs to INR 8 lakhs. So, you multiply it and look at management fee income increasing significantly, you get, as I said, and I used this word carefully which is an interesting number, but that is what we expect to get there.

Jayesh Shah: Right. Right. Right. And in terms of overall business, you still think that this is not the best year as you've said on TV, and you think we are not into the mid-cycle in terms of the hotel industry upswing?

Patanjali Keswani: We're now somewhere in the mid-cycle. So, to me, India occupancy of 66%, 67% is mid-cycle. If you go to top cycle that is really 2004 to 2008 where India occupancy was 72% to 74%. When India occupancy crosses well, market occupancy crosses 72%-73% typically, price goes up 20% and operating leverage that's playing in a significant way. So let me give you an

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exampl

e of operating leverage. So, if you go to our earnings presentation on a certain slide, I've forgotten the slide. Well, I must look at it. Just give me a moment. There is a slide where we showed our increased yes, so if you go to Slide 6, this is how the hotel industry looks like.

Now if you look at it, we just talked about FY23 performance highlights. Now if we just look at the rate of growth of revenue from operations in Q3 FY23 to Q4 FY23, the revenue grew about INR 20 crores, the EBITDA grew INR 15 crores. So here is operating leverage playing out. My view is that going forward with the focus all hotel companies have on costs, rates will see, where will occupancy go? It is currently, 66%-67%. It will go up another 10%. So that will be variable cost increase.

But the rate increase of 20%, which I expect will happen in the next 12 months to 14 months, I expect that will flow straight through to the bottom line. So now if you look at industry and we are a good exemplar of that. Just look at the full year look at the Q4 performance of FY23 to Q4 of FY20 in the same slide. So, our revenue went up INR 77 crores, but our EBITDA went up INR 78 crores. That tells you that the cost structure has fundamentally changed. I know there has been lot of scepticism among many people that will this cost structure maintain. But if you see it quarter by quarter, I don't think there should be any doubt on it.

Moderator: We'll take the next question from the line of Himanshu Shah from Dolat Capital.

Himanshu Shah: Congrats for a good set of numbers. Sir, can you just let us know for FY24, what proportion of rooms would be under renovation?

Patanjali Keswani: Well, listen, it will be over 1,000 rooms but we don't renovate all at one time. Our renovation schedule typically is that we rotate it over 2 months for 6 months. So when I say 1,000 rooms or 1,200 rooms, it means that any given time 400 rooms are checked across the entire group.

Himanshu Shah: And the room renovation takes almost 2 months or less than this?

Patanjali Keswani: 2 months.

Himanshu Shah: 2 months. All right. Okay. And this will be largely under Keys portfolio, the entire renovation or across the line, sir?

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Patanjali Keswani: Well, about 1/3 will be Keys. Maybe about 35% to 40% of the balance will be the older Lemon Trees and Lemon Tree Premiers and Red Foxes.

Moderator: We'll take the next question from the line of Debotro Sinha from ICICI Securities.

Debotro Sinha: Yes. Sir, congratulations on a very good set of numbers. So, if I see sequentially like our revenue has increased by 8.2% and our occupancy has increased by 600 basis points. So like, if I see the expenses, the cost of food and beverages has decreased by 2% - 1.9%. So could you shed some light on that?

Patanjali Keswani: Yes. So, what it means is the mix has changed. Our food cost on a weighted average basis is about 30% to 31% of our food revenue. So, if you see food cost at INR 30, you can safely assume the revenue was INR 100. Now suppose from Q3 to Q4, the number of guests has remained the same, maybe from 69%, it has gone to 73%. So guests have gone up by 6%. So, the food revenue would have gone up by 6%, but the room revenue may have gone up by 15%. So, the weighted average may be 9%, 10% and the cost structure reflects it, because food has a much higher variable cost than rooms. That's the way to look at it.

Moderator: We'll take the next question from the line of Nikhil Agrawal from VT Capital.

Nikhil Agrawal: Sir, I had a question on the capex. Like last quarter you had guided for INR 5 lakhs per room and INR 1 lakhs per room for 50% of the Keys portfolio. You have increased it to INR 6.5 lakhs and INR 1.5 lakhs. So is this only for Keys? Or is it for the -- for your full renovation plan of 3,500 rooms which includes Keys?

Patanjali Keswani: Keys will be INR 5 lakhs earlier it was for about 5

0% of the portfolio, now it will be closer to

60% of the portfolio because Vizag is doing well. And that is about 10% of the inventory. So, we are deploying capital or capital allocation is happening based on expected return, when we increase it beyond INR 1 - 1.5 lakhs a key. Now to remember when we acquired Keys, it was a very old and tired brand. No investment had been done in it. So, in the following 2 years, again, it became, in fact, even more tired because obviously, we did nothing with it.

So to maintain what we consider minimum hygiene levels of brand standards, we will upgrade even Keys Hotels in Cochin, in Trivandrum and in Ludhiana because these, we feel by

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upgrading this, we will be able to increase the occupancy, but not the price very much. In the other cities, we are spending more because we think we will be able to increase both occupancy and ARR.

Number two is, in the balanced portfolio, we feel there is an enormous opportunity to increase pricing in Hyderabad, which you have seen already in our Q4 results how it is doing. We feel there is enormous opportunity in the two Delhi hotels; Lemon Tree Premier and Red Fox. We feel there is opportunity in Lemon Tree Electronic City and Lemon Tree Premier Bangalore. So, we have looked at each hotel. We have looked at the micro market. We have looked at demand.

We have looked at how we feel we can reprice post renovation. And the entire capital allocation decision has been done on that basis. So, I can't take you through 40 -odd hotels. But what I can tell you is, it has been done with some rational basis and we expect that in all cases, any investment, the payback should be maximum 18 months, but normally 12 months of the increase of this investment.

Nikhil Agrawal: Okay. Got it. Sir, the INR 6.5 lakhs is for the full renovation plan, right? And it's not only for Keys, but also for Keys plus the older hotels, right?

Patanjali Keswani: No, no, as I said, it is about INR 54 - 55 crores for over 1,000 rooms. So you average it out, it is less than that. It is closer to INR 5 lakhs.

Moderator: We'll take the next question from the line of Ayush Dabas, an Investor.

Ayush Dabas: My question is on Delhi hotel. I'm looking at slide number 15 in the presentation. So your RevPAR from Q3 FY23 to Q4 FY23 is from INR 4,941 to INR 5,559. But I'm looking at the EBITDAR number, which has gone down from 73% to 62%. So what would be the reason for that?

Patanjali Keswani: Slide 15, Delhi?

Ayush Dabas: Yes. Last quarter, the EBITDAR was 73% and now it's 62% while the RevPAR has grown?

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Patanjali Keswani: I am just looking at that. Which number is he talking about? Okay. So just repeat the question because only one data point is on slide 15.

Ayush Dabas: So last quarter, quarter 3, FY23, the RevPAR as per the last presentation was INR 4,941 for Delhi. Now that INR 4,941 has gone to INR 5,500 approximately, while the EBITDAR number has gone down from 73% EBITDAR margin to 62% EBITDAR margin.

Patanjali Keswani: What is the answer to that? Was it some change in -- I'm sorry. I don't have the data. What you can do is drop me an email. We'll try and get back with specifics. I don't have it right here.

Ayush Dabas: Okay. Fine. How do you see the outlook for Delhi, sir?

Patanjali Keswani: Very good, especially now that we're renovating. So in Q3 last year, we started renovating some rooms. We renovated about 30 -40 rooms, about 10% of our inventory. We are planning to renovate about another 90 rooms this year in Lemon Tree Premier and another 80 rooms in Red Fox. And we feel we will be able to capture a significant price hike while maintaining high levels of occupancy in these two hotels. So the demand is very robust and sustainable.

Ayush Dabas: And sir, what do you see as a sustainable EBITDA margin for the Delhi hotels?

Patanjali Keswani: So, Delhi, my view

is that we should be in the early 60s in Delhi. But if we manage to take the price up significantly, then it might hit 65%.

Moderator: We'll take the next question from the line of Prashant Kshirsagar from Unived Profit.

Prashant Kshirsagar: Just wanted to ask you about foreign tourist arrival in India, what is your expectation?

Patanjali Keswani: I read some statistics that foreign tourist arrivals to India is still low, when we talk about arrivals to India from foreign travel, foreigners, I think a large percentage is the Indian diaspora. So, we are speaking purely of what are called FTAs, which are foreign tourist arrivals. I'm given to understand it is still less than 50% of pre-COVID.

I can't actually tell you, but I'm hoping that, obviously, in winter, it will pick up. And even if the tourist arrivals to India from sub -50% go to sub -25% in terms of drop, if there is only a catch - up to halfway levels, pricing will again go up by another 5%, 7% or maybe even 10% for the

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branded sector because all foreign tourists typically, 90% stay in branded hotels. So it will be a large number and it will have a large impact. But I have no line of sight on when and how that will happen.

Prashant Kshirsagar: In one of your conference call, you've said that the room rates may double if the foreign tourist arrival increases

Patanjali Keswani: Not double. I said over 2 - 2.5 years, I said it will double and I mean it by the way. See, it is already 30% up in one year. So over 3 years, why should it not double? Look, make it very simple. Our rates today, if you look at Lemon Tree as a group and you just go to Slide 19, Lemon Tree excluding Keys, the ARR was INR 6,237 in Q4 FY23.

The same Lemon Tree, half of it which was operational 14 years, 15 years ago, the ARR was INR 8,000. So, why should there not be a catch-up? We are very, very cheap, I mean, luxury hotels are for \$200, \$250 here. A friend of mine in the travel business told me in Europe now it is EUR 900 to EUR 1,000 per room and we are at \$250. So, the runway is enormous.

I understand, of course, that affordability is an issue, but my view is broadly, India is at close to a tipping point. And one very interesting indicator is the increase in demand of mid-size SUVs. If you look at China and look at Taiwan, look at Indonesia, look at Malaysia, 3 years after mid-size SUVs took off, hotel demand took off. So, I do see a tipping point.

Prashant Kshirsagar: But for the room rates to really move up - increase sharply, is the foreign tourist arrival will be

an important criterion or it won't be?

Patanjali Keswani: Let me give you a number. Foreign tourist in and of themselves are about 3 - 3.5 million. I don't have the exact number, but it's roughly in that range. What is 3.5 million? It is 10,000 a day. Each of them stay for between 5 days to 10 days. So if you look at it on the room night basis, it is like 30,000 or 40,000 or 50,000 room nights a day. Now if 80%, 90% of them are staying in branded hotels, then just take a simple number, that's 25,000 rooms over 175,000. It's a 15% improvement in occupancy. Now if occupancy goes up by 50%, I can guarantee you prices will go up by 30%.

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Moderator: Thank you. Ladies and gentlemen, we have reached the end of the question-and-answer session. I would now like to hand the conference over to the management for closing comments. Over to you, gentlemen.

Patanjali Keswani: Well, thank you once again for your interest and support. We will continue to stay engaged. Please be in touch with our Investor Relations team for any further details or discussions. And I look forward to interacting with all of you soon.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure

re high level of accuracy.

Call: Aug 2023

August 18 , 2023

National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai – 400051

NSE Scrip Symbol: LEMONTREE BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400001

BSE Scrip Code: 541233

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015

Ref: Outcome of Conference Call with Analysts/Institutional Investors

Dear Sir

Pursuant to Regulation 30 of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 and in continuation to the disclosure made on August 11, 2023 wr.t. the audio recordings of the conference call on Unaudited financial results for the quarter ended June 30 , 2023 held on Friday , August 11 , 2023 , please find enclosed herewith the transcript of the conference call with investors/analysts .

Kindly take the same on your record.

Thanking You

For Lemon Tree Hotels Limited

Nikhil Sethi
AVP Legal & Group Company Secretary
and Compliance Officer

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Lemon Tree Hotels Limited
Q1 FY24 Earnings Conference Call
August 11, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Lemon Tree Hotels Limited Earnings Conference Call . As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now have the conference over to Mr. Anoop Poojari from CDR India.

Anoop Poojari : Good afternoon, everyone, and thank you for joining us on Lemon Tree Hotels Q1 FY24 earnings conference call. We have with us Mr. Patanjali Keswani, Chairman and Managing Director; Mr. Kapil Sharma, Chief Financial Officer and Mr. Vikramjit Singh, President of the company.

We would like to begin the call with brief opening remarks from the management, following which we have the forum open for an interactive question and answer session. Before we start, I'd like to point out that some statements made in today's call may be forward looking in nature. And a disclaimer to this effect has been included in the results presentation that was shared

with you earlier. I will now request Mr. Keswani to make his opening remarks.

Patanjali Keswani: Good afternoon, everyone and thank you for joining us on the call. I will be covering the quarterly business highlights and the financial performance for Q1 FY24. Post this, we will

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open the forum for your questions and suggestions.

Due to high seasonality in the hotel industry, I would urge everyone to consider year -on-year performance rather than quarter -on-quarter. In Q1 FY24 Lemon Tree Hotels continued its growth from the previous year and this quarter has been the best ever Q1 in terms of gross ARR , Revenue , EBITDA, PBT , and PAT for Lemon Tree Hotels.

Q1 FY24 recorded a gross ARR of INR 5,237, which increased 8.6% year -on-year and decreased 10.1% quarter -on-quarter. Occupancy followed a similar trend, which increased by 514 bps year-on-year and decreased by 339 bps quarter -on-quarter. This translated into a RevPAR of INR 3,678, which increased 17.2% year -on-year and decreased 14.2% quarter -on-quarter.

Total revenue for the company was INR 224.6 crores, which increased 16.8% year -on-year and decreased 11.8% quarter -on-quarter. The net EBITDA margin for the company in Q1 stood at 47.6%, which decreased 60 bps year -on-year and decreased by 815 bps quarter -on-quarter, owing to the increase in variable and fixed costs as well as planned increases in renovation expenses.

The increase in cost is somewhat less compared to the guidance we shared in our previous call, and we will ensure we will keep our EBITDA margins intact. The PAT for Q1 this year grew by 103% year -on-year from INR 13.6 crores to INR 27.5 crores. Our cash profit stood at INR 50.3 crores, which increased 32% year -on-year. Fees from management/franchised contracts for third -party owned hotels stood at INR 10.4 crores, up 19.3% versus Q1 '23. Total management fees for Lemon Tree Hotels were up 21% to INR 23.9 crores compared to INR 19.8 crores year -on-year previous Q1. During the quarter, we signed 6 new management and franchise contracts, which adds another 548 new rooms to our pipeline. As of 30th June, our operational inventory comprised 90 hotels with 8, 491 rooms, and our pipeline comprised 46 hotels with about 3,724 rooms.

From this quarter onwards, we will also be sharing our network revenue for Lemon Tree Hotels, that is total system revenue of owned, managed , and franchised hotels, which stood at INR 352 crores for Q1 FY24 as compared to INR 299.4 crores in Q1 FY23.

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Moving forward, we are very confident in the company's ability to sustain this growth in the coming quarters by focusing on the following growth levers, the imminent opening of Aurika Mumbai in October 2023, further acceleration in our managed and franchise portfolio with a proportionate increase in fee -based income. Further improvement in gross ARRs and occupancy for the Lemon Tree Hotels portfolio and a very significant increase in gross ARR and occupancy in the Keys portfolio post renovations.

In fact, very early indications are already available in the Keys portfolio. Now the opening of Aurika, Mumbai is on track. As you can see from the pictures in the investor presentation, many facilities in the hotel are completely ready and most of the operating licenses pertaining to the operations of this hotel have already been obtained.

With this, I come to the end of my opening remarks, I would ask the moderator to open the forum for any questions that you may have.

Moderator: Thank you very much, sir. We'll take the first question from the line of Archana Gude from IDBI Capital.

Archana Gude: Congrats on another good quarterly performance. Sir, I have 3 questions. So when I was looking at Slide number 23, we were given that on the RevPAR comparison between LTH and the industry, we're fairly done at the industry level, but there is a considerable gap between Bangalore and Delhi. How should we read these numbers, sir?

Patanjali Keswani: See the basic thing is that a very large portion of our inventory in Bangalore is the Keys portfolio and the Keys portfolio is economy/entry -level midscale. And as I said, until we completely renovate thi

s portfolio, it will continue to drag our relative performance. So let me give you an example of this. If you look at our entire performance from Q1 FY24 and look back to the Q1 FY23, the Keys' occupancy has only increased in Q1 FY23, it was, I think, 55.6%. And in Q1 FY24, it was 57.2%. That means a very marginal 1.6% increase, whereas the Lemon Tree portfolio went from 67% to 73%. So, what you must look at is the cities where the Keys portfolio is large. Like in Bangalore, it is, I think, 380 rooms. So on a weighted average basis, it will drag our performance down until the renovation is complete. Does that answer your question?

Archana Gude: and versus Delhi.

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Patanjali Keswani: Delhi is because you're looking at industry . In Delhi, 70% of the industry is 5 -star deluxe. So, I think they have had a better ability to reprice. In the last financial year, our focus was to

reprice our hotels. So from the mid-market segment perspective, we are repricing, if you look at the RevPAR, it is much more significant than everybody else. We repriced in 2 slabs so ultimately, our new ARR's were 50% over pre-COVID.

As a result, the bottom 15%-20% of our demand fell off. And as I had mentioned in earlier conference calls, we were looking at building back the occupancy after the price increase. So, what you are seeing now is the rebuild of the occupancy in Q1 this year, which is historically the weakest quarter. This occupancy increase, you will find will continue in Q2. I can say categorically, we will do significantly better in Q2 than in Q1 as far as occupancy goes.

However, ARR growth will not be the way it was in the previous year.

So it will be, as you can see, about 8% and that is what we will continue to target on a quarter-on-quarter till we hit H2. At H2, of course, we will reprice significantly because by then, we will have built the demand back to pre-COVID at those much higher prices.

Archana Gude: On this corporate segment, though it has gone down on a Y-o-Y basis, is that the conscious call by the management that, let's increase the retail portion so that, that will overall aid the margin expansion?

Patanjali Keswani: Absolutely, because if you look at corporate, they are bulk buyers, they are the most price sensitive, and this is why I have said also in earlier conference calls and even in our 5-year vision that we want to increase the retail side of our business to, in fact, 66% of our total demand in the next 4 years. So just to give you a number, in Q1 FY24 versus Q1 FY23, our corporate fell by 100 rooms per day (RPD), but our other segments increased significantly. This is because it's a conscious decision that when you increase prices, there is a planned churn, which means you keep taking out the most price-sensitive segments and replace them with higher-paying segments. So, you see that in the overall occupancy and what I would urge you to look at is not corporate as much as the overall room nights that we are doing, and this is fundamentally a reflection of our shift in focus to driving our brand awareness rather than simply going as vendors to large corporates.

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Archana Gude: On new management contracts, how we should see the traction going ahead? Like overall, we're talking about demand-supply mismatch and everything. So, should we consider at 6 to 7 hotels on quarterly basis should be added on a contract?

Patanjali Keswani: Yes. So, I've given some broad targets, as I said, by the end of this year, we hope we will have about 10,500 rooms operational in our inventory. But it is a little difficult while we are signing very aggressively. In fact, the latest JLL reports say that Taj, Marriott and Lemon Tree were the highest acquisition of management contracts in this quarter. We are going to aggressively continue, but what I think I would urge all of you who are listening in on this call to

consider is

that openings of managed hotels are very often not in our hands.

Because it may be that the person doesn't get licenses on time, the owner of that hotel has a temporary funding problem or there are some design issues or some issues relating to construction. So that is a bit out of our control, but what you are seeing, I think, should be the trend going forward. And you will find that there will be something like a hockey stick growth in our inventory after another 6 months. Once we hit 10,500, then it will start accelerating because the hotels we are signing today will start getting operational from next year onwards.

Moderator: We'll take the next question from the line of Nihal Jham from Nuvama.

Nihal Jham: My first question was just a clarification. You did mention that the Bangalore market was impacted because of the Keys portfolio. The Lemon Tree in Bangalore's performance on a RevPAR basis is like the 18% growth that the network ex-Keys has seen.

Patanjali Keswani: Yes.

Nihal Jham: I was asking that is there a current case where the premium hotels are having better pricing power or if the pricing across any branded hotel in the industry would be similar at this point in time.

Patanjali Keswani: See, this is entirely a function of mix. So suppose there is a market in which there are fewer luxury hotels and more mid-market hotels, then the luxury hotels because of relatively lower supply have a better pricing power among themselves. Remember, our pricing is with respect to the mid-market and upper mid-market segments. We do not price vis-a-vis a 5-star because

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the 5-star deluxe user does not look at a mid-market hotel as an alternative.

5-star luxury users do not look at mid-market and upper mid-market hotels as an alternative to stay. So really, what you must keep in mind is a multiple set of factors which are- what is demand in a certain market? What is the luxury demand in a certain market? What is the supply in that market? So when you see these numbers, which are the numbers by Smith Travel Research, they are an aggregate of economy, mid-scale, upper midscale, upscale and luxury. So like for example, Delhi got a lot of demand also because of G20 and so on. And G20 delegates were all put up in 5-star hotels. So that was the benefit for 5-star hotels in Delhi, especially those in New Delhi. So this is just a comparison to show you how we performed on an all-India basis. But when you look at cities, where there is this demand-supply mismatch

within price segments. We may show a lower number compared to the aggregate because maybe the 5 stars drove the pricing in that market because of demand for 5 stars. So, I would not generalize. I would rather say, look at micro-market conditions and from that perspective, I would say, look at the all-India performance because that is the annualization, the aggregation that you see, which is on the extreme left of that slide that we put forth.

Nihal Jham: Just one final question was I think there's a case of the CCPS being converted. What will be the stake for APG after the conversion happens?

Patanjali Keswani: 41%. Back to the original. See, our intent was APG gave us money at a certain point at a certain valuation that was at the start of COVID. So our intent was to equalize our shareholding, back to 59% which would have dropped if the CCPS would have been converted. But we had 2 choices. One is to put in some assets and value them, put it into the JV because we continue to own about 1,700 rooms. But we found that was not a sensible option because the effective tax was coming to about INR 60 crores. So we opted for Plan B, which was going to buy their proportionate share back from them at the new value, the new equity value, and that is what we have endeavoured to do and which is why we have come back to 59%.

Moderator: We'll take the next question

from the line of Adhidev Chattopadhyay from I CICI Securities.

Adhidev Chattopadhyay: The first question, can you elaborate on July because of the rains, is there any impact, especially in Mumbai and Delhi on the occupancy and room rates? That is first question.

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Second question is on Mumbai Airport Hotel. So the launch you think, how many rooms do intend to launch initially? And how do we intend to then scale this up?

Patanjali Keswani: So as I have already said, we are doing better in July than in Q1, firstly, significantly better. So rains have not impacted us. Rains are an annual event. The rains have impacted those hotel companies which have assets in the hills and so on, where landslides and various other things have occurred and flooding. As far as Aurika Mumbai goes, we will fundamentally be ready with the entire inventory in October. So what I understand from our projects team just recently was that all 669 rooms will be ready. But they will be ready in various points in October. So it is not that they will open all together. But what I can say is, by end of October, all the rooms will be operational.

Adhidev Chattopadhyay: And we intend to go into the market with all the rooms, the availability, whatever is there, the entire 700 will be available.

Patanjali Keswani: That is right. But let me just clarify one thing. In the beginning, when we launch the hotel, it will technically not require all the rooms because the buildup of demand is gradual when you open a hotel. And the other point to note is that the Dussehra and Diwali operate from 2nd October, through 12th of November. So anyway, that's a low-demand period while we will operationalize the entire inventory, I do not expect that demand will be as high as we would like, as is normal post-Diwali. So in that sense, the timing is quite okay because we'll open the hotels in October, but the demand for that market, which is Bombay really will pick up after 12th November that is after Diwali.

Moderator: We'll take the next question from the line of Jaiveer Shekhawat from Ambit Capital.

Jaiveer Shekhawat: So regarding your MIAL property itself, the Aurika one. So one, I want to understand your strategy here in terms of the overall pricing as well as the way you look to launch that properly during this first full year of operations. Now in the slide in earlier calls, you have mentioned that the conservative estimate is around INR 12,000 a room rate and about 75% of occupancy. But even today, if I see a comparable hotel like a JW Marriott Starr, I mean the rates are far ahead of that. So could you just talk about how you would approach, how would your strategy be during the first year of operation? Would you want to keep the rates lower in order to

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penetrate that market faster and then possibly take the rate increase in second year?

Patanjali Keswani: That is normally the situation, but let me explain. We opened our first hotel in Bombay, which is the Lemon Tree Premier, a little before COVID. So really, we had no time to stabilize it. So the way to look at it is that hotel, which is a 300-room hotel, really became operational on a normalized basis only after COVID, which was in April last year. So let me give you an interesting example. When we launched that hotel, we launched at, I think, INR 6,000, INR 6,250, then we were doing 50% - 60% occupancy.

And gradually, at that price point, we built up demand and then repriced. So if you look at the Lemon Tree Premier Mumbai today, and I'm giving you July figures, we are doing 90% occupancy at INR 8,400. This is in off-season in Bombay with 300 rooms and a Lemon Tree Premier. Typical pricing difference between an LTP and a 5-star hotel is about, in Bombay is about INR 4,000. So if you look at the 2, 5-star hotels deluxe hotels, we will be competing with, with Aurika, it will be fundamentally ITC Maratha and J

W Marriott.

They are currently priced at least on the retail side at anywhere from INR 12,000 to INR 20,000 every day depending on demand. This is, I'm talking, July. While I have given a number in our

last presentation that this is what we expect Aurika to do. Let me also say that it is a conservative number. I think I have said we'll do about INR 170 crores EBITDA, and we are sure we will do better than that. So this is a ramp up. What you are asking me is, how will we do in the next 6, 7 months, it will be a gradual ramp up.

Even the Lemon Tree Premier, as I said, last year was doing INR 6,000 and this year is doing INR 8,500, and the occupancy is now 90%. So I expect Aurika, MIAL will go through a similar progression and next year will be game changer for us from the perspective of this hotel alone.

Jaiveer Shekhawat: Again in the presentation, I think you had put in FY26 because I believe you might be able to even achieve that in FY25. And sir, could you also talk about how much would be the F&B share because you've also got big banqueting facilities and events space as well?

Patanjali Keswani: So this is a bit difficult to predict. So the difference between us and, say, a 5-star hotel is that in 5 stars, 55% of the revenue is room revenue and 45% is food and beverage and other revenue, which is why their average EBITDA margins are in the low 30s. In our case, business
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model is that we are fundamentally selling rooms. So in our case, 75% of our revenue typically is rooms and 25% is food and beverage and others.

So that is why we can get to north of 50% EBITDA margin. Now in Aurika Mumbai, because of the large convention facilities, we expect that instead of a ratio of 75/25, it will be closer to maybe 68% -32% roughly. So that's our broad expectation. But of course, it's a function of how the market needs convention facilities, how we compete there and so on.

Jaiveer Shekhawat: And sir, regarding what the numbers that you've reported for your Aurika Hotels portfolio, we have seen about 11% year-on-year decline in ADRs. So is that an early sign of softness in leisure demand given international and outbound travel has already started picking up.

Patanjali Keswani: See, if you read commentaries by travel companies, they are clearly saying the revenge travel part of the pickup has gone. And what you will now see is gradual increase in travel demand due to, I think, more in terms of general economic growth and mid-market aspirations and so on. So that jump up in leisure demand, which occurred last year has significantly moderated. Now coming to Aurika, Udaipur. Let me give you an interesting number.

According to STR, in Udaipur, the occupancy of Udaipur in Q1 was about 40%. And we had a 10% premium on it. So from a RevPAR perspective, actually, we do not see ourselves competing with an Udaivilas or a Taj Lake Palace or a Leela, we compete with the next level, which is the lower level Taj's and Trident's and so on. We have outperformed all of them. So it's a good sign for us. There is huge acceptance. And I think what a shocker for everybody will be the performance of Aurika in H2 because the preliminary bookings tell us that it will be enormously profitable in Q3 and Q4.

It has already booked, I think, 15 weddings, which is buyouts of the hotel. And typically, each wedding gives us over INR 1 crore in EBITDA. So just from the wedding perspective, we will earn INR 16 crores in EBITDA in H2, excluding normal demand, which is also very high in winter.

Jaiveer Shekhawat: A last question on your management and franchise fees. So how do you see that scale 3 years out and contribution to your EBITDA, especially in light of the recent hirings that you've done from Fleur Hotels now to scale up this business?

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Patanjali Keswani: So last year, I think we did about INR 36 crores in third party. I'm not talking from Fleur, but

from third party. This year, it will be, I think, north of INR 50 crores. Next year, it will be north of INR 75 crores, and then we are looking at about INR 130 crores to INR 150 crores, the third year out. So that will be 100% flow-through to EBITDA. So, the 4 big things you will see is a tripling of management fee income in the next 2.5 years, up to INR 200 crores of EBITDA from Aurika MIAL, a significant increase in EBITDA from Keys and our normal 20% -25% increase in EBITDA from the Lemon Tree portfolio every year.

Moderator: We'll take the next question from the line of Murtuza Arsiwalla from Kotak.

Murtuza Arsiwalla: Just an extension on the management fee piece. How should we think of the management fees from both from an accounting perspective, does it get eliminated fully on consolidation?

And from an economic interest, should we think of it as the 40% that APG owns as our economic interest in the incremental management fee? That's part one. And the second is just to understand. You just talked about 100% pass-through of management fee to the EBITDA. Typically, any cost associated with having this managed hotel sort of set up in place any cost or it's essentially just sort of setting out the brand that we have.

Patanjali Keswani: Okay. Murtuza, to come back to the first point, our fees are netted off on a consol. So while they get to Lemon Tree standalone, in the consolidated, they are netted off. Now coming to the second point, which is fees of Fleur. Well, we own 59%, but we take roughly 15% of the EBITDA as management fees. So effectively, we get 6% out of Fleur i.e., out of APG's 40%. So our economic interest is 65.6%, if I remember right while our shareholding stands at 59%. As far as management fees goes, you see beyond the office setup that we already have with the fixed costs, we are not adding more people. So in fact, yesterday to our Board, our

Business Development Head, Mahesh Aiyer, made a presentation that 1 year ago, he used to go out to try and pick up 1 query every 2 or 3 days. Today, we are getting, and this is what he told the Board, 4 queries a day. So that forms a part of the reason why our costs have increased, in fact, that's why I said going forward, it will be 100% flow-through.

A part of the reason our payroll costs have gone up as you will see in Q1 this year versus Q1 the previous year is that we've not only hired the top management team of Choice Hotels, but

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we've also got some more people into our business development side and into our preopening side. So, we basically built the infrastructure to start adding hotels very aggressively. And I think, Mahesh, what do you feel? How many hotels will you sign this year?

Mahesh Aiyer: Say about 40 hotels this year.

Patanjali Keswani: We will sign 40 hotels more this year.

Murtuza Arsiwalla: If you could give me an approximate ballpark as to what would be the infrastructure or basic cost of set up, if you have a number in mind that drives this entire management fee revenue.

The cost, I understand the operating leverage that you can scale up significantly with the same cost. But what would that cost be if you could put a number today to it?

Patanjali Keswani: You mean all in per annum, including the entire team, I would say about INR 8 crores, INR 9 crores.

Moderator: We'll take the next question from the line of Kunal Lakhan from CLSA.

Kunal Lakhan: Sir, on your Slide 12, when I see the comparison with the industry, we see that you have outperformed in terms of occupancies, but kind of underperformed in terms of ARR. Is this like a conscious strategy where we are now choosing say, occupancies over ARR, which was very different last year, although we have done well in terms of overall RevPAR, but just trying to understand like our strategy going ahead.

Patanjali Keswani: Okay. So to explain it, as I said earlier, Kun

al, earlier we had focused on price hike without

looking at inherent demand growth. We had said we need to reprice. So that is what we did, which is why we did in my opinion, a very low occupancy in Q1 last year, which was about 65%. Keep in mind, pre-COVID, where we were much more conservative in repricing every year, our average occupancies of our portfolio, excluding Keys, were 77%-78%.

So when we repriced, we accepted that there would be a churn and a loss of certain highly price-sensitive segments and customers. I had also said, I think, a couple of earnings calls before that we will now focus on building demand back at this new price level. So what you are seeing was a focus on building demand back. So, this is a seesaw. Ultimately, what we

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want to achieve is superior RevPAR performance. Sometimes, it is a focus on average rate, sometimes it is a focus on occupancy. And when times are good, it just both comes together in a double whammy.

So times are not yet good because international travel, which typically contributes 10% of our demand, has not really come back. It is still less than 40% of pre-COVID. But when that happens, like in Q2, I think we are already at, I think, about 74% occupancy. And we have still maintained the increase in rates. So, I am confident that in H2, all of this will weave together. We will start hitting occupancies of close to 80% at much higher ARRs. And that was the ultimate objective. So it's a step-by-step process.

Kunal Lakhan: And just a follow-up on that. So in the earlier interactions, you had highlighted that you expect ARR growth of about 10% to 15% over the next 3 years. Would you still hold that guidance with the current strategy that we're adopting?

Patanjali Keswani: North of 15%.

Kunal Lakhan: My second question was on the margin side. We had seen some increase in fixed costs and some renovation costs also. How much of this would keep recurring? And again, like on the margin guidance also you had highlighted about 50% plus EBITDA margin would that continue?

Patanjali Keswani: Yes, of course, it will. We have said that. I've said that in my remarks also. So think of it this way. Typically, in our business, that is in Lemon Tree our fixed costs are fixed, unless we decide to change them, but variable costs at the current mix of rooms and food is about 23%.

So if you look at Q1 as the example, revenue went up INR 32 crores year-on-year. So you can safely say that the variable cost increase was INR 7 crores. But the total expense increase was INR 18 crores. And I'm going year-on-year, okay? And I'm excluding, of course, stamp duty, which we paid last year in Q1.

So the variable cost increase, as I said, was INR 7 crores. Increase in fixed cost was about INR 8 crores. Renovation, last year also, we had started doing aggressively in our Lemon Tree portfolio. But this year, we have started doing it also in Keys. So that was another INR 3 crores or, INR 4 crores. We reduced some expenses elsewhere, and that was adjusted in the

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preoperative expenses for MIAL, Aurika, which was written off in the P&L, although others were capitalized, a certain portion was preoperative expenses for MIAL, Aurika.

So when you add this, the increase in variable cost, is increase in renovation costs, the increase in fixed costs and the increase due to preoperative expenses and reduced the savings and costs elsewhere because of our renewable focus and so on. Overall, you will find that the increase in expenses was INR 18 crores. Now you are seeing the new level of fixed costs for Lemon Tree, which includes the increase in our business development team, which is the question Murtuza asked me. And now going forward, one would expect that going into Q2 and onwards, most of the increase in revenue will flow through or at least 65%, 70% will flow through to EBITDA. Unlike Q1, where INR 14 cr

ores only went through from revenue to EBITDA.

Kunal Lakhan: And my last question was on Slide 13. Our Mumbai and Gurugram portfolio are doing well compared to the industry. What are we doing differently in these markets that is benefiting us?

Patanjali Keswani: These are segments here. So Mumbai, our hotel has really taken off. We have a huge retail demand, high recognition of the brand, I'm happy to say that. Gurgaon, corporates we were less dependent in Gurgaon on IT and more dependent on MNCs and pharma companies and financial institutions and so on. And those have all come back to normal. So it's the IT markets which are still somewhat loose, which is why Pune has not really taken off. Bangalore has, especially the Keys portfolio, which was very largely dependent on IT has not yet taken off. And part of the reason is also the fact that these are very old hotels and in desperate need of upgrade and similarly with Hyderabad. So, while in Hyderabad, we have done much better than the India average, we have not done as well as some of the 5-star hotels there.

Moderator: The next question is from the line of Sumant Kumar from Motilal Oswal.

Sumant Kumar: So, my question is for employee expense, it has increased even Q-o-Q from Q4 FY23 to Q1 and Q4 and Q3, the peak season. And so, can you talk about the reason about that or churning in the industry, the cost, the employee cost mutation for the Lemon Tree as well as industry?

Patanjali Keswani: I cannot talk about the industry, Sumant. But what I can tell you is that if you look at Q1 this year and Q4 the previous year, which is the closest comparison, the increase is only 3% or

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4%. The real increase is between Q1 last year to Q1 this year when we beefed up our business development team. And obviously, this is like an investment, although it is coming in the P&L. In my mind, I see it as an investment in our growth, and that increase is about INR 8 crores. And as I explained, maybe about 30% of that is the business development team and the balance is an increase in the salaries of our staff, those who are with us through COVID, many of whom took a salary cut and so on. So, we've kind of normalized it. And this is broadly what you will see going forward. And by the way, attrition is back to normal pre-COVID and it's not very high in Lemon Tree.

Sumant Kumar: Have any other cost areas increased because we have seen the power cost has also increased?

Patanjali Keswani: No, the power units have come down. You see every year, the government typically increases unit cost by anywhere from 10% to 15%. And that is because of the peculiar nature of the power industry, where there is a lot of subsidies/free power. And that is passed on to commercial users like us. Secondly power and fuel has also gone up because there have been a lot of power cuts in some cities where we have a large inventory, like Gurgaon, for example, where the power cut is like 6 hours a day. So that means you must operate DG sets and DG sets, typically, the power cost is INR 25 a unit. So, it is 1.5x what the normal is. So, these are the things that unfortunately add to our cost structure because not only do we have to pay much higher rates in power, we also get very erratic power in some states.

Sumant Kumar: We are not focusing on solar power?

Patanjali Keswani: We have a very large percentage of renewable energy, but our hotels are built very efficiently on small plots. So we don't have spare land or spare rooftops. Our equipment is loaded there. And there is a limit to how much solar power we can put. But this is all part of that overall plan, which we had shown in our 5-year plan that we will go to 50% renewables in the next 4 years: 16%- 18% renewable already.

Sumant Kumar: Last question is for employee cost, what INR 42.6 crores in this quarter we have some variable employee also. So when the business is

going to be at the peak level in Q3 FY24, can we expect some percentage increase also in Q3? Or it will be bare minimum increase in the price?

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Patanjali Keswani: No, it will not be material. You see, what you are talking is the variable employee cost. When I say 23% is our variable cost, let's put it this way is the temp staff we add in peak season.

Sumant Kumar: So it will not come on at these employee costs?

Patanjali Keswani: No, it does come here because this is the way we are showing it in the accounts. But when I talk variable costs, this is not breaking down your fixed and variable costs. This is just giving the expenses in total. What I'm trying to say is your permanent employees are your fixed costs, your temp employees typically are variable costs.

Moderator: We'll take the next question from the line of Aishwarya Agarwal from Nippon India Mutual Fund.

Aishwarya Agarwal: Sir, I just want to know, I understand in the call that you said July month, we are doing far better than the first quarter. Can you explain that, please?

Patanjali Keswani: I told you we are doing 74% occupancy.

Aishwarya Agarwal: And sir, what has happened, which has led to improvement in ARR in the month of July versus the previous quarter?

Patanjali Keswani: I'm talking July occupancy is an absolute number. ARR is a function of year-on-year. So, we are doing better than the previous year. I don't have offhand the numbers how it is doing in the first 11 days versus the last month. But overall, it is interesting that for the hotel industry, typically, Q2 is the worst quarter. But for Lemon Tree, Q2 is better than Q1. So that's encouraging for us. We have also started operationalizing a lot of our digital transformation efforts. We have generated an entirely new way of doing sales, which is completely tablet-based.

And if I remember right, about 100 salespeople across 9 cities have been re-trained. And it's a very interesting new way of doing sales, our salespeople tell us that it's revolutionary. And I think you will start seeing that the results of that come through in our occupancy. And as I said, this digital transformation effort is focused on revenue, on rate, on retail rates, on sales and on processes. And I think in the next 6 months, they will have a significant impact on our cost

structure also. So, this is that BCG assignment we have been doing.

The other interesting thing is that in our case, we are finding that our ability to drive demand from new hotels that we are opening, has significantly picked up after this new digitalization of our sales process. And that is what we are seeing happen quite rapidly going forward. I mean, it's already quite visible.

Aishwarya Agarwal: So, when we talk about our competitors, whether those people also follow the same process, or we are better than them?

Patanjali Keswani: I can say with absolute confidence that we are in the top 5 percentile in this and I mean globally. Because what we have brought out are global best practices in B2B sales. And one day when you are here, Aishwarya, I'll show it to you. It will quite blow you away.

Aishwarya Agarwal: And sir, then the question will come that how long the peers, I mean the peers will also try to take the advantage of the technology. And eventually, they will also go for the adoption. I mean this competitive advantage will remain with us for how long?

Patanjali Keswani: I'll try and monetize it and sell it to peers, in fact, on an annuity. It's not so easy. It requires enormous amounts of data, third-party data, not only our internal data, it requires a machine learning blender. It requires an AI brain sitting on top, and it took us 9 months to do it, by the way. And we piloted it only 2 months ago, and now it has rolled out nationally. So you will start seeing the results actually from Q2.

Aishwarya Agarwal

: The second, sir, when you talk about the Mumbai Aurika Hotel 669 rooms. So you seem to be confident about opening it in the month of October. So what are the things which has already been done? And what are the 2, 3 key things which we should look forward to, to be completed before the opening?

Patanjali Keswani: See, Aishwarya, there are hundreds of approvals, which and some of them are sequential, some of them are parallel. So, it's all kinds of stuff from multiple departments and agencies.

We have a rough idea of what happened in Bombay with our first hotel. And obviously, we have multiple consultants assisting us. So, what I'm given to understand is we are at an ultimate stage, which means we have, I think, only 2 licenses to get this month, and then it will

flow into the occupancy certificate next month.

Alongside that, there are operational licenses. Many operational licenses are unfortunately only given after the occupancy certificate. But I'm told those we have put in preliminary requests and those 2 will be given to us by 1st October. So somewhere in early October, we will open the entire hotel.

Moderator: We'll take the next question from the line of Shivam Mittal from Purnartha Investment Advisors Private Limited.

Shivam Mittal: So I just want to know in terms of own hotels. So what will be the opening in terms of rooms like FY24-25?

Patanjali Keswani: Well, right now, the only hotel we are opening this year is the Aurika, Mumbai, and then there is a small 70-room hotel in Shimla, which we will open probably 24 months from now. There is no other owned hotel. There is no other Cap ex. In fact, our entire capital deployment cycle of about INR 4,500 crores will be over, mostly with Aurika. And then it's a question, then, of course, a lot of that capital in book value is many years old and some of it is new. So it will be a question then of juicing those assets and fortunately, at a time when we are moving towards peak cycle.

Shivam Mittal: So in terms of debt, so are we planning something like we will also go for net cash actually like

Indian Hotels and Oberoi.

Patanjali Keswani: See, we are not doing a rights issue or a preferential issue. We don't need to. We are confident on generating enough cash from internal accruals. I think you will start seeing it from next year.

As I said, our peak debt is about where we are now. There may be a slight increase when Aurika MIAL opens, but that will be paid back in Q4. So, end of the year, we should be like the beginning of the year. And then from next year onwards, we will use our spare cash primarily to write the debt off. And I think we've already said that Lemon Tree itself on a stand-alone will be debt-free in 1.5 years and 2 years. And Fleur, based on our projection, should be debt-free 1 year, 1.5 years after that.

Moderator: We'll take the next question from the line of Jinesh Joshi from Prabhudas Lilladher
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Jinesh Joshi My question is on Aurika. I mean the hotel is quite near to the airport. So what kind of crew business contribution are we expecting over here? And have we negotiated any contracts with any airline so far? Would you like to share anything regarding that?

Patanjali Keswani: Well, my team tells me that we will get 100 rooms a day from airlines at about INR 8,000. It's a low rate, but it's a base rate. So that will presumably start in 1 or 2 or 3 months after Aurika opens. But we don't want to go over dependent on airlines because while it is guaranteed business for a year, and it is even better than corporate business because it does not fluctuate. We would be more focused on retail and some corporate, who are currently using what we have identified as our competitive set. So there have been some discussions. And from 1st of September, the site visits of, I think, about 30, 40 corporates who together can account for another 100

rooms a day will start. I'm saying we are sanguine that this hotel we'll do occupancies on par with that micro market, which is over 80%. I know I've shown 75% as our conservative. But the hotel will be a very, very significant contributor to our EBITDA from Q4 this year onwards.

Jinesh Joshi : My second question is with respect to your opening remarks, whereby you mentioned that this time around the increase in cost is somewhat less compared to what the guidance was given earlier. So if I recollect properly, in the last call, you had stated that our renovation guidance for 3 years is approximately INR 150 crores, which means INR 50 crores per year. So would you like to revisit that and quantify a bit? I mean, by how much will we be lower?

Patanjali Keswani: No, no. We will spend the INR 150 crores, and it is very much part of the P&L that you are seeing. So let me explain, Jinesh. About 75%, I think, if I'm right, roughly, 75% of our renovation is Opex and about 25% is Cap ex. So, in the INR 150 crores that we spent, about INR 120 crores will be Opex out and will come pre our EBITDA. So the EBITDA number you see is actually after we spend this INR 40-odd crores this year too. And that's very much part of our normal, well, in this case, it is extraordinary renovation because we are upgrading the entire Keys portfolio.

And from a cost perspective, what I had said earlier, if you take a revenue of INR 200 crores, INR 250 crores, about INR 5 crores is the incremental cost in our renovation per quarter this
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year. So that is broadly what I had said. So that, I think some analysts assume to mean that our EBITDA would be 2.5% less because naturally, there is an INR 5 crore increase in costs. I mentioned in my opening statements was that there were certain other costs that we were able to control; we managed to increase our revenue enough that the EBITDA margin was not significantly impacted.

In fact, it was only 60 bps less than Q1 last year. I know that we showed 45.7%, but that included a stamp duty last year. If I remove stamp duty, last year, we did 48.2%. And this quarter, we did 47.6%. So, it means things are going along the way we expected, and we did a little better than we thought or at least better than what the analyst said. They said we'll be 2.5% less than 48.2%.

Jinesh Joshi : One last question from my side. I think our share of corporate mix has gone down from about 43% to 38%. While the ARR is up by about 9% to INR 5,200, now I believe that the corporate business comes at a discount. So is the jump in ARR basically a function of change in business mix? Or is it also a function of price hike?

Patanjali Keswani: I'll tell you broadly, I don't want to get into specifics. If I look at segment level gross ARR trend from Q1 '23 to Q1 '24, the ARR increase is 9%. The corporate ARR increase is 14%. But corporate ARR is still 6% below the company ARR. So that is the trade-off, which is why you will see that while corporate room night share has gone from 43% to 38%, the revenue share has dropped from 39% to 36%. That tells you that from a revenue perspective, it doesn't pull its full weight and this is a very planned strategy for us. We want to replace it with retail customers and the retail customers. It's very simple. If I replace corporate with a retail customer, even at a lower rate than the retail customer is paying today are still cream because it is above the rate the corporates pay.

Moderator: We'll take the next question from the line of Riya Mehta from Equitas Investments.

Riya Mehta: My first question is in regards with Aurika, Mumbai. So are we looking at demand from things

like weddings like because our Aurika brand in Udaipur is much more or all leisure activities.

So would we see the contribution from these segments increasing for Mumbai?

Patanjali Keswani: Yes. Because we have large banquet facilities, we expect

we will get a significant portion of

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our revenues from both for rooms and for food from the wedding segment.

Riya Mehta: And could you repeat what kind of contribution would be received from Aurika Mumbai this year and next year?

Patanjali Keswani: This year, very difficult to estimate, Riya, because it's a question of how quickly we ramp up. But next year, it should be north of INR 170 crores EBITDA.

Riya Mehta: In terms of Fleur, I would want to know what kind of debt levels are there currently?

Patanjali Keswani: I think it's INR 1,400 - 1,450 crores.

Riya Mehta: We've been talking about trying to do some IPO or something like that. So, could you brief more on if that happens, what and how do we go about it?

Patanjali Keswani: So, see, the options for us are very simple. We have 3 options. Option 1 is we continue as is. Option 2 is we list Fleur, once Aurika MIAL opens and is stable. So, it becomes like an asset company. Option 3 is that a third party comes in and invests significantly in Fleur. Part of that could be primary because we own 59%. So technically, we could raise up to 18% fresh money. And another way to raise capital is we still own 1,700 rooms. We have roughly evaluated about INR 2,000 crores.

So if we transfer those into Fleur, then we could raise another INR 2,000 crores potentially in Fleur. So we are open-minded. We have not taken a decision yet. The Board has discussed it extensively. We are evaluating options. As we speak right now, there are some options on the table for third-party investment and significant third-party investments. So all options are on the table, but let's put it this way. If Fleur lists or raises third-party money, we will become debt free by next year, as a group because we will raise such significant capital.

Riya Mehta: And that will lead to dilution of share for Lemon Tree?

Patanjali Keswani: Not at all, we own 59%. So even if we sell, according to some investment bankers, 18% fresh shares will write off the entire debt of Fleur.

Riya Mehta: The equity stake of Lemon Tree in Fleur will be diluted.

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Patanjali Keswani: It will come to 51%, we will still be majority.

Moderator: We'll take the next question from the line of Prateek Kumar from Jefferies.

Prateek Kumar: My first question is on industry or maybe company as well. So last year, we saw industry taking up 3 to 4 price hikes during the year. This year, when do you expect pricing trajectory to turn positive on a sequential basis given low base of pricing is partly adjusted and there is selective normalization in various categories of hotels and demand?

Patanjali Keswani: From Q3.

Prateek Kumar: So, October onwards, there should be a reversal. So, unlike last year, we should have like maybe 2 hikes this year. That's what we expect, and which should translate into 15% hike on annualized basis, which you mentioned?

Patanjali Keswani: If you look at Q1, I think our price hike was what about 8% -9%. Q2 will be roughly similar. Q3 on a year-on-year basis will be something like see the price hike is 2. One is the hike that you give to your contracted customers. And one is the price hike that you achieved due to retail sales. So, my expectation is that and typically, retail sales repricing is very high because whenever you get full, you try to like some people asked me recently that is it true that your hotel in Ahmadabad is priced at INR 35,000. I said, yes, because that's what happens when the events happen or high demand periods occur, it's something like airline pricing. So, you're quite right, the prices in my opinion will go up more than 15% in Q3 and a further 5% -6% in Q4, leading to an overall increase of maybe 15 -odd percent. But this will be led primarily by retail pricing.

Prateek Kumar: And when you mentioned in the various growth drivers we have for the year, and you said 25% in

crease, not for the year, but maybe for a couple of years. You said 25% increase in EBITDA from Lemon Tree portfolio. This means it's on the back of higher occupancy and pricing. That's what you meant?

Patanjali Keswani: That's right. Let me explain that to you. If we take our group revenues up by let's assume our revenue is INR 100 and our EBITDA is INR 50 as the owned portfolio, Lemon Tree Hotels. A 25% hike in EBITDA translates in rupee terms to an INR 12.5 increase on the current INR 50.

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But for INR 12.50 increase, I need to increase my revenue only by INR 17 because 75% will flow through because our fixed costs are now stable. So really, what I'm saying is if Lemon Tree's own portfolio only increases its revenue by 17%, our EBITDA will grow 25% to 28%.

Prateek Kumar: And last question on your I mean when you say that over next few years, we will have like significant room inventory added at the peak of the cycle. You mean peak of the cycle in like

2-3 years? Or it's like 4 -5 years out or you mean what we believe?

Patanjali Keswani: See, peak cycle is normally when occupancies on an all -India basis cross 70%. And that's when everybody kind of reprices because 70% means that really in winter, for 4 or 5 days every week you have no rooms available because there is seasonality not only in summer and winter, but there is also seasonality in day or week. So, I'll give you an interesting example. On peak days in Lemon Tree Bombay, we price our rooms at INR 20,000. And the last 20 rooms are sold at that price.

So that is what takes your average rate up. Similarly, with a hotel like Aurika Bombay, Aurika, Udaipur or Delhi or equivalent markets. So, when you talk pricing, pricing is not static. It's not that I have taken the pricing up. The pricing is driven dynamically. In our case, by machine learning, AI brain, and we change pricing every 1 hour for hotels. So going forward, my view is that supply growth in India is significantly less than demand growth. Demand growth in India, a simple number is 1.5x or 1.4x GDP growth. So, if GDP is growing at 6%, demand is going to grow north of 8%.

And supply growth is sub 5%. So that 3% difference flows into occupancy so if India is at 68% today. Next year, it will be at 71%. And following year it will be at 74%, assuming everything else is normal. So, at that point, pricing goes through the roof. It's not rational pricing hikes. Then it becomes absurd pricing hikes. Just like at the bottom of the cycle, it becomes absurd price declines. And my view is it takes 4 -5 years for supply to operationalize. So, the next 4 -5 years, and I'm not talking Lemon Tree, I'm talking for the industry. It's going to be a golden period and you'll find every hotel company doing very well.

Moderator: Thank you very much, sir. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for closing comments. Over to you,
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sir.

Patanjali Keswani: Thank you once again for your interest and support. We'll continue to stay engaged. Please be in touch with our Investor Relations team for any further details or discussions and I look forward to interacting with you in the next quarter.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Nov 2023

November 16, 2023

National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai – 400051

NSE Scrip Symbol: LEMONTREE BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400001

BSE Scrip Code: 541233

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015

Ref: Outcome of Conference Call with Analysts/Institutional Investors

Dear Sir

Pursuant to Regulation 30 of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 and in continuation to the disclosure made on November 10, 2023 w.r.t the audio recordings of the conference call on Unaudited financial results for the quarter and half year ended September 30, 2023 held on Friday, November 10, 2023, please find enclosed herewith the transcript of the conference call with investors/analysts.

Kindly take the same on your record.

Thanking You

For Lemon Tree Hotels Limited

Kapil Sharma
Chief Financial Officer

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Lemon Tree Hotels Limited
Q2 & H1 FY24 Earnings Conference
November 10, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Lemon Tree Hotels Limited Earnings Conference Call.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you and over to you.

Anoop Poojari: Good afternoon, everyone, and thank you for joining us on Lemon Tree Hotels Q2 & H1 FY 24 Earnings Conference Call. We have with us Mr. Patanjali Keswani - Chairman and Managing Director; Mr. Kapil Sharma - Chief Financial Officer and Mr. Vikramjit Singh - President of the Company.

We would like to begin the call with brief opening remarks from the management, following which we have the forum open for an interactive question and answer session. Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature. And a disclaimer to this effect has been included in the results presentation that was shared with you earlier. I would now request Mr. Keswani to make his opening remarks.

Patanjali Keswani: Good afternoon, everyone and thank you for joining us on the call. I will be covering the quarterly business highlights and the financial performance for Q2 FY 24 post

which we will open the forum for your questions and suggestions .

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In Q2, Lemon Tree continued its growth momentum from the previous year. Q2 FY 24 has been the best-ever Q2 performance in terms of gross ARR, revenue, EBITDA, PBT and PAT for Lemon Tree Hotels. This quarter Lemon Tree's focus was on increasing occupancy and maximizing RevPAR. Q2 FY 24 recorded a gross ARR of INR 5,268 which increased 7.1% Y-o-Y and increased 0.6% Q-o-Q. Occupancy also increased by 542 bps Y-o-Y and 143 bps Q-o-Q. This translated into a RevPAR of INR 3,678 which increased 15.9% Y-o-Y and 2.6% Q-o-Q. Total revenue for the Company in Q2 was INR 230.1 crore which was higher by 16.6% Y-o-Y and 2.5% Q-o-Q.

The net EBITDA margin of the Company in Q2 FY 24 stood at 45.5% which decreased by 225 bps vs Q2 FY 23 and by 203 bps vs Q1 FY 24 mainly owing to planned increase in renovation expenses, above that spent in Q2 FY23 and pre-operative expenses of Aurika Mumbai SkyCity. These two incremental expenses accounted for a total increase in expense of about INR 4.5 crore beyond Q2 FY 23, which translated to a reduction in EBITDA margin by about two percentage points on revenue.

The Keys portfolio also saw a drop in EBITDA margin percentage by nearly 5% points Y-o-Y to a significant increase in investment and renovation during Q2 FY 24.

Furthermore, the closing down of New Delhi during the G 20 Summit also impacted our hotels here, with most of the business for the event being diverted to 5 Star Deluxe hotels, which is why you see a drop in our performance in New Delhi vs the industry.

The PAT for Q2 FY 24 grew by 26.3% Y-o-Y from INR 19.6 crore to INR 26.4 crore.

Cash profit stood at INR 49 crore which increased 10.4% Y-o-Y. Fees from managed and franchise contracts for third-party owned hotels stood at INR 10.4 crore in Q2 FY24 up 58% from INR 6.6 crore in Q2 FY23. Total management fees for Lemon Tree were up 29% Y-o-Y at INR 24 crore compared to INR 18.7 crore in Q2 FY 23. Hotel level revenue from the owned portfolio increased by 15% Y-o-Y on a same store basis while the network revenue for Lemon Tree that is total system revenue of owned and managed / franchise hotels, increased by 17% Y-o-Y. Total network revenue stood at INR 691 crore for H1 FY24 as compared to INR 591 crore in H1 FY23.

During the quarter we signed 11 new management and franchise contracts, which added 639 rooms to our pipeline. As of 30th September, '23, our operational inventory comprises 95 hotels with 8,760 rooms and our pipeline comprises 52 hotels with 4,092

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rooms. As of now, we expect our operational inventory to be over 105 hotels with over 10,000 rooms by the end of this financial year. I'm also happy to inform you about the launch of Aurika Mumbai SkyCity on 5th October 2023. This hotel has 669 rooms and suites and it's currently the largest hotel by number of rooms in India. Some pictures in the investor presentation will give you an idea about the hotel's look and feel. With this, I come to the end of my opening remarks. I would ask the moderator to open the forum for any questions that you may have.

Moderator: We have our first question from the line of Jaiveer Shekhawat from Ambit Capital. Please go ahead.

Jaiveer Shekhawat: Sir my first question is in relation to what you had earlier, in your earlier calls mentioned about an expectation of 15%+ kind of a RevPAR growth over the next 2-3 years. And especially when I see your Lemon Tree Premier and Lemon Tree portfolio, you are already clocking 75%+ occupancy, I think Lemon Tree Premier, you're already touching 83% percentage. So, in that context, how do you see your ability to drive say an ADR of growth of 10% to 15%, in order to meet that 15% RevPAR growth, because your occupancies are already in line with what it used to be even pre-COVID levels.

Patanjali Keswani: So, see, when I spoke about this, I spoke about the system growth, that is the entire

managed

portfolio growth Jaiveer. So, if you notice Aurika Hotels still has very low occupancy levels, which was 49% in Q2 this year. If you look at the portfolio of Red Fox, it was at 69% and Keys by Lemon Tree was 59%. So, really, it's a twin strategy, where possible we will drive occupancies and where occupancies are already peaking, we will look at driving weekend occupancies and higher ARR's during the weekdays. So, it's a sum of the parts really, but I'm very confident that now especially with the addition of Aurika MIAL, our own portfolio will show a minimum revenue growth of 15% perhaps for the next 3-4 years, minimum growth.

Jaiveer Shekhawat: Sir on your overall debt level, it seems to have increased over the last year. I understand it's because of the Aurika expansion as well.

Patanjali Keswani: The real increase in debt was because of the unplanned acquisition of the CCP S, our share of the CCP S from APG because initially our plan was to inject assets to equalize

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our shareholding. But since that was not financially very viable, we instead opted for this. So, that was about how much was it about INR 170 crore. So, that was the main reason, the majority of the debt increase was for that. I had also mentioned if I remember right, one or two investor calls ago that our debt would peak with the opening of Aurika and then with the cash flow of Aurika, it will automatically reduce. Let's put it this way Aurika is not earning yet what it can. So, it's a temporary, think of it as an equivalent of an overdraft. Till such a time Aurika delivers, after which we will stabilize, as I said, I would really like you to look at debt at the end of this financial year, rather than half year.

Jaiveer Shekhawat: Sir lastly, just to understand your perspective, now we understand on the supply side that it seems to be quite muted. But on the demand side, how much further room do you see from current levels before it starts sort of impacting demand due to unaffordability. And are you also seeing the sort of people moving from upscale and luxury categories downwards, which is sort of supporting your current demand and pricing?

Patanjali Keswani: I would not look at it as movements up and down, basically, the GDP growth, the percentage of discretionary consumption in the hotel space is growing. That's my broad observation. Obviously, a part of that will be luxury, a part of that will be mid-market, and a part of that will be an economy. And of course, there will be movements up and down that as and when you change pricing, then a consumer of a certain category might decide to move down because of affordability. As I said, the good proxy to look at is airline traffic, because that has a direct correlation to hotel room demand. And, for you the most interesting indicator should be the number of airplanes ordered by the airlines, which implies the growth in supply, and which is obviously predicated on a growth in demand. And then please look at the growth in the supply of hotel rooms. So, my best guess is that, airline seat capacity will more than double in the next few years, whereas hotel capacity will probably increase by 15%. So, that will automatically lead to a huge mismatch in terms of demand - supply for hotels, and which is why I'm quite sanguine that the next 4-5 years will be very good year for the hotel industry and across sectors. Now price hikes are a simple function of demand supply Jaiveer. So, we are only interested in filling our hotels, so if there is more demand, then obviously and naturally we will re price to fill our hotels, and not look at demand beyond that.

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Moderator: We take our next question from the line of Jinesh Joshi from Prabhudas Lilladher. Please go ahead.

Jinesh Joshi: I have two questions. One is with respect to the booking from our own website, which has increased from about

2% to 7% in this quarter. So, can you highlight what has led to growth in organic traffic for us?

Patanjali Keswani: Jinesh, let me explain this. Over the COVID years, we have started investing time and looking at revamping our entire website and our loyalty program, which frankly was not really operational during COVID because as you know, there was really no demand. So, what you're seeing is a result of revamp of our website, and our loyalty program. And this was really launched, in January this year. So, what you're seeing is the result really of some work in the last two years. But the output you're seeing is now really starting to show itself in our brand.com bookings. And as you would guess, it is the most efficient and cost-effective way of getting customer reservations. It has the lowest cost, and it has the highest stickiness. So, it is very encouraging for us and in sync with our strategy to maximize retail traffic.

Jinesh Joshi: Sir in the last quarter you had highlighted that your power cost was high due to some power cuts in Gurgaon and hence you had to use DG sets where the per unit cost is high. But even if I look at this quarter, our run rate is more or less similar to what it was in Q1. So, has the situation not changed as yet and what should be the steady state power and fuel run rate that one to be looking at?

Patanjali Keswani: Typically excluding Aurika MIAL, I would say as you look at last year, our winter revenue is typically 1.2-1.25 times the summer revenue, and cost more or less remained flat, in fact power cost actually come down a little bit. So, from that perspective, and I'm just speaking without really getting into the math of it, if our revenue in H1 was say, 460 crore then technically and this is not guidance we should do INR 1,000 crore of revenue owned hotels this year. Now, you apply this, it is

currently 8% of our power and fuel expenses. So, if you look at 8% , then in winter it will be 7% and therefore, the weighted average of our power and fuel expenses will be about 7.5, which is typically where we are quite comfortable with . After that any increase in rate will drive the percentage down not occupancy, because occupancy does lead to some level of increased power consumption. Am I being clear?

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Jinesh Joshi: Yes sir, that was pretty clear. One last question from my side with respect to Aurika .

We opened this hotel on 5th of October. So, just wanted to kind of understand how is the feedback , how many rooms are we operating currently and how are the ARR s trending because , if we do a random check on some OTAs especially this time around the ARR s appear to be higher than what we have guided for FY 26. So, how should we be looking at the pricing trend as well ?

Patanjali Keswani: What I can tell you is Aurika MIAL will be EBITDA positive from this quarter for sure.

Okay, now if you look at the demand, we launched this hotel on 5th October, we did about 100 rooms a day, which is about 15% occupancy in October, the ARR was low for two reasons because we had very little retail traffic , for retail traffic it is an interesting chicken and egg situation. To build retail traffic, you need retail feedback . And October did not have much retail traffic because #1, it's a new hotel and #2, it's Dussehra and so on and so forth. So, we have really started building a base in this hotel of airline crew. The re are about 200 rooms of airline crew in this hotel, but that's a low-rate business typically at about, about INR 7,000 to INR 7,500. So, we really think of it as a strategy to cover cost, till we will build our real long -term business, which is corporate and retail. My broad guess is that we will close Q3 at over 200 rooms a day on average. And ARR maybe of over INR 8,500. So, this ARR is deflated because of a very significant section , a segment of these 200 rooms per day will be for the crew. But

, what I'm very sure about is that Q4 will be a showstopper for Aurika .

Moderator: We will take our next question from the line of Santosh Sinha from Emkay Global.

Please go ahead.

Santosh Sinha: So, my question is regarding the margin. In this quarter, we assume some margins hit due to sum planned expenses. My question is , what is the out look and what are the margin levers that are there with the Company and how should we look it going forward?

Patanjali Keswani: Santosh as I said, look at it broadly as follows. So, there is a fixed cost element in our business, which operates throughout the year. That is roughly half of our total expenses roughly. Then there is a variable cost, which is based on occupancy and consumption of food and number of bookings you get from online channels. So, that is roughly the other half . So, I'm just doing a simple 101 on hotel finance. So, if income

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in summer, and I'm again being very approximate . Our income in summer is say 44 and 56 in winter, and your year-round EBITDA is say 50% . Then in summer, obviously your cost will be nearly equal to your cost in winter, but your income will be 25% lower. So, like in last year, I would just request you to have a look at last year four quarters, and you will find our EBITDA in winter is always significantly higher than our EBITDA in summer , because of seasonality. So, in winter, typically occupancy and rates are higher. So, to put it simply, I would have probably earned a Rs.44 income in summer, an expense of say Rs.24 and in winter for Rs.56 revenue, I would have an expense of Rs.26. Does that make sense?

Santosh Sinha: Yes, that is very helpful .

Patanjali Keswani: I said this in earlier conference, earnings calls also that we will be because we are pretty sure about demand outpacing supply, at least for the next 3-4 years, we are renovating our entire portfolio. Because there was a , it's a catch up really because we didn't do anything in the two years of COVID. And we did a little bit last year. So, what you are seeing in Q1, Q2, Q3 and you will see in Q4 is significant investments in renovation. Because ultimately, we want to re-price our portfolio up fairly significantly, every year for the next 4 years. So, that is the reason you see a 2% hit in our EBITDA margins because it is mostly due to renovation, increase in renovation. So, basically, there's 2% is incremental renovation beyond normal renovation. And a part is, of course, a couple of crore s, is also because of Aurika pre-opening expenses in this quarter, which is again about a percentage of revenue. So , Q3 and Q4 Aurika Mumbai will be a deflator of the EBITDA margin, though on absolute basis EBITDA rupees crore will increase, because I do not expect in Q4 Aurika MIAL to have any EBITDA of more than 35%. So, on a weighted average basis, it will obviously bring the EBITDA margin down.

Santosh Sinha: That was helpful. Just one follow up question. Whenever some property goes under renovation, what kind of ARR improvement we generally see for that property ?

Patanjali Keswani: After renovation?

Santosh Sinha: Yes.

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Patanjali Keswani: Well, we renovate on the basis of whatever we invest in renovation we expect to recover in the following year. So, really, we have a slightly different way of looking at renovation, we have what is called a Brand Maintenance Standards renovation which is typically 2-3 lakhs a room averaged out. And then, we have in deep markets like Hyderabad for example, we have significant renovations which is like 8 lakhs a room, which is really where we think we can re-price to recover this 8 lakhs per room in that following year. So, this is a function of demand supply and our anticipation of it. So, it depends on how much we invest, sometimes we invest in a hotel just to maintain brand standards. And we do not expect too large an increase in revenue th

at i s in the

half of the Keys portfolio. In other hotels like Hyderabad or Keys Bangalore and Keys Pune, we will invest significant sums per room because we expect to recover that through a combination of re-pricing and occupancy.

Santosh Sinha: One last question regarding CAPEX. So, what is your outlook on the CAPEX, what kind of CAPEX we can see for up to FY26?

Patanjali Keswani: This year we will spend maybe 50 crores on renovation. Next 2 year we'll spend another 100 crores, but there will be no other CAPEX.

Santosh Sinha: This is just for renovation, or does this includes construction of hotels also?

Patanjali Keswani: No there is no planned construction of any other hotel other than Shimla, where it is totally another INR 20-25 crore left to open the hotel. We have already invested 30 crores in Shimla, that is already there. So, we will open Shimla and now we will give a specific date after we review that project because our focus was on Aurika. The good news is that in Aurika MIAL probably we did not end up spending INR 950 crore it will be closer to INR 900 crore and we don't have any other CAPEX. So, now what you will see is that the CAPEX cycle fundamentally, Santosh is over. And now it's all a question of sweating all these assets specifically Aurika MIAL and that cash flow I can with some certainty assure you will be quite a pleasant surprise for next year or from Q4 actually.

Moderator: We have our next question from the line of Rajiv from Dam Capital. Please go ahead.

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Rajiv: Sir, with regard to this pre-opening expenses, this entire thing is charged in Q2 or there is some spillover in Q3 as well?

Patanjali Keswani: So, we charged a total of about INR 2 crore of which the majority about INR 1.4 crore was in Q2 to the P&L.

Rajiv: With regard to this BCG project, the payout has already started off and how much is the quantum of the entire project?

Patanjali Keswani: Well, that is a NDA kind of thing. Let me put it this way, this is the investment in setting up a platform for ultimately, which will ultimately be monetized by providing revenue management, sales and cost control services, whether to our own hotels or to managed hotels or to franchised hotels or to other hotels. My broad understanding is that, our entire investment in this project will be over in 18 to 24 months at the least and will lead to a return of 100% of investment every year. So, we invest Rs.100 in this entire assignment, we expect to increase our EBITDA by Rs.100 once all the levers are in place, and that will really be frankly from FY 26. So, I would not really like to talk about it today.

Rajiv: And with regard to your Slide # 11, where you have given this market segments break up, if you reverse work the ARRs by segment, it looks like the airline bid is the most remunerative at least for this quarter. Slightly confounding, can you explain that?

Patanjali Keswani: Very good point, thank you. So, Rajiv here's the interesting thing, airlines are price sensitive. So, you can assume that, and this is a question of demand and supply. So, because of increasing rates, some airlines are moving from five stars to mid-mark let me put it this way. So, if your choice is between a branded five star or a branded four star and the branded five star is offering, say Rs.10,000 as a rate to you, then the airline will shift to a branded say Lemon Tree Premier at Rs.7,000. Are you getting me?

Rajiv: Yes.

Patanjali Keswani: So, we are also being a little opportunistic here. The interesting thing is with the increase in demand in airline traffic, airlines are now getting into wet leases, which is temporary increases in supply, I'm sure you know, by leasing deals with crew, so

those crew have to be put somewhere. And we are very happy to offer that. The advantage of that is, these are also prepaid businesses. So, unlike

normal airline

business, in wet leases we ask for 100% payment upfront, because it's a one off, so to speak. And I reckon, that till the full supply of planes come into India, and I believe the order is over 1,000 planes or something, there will continue to be wet leases and we will continue to offer obviously our rooms at an appropriate price to meet this demand. Once the full supply of aircraft is in place, then the wet lease business will disappear. But what will come instead will be a very large demand for airline crew.

And my broad guess is airline crew will get re-priced quite significantly and will become a relevant segment for the entire branded hotel industry, three-star upwards.

Rajiv: The other point is because it's higher by 25% Y-o-Y in terms of pricing, how much, let's say juice is left in this particular bit? Are we risking that, they will go down even further?

Patanjali Keswani: No, it will keep getting re-priced, what might happen is if you are normally like it has happened in Gurgaon, that Lemon Tree earlier there were some crews staying with us for example, in Lemon Tree Premier I'm just giving you an interesting example, in Lemon Tree Premier Delhi, last year it moved to Red Fox Delhi. This year it has moved to Lemon Tree Hotel, Sector 60 Gurgaon, and maybe two years later it will shift to Red Fox Sector 60 Gurgaon, because as demand increases in our higher value hotels, we keep re-pricing and therefore price sensitive businesses like airline crew will step down into a lower brand of ours because that becomes affordable.

Rajiv: Fair point. And just an extension of this, on the retail side of the business which you have combine your OTA web and other FITs, let say on a full year basis, Y-o-Y basis that has increased only 5% in terms of, so earlier the gap between let's say your corporate and FIT pricing used to be 20%, with retail pricing being at 20% premium and that premium has collapsed to 4% or 5% now, why the retail pricing is not working out?

Patanjali Keswani: Let's put it this way. Our whole strategy is to eliminate anomalies in segmental pricing. So, if you look at it, let me just give you an example corporate ARR in Q2 FY 23 after a 20% hike or 15% hike was as low as Rs.4,600. Now in Q2 FY 24 it has become nearly Rs.5,000. So, it has gone up by 8%. Our retail pricing has gone up only by 3%.

So, what we are really doing is, we are removing anomalies, we are removing the lower price. So, when I say corporate pricing has gone up, it does not mean the same corporates are using us. When you take your price up corporates like airlines are bulk buyers and price sensitive. So, when you take your average rate up, some of your previous demand disappears. And the whole question is how you substitute it, do you substitute it with more corporates or do you substitute it with other segments. So, broadly, our whole intent is to re-price our entire offerings, segments will change when you re-price and obviously, let me put it to you in a slightly different way. If there are two customers one is at Rs. 40 and one is at Rs. 60, I'm quite happy to remove the Rs.40 guy and replace him with two Rs.52 guys by dropping the Rs.60 price to Rs.52, am I making sense?

Rajiv: Yes.

Patanjali Keswani: So, really it is not static. I will be happy to drop my retail pricing to increase retail participation because, there is substitution and there is no cannibalization. Infact the average increase in rate is still positive.

Rajiv: So, the question was, because the gap between let's say corporate and retail has collapsed, the mix change benefit, which you are getting let's say for the last three quarters, incrementally won't get. So now it's only basically if you get let say corporate rate hikes and retail would basically catch up on the same?

Patanjali Keswani: So, on the contrary, what you are not taking into

account is risk management. All my

retail business is because of my brand, most of my corporate business is because of my price. So, as long as I keep increasing my retail demand, it is actually a risk mitigation strategy because these are customers who are sticky with me whereas corporates are not sticky.

Moderator: We have our next question from the line of Suman t Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Can you talk about the INR 4.4 crore bifurcation for operating expense for Aurika Mumbai?

Patanjali Keswani: INR 4.4 which number are we talking about?

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Sumant Kumar: We have an additional cost as per the notes of account and PPT, INR 4.4 crore we have additional cost for renovation and Aurika hotel ?

Patanjali Keswani: Okay, INR 1.4 crore is pre-operative expenses and INR 3 crore is the increase in renovation expenses beyond Q2, what we spent in Q2 FY23.

Sumant Kumar: Okay. And what is the employee cost has increased Q-o-Q so what is the additional employee cost for this Aurika hotel this quarter ?

Patanjali Keswani: Most of this would be employee cost, if you see our waterfall, the reason payroll is showing a significant hike and therefore, reducing the flow through. I am referring to Slide #15. Multiple reasons - A change in minimum wages which affects our salary; because of profits, our bonus payouts have increased from 8.33% to 20%. We have also hired some more people in some departments which are linked to either revenue or to business development. And we have done a fitment, which is basically ongoing fitment of wages because of inflation and also, because we did not do much in the last 3 years. So, it's a combination of all this.

Sumant Kumar: What is the incremental cost of Aurika this quarter?

Patanjali Keswani: In terms of staffing ?

Sumant Kumar: Employee, yes staff cost.

Patanjali Keswani: I don't have the exact number of hand, but it should be about INR 4 crore.

Sumant Kumar: Okay. And overall ARR growth for Lemon Tree, when we talk about compared to other industry players, a 7% ARR and other players are reporting double digit growth. So, it is because of the lower end of the hotels, or you say budget hotels have a lesser pricing power at this juncture compared to luxury. So, this is the main reason for the lower price ARR increase for this quarter?

Patanjali Keswani: No, it is to catch up on occupancy. So, please go to Slide # 12, Sumant. Now, is our strategy clearer here ?

Sumant Kumar: Yes.

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Patanjali Keswani: So, if you look at it last year, we increased our prices more than competition.

Sumant Kumar: Okay.

Patanjali Keswani: This year, we increased our occupancy by increasing price less than competition, but we achieve the same RevPAR. So, what is the purpose? The purpose is that when last year we increased prices as I was explaining a little earlier, a bunch of our customers dropped off, the price sensitive lot. So, then you have to find new customers. Now these new customers are here at this price point, which is whatever it is. Next year, my expectation is we will have a much stronger ability to re-price because the customers we have are less price sensitive or inelastic.

Moderator: We have our next question from the line of Sumit Kumar from JM Financial. Please go ahead.

Sumit Kumar: My question, one of them got answered in the previous one. The second question is, how are you looking at newer acquisitions in your own portfolio going forward, since you mentioned that, debt has peaked out and we'll be going down post-opening of the Mumbai Aurika?

Patanjali Keswani: So, that's a bit of a tricky question in the sense. We are right now in the middle of defining a very clear capital allocation policy. So, our board has been asking that now that your current CAPEX cycle is over, because we have deployed including Auri

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we have deployed or operationalized roughly INR 2,500 crore of what used to be CWIP, between the new Lemon Tree Premiers, the acquisition of Keys, and the opening of Aurika. So, please note, all these operationalizations came into play in 1 year before COVID and now 1.5 years after COVID. So, now we need to sweat this INR 2,500 crore. The way we look at it is, we need to define a very clear policy as to what is the hurdle rate under which we will not make any investments in capital assets. And we would prefer to write off our debt. What is the ideal debt to equity ratio which we feel mitigates all forms of risk, what is the ideal debt to EBITDA ratio and how will we deploy because we expect to be significantly free cash flow positive from the following year onwards. So, how will we deploy this cash, will we distribute it, if so, how will we distribute it, will it be dividends, share buybacks, what is tax effective, how much will we write our debt down to and so on. Broadly, without it being UPSI, let me

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say that the view is that we will bring our debt down as far as possible, maybe even to being debt free. And then, any capital that we deploy in asset acquisition should

meet our weighted average cost of capital hurdle rate. Currently, the WACC is, 14% based on a debt equity ratio currently, it's about 1.3 :1. But we reckon our Debt Equity ratio will drop dramatically in the next 2 years. And our Debt to EBITDA will equalize also in the next 2 year. So, basically, what we are saying is if today our Debt to EBITDA is a little over 3x. We intend to bring it down to 2x, and then 1x, hopefully in the next two years. And then after that, of course the question is, what do we do with the free cash flow beyond that .

Sumit Kumar: My second question if I may, what is your sense on the Udaipur Aurika hotel, are you comfortable with the current state of operations and what would be your strategy around that property?

Patanjali Keswani: So, see, Aurika Udaipur , unlike most of our portfolio is highly seasonal. So , if our portfolio and I can say with some degree of certainty , winter revenue is 1.25 x of summer revenue. In Aurika , I can say with certainty it is at least 2x of summer revenue. Because it gets so much business in winter and relatively less in summers .

So, I'm quite pleased, frankly, with Aurika's performance. There is still a catch up because it is a new brand. It is operating in a space different to Lemon Tree normal space. But on an aggregate basis, although, we focused on finding the right price. So, our average daily rate is over 11,000 in summer in Aurika , and we've increased the occupancy to 50% which I'm told is a 10% premium over the industry in Udaipur at this level. So , it's pretty good progress and I would urge you to wait for Aurika's performance for the full year to have a look at it to get a better idea.

Moderator: We have our next question from the line of Jayesh Shah from O HM Portfolio Equity Research. Please go ahead.

Jayesh Shah: My question s are, first of all on renovation why is it that the renovation is kicking in Q2 and Q 3 which are relatively fair season when compared to Q 1 which should be lowest for you?

Patanjali Keswani: So, normally Jayesh Q2 is the lowest season , last year was an anomaly where we did better in Q2 than Q1. Number two, our renovation is not that we shut a hotel down.

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We are quite selective , I know in the past certain analysts had mentioned that by shutting down inventory, we are likely to suffer a drop in occupancy. But if you notice our occupancy although we shut , we shut 1,000 rooms this year , we did it in such a way that our occupancy actually went up by 5.5% . So, see, we are very careful about renovation vis-à-vis lost opportunity cost and if I say we will continue renovation in Q3 and Q4 it will be in those hotels which perhaps have highe

r demand in H1 than H2

for example, our Bangalore Keys hotels get a lot of I T employees in summer and less in winter. So, therefore that renovation will continue on a larger scale. Some hotels like Delhi certainly, which has high demand in winter, we will be more careful about the number of rooms we shut and how we shut them. So, this is a mix and match combination. We try and do it without incurring a significant opportunity cost in terms of lost business or turnover business.

Jayesh Shah: Coming back to the second one, are you happy with the Keys hotel performance because we've not seen much improvement I understand your rationale for Keys earlier , but if the other hotels continue to be a drag, continue to spend on renovation right now, what are your thoughts on Keys?

Patanjali Keswani: See, my point is that Keys to me are two portfolios. One is the juicy portfolio, and one is the non -juicy portfolio. The juicy portfolio is 380 rooms in Bangalore and 100 rooms and Pune. The medium juicy portfolio is 100 rooms in Visakhapatnam , and the non - juicy portfolio is the Cochin , Ludhiana and Trivandrum which is another 350 rooms . We are allocating investment in terms of renovation in all these hotel bases our expected return from that investment. The only hygiene factor we are after is to ensure that the brand standards are met even if a hotel is not likely to give a great return , from a brand perspective it must have a minimum standard. As far as Keys goes, the way I look at it is , that we invested INR 600 crore in it, I'm not taking into account holding cost, because if I do that, then any investment because of COVID would look forward , and we are going to invest roughly I would say about INR 40 crore in the Keys portfolio. Last year we did a bit , this year , next year and the following year, when this entire investment is made , I would expect that the Keys portfolio should give me a minimum return of 15% or INR 100 crore EBITDA . And you would see that starting to play out in another 6-9 months when we start opening these renovated rooms and have enough number of these renovated rooms across this portfolio. So , to put it simply our target is to achieve a INR 100 crore EBITDA from Keys , and in a run rate.

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So, 12 to 18 months from now you just keep seeing an improvement in performance in fact even now if you look at Keys in the few hotels and floors which we renovated, there is a somewhat increase in occupancy. And you can see it for the last year, we haven't been able to really re-price the product, but we have been able to increase the occupancy and going forward, you will see a combination of both, once occupancy crosses 65%, you will see the gross ARR probably jumping to current what's it called, Red Fox levels.

Jayesh Shah: The third and the last macro question is, last year we focused on price hike, this year we focused on occupancy. What would be the focus next year, then does it mean that by next year, we are into the mid cycle of the hotel industry?

Patanjali Keswani: Yes, we are getting into the mid cycle. But there will be a hockey stick shift into the upcycle. That will happen when some other demand segments, which are still extremely low, compared to pre-COVID, also kick in. So, when I look at demand segments, the foreign demand segment which used to be 10% - 12% of our business, is still I would reckon, I don't have numbers, but I would say it is certainly less than 50% of pre-COVID. So, that's a further hike in demand of 5% - 6% on inventory, probably more for Aurika's. I also expect there will be a fairly significant increase in corporate travel once this work from home stuff completely stops, which I think will happen now, perhaps in the next 6-9 months. I also think generally as the GDP grows, there will be increase in consumption of midmarket hotel rooms as happened in China between 2008 and 2015. So, w

hen all these levers come in, there is an increase in demand, as once we hit an occupancy, stable occupancy level of about 75%. We will look at re-pricing far more aggressively than we are doing today. And that should happen in the next as I said by next winter.

Jayesh Shah: Will you accelerate the pace of your signing of the new hotels, because it was pretty impressive in the last quarter?

Patanjali Keswani: Well, internally our business development team says that they will give us 15,000 rooms in the next 3 years which is actually very little in my opinion. But our view is very simple, we have said that our strategy is that by FY26, 70% of our portfolio should be managed /franchised, which means since our own portfolio is close to 6,000 rooms, there are 14,000 managed / franchise rooms in the pipeline. What we are really looking

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at is, typically in India if you look at signings in the last 6 months, 50% of the signings are for what are called Greenfield Projects, which means you are signing the hotel today, but the management fees will come after 5 years, because these hotels have to be built. Then there are brownfield projects where you really have a 2-2.5-year window before you earn, there are conversions which is typically under one year. So, our focus is, obviously in the sense that we are looking at all 3 segments to sign we are also focusing a little more specifically on conversions so that those fields flow in earlier. And we are looking at strategic locations or cities where due to assessment based on airline traffic, based on network effects, based on say if we go to a city like hypothetically, Kanpur which flows gives a lot of business to cities where we have hotels based on airline traffic data. Then strategically we would like to be physically present in those cities to drive that outbound traffic. So, it's a combination of many things. And while we are opportunistic in the sense that any queries that come to us, we reactively go all out for it and there are plenty of such queries. We are also proactive in reaching out to those cities, locations and hotels, where it makes sense for us to have a flag immediately and we get the fees fast.

Moderator: We have our next question from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: Just wanted to understand the issue in Delhi I understand, but how come it's not affected the Gurgaon property?

Patanjali Keswani: Because during G20, they shutdown Delhi from airport to the city. Gurgaon is in South but from the airport to the center of the city - Lutyens Delhi it was like, a deserted city.

Pallavi Deshpande: Right. In Kolkata how many rooms we have last year and how many rooms we have this year?

Patanjali Keswani: Kolkata, we have the same. We have a 142-room hotel. And that's the same it is today as it was last year.

Pallavi Deshpande: Sir then what would explain the decline in the ARR?

Patanjali Keswani: Where?

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Pallavi Deshpande: Kolkata.

Patanjali Keswani: In Kolkata, we were looking at some level of occupancy increase or something, there

was some, it was a new hotel Kolkata we opened in one year before COVID. And we were trying to build up demand and it is generally a price sensitive market. But I must tell you that, I was quite pleased to see that. Now, for the last couple of months, Kolkata has shown, certainly in October, a significant increase in ARR. So, something is working, I am not sure exactly what.

Moderator: We will take our next question from the line of Nihal Mahesh Jham from Nuvama. Please go ahead.

Nihal Mahesh Jham: Couple of questions. One was in terms of our capital allocation. Once we are done with the renovation of the Keys portfolio, are we looking at launching further hotels under the Keys brand or this is what we want to focus on?

Patanjali Keswani: Nihal a re

you asking, are we looking at building, owning more Keys hotels, or just growing the portfolio?

Nihal Mahesh Jham: Maybe building your own franchise, preferably building from a capital allocation perspective?

Patanjali Keswani: From a capital allocation there will be zero capital deployed, it is only looking at expanding the Keys portfolio via the franchise route to those hotels where we feel more stringent brand standards of Lemon Tree cannot be applied.

Nihal Mahesh Jham: My second question was that pre-COVID we had tied up for a student housing JV which obviously during COVID happened we put on the backburner. Is there a thought of getting that back or any of those initiatives in the future?

Patanjali Keswani: See we are looking at it, but our main focus as I mentioned earlier to, in the last 18 months has been on recovering from COVID, catching up in renovation in terms of product quality, opening Aurika MIAL and growing the Business Development portfolio. So, that kind of captured the entire bandwidth of our management. Now more than student living, co-living is a very interesting segment. And there are, I would say an adjoining segment to where we are and we could brand that also with the

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Lemon Tree brand, especially when it's built to purpose. So, we are kind of, we have some data on it, but I don't think our focus is on it immediately. We may look at it maybe 6, 9 or 10 months later because unlike the hotel segment, the advantage of co-living is that it's more of an annuity business. So, it actually risk mitigates your volatility of earnings in the hotel business. So, from that perspective, I can say with some certainty we are going to look at it but not right now.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments. Over to you.

Patanjali Keswani: Thank you everybody for listening in and for the questions and suggestions. I look forward to our interaction. Even more so, I am really looking forward to our interaction after Q4 when I can show you something about Aurika's Bombay performance.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Feb 2024

February 13, 2024

National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G
Bandra Kurla Complex
Bandra (E), Mumbai – 400051

NSE Scrip Symbol: LEMONTREE BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai – 400001

BSE Scrip Code: 541233

Subject: Disclosure under Regulation 30(6) of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015

Ref: Outcome of Conference Call with Analysts/Institutional Investors

Dear Sir/Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 and in continuation to the disclosure made on February 9, 2024 wr.t. the audio recordings of the conference call on Unaudited financial results for the quarter and nine months ended December 31, 2023 held on Thursday, February 8, 2024 at 4:00 PM IST, please find enclosed herewith the transcript of the conference call with investors/analysts.

This is for your information and record.

Thanking You

For Lemon Tree Hotels Limited

Jyoti Verma
Group Company Secretary
and Compliance Officer
M. No. F 7210

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Lemon Tree Hotels Limited
Q3 FY24 Earnings Conference Call Transcript
February 08, 2024

Moderator: Ladies and gentlemen, good day and welcome to Lemon Tree Hotels Limited Earnings Conference Call.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you and over to you, sir.

Anoop Poojari: Good evening, everyone, and thank you for joining us on Lemon Tree Hotels Q3 FY24 Earnings Conference Call. We have with us Mr. Patanjali Keswani, Chairman and Managing Director, and Mr. Kapil Sharma, Chief Financial Officer of the Company.

We would like to begin the call with brief opening remarks from the management, following which we will have the forum open for an interactive question and answer session. Before we start, I would like to point out that some statements made in today's call maybe forward-looking in nature and a disclaimer to this effect has been included in the results presentation that was

shared with you earlier. I will now request Mr. Keswani to make his opening remarks .

Patanjali G. Keswani: Good afternoon, everyone and thank you for joining us on the call . I will be covering the quarterly business highlights and the financial performance for Q3 FY24, post which will open the forum for your questions and suggestions. In Q3, Lemon Tree Hotels continued its growth momentum from the previous year. Q3 was the best ever Q3 performance in terms of ARR , Revenue and EBITDA. Q3 FY24 recorded a gross ARR of Rs. 6,333 which increased 10.4% Y-o-Y and 20% Q-o-Q. Occupancy for the quarter decreased by 163 b ps Y-o-Y and by 572 b ps Q-o-Q. This translated into a RevPAR of Rs. 4,176 which increased 7.7% Y-o-Y and 10.6% Q-o-Q. Total revenue for the company was Rs. 291 crore which was higher by 24% Y-o-Y and 26.4% Q-o-Q. The net EBITDA margin for the company in Q3 FY24 stood at 48.8%, which decreased by 547 b ps Y-o-Y and increased 325 b ps Q-o-Q. The decrease in EBITDA margin Y-o-Y was mainly owing to planned increase in payroll and renovation expenses above that spent in Q3 FY23 and some impact of Aurika, Mumbai, Sky city which opened on 5th October , 2023 and which is not yet stable. The renovation expense for the portfolio increased by Rs. 5.5 crore Y-o-Y and by Rs. 4.8 crore Q-o-Q, which translated into a reduction in EBITDA

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margin by about 2% points. The Keys portfolio EBITDA margin percentage decreased by 9 % points Q-o-Q due to an increase in renovation expenses of about Rs. 1.8 crore over the previous quarter . Fees from managed and franchise contracts for third-party -owned hotels stood at Rs. 15 crore in Q3, up 50% from Rs. 9.8 crore in Q3 FY23. Total management fees for Lemon Tree , including fees from Fleur hotels were up 25% Y-o-Y at Rs. 32.3 crore compared to Rs. 25.8 crore in the last year same quarter .

Hotel level revenue from the owned portfolio increased by 18% Y-o-Y and network revenue for Lemon Tree that is the total system revenue of owned hotels including Aurika MIAL and managed & franchise hotels also increased by 18% Y-o-Y. Total network revenues stood at Rs. 1,128 crore for 9M FY24 as compared to Rs. 950 crore in 9M FY23.

During the quarter, we signed 9 new management and franchise contracts, which added 621 rooms to our pipeline and operationalize 6 hotels which added 967 rooms to our portfolio. I'm happy to inform you that as of 31st December , 2023, our operational inventory comprised 100 hotels with 9 ,687 rooms and our pipeline comprise 55 hotels with 3 ,746 rooms. As of now, we expect our operation and inventory to be over 105 hotels with over 10,000 rooms by end of FY24.

The launch of Aurika, Mumbai , Skycity represents a major milestone in our company's journey. The hotel has already started to contribute positively to our portfolio, attracting both business and leisure travelers with its luxury facilities, prime location and exceptional service. With no major capital expenditure plans in the near future, we will now focus on strengthening our balance sheet and starting next year, we will be reducing our debt which will peak by the end of this year. With this I come to the end of my opening remarks and would ask the moderator to open the forum for any questions that you may have . Thank you.

Moderator: The first question is from the line of Karan Khanna from Ambit Capital. Please go ahead.

Karan Khanna: My first question, I'm referring to slide #11 of your investor presentation , is the decrease in hotel level EBITDA margin Y-o-Y across your portfolio entirely attributable to planned renovation expenses or are there any other reasons ?

And on the same slide that you have reported flat to declining RevPAR for Bangalore and Pune , while your peers have clocked much higher RevPAR . So what explains that ? And how do you see these markets catching up for you with the rest of the markets going forward?

Patanjali G. Keswani: Karan, if I look at Q3 FY24 and compare it with Q3 FY23 , then one is the payroll increase because I think I mentioned also in earlier calls that COVID had led to a huge backlog in terms of deferment by us in increasing salaries and so on and so forth. What you are seeing is a catch up to the norm. Payroll accounted for roughly 2.4% increase as a percentage of revenue. Remember, revenue is still not what it should be, because as you mentioned, Bangalore is one issue , Keys is another issue, and , of course , Aurika Mumbai catching up , because a part of this payroll increase is directly attributable to Aurika, Bombay. The second impact was , as we move towards more and more retail , about 0.8% of our revenue cost was due to increased commissions to travel agents and to

credit cards and so on and so forth. Rent rates and taxes because of the opening of Aurika, Bombay and because of increases across India, these are by governments, were accounted for 0.6%. Other expenses, which is an increase in our spa and transport accounted for 0.5% and renovation

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accounted for a little under 2%. If you add these 5 headings which is payroll, travel agent commissions, rent rate taxes and other expenses, and of course, renovation, this accounts for a 6% increase over last year as a percentage of revenue.

venue.

Now when Aurika MIAL picks up because Aurika obviously proportionate to its inventory and its earning capacity did much much less than what it will do once it stabilizes. This optically appeared to be an impact on the P&L. But when Aurika picks up which is 13% of the total inventory and over 20% of the total revenue, then this will automatically reduce as a percentage of revenue. Let me give you a very specific way to look at it. In FY23, hotel level expenses were 41.6% of revenue, renovation was 1.8% of revenue, and corporate expenses were 4.7% of revenue. The refore, we closed at roughly 48% of revenue, all these 3 main expenses, and that's why the EBITDA margins were about 52%. Now this year, what is happening really is that Aurika is not yet contributing. When Aurika starts contributing, really you will see the impact next year. I looked at it very broadly, this year, our expenses will total about 51% of revenue. Our EBITDA margins will be about 49%. Next year, as EBITDA picks up in Aurika, our EBITDA margins will again cross 50%. This is specifically to 2 key markets. See, when you look at our hotels, I would urge you not to compare our RevPAR growth and so on and so forth with the luxury hotel operator because their segments are different, the price sensitivity and elasticity is different and so on. About 1/3 of our inventory is still in markets which have not really done as well as they should have as they did pre-COVID. Let me give you specific examples. Bangalore, Hyderabad, Pune and so on, are enormously dependent on the IT sector and hiring in that sector. And as I think all of us are aware, the IT sector instead of hiring, has been laying off.

Obviously, we are looking at other sources of demand, but till that picks up, some of them like you mentioned very specifically Bangalore and Pune, these have been affected fundamentally because there has been a drop in demand from probably the largest demand generator for our hotels in these markets. Karan Khanna: Just continuing on Aurika MIAL, how is the ADR and occupancy levels trended on a month-on-month basis? How has been the customer mix for third quarter and how do you expect that trending during fourth quarter and possibly in FY25? And as a follow up, but there's also 130 Hilton Garden Inn that's being built right next to the hotel. How do you think of that perhaps impacting occupancy is more so for Lemon Tree Premier and also the Aurika MIAL?

Patanjali G. Keswani: Hilton Garden will have zero impact. It's in a completely different category. In Q3, we did sub -40%, in Aurika, which means we did about 250 rooms or something like that. It was in Q3. In Q4, we are over 60%. Obviously, as I had mentioned earlier and I think I said this very categorically even in the last 2 calls that Aurika will optically have a big impact on our P&L because as an example, its depreciation and its interest cost because it is a leased asset, the land is leased from the government. Is going to have a big impact on below the line expenses. Aurika is a 19 plus crore below the line expense every quarter. In cash terms, in real interest on debt on it, it's only 6.6 crore, but there is another 13 crore which is the depreciation and the interest cost of the lease because of these new accounting standards as you are all aware. #2, Aurika, with 13% -14% of the total inventory, when it does under 40%, it deflates the entire picture. But I would urge you to look at the company excluding Aurika, look at it now from Q4 onwards because that is when you will see its stabilization. What we will do is at the year end, we will give a separate presentation on Aurika, Bombay how we are looking at it in Q3, Q4 and for the following year in broad terms. So you get a better fix. Because my expectation is next year Aurika will meet the company average in occupancy, and roughly

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where we target the ARR which I mentioned to you earlier and I think both will be doable.

Karan Khanna: My last question, If we look at your portfolio ARR growth has been around 8%-

10%. Do you believe that you will be able to reprice at mid-teens next year when you have mid to late 70s sort of occupancies ?

Patanjali G. Keswani: Obviously, Karan, if Aurika does what I think it will do, you will see the first impact in this Q4, and then certainly that will give you a guideline to see what will happen next year. I don't want to give specific guidance. But let me put it this way that when Aurika starts firing, it will add 20% to our revenue, and it has already in terms of cost structure, I think it is quite clear that it will do in next year hotel operating gross margin of 60%. It will be an enormous contributor, and that alone will take the average up. The rest, frankly, I think Delhi will do much better because when I said we are renovating, we are renovating with 2 strategies in mind. One is wherever we think we can reprice enormously, we are putting a disproportionate amount of renovation expense there, and where we need to basically renovate to maintain brand standards. Keys, some hotels across India are getting a much smaller allocation to refresh them. But some hotels like Delhi, Hyderabad, and Gurgaon, these will get a very large investment made in them in order to reprice them more. If all that works, then I think you are not far off the mark when you say, we will be looking at mid-teens.

Moderator: The next question is from the line of Archana Gude from IDBI Capital. Please go ahead.

Archana Gude : I have 3 questions. Just to follow up on Aurika, Mumbai, any update on any major contracts signed during last quarter or maybe Jan of this quarter and some color on rates and the number of rooms signed with the corporates?

Patanjali G. Keswani: See when the hotel of this size opens, think of it this way, it is like opening 3 hotels in Bombay, one next to the other. Normally, it takes us 6-9 months to stabilize one 220 room hotel, but here we have opened 670 room hotel. In order to make sure that we covered our costs in Q3 and continuing in Q4, we have a very large airline crew base. This is a well opportunistic measure and obviously it gives us the breathing space to build demand. Really, our strategy is to build demand in Aurika, Bombay across all segments. We would ideally not like more than 100 crew rooms, which is 15% of the inventory and 150 corporate rooms, including meetings, incentives, conferences, and then another 200 to 250 retail rooms, that is broadly our strategy for next year. Coming specifically to Q4, while this crew business will continue, we do have one large conference and I think it is Miss World which has been booked with us. We are getting I think over 100 rooms for about 14 days, that will give some visibility to our hotel and it will obviously add to the occupancy. I think the room nights promised are about 1,700-1,800.

Archana Gude : Sir, on this renovation of hotels, how many hotels we have already completed the renovation and how many are yet to be done, any timeline for these hotels to be renovated ?

Patanjali G. Keswani: This year, I think we will spend about 40 crore this year. Obviously, when we renovate, we shut inventory. As of right now, I think about 300 rooms are shut as we speak and are really not operating, for example, over 100 rooms in Keys Whitefield has been shut to upgrade the Keys Hotel there. Renovation is not that we do one hotel first and another hotel second, we do all the hotels, we

shut parts of the inventory and renovate, and it's a little bit of a painful project also let me tell you much more than building a new hotel. We will continue, we have renovated aggressively. Now this coming summer, we will renovate an even larger part of the portfolio. Our in

tent is broadly by the end of H1 this

coming year, we will have renovated most of the Keys portfolio, we will have renovated most of Lemon Tree Premier Delhi, a large part of Red Fox, Delhi, a large part of Lemon Tree Premier, Hyderabad, parts of Red Fox, Hyderabad and done freshening up in various other hotels across India, this will be an ongoing project and let me also add that this will continue into the following year. But the single largest effort will be put this coming year, because our capital requirements now are close to zero. We will obviously be putting money into renovation because we think we can reprice some of these hotels and increase occupancy in the Keys portfolio if we improve these hotels, that is broadly the strategy. Am I clear to you ?

Archana Gude: I was asking about this repayment of debt. If you could help us with scheduled debt repayment for FY25 and FY26 as well as some Cap ex guidance for these 2 years ?

Patanjali G. Keswani: I will give you a broad viewpoint, I don't want to be too specific. We will close

this year and the way we look at it is debt by EBIT DA. On a consolidated basis, we will close F Y24 with the debt by EBITDA of roughly 3.7. Based on our expected performance next year, our debt by EBITDA by the end of next year will be under 2.5 and in the following year , it will be around 1.5. As I had mentioned earlier , we plan to get debt -free at least right now over the next 4 years. I think that is very likely , this is after the renovation expenses, which will be significant, which we will incur next year , and of course the cost that will go into building . We have reviewed the hotel in Shimla and it is looking so beautiful that we have decided to make it an Aurika. In Nald ehra, Shimla, we will be launching close to 100 room s Aurika i n the next I think 12-15 months , it includes that expense also.

Moderator: The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: My question is regarding ARR , considering lower supply in luxury segment and downtrading towards say our hotel ranging from 5 ,000-7,000; the renovation of the current portfolio and any other dynamics we can consider to have our ARR in lower double digit ex of Aurika, I'm not including A urika?

Patanjali G. Keswani: Actually , Sumant , if you can give me a very specific question . Broadly , once we renovate the Keys portfolio, we will take the average rate up and try and target the current rates of Red Fox, which means I am saying , we will try and take the rates up b y Rs. 800 to Rs. 1,000. However , this will not happen instantly because we have to build an entirely new customer co hort for that. It will take some time . But I think we are pretty confident that once we upgrade these hotels, we will be able to take the average rates and the occupancy up. Right now, my bigger concern with Keys and I'm talking brand wise is that the occupancy is low , I mean while the occupancy has gone up , it has gone up very marginally versus last year. Part of the reason as I had mentioned earlier is the demand of IT hiring and IT business because there is a large part of Keys like in Pimpri, in Pune and in Whitefield and in Hosur which is dependent on the IT sector. But I am pretty confident that when we finish this renovation , we will start getting a significant increase in occupancy, followed by an increase in average rate. As far as Red Fox goes , we think it will continue to increase its ARR every year by 8 -10-12% points. Remember, it operates in the lower end

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of the mid -market segment . Well, we are focusing on renovating a large part of the Lemon Tree and Lemon Tree Premier portfolio and that will obviously lead to a far more significant increase in price , once this renovation is over . But I don't want to give specific numbers. Let me just say this, that Lemon Tree Hotels , I feel t

here is some juice in further increasing occupancies and in both Lemon Tree Hotels and Lemon Tree Premier there is some juice in increasing rates.

Sumant Kumar: How is the supply scenario in this category?

Patanjali G. Keswani: Well, supply is growing. I think nationally about 5% a year. That's what I read in here. It's very difficult for me to personally know what is happening like that. But consulting firms are saying it is like a 5% growth and demand it is true is growing fast er on an all India basis, but different markets have different demand parameters. Like you will find in Bombay there is very high demand , in Hyderabad, there is now very high demand , Gurgaon has really picked up. We expect that this c oming year we will do much higher occupancies in Gurgaon. But my bigger concern is Bangalore and Pun e and these are the 2 markets I need to push up.

Sumant Kumar: In these 2 markets, supply is higher ?

Patanjali G. Keswani: No, not supply , it is actually demand.

Sumant Kumar: And the category demand wise , the price point I'm talking about luxury, we have a lower supply, but when you see the budget hotels and mid -scale hotels, we have a higher supply. Can you comment on that ? Is that impacting your ARR growth?

Patanjali G. Keswani: Not really. Actually as a brand we are quite strong in these segments. We do get very preferred choice by customers. It is very clear that is why we are confident about growing the retail side. But till we grow the retail side, we don't want the corporate side to shrink. But , unfortunately in Bangalore and Pune , it has not been the increase in supply , it has been the drop in demand . I am talking about as a market in the mid -market segment.

Moderator: The next question is from the line of Parth Agrawal from Bastion Research. Please go ahead.

Parth Agrawal : My understanding is that corporate s have been paying retail room rates lately and they have not yet negotiated, basically the discount that they generally get. Is that the case with Lemon Tree as well because you almost ended close to 1/3 of our room inventory from co rporates?

Patanjali G. Keswani: Parth, t hat's an interesting question . Let me explain. Traditionally, pre -COVID , our retail was much higher than corporate. That was because we had large corporate clients who would negotiate hard and they would give us business across the region. And while there was stability in demand, the overall impact was they would want rooms in peak times in all our hotels when we could have sold those rooms and at lower rates. As a conscious strategy last year , we took our prices up for corporates and we reduced somewhat our prices for retail. This was because , a) we wanted corporates who were pa ying us a fair price and b) we wanted to expand our retail base and therefore we wanted to make our pricing more competitive , this has continued. And if you notice in our segment report , which is Slide 10 I think , corporates as a percentage of room Page 7 of 16

night sold has reduced somewhat. But interestingly , the revenue that we have got which used to be Q3 last year we would have 38% to the room nights, but only 36% of the revenue. We are now still negotiating with corporates and we want to effectively say that maybe by the next 6-9 months you will see corporate room night s contribution will be equal to corporate s revenue contribution, which we have not yet achieved . If you look at retail , there used to be a premium that retail OTAs w ere 31% of our room nights , but 33% of our revenue , now it is 30% of our room nights and 31% of our revenue . The premium is only 3%, one on 30 % . Now , if you look at lemon treehotels. com, that is the segment which is our direct segment we are trying to build. It has doubled as a percentage of room nights and it is parallel to our room revenue. 3% has become 6% in both occupancy and rate. Others which are FITs have reduced.

Again, because we found that we were outpricing it a little bit. So this is under, let me put it , part of our digital transformation, our central reservation systems, our hotel up-sales and so on. This too is a work -in progress. Basically , you will see one reason why this is a little lopsided is because 13% of the invent ory which is Aurika , has actually changed some statistics and actually other FITs is the larger number , but because it is very low in Aurika, it has brought the overall thing down. This is not really a same -store thing. I'm talking more anecdotally, but broadly , we will continue to build our retail business and only keep those corporates with us who are willing to pay what we feel is a fair price .

Parth Agrawal: In case of repricing opportunity that comes up with corporate s, tranches of your ADR going down is very unlikely. Is that a fair assumption?

Patanjali G. Keswani: Absolutely, there is zero chance of our ADR going down.

Parth Agrawal: You highlighted the renovation expense for FY24 to be around Rs.40 crore, 10 crore CAPEX and 30 crore of OPEX. And what is the figure for FY25 and FY26 if you can help me with that ?

Patanjali G. Keswani: We will spend Rs.10 0 crore next year.

Parth Agrawal: Rs.100 crore in FY25 and in FY 26 any figures that you have in mind?

Patanjali G. Keswani: It will be less than that, maybe Rs.40-50 crore. Basically we want to repr ice somewhat aggressively from this year, October, which is why we are investing this money. We think from H2 of FY25, we will be able to significantly then build demand in the Keys portfolio because these are all now new hotels. Keep in mind that Keys as a po rtfolio has not been renovated for 12 -years. It is really those hotels that were shabby , and we will renovate those hotels of ours in the portfolio with a higher effort where we see a very significant increase in rate.

Parth Agrawal: Actually I wanted to understand your arrangement with Fleur Hotels . Lemon Tree standalone actually gets management free from Fleur Hotels and so the inventory that the Fleur Hotels own, is it part of the management contract inventory or is it part of the own property?

Patanjali G. Keswani: What happens is that this year, we will earn 100 crore of fees as a standalone Lemon Tree from Fleur . Now because we report consolidated results, it is netted off. Hypothetically, if our ownership of Fleur , I'm just speaking aloud , suppose we raised an enormous amount of capital in Fleur and we listed it . Fleur, next year will do maybe over 600 crore of EBITDA . We list it and we bring our shareholding down to say 40% something like I think some companies have done which is they have de consolidated it . #1 is we will be Page 8 of 16

able to raise a very large amount of capital in Fleur . #2 is our management fee income of Fleur will then become visible, which it is not currently visible . And #3 is the capital that we raise in Fleur will enable us to go into the next phase of growth of owned assets. And really if I look at it strategically from the long term, we should actually keep growing the Fleur portfolio and reducing our stake in it , obviously have a meaningful skin in the game , and simply build hotels there and manage them on behalf of that portfolio, which means real ly at some point in time, Lemon Tree will morph into a pure management brand and digital services supplier company.

Parth Agrawal: But I'm just not clear. Currently whatever ownership of your hotels are there , is it part of own hotels or it is part of management inventory which is 4 ,000 inventory that we have ?

Patanjali G. Keswani: It is owned . It is consolidated. We own 59% of Fleur . Think of it this way , we own 1,700 -1,800 rooms in Lemon Tree and I think over 4 ,000 rooms in Fleur where we own a 59% stake.

Moderator: The next question is from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan : Sir, I wanted to understand the unit economics of like refurbishing or renovating the hotel in terms of per key cost and what kind of repricing they ha ve had, if you can, illustrate that with maybe an example of hotel that you have achieved something like that ?

Patanjali G. Keswani: I will give you an example in Lemon Tree Premier Del hi, we have now renovated about 130-140 rooms. The average rate we are getting in those rooms is over Rs. 10,000. I think we are going to continuously renovate this hotel till all the rooms are done . Because it is a high demand hotel, we do not shut more than 25 -30 rooms at a time, which doesn't disturb g uests and it doesn't take away too much of the inventory. Our view is very simple. When LTP Delhi is fully renovated on a current basis, the ARR would have been Rs. 10,000 instead of the current rate of Rs. 8,000. Think of it this way , when we renovate a hotel in a high demand market, we feel we can price it up by Rs. 2,000. And if it's an 80%-85% occupancy hotel , then really the RevPAR goes up Rs. 1,500 -1,600 and the flow through is Rs. 5-6 lakhs a year and the total investment we make in that renovation per room is about Rs. 7-7.5 lakhs. On an incremental basis, it is very compelling . Is that clear, Kunal?

Kunal Lakhan: Correct. Correct. Well understood, sir.

Patanjali G. Keswani: Basically any incremental spend we do in a renovation , in our internal capital allocation, we expect to earn it back within 2 years.

Kunal Lakhan: My second question was on expansion what you responded to the earlier question. I have always had this question around like in an upcycle why are we not adding owned capacity just management contract, right ? What you said about Fleur earlier is that something that you would look at pursuing in terms of getting it listed and then look at that entity as an asset -heavy entity and what could be the timeline of something like that?

Patanjali G. Keswani: I think you have 3 questions. Let me answer them one after the other. We are not yet in an upcycle , no matter what people tell you. Occupancies in India are still in the 60 s. Do not go by one or two companies that might report 75% . Even

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the Lemon Tree portfolio excluding Aurika, Bombay and excluding what is it called Keys is in the mid -70s. I don't consider this an upcycle. It has not yet happened because an upcycle is where the entire market crosses 70 %-75% and that has not happened yet. What do I think will happen? See, I think India is at a very interesting point as far as its consuming classes go. If we continue on this path of 6 %-7% growth , then in the next 3 years , a very, very large percentage of the population in India which is a), aspirational , b), young , c) fueled by credit , will move into what we consider will be non -discretionary consumption of branded mid -market hotel rooms. Now I know everybody is tired of comparisons with Malaysia and China and so on . But that's what happened at about \$3,500 per capita. That is not actually an upcycle or a downcycle , that is a structural shift from treating for a very large cohort of the consumer, a structural shift in treating consumption of that kind of earlier discretionary item into a non -discretionary. Really if you ask me , should we build supply, I totally agree with you because I think this structural shift in consumption where instead of it being optional , it becomes default and that you can already see by the way in the airline sector. I think it's going to happen in the next 3-4 years in India. Keeping that in mind rather than cycles, I would

say there is a strong case to create or acquire supply. Now, the only question is how much risk should we take on the balance sheet? Obviously, we need a company whose main job is to be an asset owner, which is why strategically it may make sense to spin Fleur into a separate listed entity. Have a

smaller

stake in it, raise fresh capital, which is why your stake comes down and a), raise this capital, b), have a totally separate set of investors there because obviously these are the investors who will be looking at Fleur more as an asset owning company. And Lemon Tree continues as a brand owner, manager and digital services provider. Long-term we have to do that in my opinion.

Kunal Lakhan: When you say long term like 3 years?

Patanjali G. Keswani: No, I don't want to comment because that is something I think the board has to debate and decide. But I think sooner or later we have to do it. And the capital that we raise should go into acquisition of supply or creation of supply where the fees flow to Lemon Tree and that asset company becomes the largest owner of assets in the mid-market and upper upscale space in India.

Moderator: The next question is from the line of Dhruv Agarwal from Nivesh aay Investment Advisors. Please go ahead.

Dhruv Agarwal: Sir, currently the occupancy levels here let's say in Q3 is around 65%. Going forward for the next 2-3 years, what kind of occupancy we can expect and what kind of break in ARR one should be able to expect sir?

Patanjali G. Keswani: I wish I could look at the fortune ball and tell you, but it is very difficult for me to give you any answer. But broadly I would expect RevPAR growth in our segment to be mid-teens, whether it is led by occupancy or price, I cannot comment, but that is the kind of growth I think we would expect. And since our cost structure is now stabilized fully, with payroll at the right place, the staff per room at the right place, I think that we will then look at any growth in RevPAR has really driven with a 70%-75% flow through operating leverage to the bottom line.

Dhruv Agarwal: Any percentage that you would like to comment on the occupancy level, just for the guidance like we can expect?

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Patanjali G. Keswani: The rest of India, if I break it down, if I look at Delhi, we are already over 80%, Gurgaon, I think we should be in the mid-70s hopefully, Hyderabad, well, it is nearly 80%, Bangalore is where we have to catch up, Mumbai, well, if I remove Aurika, we are already well north of 80% and I'm pretty sure Aurika itself will get there, Pune is another area where we need to focus on replacing IT demand with the other segments. Rest of India is a function of whether we move into an upcycle. Because I think currently last year all India occupancies were 63%, maybe this year there will be 65%. Till it goes to 70%, the rest of India will be subject to the vagaries of local micro markets. But if I look at it broadly from that perspective, I would say Aurika is fully stable. Our occupancies as a company should be north of 73%.

Dhruv Agarwal: What will be the percentage of repeat customers?

Patanjali G. Keswani: Well, in our stable hotels, normally it is north of 30%, but in our new hotels, it takes time to build us. If I was building no more hotels and it was all stable, then 1/3 of our customers should be repeating.

Dhruv Agarwal: Right now in the hospitality industry, everyone is trying to add their room capacity either by like adding keys in the same hotel or by constructing new hotels in order to cater to the demand that they are facing. Don't you think in coming like 4-5 years there would be an excess supply of rooms? So like can you give some color on how would be the demand/supply growth will be coming in the 2-3 years, sir.

Patanjali G. Keswani: See, post-COVID, there was a complete reset. There was a shrinkage in demand and it is catching up now. Going forward, what I read and this is not my data, it is I guess a combination of what I read from various consultants in the hospitality industry is that demand will exceed supply by 3-5% points every year. That is the case, then an all-India occupancy of 65% should hit 7

0% in

the next 2 years, at which point there will be some significant level of repricing with nearly every hotel across India, that is the broad observation. Whether it takes 2-3 years, I have no idea. But somewhere along because supply is known for the next 5 years, I think this transition into upcycle as Kunal had earlier mentioned, will happen in the next 2-3 years.

Dhruv Agarwal: One clarification. You said with the previous participant that upcycle is when

the occupancy level all over the industry is around 70 %-75%. Sir, when do you expect such kind of upcycle coming in and like where we stand right now sir?

Patanjali G. Keswani: See, right now if I made a broad guess, I would say in industry average occupancy would be about 65% across India. I think that is what the consultants will report for FY24 . FY25 if this demand /supply and balance continues should be 67 % and then maybe by FY26 it will be 70 %. Now what does 70% or 72% mean? It really means that there are 3-4 days in a week where you are full , and 1-2 days in a week where you are doing 50% occupancy because that is the nature of this business. Even you take any business hotel in a city on a Tuesday, Wednesday, Thursday they are sold out , Monday and Friday, they might be doing 70 %-75% and Saturday, Sunday they do 50%. That's how it averages to 75 %. When that happens, pricing for Tuesday, Wednesday, Thursday goes up by at least 20 %-25%. And that is how the ARR goes up. The ARR does not go up on a daily basis , it goes up on those days when you have more demand . And obviously you keep increasing your pricing till such time your demand equals supply. That is what happened in the last upcycle in 2005 -2006-2007 and that is what will likely happen in the next 2-3 years across India, after a very long period.

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Moderator: The next question is from the line of Jinesh Joshi from Prabhudas L illadher Private Limited. Please go ahead.

Jinesh Joshi: Sir, if my understanding is right , I believe Aurika, Mumbai resides in Fleur, but if I look at the management fee received from Fleur hotels in this quarter, it is up by just 8% despite our Mumbai Hotel starting operations and registering an occupancy of 40%. Is there anything which I'm missing out over here in this 8% growth number?

Patanjali G. Keswani: The first thing is that our fees from Bangalore came down because a large part of our fees with Fleur comes because of what is called Incentive Fees, incentive fees is we get paid based on the EBITDA of the hotel . We had a drop in fees from Bangalore , we had a small drop in fees from Pune and Aurika did not give us any significant fees because it did not do 40% , it did under 40% . But we only got fees from Aurika, Bombay on the fixed side and the fixed fees is a function of revenue. The revenue was much less obviously because it was the first quarter. These fees, you are absolutely right. The minute Aurika, Bombay picks up , like it has already picked up to some level this quarter, you will see a significant hike in fees. Similarly , when Bangalore picks up and Pune picks up, you will see another hike in fees because those will be the variable fees whereas in Aurika, Bombay there will be higher fees because the revenue increases and hopefully the EBITDA increases. Do I make sense?

Jinesh Joshi: Yes, Sir. Sir, my second question pertains to bookkeeping now. If I look at our finance cost, it has gone up sequentially to about Rs.53 crore . So, has there been any change in debt levels or does it pertain to that lease accounting standard which you mentioned in the opening commentary ?

Patanjali G. Keswani: Well, two things . Our debt will peak this quarter . You see what happened is , this year we paid off a large amount of debt and then we borrowed back a little more than that in order to finish Aurika, Bombay . I think our peak debt this quarter will be Rs.1,900 -1,950

crore this quarter. And if you look at it from the previous year, it was 1,640 crore. Our debt has gone up by 300 crore, but we built Aurika which is over 900 crore. Effectively Aurika was built with 600 crore of equity and 300 crore of debt. Now what happens is from this coming Q1 onwards, we will start paying down the debt. You will find that the debt at the end of this following year will come down and our EBITDA obviously will go up, which is why I said the debt -to-EBITDA next year will be under 2.5.

Jinesh Joshi: One last question, I think you mentioned to one of the questions raised from the earlier participant that Aurika, Mumbai is built on a leased land from the government. Can you just call out if possible what is the annual lease cost over here, and how are the escalations built in?

Patanjali G. Keswani: Think of it this way . For Aurika the lease rentals are escalating . We basically quoted a lump sum and an NPV for Aurika of the fees that we plan to pay. If I look at it this year, the fees are very low ; they are Rs.3 crore . And if I look five years out, they will be much higher and 10 years out will be still higher and so on and so forth. Really what we tried to do was , we said we will pay lower fees cash out in the beginning till we stabilize the hotel . And once the hotel is stable and operational, then our affordability of paying fee will be that much better. If I look at the fees over the next 30 -years, the NPV in today's term is

about Rs. 50 crore , it is discounted at rate of interest .

Moderator: The next question is from the line of Meet Jain from Motilal Oswal. Please go ahead.

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Meet Jain: Just one clarification . You mentioned that you are launching 100 rooms Aurika in Na Idehra, Shimla right . So that is in the management contracts , right?

Kapil Sharma: No, that is our own asset.

Meet Jain: We have already one property being built in Lemon Tree Premier Shimla, 69 rooms and this is in addition to that ?

Kapil Sharma: No, it is a conversion because we felt we would be able to juice it. Because of its location, it 's built on top of a mountain , it's a beautiful hotel . When we went and saw it , we did an assessment and said that we would be able to crea m much more of the market, so why not spend a little more money but build an Aurika.

Meet Jain: What is approximate total Cap ex on this you are spending?

Kapil Sharma: We will spend another 40 -odd crore .

Meet Jain: Over 27 crore already spent on Shimla .

Kapil Sharma: No, total will be closer to 80 crore, we will spend 40 crore in this year and maybe it will be 50 crore, we are not sure because it depends on the speed at which we can finish it. It 's there in the investor presentation , you will see it 's like a shell, but we will try very hard to get it open by the first quarter of next to next year.

Meet Jain: Q1 FY26. Okay. And next is on e clarification on the management fees from Fleur . You mentioned that our Fleur arrangement is partly based on revenue and partly on the operating performance, right?

Kapil Sharma: That's right.

Meet Jain: And is there any threshold like as you mentioned Aurika , we didn 't reach the 40% kind of margin , so we booked like fixed fees on revenues and as the margins improve, we will start getting fees from Fleur on that as well ?

Patanjali G. Keswani: Well, think of it this way, that if A urika today in Q3 gave me a revenue of Rs. 25, then my fees from that will be say Rs. 2. If Aurika gives me Rs. 50, then my fees will not double , they will become Rs. 5-5.5, they will nearly triple. And when Aurika stabilizes at Rs. 100, then I will take Rs. 10 or Rs. 11. 40% will come from the revenue, 60% will come from the EBITDA , and that EBITDA as it grows as the hotel stabilizes , I think I mentioned that the EBITDA will be in the range of 60 % , at which point our fees will become disproportionate ly hig

her.

Moderator: The next question is from the line of Raj iv Bharati from DAM Capital. Please go ahead.

Rajiv Bharati : Sir, with regard to your Mumbai asset, for the Aurika thing, you did 8 -8.5 kind of ARR this time?

Patanjali G. Keswani: That's right.

Rajiv Bharati : The Andheri one , we have seen close to Rs. 10,000 like that?

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Patanjali G. Keswani: Andheri one is Rs. 9,152 at 82% in Q3.

Rajiv Bharati : That particular hotel in terms of, let's say like -for-like pricing versus the rest of the market, I think this was asked earlier , do you think it was a little under par in terms of the rate hike?

Patanjali G. Keswani: Which one?

Rajiv Bharati : The 303 Key Andheri Hotel .

Patanjali G. Keswani: No, on the contrary, in the Smith Travel Research Report, it is outperforming the market completely. It's a Lemon Tree Premier . It did over Rs. 9,000 ARR over 80% occupancy and it is an outperformer. And keep in mind that what we are doing is we are keeping all the channels open so that any bookings we get in LTP, which we are not able to accommodate in the hotel , we move to Aurika.

Till Aurika builds its own demand base, we are treating it as a 1 ,000 room s inventory in Bombay, which is this 300 room s hotel, and that 670 room s hotel.

And Aurika, B ombay 's RevPAR was below Rs. 3,500. S o that's why you would see the average of Bombay RevPAR and hotel level EBITDAR significantly down because Aurika brought it down. But now what I have been saying all along is that as Aurika stabilizes, obviously Aurika will do a much higher ARR and hopefully a similar occupancy to LTP Mumbai and we hope to achieve that in the next 6-9 months at which point Auri ka will have its own segment, LTP, Mumbai will have its own segment.

Rajiv Bharati : Your pricing in Andheri has no influence from Aurika. It's not like that we cannot charge. I mean you are wanting to not charge L TP, Andheri higher than Aurika .

Patanjali G. Keswani: Not at all. That 's not correct. The point is that Aurika has not yet built its demand segment. Whatever little demand it gets is at a price of over Rs. 11,000. But because a very large portion of it is with crew, which is priced at Rs. 7,700, which is what is deflating the ARR of Aurika, But as I had mentioned last in the 2 calls that we will use the crew as a filler to cover our costs and ultimately obviously bring down the crew to only 100 rooms as a base and replace the crew with corporate and retail clients.

Rajiv Bharati : In Hyderabad, do we have anything under renovation because of which your rates are up by only let 's say 400, let 's say versus what we see in case of Indian Hotels going up by what 3 ,000. Why I'm saying is the gap between you and Indian Hotels used to be something like 2 ,000-2,500, now it's gone to close to 5,000.

Patanjali G. Keswani: In Hyderabad, the markets are very different. Indian Hotel s is firstly a 5 star deluxe hotel and it is in the city center , we are in Hi-tech city in Gachibowli , there is no Taj there . And #2 is that there are about I think 30 rooms shut in Lemon Tree Premier and another 25 -30 rooms shut in various other hotels where we are renovating . But please don 't compare economy rates with premium economy rates and the business class rates, that 's an incorrect comparison.

Rajiv Bharati : No, the idea was that if the luxury picks up, eventually the gap between, I mean it will help you your case, right , the gap has to reach , slowly ?

Patanjali G. Keswani: Yes, but they are separate segments , Rajiv . Don't look at it from that perspective. There will be times when our segment takes up more than say

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luxury. Don't do a regression analysis and correlate that t wo, they are not the same.

Moderator: The next question is from the line of Ramesh Rajagopalan, an individual investor. Please go ahead.

R Rajagopalan : A couple of questions. One is, wha

t was the impact of World Cup matches on your revenue in Q3? Second, in terms of again the revenue aspect, whether you have further plans of expansion in tourism centers like Bangalore, Goa, Kerala, Trivandrum, because tourism is being taken as the next big deal in terms of revenue?

Patanjali G. Keswani: World Cup teams normally only stay in 5 star hotels. They impact us indirectly, which is if there is a World Cup match somewhere in a city , we get the guys who want to see the match, we get their demand, we don't get the teams , #1.

In Ahmedabad during World Cup for 1-2 days we did a very high ARR because a lot of people came to see the match, but we didn't get any team members .

As far as I think your other question was relating to which markets we want to go to, I didn't actually get c larity on that. What was the question, Ramesh?

R Rajagopalan: Basically , we are talking about tourism in a big way as tourism travel. So obviously, the accommodation will also be in huge demand. Are we planning, for example, Goa airport in about a year, year and a half back. Has there been any significant increase there . So similarly, are we talking about Trivandrum , Kerala, then Bangalore where tourism may be a big attraction apart from no rth?

Of course, I didn't mention specifically the buyout be cause it is too early to comment about. But in terms of other existing tourism destinations. Can we increase the share of retail especially because as you said you know in terms of World Cup matches, there was not much of impact , so can we not you know focus more on retail in terms of attracting globally especially for the retail part of it? A nd then, of course, corporate, we might hav e our own strategies in terms of how do we go about. And second thing is that do we have a seasonal tariffs instead of annual tariffs with especially corporates, do we have a seasonal tariff based on September, Christmas season or the New Year season or other seasons in different part of the country ?

Patanjali G. Keswani: Ramesh, I wish corporates would agree to seasonal tariffs and we would charge high in high demand and low in low demand. But unfortunately , they want a single price for the full year. As far as tourism goes, we already have the Keys in Thiruvananthapuram , we have signed many hotels in many tourism locations. We are now looking at doing maybe 1-2 small Aurika palace hotels in Varanasi on the ghats directly. But if you look at us broadly, we have a twin approach. One is , we get 2-3 queries every day. So that is a reactive approach where owners reach out to us to convert their hotels into our brands. And then we ourselves focus specifically on markets where we think there is juice and value to our network. If you look at the hotels that we have in our pipeline right

now, most of them are in cities where we do not have hotels and these will simply improve our network and will lead to our ability to acquire more customers in markets where we do not exist and customers are not really familiar with Lemon Tree. Keep in mind, we are a relatively new brand and therefore it's important for us to saturate cities where there are customers who will come and visit us in other hotels in other cities. Proactively, we are looking at specific markets where we feel there is an opportunity for us to a) plant a flag, b) acquire customers and c) grow our managed network. That is the broad strategy. I don't want to get into specific destinations, but you can see that in our Investor Presentation on Slides 21 and 22, where we have already signed.

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R Rajagopalan: One related question, do we have any kind of frequent guest tariff thing where the same customer for example, I might visit Delhi, I might visit Bombay, I might visit Goa, where I become a frequent customer of yours, so wherever I go, I go only for the Lemon Tree?

Patanjali G. Keswani: I mentioned earlier in this call

Our direct bookings from our website are increasing quite rapidly. Well, we have over 1.5 million loyalty members. We are now revamping the entire website and loyalty program as a part of our digital transformation and hopefully by October this year, we will have micro sites where you as a loyalty member, if you visit our website I think it's already there to some extent, but we are upgrading it, you will get a specific personalized offer to any hotel which you want to visit.

R Rajagopalan: One question is on the cost and one question is on the payroll cost. Payroll cost, you said it has gone up this quarter for the reasons. Want to understand in terms of your payroll cost, is it not a factor of your variable pay or your revenue, so which you would have obviously provided for the previous year, and if the current year if it is going to go up, obviously, your revenue also would have proportionately gone up.

Patanjali G. Keswani: No. You see, our revenue did proportionately go up. The revenue hike will really be visible from this coming year when Aurika comes in. We really look at payroll as a percentage of revenue on an operational basis. You see, there were three revenue impacts this year. One was Aurika obviously did not contribute to what it will contribute from this coming year onwards because it's a very large inventory hotel and it will take some time to stabilize. When it did not stabilize, the payroll cost of Aurika alone was a deflator so to speak in our P&L. Then because of Aurika, we set up a corporate sales office in Bombay and that had an impact on both our corporate expenses because they came from the hotel and from corporate office and on our payroll in Aurika. Third was that Bangalore and Pune still have a lot of catch up to do. When they do that, payroll as a percentage of revenue will drop to the normal, at which point as I mentioned, our net EBITDA will again go to 50%, and perhaps if things work out even over 50%.

R Rajagopalan: That means this is more of an investment which you are calling as payroll cost rather than an expense which is doing right now?

Patanjali G. Keswani: It is a mix of both, Ramesh, because a lot of people who stayed with us during COVID, we did not give any increments over the last 3-4 years and with inflation being what it is, we felt it was necessary.

R Rajagopalan: Although everybody is talking about renewable source of energy and power reduction, do we have a renewable energy in any of your hotels or are we planning for any cost reduction in that area?

Patanjali G. Keswani: We have renewable. We have reduced energy based on the FY19 base line. Energy consumption per room has reduced by 10%. Our target is that by FY26 it should be 15% on FY19 baseline. Right now about only 11% of our energy consumption is renewable. There is only one problem. Since we run smaller hotels unlike large 5 star hotels, we do not get renewable energy from the grid because there are certain norms on this. I believe that the new power bill is going to change and we will also get the ability to get energy from the grid. But if we really want to go fully renewable, then in the large markets like NCR, like Maharashtra, like Bangalore and Hyderabad, we will have to put up our own renewable energy plants which will be high Capex, we are reviewing that but

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we will have a payback within 4-5 years. It's a combination of many things. We are very interested in having maximum renewable energy and I think in the next 2-3 years you will see that as becoming an increasing focus for us.

R Rajagopalan: Whatever we have discussed so far, it is purely based on our operational and

revenue performance of Lemon Tree as a group. Whatever external factors which are going to further benefit us, it will be an aggregate or maybe adding the revenue to your bottom line, that's what you're saying ?
Patanjali G. Keswani

: That is correct.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for closing comments . Over to you, sir.

Patanjali G. Keswani: Thank you, everybody once again for your interest and support. We will continue to stay engaged. Please be in touch with our investor relations team for any further details or discussions and I look forward to interacting with you again in the next quarter.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Jun 2024

June 7, 2024

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Name of Scrip: LEMONTREE BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

BSE Scrip Code: 541233

Subject: Disclosure under Regulation 30(6) of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015

Ref: Outcome of Conference Call with Analysts/Institutional Investors

Dear Sir/Madam

Pursuant to Regulation 30 of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 and in continuation to the disclosure made on June 3, 2024 w.r.t the audio recording of the conference call on financial results for the quarter and Year ended March 31, 2024 held on Monday, June 3, 2024 at 4:00 PM IST, please find enclosed herewith the transcript of the conference call with investors/analysts. This is for your information and record.

Thanking You

For Lemon Tree Hotels Limited

Jyoti Verma
Group Company Secretary
Cum Compliance Officer
M. No.: F7210

Encl: a/a

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Lemon Tree Hotels Limited
Q4 & FY24 Earnings Conference Call Transcript
June 03, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the Lemon Tree Hotels Limited Earnings Conference Call.

I now hand the call over to Mr. Anoop Poojari from CDR India. Thank you, and over to you, Mr. Poojari.

Anoop Poojari : Thank you. Good evening, everyone, and thank you for joining us on Lemon Tree Hotels Q4 & FY24 Earnings Conference Call. We have with us Mr. Patanjali Keswani, Chairman and Managing Director; and Mr. Kapil Sharma, Chief Financial Officer of the company. We would like to begin the call with opening remarks from the management, following which we will have the forum open for an interactive question-and-answer session.

Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the results presentation that was shared with you earlier.

I would now request Mr. Keswani to make his opening remarks.

Patanjali Keswani: Good afternoon, everyone, and thank you for joining us on the call. I will be covering the business highlights and the financial results for Q4 FY24 and for the full year.

Post which, we will open the forum for your questions and suggestions. In Q4, Lemon Tree Hotels continued its growth momentum from the previous year. Q4 FY24 has been the best ever Q4 performance in terms of Gross ARR, Revenue, EBITDA, PBT and PAT. Q4 FY24 recorded a Gross ARR of Rs. 6,605, which increased by 13.4% Y-o-Y and 4.3% Q-o-Q. Occupancy for the quarter stood at 72%, which decreased by 163 bps Y-o-Y and increased by 605 bps Q-o-Q. This translated into a RevPAR of Rs. 4,754, which increased by 10.9% Y-o-Y and 13.9% Q-o-Q. Total revenue for the company in Q4 was Rs. 331.2 crore, which was higher by 30% Y-o-Y and 13.9%

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Q-o-Q. The total revenue for the full year was Rs. 1,076.8 crore for the company which increased by 23% over FY23.

The net EBITDA margin for the company in Q4 FY24 stood at 52.9%, which decreased by 278 bps Y-o-Y and increased by 415 bps Q-o-Q. The decrease in EBITDA margin Y-o-Y was mainly owing to planned increase in renovation expenses above that spent in Q4 FY23 as well as expansion of our business development team and overall payroll increases due to inflation. The Keys portfolio EBITDA margin % decreased by ~16 percentage points Y-o-Y due to a big increase in renovation expenses over Q4 FY23. The investment in renovation has allowed us to position the Keys brand to capture better pricing and demand. Please refer to Slide 40 in the annexures which showcases a case study on how renovation of the Keys Pimpri, Pune, which is the first Keys hotel to be more than 50% renovated, translated into an ARR of Rs. 4,577, which was an increase of Rs. 800 over Q4 FY23.

The net EBITDA margin for the full year stood at 49.1%, which reduced by 278 bps over FY23.

Fees from management and franchisee contracts from 3rd party owned hotels stood at Rs. 14.4 crore in Q4 FY24 up 34% from Rs. 10.7 crore in Q4 previous year. Total management fees for Lemon Tree in Q4 were up 48% Y-o-Y at Rs. 41.2 crore compared to Rs. 27.8 crore in Q4 FY23. The total management fee for the full year stood at Rs. 134.3 crore, which is up 30% over FY23.

Owned hotel level revenue for the quarter from the owned portfolio increased by 28% Y-o-Y and the Network Revenue for Lemon Tree, which is the total system revenue of owned including Aurika, MIAL and third-party managed and franchisee hotels increased by 31% Y-o-Y. Total network revenue for the full year stood at Rs. 1,621 crore for FY24 as compared to Rs. 1,330 crore in FY23, which translates to an increase of 22%.

The debt for the company increased by Rs. 143.3 crore or about 8% from Rs. 1,745.7 crore in FY23, which was owing to borrowing against Aurika, Mumbai Skycity. The cash profit for the company increased 24% Y-o-Y from Rs. 237.1 crore in FY23 to Rs. 293.8 crore in FY24.

During Q4, we signed 12 new management and franchise contracts which will add 667 new rooms to our pipeline and operationalized 4 hotels added 176 rooms. As of 31st March 2024, the inventory for the group stands at 104 hotels operational, with 9,863 rooms, and our pipeline comprises an additional ~4,000 rooms. In fact, as of today, we are pleased to announce that our operational inventory has crossed

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10,000 rooms. We expect our operational inventory to be about 120+ hotels with over 11,000 rooms by end of FY25.

With this, I come to the end of my opening remarks. I would ask moderator to open the forum for any questions you may have.

Moderator: The first question is from the line of Karan Khanna from Ambit Capital.

Karan Khanna: Congratulations to the entire team for completing 20 years in the business and 100+ hotels with 10,000+ rooms. My first question, if you look at the trends so far across most of the listed hotel companies, I think in fourth quarter, we have seen that the overall ARR growth has seen some amount of deceleration, especially for the upscale and the luxury hotels while players like you have still managed to deliver mid-teens to low teens kind of an ARR growth. So how should we read this as we enter FY25? The part of the question is if you look at FY25, are you seeing some sort of a down trading overall in the industry where people are now pressuring, perhaps from a luxury or upscale going to a mid-scale or/and how should we read FY25? What kind of expectations do you have on overall FY growth for the industry and for yourselves?

Patanjali Keswani: There is a base effect coming into play. After COVID, in the first year, there was a fairly significant price hike by nearly every player in the

hotel industry. So, this was

exceptional because, normally, pricing hikes occur after demand improvement, but

this was a counterintuitive call, which amazingly happened in a very fragmented market of ours, which is the hotel industry. If you look back on FY23, there were large price hikes, we included, across the industry in India. Obviously, in FY24, while there was some improvement in pricing in this higher base, and there is after all, a limit to how much you can increase pricing on an ongoing basis. That is the first point. My forward view is, now I think the whole industry will wait for the upcycle, which is imminent in my opinion. At which point, you will see further significant hikes. Otherwise, typically, the hikes you will see will be depending on the market and depending on the quality of hotel, it could be anywhere from 5% to 12%. So that is the kind of price hikes you will see going forward. Now coming to Lemon Tree and down -trading, see, I think what you have seen is early stages of a structural shift in demand by consumers in India as the GDP moves from this current place. If you look at India's GDP today, well I know people do not like these comparisons. But it is the same as China in 2006 and Indonesia in 2007. Let me give you a very interesting example. There are 6 high -frequency indicators which demonstrated a real structural shift in discretionary consumption moving towards nondiscretionary for very large cohorts of consumers there. Both these countries were at India's GDP

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per capita then and had a very small base of, what I would call, wealthy, which is say households earning over \$100,000 per household. If I remember right, India itself has, from the last study I read a few years ago, 3 -4 years ago, India had only 1 million such households, which are real consumers of luxury.

And then there were about 3.5 million to 4 million households, which earned more than Rs. 30 lakhs, going up to Rs. 85 lakhs. So, this was the situation in India 3 -4 years ago. And this was identical to what China had in 2006 and Indonesia in 2007. Now what happened after that was 5 high -frequency indicators were, first, that the air traffic started taking off. And that you can see in India. In fact, I think some very encouraging signs are coming from the airline industry, because airlines have ordered capacity, which is roughly 3x of their current capacity, which will be operationalized in the next 5 years.

So that should tell you how we are looking at air travel demand in the next half decade. Number of airports; India has 150 airports that would increase to 250 but the number of runways are going to double from the current level. Four -lane highways have doubled over the last 5 years, and I expect it to double in the next 5 years. SUV demand has increased enormously in India, identical to what happened in China and Indonesia. When you look at these high frequency indicators and the current income, GDP per capita and then household income. We are at that cusp where we will start following those trendlines, with China and Indonesia with this, which were roughly 22% CAGR growth in branded hotel rooms for 6 years. That was the boom in the hotel industry that these 2 countries saw at this point in the GDP with these kinds of high -frequency indicators.

The first point is that the segment that took off first, because it had the lowest base, was luxury and 2 years lag, then mid -market took off. I think we are seeing the same thing in India. You will notice luxury operators are showing a much higher growth in ARR than the mid -market. But this, to me, is a precursor to the mid -market. So, to answer your point in a very, I guess, in a long way, I do think that there will be a big growth in mid -market, but that will not necessarily be at the cost of luxury because both these consuming segments or cohorts of Indian customers are going to

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ncrease in the next 5 years.

Karan Khanna: Just as a follow -up to this. Is it safe to assume that FY25 possibly, because we have seen a fairly high growth in FY23 and FY24 ARRs, we could see some moderation in terms of the overall growth. Let's say, FY26-FY27 as demand picks up, potentially the growth cycle further pickup in that period?

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Patanjali Keswani: Well, I would say that rate growth this year should not be less than last year.

Karan Khanna: Despite the fact that in first quarter, I think we have seen some election and heatwaves and all other aspects. And likewise, if second quarter itself is traditionally a soft quarter, you're confident about a fairly robust rate growth in FY25 v/s FY24 as well?

Patanjali Keswani: Yes. I think it's fairly safe to say that.

Karan Khanna: My second question on the Aurika Mumbai, if you can talk more about how the ARRs, occupancies, customer mix for Aurika during the fourth quarter? And what's your expectation for FY25?

Patanjali Keswani: Fourth quarter, we did, I think, about 66%. Let me just pull out the figures for the Aurika, yes, we did about 66%. ARRs were about Rs. 9,000. This was because, as

I said, we had a large base of crew rooms which we had taken opportunistically. Going forward, Aurika did well in April. I think May has been same, excluding Aurika, it has been same as last year in terms of occupancies and ARR's, because it was a very soft month because of this extreme heat wave and this election. This election also had a deflationary impact on demand for hotel rooms. But I see June is showing a significant pickup. On a quarter basis, I think Aurika will do as we expected. I do not want to give any specific guidance on it. But it is doing as well as we expected, and we are gradually taking out the crew base. We will replace it with the segments that we really want to target, which is corporate, retail, meeting and incentives. As far as for the owned company goes, I think Q1 will certainly be much better than Q1 last year.

Karan Khanna: Last question, given the success you have seen at Keys Select post renovation in Pune, do you believe you can replicate the similar sort of success in the rest of Keys portfolio? And what's your expectation for overall RevPAR growth for your Keys portfolio in FY25 and FY26?

Patanjali Keswani: FY25 is still a work in progress because we did a bunch of renovation in Keys, but it is early stages because that's not visible in the sense that it is part of the hotel. So, I was very specific when I said that you can look at Keys Pimpri because that is one hotel we have renovated. I think we gave you an illustration of what happens when we renovate a hotel more than 50%. Keys Pune was renovated first. This year, we are going to now start renovating all of that. And I think the full impact will be visible only from October the following year. But you will see early signs of it from this October, this coming October. What do I expect? Very simple. Our target EBITDA

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for Keys would be Rs. 60 crore a year, minimum. And I think we will be getting there certainly by next October. And some signs of it will be visible from this October.

Moderator: The next question, which is from the line of Chetan Sharma from Systematix Shares and Stocks Limited.

Chetan Sharma: You mentioned that on industry wide in the coming quarter, the price hike of 5% to 10% can be seen. Sir, my question is what will be the focus area of industry in terms of ARR and occupancy for FY25 and FY26? What will be the strategy for it, as we can see ARR going on a single digit or double-digit on Y-o-Y basis, but the occupancy is falling down. What will be the focus area?

Patanjali Keswani: Well, occupancy is not falling down. You are seeing the weighted average impact of Aurika Mumbai because that is obviously not at the level of the rest of the company.
Lemon Tr

ee as a group may have done 72%, but it is 3 parts. There is Aurika which did 66%, there is Keys which did 56%, and then there is Lemon Tree without Keys and without Aurika, which did over 75%. And I certainly do not feel this occupancy will reduce. I'm talking Q4, if you look at next year and so on, or this coming year. What I think will happen is that, depending on micro markets and its hotels across India, demand in each of those micro markets, my view is that there will be different mixes of occupancy hikes and ARR hikes. What I can say is for Lemon Tree certainly, we will see at least a 15% increase in revenue every year for the next 3 years. And this will partly be led by ARR increase, partly by occupancy and partly by management contract business increasing. The minimum, we expect is 15% increase.

Moderator: The next question is from the line of Kunal Lakhan from CLSA.

Kunal Lakhan: Just want to understand, what would have been the same-store ARR growth, excluding Aurika?

Patanjali Keswani: So you are saying Q-o-Q.

Kunal Lakhan: No, Y-o-Y.

Patanjali Keswani: Y-o-Y, if I look at Lemon Tree without Keys, grew by north of 10%, it will do north of 5%. ARR on a Y-o-Y basis, as the group if you notice went up from to Rs. 5,800 to Rs. 6,600. Now if I take out Keys then Lemon Tree with Aurika grew by over 10%, Keys grew by 5%. That gives you an idea without MIAL the ARR grew by 8%.

Kunal Lakhan: Okay. So, without MIAL, ARR, but it's including Keys you're saying?

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Patanjali Keswani: Yes, because Keys is a deflator for us on an aggregate base.

Kunal Lakhan: 8% growth in ARR's excluding MIAL.

Kapil Sharma: Excluding, that's right.

Kunal Lakhan: Understood. And this is what you're expecting for the industry would grow at 5% - 10% but what would be your assumption be on the same-store ARR growth for Lemon Tree?

Patanjali Keswani: You're talking revenue management business. So, while I understand the higher the ARR growth, the more the operational leverage. But the fact is that I cannot give you

an indicator of what will grow more. It is completely a function of how the market is behaving. What I said was that I would expect revenue to grow 15%. This would be a 10% growth in ARR and a 5% growth in occupancy, or the other way round. It is entirely a function of the market and how it operates from each H1 this year.

Kunal Lakhan: My second question was on the debt side. And I think this will be the peak debt levels.

Patanjali Keswani: That's right. So, debt reduction will start from this year. And there are 2 views, as I have said earlier. We are very confident that our debt will be 0 within the next 4 years, we will be net debt 0 but should we list Fleur before that, which is something we're thinking about then obviously we will be debt free much earlier because Fleur has roughly 75% of the total debt of the company and while it is consolidated, we own 60% of that company. So, we are looking at various options, and it is at the very latest that we will do debt free in 4 years, but we could very well go debt free in the next -- in shortly.

Kunal Lakhan: And any timeline on this restructuring?

Patanjali Keswani: No. We are really discussing it. There is no specific timeline.

Moderator: The next question is from the line of Jinesh Joshi from Prabhudas Lilladher Private Limited.

Jinesh Joshi: Sir, I just need one clarification on the debt level. We have stated that the debt increased by about Rs. 140-odd crore pertains to Aurika. But I believe this was the second quarter of operations and the capex would have already been incurred. And only after that, the inauguration is possible. If you can just clarify what led to this increase of 140 -odd crore?

Patanjali Keswani: Well, we do not pay every fee upfront, we have lines of credit from our contractors and so on. So, in many cases, fee expenditure in a pre-open ing

a hotel

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while you may build a hotel over 3-4 years, 60% to 70% of your capex clearly acquires in the last 1 year, okay. And more than half of that is in between the last quarter. So, we have what is called lines of credit, we have also guarantee and so on. We pay it advance, made advance payments, but the balance was met after the hotel was operationalized. That's really common by the way.

Jinesh Joshi: Any balance, which is pending as of now?

Patanjali Keswani: No.

Jinesh Joshi: Sir, secondly, if I look at your pipeline of managed room inventory over the 3 years, I see a fall in the number of signed in, which you have given in the PPT. Are we facing any fresh challenges in new signed ins? And any comment on that?

Patanjali Keswani: On the contrary, what you are referring to there is no fall. Let me just tell you, if I look at this year and Q 4, we signed 667 rooms and we opened 176 rooms. The preceding quarter, we signed another 9 hotels with 620 rooms and opened about 300 rooms in 5 hotels. If I look at Y-o-Y, in Q4 we see signed 9 hotels with 538 rooms and open 1 small hotel. So, the trend line is positive. I do not think this is guidance when I say that we are very confident that we have 2,000 -3,000 more rooms on our pipeline this year. And our endeavour is very simple, I can say it will be between from 1,200 - 2,000. Those are the rooms we should open this year. Because there are delays which are outside our control. But if we open up to 2,000 rooms, what I can guarantee is that we will have signed more than 2,000 rooms. So, what you will constantly see is more opening, more sign ings. And in each case, the sign ings will be more than the openings so that we keep building the pipeline.

Jinesh Joshi: One last question from my side. I mean if I look at our airline share, it is at about 13% in this quarter. And if I remember right, in the last earnings call, you had highlighted that roughly about 100 rooms will be reserved for the crew business. But if I look at the total airline share, it is up from about 8% to 13%. So, is it that the crew business at Aurika has increased from the last quarter?

Patanjali Keswani: Not particularly. See, we had about 200 -250 crew rooms in the Q4. If I just take it over the base of, say 6,000 rooms, it is about 4%, which is most of the height that you see in the airline. But going forward, once we have built demand from the other segments, we will automatically reduce airline business and back to historic level of 8% to 10% because it's a good business. But going forward, I think you will see airlines demand in about roughly close to 10% for our company.

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Moderator: The next question is from the line of Achal Kumar from HSBC Securites & Capital Markets (India) Private Limited.

Achal Kumar: First of all, I just want to understand the tables on Slide 15, where you have shown the city-wise ARRs, occupancy and the brand-wise. So, first of all, on Aurika, what happened, I mean, why your ARRs are down 35%?

And then on the city side, if I see, I think there was a sort of a quite a sharp decline,

particularly in Bangalore occupancy rates. And then otherwise, like Mumbai really the ARR was flat. What's happening in the different markets? I mean if you could please highlight about your brand and the city wise, please?

Patanjali Keswani: First point, let me talk Aurika. What you are seeing in Aurika in this slide is for the full inventory of Aurika, which includes Aurika Mumbai. If I look at Aurika Mumbai, which did about 65 %-66% occupancy this year, and then I overlay it with Aurika Udaipur, the fact is that the occupancy from Q4 last year to Q4 this year has hardly fallen, if you notice that number. Now Aurika Udaipur has a much higher average rate than Aurika Mumbai, because Aurika Mumbai is, say, Rs. 9,000 and Aurika Udaipur which is 1/5 is inventory, has a much higher

rate. What you are seeing is the weighted average rate of Rs. 10,500, which really tells you that if you go by the ratio of 1:4, Aurika Udaipur did about Rs.15,000 - Rs.16,000, and Aurika Mumbai did about Rs. 9,000 and the weighted average is Rs. 10,500. Then you take the 10.5 multiply it by the occupancy and that's your RevPAR. Does that make sense to you?

Achal Kumar : Yes.

Patanjali Keswani: This is a weighted average thing. Because Aurika Mumbai it's 5x inventory of Aurika Udaipur. Now coming to city -specific, you are asking for Bangalore. We have a very large inventory in Bangalore in the IT -heavy markets, which is Electronic City and Whitefield. So that impact, you are seeing still, a lot of our business used to be new joiners, the mid -level managers and so on. And tech companies, as you must have read in the papers and I'm sure you cover, you will see their hirings have slowed down significantly, and that is the impact you are seeing in our occupancy there. As far as Mumbai goes, Mumbai, our Lemon Tree Premier, in fact, did better this year than the previous year. But what you are seeing is the weighted average impact again of Aurika Mumbai, which is a new hotel and at 66% occupancy. So, when you see that, keep in mind that Aurika Mumbai is 2.2x the inventory of Lemon Tree Premier Mumbai, which is 300 rooms, which is why you're seeing a weighted average occupancy of 73% and ARR of about Rs. 9,000, which tells you that actually Lemon Tree Premier was close to Rs. 9,000 also.

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Achal Kumar : My next question is about the ARR. I think market was a bit surprised in terms of the slowing down of ARR. Of course, we understand that, I mean, there is a limit to which we can increase the prices. But I mean, if you talk about the bottom end of the category like Keys and Red Fox, I guess if you look at the ARR, I think pretty much Rs. 3,600 or Rs. 4,500 which you reported. I mean given the strong demand, given how the GDP is growing, how the per capita is growing and the preference for the travel leisure is growing, don't you think there is a significant potential, especially in the bottom category of the rooms? How do you see the potential increase in the ARR going forward, especially in bottom category? Of course, I can understand Aurika is only Rs. 10,000, but they are also, again, it's a mix impact. But otherwise, on the bottom side of this, don't you think there is a huge potential, how do you see the market, how do you see potential for yourself and the rate hike?

Patanjali Keswani: I actually feel that price sensitivity as you go down the pyramid is more and more.

The person who stays in a Keys is far more price -sensitive than a person who stays in an Lemon Tree Premier, and similarly, a person who stays in Aurika. See, if I look at Aurika Mumbai, Aurika Mumbai's ARR net of crew is about Rs. 11,500. It is the weighted average of the 2 that brings you to Rs. 9,000 - Rs.9,100, whatever it is. But Aurika's ability to reprice is much higher and so is Lemon Tree Premier than Keys. And overlay this with the fact that this is not a renovated product, you see we bought it just a few months before COVID and we are now renovating it. So, while I agree with you, there is enormous ability to reprice Keys, it is only when we renovate it, and it will not be at the rate at which we can reprice the higher categories. As far as our long-term view goes, here is what I have said earlier that once Keys is renovated, its average rate will move to Rs. 4,500, which was what roughly Red Fox's rate is. So, within the next 2 rate cycles, that is by October next year, you will see Keys gradually moving up to Rs. 4,500. Red Fox in my opinion, will move to north of Rs. 5,000 and Lemon Tree and Lemon Tree Premier and all, each of them will be north of Rs. 7,000. So that is roughly the trend lines that we see.

These will not be dramatic price hikes every qu

arter, but there will be 3 more price

hikes. One will be in October; one will be in January for different segments, and one will be in October the following year. At which point, I'm reasonably sure that if you look at Slide 15, Keys by Lemon Tree will move towards Red Fox. Red Fox will move towards Lemon Tree Hotel's ARR and Lemon Tree will move towards Premier and

Premier and Aurika will be significantly north of what you see.

Achal Kumar : Right, I think that's quite an interesting point you said. But then, that means you're talking about 15 %-20% increase in the rates. But I mean, do you see that's the only cues left out in the system? And then that's the maximum potential? Or do you see
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apart from that, there are some other opportunities for you to increase the rates or maybe better traffic mix? I mean how should we look at here the maximum potential here, from here on?

Patanjali Keswani: Let me give you a number, Achal. In 2006, 2007, 2008 and 2009 until the global financial crisis, the average rate of Lemon Tree which did not have a Lemon Tree Premier, it only had Lemon Trees and Red Foxes, the ARR was Rs. 9,000. Actually, we are below what was there 15 -18 years ago. And that is true, by the way, for every hotel company that had hotels there. There is an ability to reprice. I am talking about pari-passu, everything being equal, we will continue in this price line. But if the demand parameters change, then every number I have given you is too low.

Achal Kumar : My last question is about the competitive landscape. How do you see the competitive landscape for the overall industry and for Lemon Tree basically?

Patanjali Keswani: I do not see much competition very frankly because of a very basic reason, it is that demand is growing. When demand grows, then everybody runs like horses. It does not matter what you were in your previous avatar, but everybody becomes a racehorse . Obviously, there is competition in terms of similar hotels going after similar accounts and retail customers. I can sense the early tide of a rising wave of demand. And I think that's going to quite distinctly get demonstrated in the next 15 months. At which point, the question will be how much can you reprice? Why have you not repriced more ? And so , I do not know if I'm answering your question. I do not see competition as the issue. I just see this enormous opportunity of rising demand.

Moderator: The next question is from the line of Sumant Kumar from Motilal Oswal.

Sumant Kumar : Is there any event residue to Q2 FY25 due to general election in Q1 FY25 ? So, have you seen demand spill over from Q1 to Q2?

Patanjali Keswani: I do not see any demand spilling over from Q1 to Q2. I think that there was a slowdown in demand in May partly due to weather, partly due to elections, and that is galloping back actually in June. Q2 is traditionally weaker than Q1. But last year too and the previous year too, Lemon Tree did better in Q2 than Q1. And I think that trend is very clear this year, too .

Sumant Kumar : So, there is no indication of any event that is spilling from Q1 to Q2?

Patanjali Keswani: No.

Moderator: The next question is from the line of Hardik Doshi from White Whale Partners.

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Hardik Doshi : Yes. I just wanted to ask a bit more about the renovation costs. I do not know if I missed it, but can you break out how much of the renovation costs in the Q4? And how much of it was the CAPEX v/s OPEX ? And also, what are you expecting for the Q1 and Q2?

Patanjali Keswani: Renovation is ongoing. It is higher every quarter, frankly, than the preceding year same quarter. But bottom line is that this year, I have said this earlier, we will spend Rs. 100 crore s on renovation and next year too. And at the end of it, by October CY25, the entire company will be new hotels. And as a percentage of revenue, this year, Q4, it was about 2%. And last year

Q4, it was 0.6%.

Hardik Doshi: It's about a 1.4% impact on overall EBITDA.

Patanjali Keswani: That is correct.

Hardik Doshi : You think Rs. 100 crore s for FY25 and then another Rs. 100 crore s for FY26, is that correct?

Patanjali Keswani: More or less. Part of it will be CAPEX . Normally, OPEX is about 60-65%. The numbers you see as a percentage of company revenue are about 2/3 of the actual renovation spend, because 1/3 is capex . When I say Rs. 100 crore s, it means that the hit to the EBITDA will be, I think, maybe Rs. 65 crore s.

Hardik Doshi : On the Rs. 100 crore a year on FY25 and FY26 , is that fairly even through the quarter? Or is it like more first half?

Patanjali Keswani: We average it out. Basically, we spend more in H1 than in H2 because that's the low season and we can shut more rooms off.

Hardik Doshi : The ratio is, what about 60 :40 or 70 :30?

Patanjali Keswani: It depends. Because the question is how are you financially accounting for it . It's an allocation, so I assume it's equalized. Though cash flow, it may be different.

Hardik Doshi : Just a follow -up on the Hyderabad and Bangalore market, I think you mentioned a bit about the IT slowdown and impacting you. The impact has been pretty stark on

Bangalore in particular where your occupancy has fallen by almost 500 bps and then your EBITDA margin has fallen by 15%. How much of that is related to renovations and how much of it is just your weak demand.

Patanjali Keswani: We shut 100 rooms of Keys in Whitefield for renovation. Of the total Whitefield inventory, which is 350 rooms, operating was only about 250. 58% is on the full inventory. It is true that there was some opportunity cost to this. But I think

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it will be more than compensated by the average rate hikes we will be able to get.

That's the largest micro market for us in terms of rooms in Bangalore. Then we have another 325 rooms in Electronic City in Hosur, of which I think about 30-40 rooms were shut, so about 10%. And that too is a very IT dependent market. So, you are seeing the impact of both. Nothing to worry about because we have been giving early indications that IT hiring should start in Q3 onwards. I guess we are quite dependent on that. That's a very large segment for us.

Hardik Doshi: Q3 onwards, I guess Q1 and Q2, these kinds of trends will continue in Bangalore, at least?

Patanjali Keswani: Yes. And we are also quite clear that that's an opportunity for us in that adversity to renovate as many rooms as we can.

Hardik Doshi: What about Hyderabad, is that a similar impact because of IT?

Patanjali Keswani: Yes. In Hyderabad, out of the 663 rooms, we have shut about 80-90 rooms. And that happened in summer and in winter too, by the way. It's ongoing renovation.

Hyderabad is a very high-demand market. But we have taken a conscious call that we want the entire company to be completely new and renovated by October next year, which means that we will continue to renovate through winter and summer.

About 12%-15% of Hyderabad will be shut at any given time.

Hardik Doshi: Last question from me is on Aurika Mumbai. I guess, in a few quarters out, 10 months, Fairmont is also going to open up in the same region. I know that is a bit more premium. But how are you looking at that from an occupancy and ARR perspective?

Patanjali Keswani: Let me give you an anecdotal information. When we built our hotel in Delhi, which is where I'm sitting, everybody told me at least that, listen, 5,000 rooms are going to come up in 3 years. And how is this market going to absorb this amount of inventory.

If I include the hotels that came up in Dwarka, in this micro market, 6,000 rooms opened over the space of 3.5 years and all the supply was absorbed because the rate of growth of airline traffic more than match the rate of growth of supply for the whole city. The same thing is happening in Mumbai,

Mumbai is a larger demand

market than Delhi. And when I look at it from that perspective, why is the Lemon Tree Premier doing 90% occupancy and Rs. 9,000 ARR even in a relatively subdued, when all the occupancies are in the mid-60's. It's because it's a very deep micro market. And I have some experience of Mumbai. Whenever a new supplier has come, it has always gotten absorbed. I'm not really bothered about the supply that is

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coming up because I have this confidence that the city will be able to absorb that supply.

Hardik Doshi: Just a follow-up on that is, I guess, what is different in Delhi is the Mumbai airport already running chock-a-block, right? And if the traffic is going to increase, at least from an airline perspective, it is going to be in the new Navi Mumbai airport when that opens up. As more and more supply come around, don't you think there could actually be a very different dynamic playing out versus what happened in Delhi?

Patanjali Keswani: Not at all. In Delhi, Jewar Airport in Greater Noida is coming up. And if you look at growth in capacity of each airport. I would not look at what is happening elsewhere.

I would say simply, they are renovating another runway at the Mumbai airport, how much supply is growing? How many new aircraft are coming? And I would look at it from that perspective and just simply extrapolate and say, if they are saying capacity is going to increase 100%, but the number of rooms in Mumbai is growing 25%-30%, then I think it's fairly safe to say they will continue to be demand. Because Mumbai and Delhi airports attract every single segment. It's not segment-specific. There is business travel, there's leisure travel, there's meetings, incentives, conferences. There are so many levers of demand. I mean think of it, Reliance Jio, that centre, it will have so many events of such a scale that, forget Bandra Kurla Complex, the whole of Andheri hotels will get full every time they have a big event. And it's happened, I have seen it myself in Aurika.

Moderator: The next question is from the line from Sakshee Chhabra from Svan Investments.

Sakshee Chhabra: Actually, what I want to understand that on your Keys portfolio, because of the renovation, the EBITDA margin has gone down, but post renovation, what sort of

sustainable EBITDA margins can be maintained on hotel level?

Patanjali Keswani: Post EBITDA or post-renovation, what will it do?

Sakshree Chhabra: Yes. I wanted to understand that.

Patanjali Keswani: It will do Rs. 6 lakhs per year.

Moderator: The next question is from the line of Ashok Kumar Daga, an individual investor.

Ashok Kumar Daga: My basic question is that when I'm going through your report, I have noticed that the promoter's holding is reducing from every quarter. In March 2023, your holding was 23.62 %. In June 2023, it was 23.60 %, in September 23.28 %, in December 23.21 %, again, March 2024 - 22.87 %.

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Patanjali Keswani: That was to right down my pledge, it was to write down my pledge, my pledge is zero now.

Ashok Kumar Daga: Your pledge is zero, means your holding has been sold out?

Patanjali Keswani: No, my pledge was to be written off. Obviously, I'll sell some shares to pay off the debt.

Ashok Kumar Daga: Okay. So now means your holding has been reduced continuously, so is that trend is going on? Or now that will be stopped?

Patanjali Keswani: More or less stopped. I cannot comment due to any emergency requirement, but it is more or less stopped.

Ashok Kumar Daga: Because your holding has been reduced drastically. And the second thing is that the sales figure, which when I have gone through your sales figure, in March 2021, the sales was Rs. 252 crore. In March 2022, Rs. 402 crore, that is nearly double. Again, in March 2023 Rs. 875 crore. But in March 2024, the sale figure was Rs. 1,071 crore. We are near about some 20% -25% in

crease is there. But the earlier year, the sales was more or less 100% increase.

Patanjali Keswani: The reason is COVID. I mean, you look at our sales pre -COVID. If you look at pre -COVID, I think we did about Rs. 675 crore in the year pre -COVID. When COVID, obviously, there was hardly any sales, then it started picking up on a new base. I would urge you to look at the figures of Rs. 675 crore, pre-COVID and then Rs. 800 crore.

Ashok Kumar Daga: Rs. 825 crore in March 2022.

Patanjali Keswani: That is right. In your mind, just delete the 2 years of FY21 and FY22.

Ashok Kumar Daga: Then after the March 2019, then March 2023 onwards, it will be the same, some 20% or near around that growth will be there.

Patanjali Keswani: No, I want to be very clear, Mr. Daga. I said that we will continue to grow at least 15% a year. And obviously, we would like to grow more than that, but 15% is a soft promise.

Ashok Kumar Daga: Is the benchmark, minimum benchmark?

Patanjali Keswani: That's correct.

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Ashok Kumar Daga: And one more thing is there that your operating profit percentage, although in amount terms it has increased. But March 2023 to March 2024, March 2023, it was 51% and March 2024, it was 49%. It shows some decline in the percentage figure.

Patanjali Keswani: Well, I think as a company, I am told we are the first in the world to show over 50% net EBITDA. I would not worry about 1% or 2%. I think the important thing is that most of the difference was on account of renovation, a big increase in renovation, and that will pay rich dividends after 2 years. You see what I have to look at is try and take advantage of what I think will be structural shifts in demand 2 years out. And therefore, while there is some short-term pain in terms of potentially a Rs. 200 crore expenditure, of which Rs. 130 crore will be directly on the P&L.

Looking forward, I think our view has been very simple, that the total renovation expenditure that we are incurring, we should earn back in 2 years in incremental EBITDA. I'm giving you a number, that if we have spent Rs. 250 crore in 3 years, then in the following 2 years, we expect to recover it in incremental EBITDA beyond what we would have otherwise achieved.

Ashok Kumar Daga: It means that whatever expenditure you have already incurred, your view is that in the next 2 years, you're going to recover that one. And then the later on, the benefits will start continuously, and your renovation work has been already completed by that time?

Patanjali Keswani: That is correct.

Moderator: The next question is from the line of Hardik Doshi from White Whale Partners.

Hardik Doshi: Just a quick follow-up on you mentioned the 15 months out, if there was a significant demand cycle, then it would be in a much higher ARR. But then what about from a supply side? Because every day in the papers, we keep on reading about like new inventory coming up, new plans by so many chains. I know there's a lag that happens

in terms of when supply comes through post announcement, but that will start catching up 15 -18 months out as well, right?

Patanjali Keswani: Let me answer this in 3 points. Point one, as you said yourself, supply takes time to operationalize. When we sign management contracts, we have 3 types. One is the conversion, which means its existing supply being rebranded. It comes from some other brand to us as Lemon Tree. It is rebranded, it's no increase in supply. This happens typically within 6 -9 months of signing. It becomes operational.

Then there is brownfield, which means there is some kind of a structure up, but you have to finish it. That normally takes 18 months to 3 years, and it is new

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supply addition. Then there is greenfield, which means it's ground up, and that takes 3-5 years. When we give our signings, we take care to mention this is a conversion, this is a brownfield, thi

s is a greenfield.

Now what supply additions are happening in India, second point, is that a lot of it is in Tier-2, Tier-3, Tier-4 cities, where, interestingly, we are only in 64 cities and we want to go to 150 cities in India where there are going to be airports, they are not already there, and where there is at least a population of 0.5 million. And this is going to happen by us t hrough an asset -light route, which means we will go for management/franchise in these locations. Where we have capital invested is basically in the big cities, the 5 million + population. If you go to Slide 15, you will notice in our case , out of the 5,800 rooms we have, outside of the 6 big, I would say, metros, we have less than 30% of our supply outside these cities, which is where more supply is coming up. I would not personally worry too much about that. I would say, how are these 6 cities where we have 80% of our capital deployed, how are they going to perform? And I'm quite sanguine about supply and demand growth in these markets.

Moderator: Ladies and gentlemen, as there are no further questions, I would like to hand the conference over to the management for closing comments. Over to you, sir.

Patanjali Keswani: Thank you once again for your interest and support. We will continue to stay engaged. Please be in touch with our Investor Relations team for any further details or discussions. And I look forward to interacting with all of you soon.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity and accuracy . The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Aug 2024

August 14 , 2024

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Name of Scrip: LEMONTREE BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

BSE Scrip Code: 541233

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Ref: Outcome of Conference Call with Analysts/Institutional Investors

Dear Sir/Madam ,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation to the disclosure made on August 8, 2024 w.r.t the audio recording of the conference call on Unaudited Financial Results for the quarter ended June 30 , 2024 held on Thursday, August 8 , 2024 at 4:00 PM IST, please find enclosed herewith the transcript of the conference call with Investors /Analysts .

This is for your information and record.

Thanking You

For Lemon Tree Hotels Limited

Jyoti Verma
Group Company Secretary
& Compliance Officer
M. No.: F7210

Encl: a/a

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Lemon Tree Hotels Limited
Q1 FY25 Earnings Conference Call Transcript
August 08, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the Lemon Tree Hotels Limited Earnings Conference Call.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you, Mr. Poojari .

Anoop Poojari: Thank you. Good afternoon, everyone, and thank you for joining us on Lemon Tree Hotels Q1 FY25 Earnings Conference Call. We have with us today , Mr. Patanjali Keswani, Chairman and Managing Director; and Mr. Kapil Sharma, Chief Financial Officer of the company. We'll begin the call with brief opening remarks from the management, following which we'll open the forum for an interactive question -and-answer session.

Before we start, I would like to point out that some statements made in today's call may be forward -looking in nature, and a disclaimer to this effect has been included in the results presentation that was shared with you earlier.

I would now request Mr. Keswani to make his opening remarks.

Patanjali Keswani: Good afternoon, everyone, and thank you for joining us on the call. I'll be covering the business highlights and financial performance for Q1 FY25, post which, we'll

open the forum for your questions and suggestions. Due to high seasonality of the hotel industry, I would request everybody to consider YoY performance rather than QoQ .

In Q1, despite the headwinds faced by the hotel sector due to the election process and the extreme heat wave, Lemon Tree recorded its highest ever revenue at Rs. 268.4 crore , revenue grew over 19% compared to Q1 FY24, while the EBITDA grew 8% YoY, translating into a net EBITDA margin of 43%, which decreased 4.56% in percentage points over Q1 FY24. Of this fall in EBITDA margin YoY of ~4.6%, about

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50% was due to one -off increase in investments in renovation and digital transformation. Q1 FY25 also recorded a gross ARR of Rs. 5,686, which increased 9% YoY. The occupancy for the quarter stood at 66.6%, which decreased 360 bps YoY. This translated into a RevPAR of Rs. 3,788, which increased 4% YoY.

As I have stated in earlier calls, the decrease in EBITDA margin YoY was owing to planned increases in investments in renovation above that spend in Q1 FY24 as well as investments in digital capabilities, expansion of our business development and sales teams and an overall annual payroll increase. The Keys portfolio EBITDA margin decreased by ~10 percentage points YoY due to an increase in renovation expenses of Rs. ~1.8 crore over Q1 FY24 which was actually a 100% increase. During the quarter, ~25% of the total Keys portfolio was shut for renovation, which impacted the ability of the Keys portfolio to increase occupancy which decreased 148 bps YoY. With demand growth expected to exceed supply growth in the next 2 years, accompanied by structural tailwinds that India is currently witnessing, this significant investment in renovation will allow us to better position our hotels going forward to capture superior pricing and position Lemon Tree as the brand of choice in the mid -market segment.

Fees from managed and franchise contracts from third -party hotels stood at Rs. 12.5 crore , up 21% from Rs. 10.5 crore in the previous year same quarter. Total management fees for Lemon Tree were up 22% at Rs. 29.1 crore compared to 22% less in Q1 FY24.

During the quarter, we signed 3 new management and franchise contracts, which added 187 rooms to our pipeline and operationalized 4 hotels, which added 331 rooms. As of 30 th June 2024, the inventory for the group stands at 107 operational hotels with 10,125 rooms, and our pipeline comprises an additional 4,000 rooms. Going forward, we are confident of the company's ability to sustain this growth in the coming quarters by focusing on the following growth levers, the continuing stabilization of Aurika MIAL, which is already EBITDA accretive; accelerated growth in our management and franchise contract with a proportionate increase in fee income timely completion of renovation activities in the owned portfolio to further improve ARR and occupancy.

Please note that the increased investment and allocation in renovation expenses will continue into FY 26 until the full portfolio of owned hotels will be fully renovated. Post this renovation expenses will drop to 1.5% to 1.6% of revenue. Continued efforts under our digital transformation exercise with BCG which involves strengthening our sales processes, revenue management and loyalty program.

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With this, I have come to the end of my prepared remarks. But before I ask the moderator to open this forum for any questions , I was briefed by our investor advisers about some questions which they have observed. I thought I would give a kind of extempore explanation of what is going on. See, any business, I think the management has to take a view and preferably a view with conviction. When I talk about a structural uptick, a change, I did reflect back on China and Indonesia in the 2006 and 2007 period, when their GDP per household was roughly the same as India's today. And what happened in the next 6 years then was a massive increase in SUV car sales, a massive increase in four lane highways, a massive increase in runway in airports, a massive increase in airline seats, and this led to a 22% to 25% CAGR growth in mid -market hotel room demand over the next 6 years.

We felt we would prefer to bite the bullet, and I'll explain what I mean by this, and take some short -term pain for what we anticipate will be long -term gain if we get future ready today. Now when I look at Lemon Tree, 1 year before COVID, we had less than 4,000 operating owned rooms, and these

old hotels had potentially high

value and were actually not renovated subsequent to that 2018 -2019 period till last year, because we obviously didn't have the money and we were focusing on rebuilding the business.

Now I remember I met a global CEO of 1 of the top 3 hotel companies. And I had asked him that what is your biggest pain point today, and he had said renovation, because, of course, that company has hotels owned by others and getting them to invest money to renovate was his biggest pain point. So, we took a call, that we would identify 2 sets of hotels. Those which were old hotels with potentially high value in re-pricing and occupancy, renovate the rooms, the food and beverage outlets and the banquets. And basically, when I say renovate, I don't need a traditional renovation. I mean a reinvention to new standards like our new Lemon Tree Premier's like Mumbai and Pune reflects.

Although it would lead to a large amount of inventory shutting down in summer this year, we took a call that specifically in the very high demand markets of Delhi, Hyderabad and Bangalore, where the hotels were 10 years or more old, we would invest a very large sum of money this year and shut down rooms and restaurants and in fact, lobbies too and renovate them completely, so that by the end of next year, they would be fully ready for what I anticipate will be a structural shift, starting to show very clearly in hotel room demand in India.

Simultaneously Keys, which was a portfolio we acquired a few months before COVID, we decided to also renovate. And in fact, as I mentioned earlier, 25% of the

inventory has been shut and I'm quite surprised and pleased that in spite of 25% of the inventory, the drop in occupancy is 1.5%. Alongside this, we also looked at all our uplift we needed to provide in maintenance, which is more CAPEX oriented like the Keys portfolio needs a replacement of the entire air conditioning system across all 1,000 rooms. So, putting all this together, what we felt is that if we invest enormously and take the pain of shutting down inventory, large amounts of inventory, we would have an entirely new group by the end of FY26. And then after that, we would go back to routine renovation, which is normally 1.5 %-1.6% of revenue. That was the first leg of our view towards monetizing this conviction 2 years out.

The second was tech. We said, we need to digitally transform our company, and we focused on 4 legs, which is repricing, which is we created dynamic algorithms, which will now come into play with these new rooms. We created an entirely new sales system which is entirely led by digital capabilities. We are now in the midst of completely reimagining our loyalty program and website with a very large element of mass scale personalized offers. And this is all geared towards capturing 66% of our demand from the retail segment in the next 2 years.

The third leg we focused on was on business development, and we increased the business development team by 4x. This is actually all captured in the cost structure you are seeing. The business development team grew from x people to 4x people. The next word focusing on how we would deliver execution and that was obviously the challenge. There were planned investments and increments in retention and adding new people. For example, the sales team, we increased by 50% in the last 3 months. We've also added 100 management trainees into the system. And basically, the perspective was that although these appear as OPEX, the way our management sees this that the new OPEX is going to demonstrate our ability to juice the old CAPEX that we have invested over the last 20 years in Lemon Tree Hotels. And that would enable us to achieve our stated target of exceeding a 20% ROCE from the next year itself.

Last point is that all the free cash flow that we generate in summer has been going into renovati

on. But typically, the free cash flow in winter is 2x -2.5x of that and that will go towards debt reduction. And this is how we are looking at not only this year but the following year.

Now I'll hand it over to you, moderator, to open the forum for any questions that the listeners may have.

Moderator: The first question is from Karan Khanna from Ambit Capital.

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Karan Khanna: This is Karan Khanna. My first question, you spoke about 5% -12% price hikes in the last call. Barring this quarter, which got impacted because of multiple headwinds, how do you see the RevPAR growth for your portfolio, excluding Aurika? And do you believe you can sustain this low to mid-teens RevPAR growth in FY 25 and FY 26?

Patanjali Keswani: I'll tell you, Karan, the point is already in this quarter because a certain number of new rooms have come back into the inventory, we are doing 10% better ARR as a group and about 7% for same-store, which is obviously an improvement over Q1 FY24. And I suspect that when the first round of renovation is over, which will be by mid-September, going into peak season, this will obviously improve significantly. So, the perspective I have is I would prefer to answer this question on a full year basis,

and then I would adhere to whatever it is.

Karan Khanna: Sure, where I was coming from is, Slide #12 of your investor presentation, where you mentioned that for most of the markets, room rate growth has been in the range of about 3% -7% ex of Mumbai, where the number was 9% because of Aurika MIAL opening up. So, to that extent, do we think that, say, in FY 25 rest of the 9 months and potentially FY 26, there is enough opportunity for you to really look at a double-digit RevPAR growth during both the years FY 25 & FY26.

Patanjali Keswani: FY25, I'm talking this year. See, FY 26, I'm very confident because then the entire portfolio by the end of what is called summer will be fully renovated. More or less, there may be a few rooms still not done. This year, about half the rooms will be renovated. In fact, just to give you some numbers, at peak about 700 -800 rooms were shut in Lemon Tree.

Now to get an idea about what I mean by this is about 500 rooms of the first 3,500 rooms of our company, the older one was shut, which was 15% of the inventory. And when 15% are shut. And as you start planning the next phase, the 15% remains shut because they are going to open and another 10% are shut for timely renovation. So, at peak 25% of the rooms are shut. And similarly, as I mentioned, Keys, 25% of the portfolio is shut, and we will continue to renovate this winter too so that we are able to renovate the entire portfolio by the end of next year.

Now the view is that, once half of this renovated inventory comes back, we have found that there is a very positive customer response to these new rooms, especially in our old high-value hotels. So, we will have an ability leveraging the new revenue management algorithms we have in place to reprice at least that half of the inventory to maybe Rs. 2,000 higher than the older inventory. I do not see a problem with the RevPAR growth we are talking about.

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Karan Khanna: Sure. This is helpful. My second question is on the Aurika Mumbai Hotel. If you could talk about the ARR, the occupancy levels and the customer mix that has trended for Aurika during Q 1 FY25 and by when do you expect see this stabilizing?

And as a follow-up, if I look at Slide 12 of the presentation deck, can you help us understand the breakup of the performance of Aurika portfolio in Mumbai and outside Mumbai. And a clarification here your Q 1 FY24 presentation had slightly different numbers for the Aurika brand. So, I wanted to understand why it has changed. And if you can elaborate more on the Aurika Mumbai, ramp-up.

Patanjali Keswani: Okay. Aurika in Q1 last year was only Udaipur and this year is Udaipur and Mumbai.

So, you are seeing weighted averages. In fact, Aurika Mumbai in Q1 FY25 did 45.9% which is around 300 rooms, now the reason it did this is that we started reducing the crew base and our crew base dropped from 200 plus in Q4 FY24 to about 115 in Q 1 FY25, and in fact, has now reduced further to 100 in Q2 FY25.

Now the way we looked at it was very simple. We needed to reduce our dependence on crew and crew contracts, as you know, are long term. So, it's not that we can opportunistically reduce it every month. We are not renewing some contracts because our expectation is that, as I mentioned earlier, one must keep in mind that Aurika is the equivalent of 3 large hotels, 3 large hotels or 2 very large hotels of over 300 rooms. When I reflect back on the first Lemon Tree we opened in Mumbai, which was 300 rooms, it took about 9 months to stabilize it.

So really, to build up demand for a 670 room hotel, which is a new brand on top of it, will take, in my opinion, a year. Real results for Aurika will start coming out in Q3 FY25 and will flow into Q4 FY25. My best guess is that you will have a clear idea of how Aurika performs by Q4 FY25.

In Q1 FY25, it did 45.9% and a shade under Rs. 9,000 average rate. So, if you take the weighted average out, I don't have the numbers for Aurika Udaipur right here, but the portfolio did 46%. So you can say both were roughly similar. And that is normal because in Udaipur, there is an extreme high seasonality. Winter is double of summer.

Now coming to Aurika Mumbai going forward, there is some improvement in Q2 FY25. Again, as I said, it's off-season. We are really focused on building demand in 3 segments in Aurika Mumbai. I am reasonably happy with the rate of growth of our corporate segment, which is an immediate sales calling issue. But the building of the retail segment, which is traditionally one of our strong points, needs more work in terms of how we market it and how we reach out to retail customers.

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As far as meetings, incentives, conferences go, there is an uptick. But as you know, it has a very large convention space. And my expectation is that will really kick in from Q3 FY25 onwards. On an aggregate basis, I expect that Aurika Mumbai in H2

FY25 will be maybe 2x or 2.5x what it will be in H1 FY25 . And we'll have to wait and see to see how that plays out.

Karan Khanna: Sure. And then last question is on the expenses side. And if I'm looking at the P&L, there's the cost of food and beverages consumed has seen almost Rs. 4 crore growth on a YoY basis despite this quarter being relatively soft from a MICE perspective. And likewise, the power and fuel costs also have inched up higher. So , if you could elaborate more on that. And that would be my last question .

Patanjali Keswani: You are asking food and beverage costs. Well, food and beverage cost is what we expected it to be.

Karan Khanna: Despite lesser MICE activities it's gone up from Rs. 12 crore to Rs. 16 crore , I can take this offline otherwise, yes.

Patanjali Keswani: Our food costs normally, Karan, should be 29% -30%. If you look at traditionally historically Lemon Tree's food cost has been 29 %-30% of revenue. If you have a very large amount of banquets, banquet food cost is typically 20%. And that lowers the average from, say, 30% depending on the number of banquets you have. As and when the MICE and banquets picks up the food cost as a percentage of the total revenue drops. But we didn't have significant banquets in Q1 FY25 . There are some more in Q2 FY25 . And then in Q3 and Q4 FY25 , it keeps growing. And then the aggregate comes down to maybe 26 %-27% for the year .

Moderator: The next question is from the line of Archana Gude from IDBI Capital.

Archana Gude: I have 2 questions. Firstly, given will we be renovating the Keys in the rest of FY 25? I understand operating margins would

be under pressure . I understand that the renovated inventory would operate with a higher price point, how should we look at the margin profile for, let's say, FY 26 and FY27.

Patanjali Keswani: Well, I gave a number that when the Keys portfolio is fully renovated, we are expecting an EBITDA of about Rs. 60 crore s from Keys, as you can see, a step change from the current EBITDA. And the reason I'm saying this is the first Keys we renovated was the Keys, Pimpri Pune. And what you will find is that although even as we speak, 30% of the inventory is shut. That means it is only a 70 -room hotel. It is doing 100% occupancy at that 70 rooms, and it is doing an average rate 25% higher than pre renovation.

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Of course, the expenses, unfortunately, the fixed expenses are still there, although the inventory has dropped by 30%, and the variable costs have reduced, but if I extrapolate on a more conservative basis to the rest of the portfolio, we expect that the increase in rate in the Keys portfolio, it is already, by the way, interestingly evident in Q2 FY25 , you will find that on a gradual basis, it will go up 15% or maybe even 20% over what it was pre -COVID. And that is what we are focused on because that will have the maximum flow -through into the EBITDA. I hope that answers it , Archana.

Archana Gude: Right, sir. And sir, of this Hyderabad and Bangalore market there is substantial decline in occupancy because of a shutdown of the Keys inventory or there's more to read into it?

Patanjali Keswani: We have shut down enormous amounts of inventory in Hyderabad and Bangalore.

Now the most , highest performing set of, say, Hyderabad was , what is called HITEC City, where we have about a little under 400 rooms, nearly 20% , in fact, maybe more of the inventory is shut. It is undergoing a complete reimagination. We had earlier renovated about, I think, 5%. So those new rooms are being received very well. Currently, 20 -odd percent are shut. And that is part of the reason that you are finding a decline in occupancy because in Hyderabad , Monday, Tuesday, Wednesday, Thursday is when you normally go full. And we had 20% less inventory. At peak on Monday, Tuesday, Wednesday, Thursday, we were doing 80% occupancy rather than 100 last year , that is why you see a deflation there.

As I said, it is temporary, and it is a question of having some short -term pain to ensure that we have significant long -term advantages and gain. In Bangalore, the main reason is while we have shut down less inventory in the Lemon Trees, we have shut down a very large amount of inventory in the Keys portfolios. And that is what is reflecting.

In fact, we recently opened about , out of the 100 rooms under renovation we had shut in Keys Whitefield (~200 rooms hotel) , we opened about 40 rooms and now it is going full excluding those 60 rooms, it is going full. It is doing 160 rooms a day. And there is an improvement in ARR. What you are seeing really and I would urge everybody here to understand this very key point is what you are seeing is effectively, if I drew an analogy that if there is a manufacturing company that shuts down 1 out of its 5 lines when the demand is high on Monday, Tuesday, Wednesday, Thursday,

but with the intention of really significantly improving that line with a much more high - value product, then obviously, in the short term, you will see a negative. But in a very quick period after that, I expect to catch up. And that is what we are hoping for.

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Moderator: The next question is from the line of Kunal Lakhan from CLSA.

Kunal Lakhan: Sir, I just wanted to understand what was the ARR ex-Aurika Mumbai in Q1 FY25 ?

Patanjali Keswani: It was about Rs. 8,900.

Kunal Lakhan: No, that's Aurika Mumbai. What is the overall ARR for the group, excluding Aurika Mumbai?

Patanjali Keswani: Rs. 5,400.

Kunal Lakhan: Rs. 5,400. And this

is partly to do with the overall lower occupancy that we are seeing because of the renovation. Would that understanding be correct? Or is there something.

Patanjali Keswani: Yes. Because I'll give you an example, Kunal. Even in Lemon Tree Premier Delhi and Red Fox Delhi, you are not seeing it clearly, we have shut 80 rooms. And these 2 hotels, which we think can be totally juiced this winter. When the mix changes, so you have not shut down the lower value rooms, you have shut down the higher value rooms, then the weighted average ARR reflects the new weightage, right? So, in the past, if we had, just hypothetically, 100 lower value rooms and 100 higher -value hotel rooms and now you have 90 lower -value hotel rooms and 60 higher -value hotel rooms, then the weighted average reflects a lower ARR.

Kunal Lakhan: Okay.

Patanjali Keswani: Am I making sense to you?

Kunal Lakhan: Yes. I'm trying to corroborate that with your Slide 11, where you have given the mix of the category -wise rooms

Patanjali Keswani: Slide 11? Let me go to that. What you are seeing is an aggregate. Remember, this is across all the 5,100 rooms we had operational out of about 5,800 rooms. But the hotels that, for example, get a very high number of website bookings, which is Hyderabad, Delhi and Bangalore, rooms were shut. Those hotels in other markets where you get more corporate and less retail, those were open. What you are seeing, unfortunately, well, as a summary, is an aggregate. Just take into account that about 650 rooms were shut and those rooms generally 60% of them reflected a higher rate and more retail. And since they were shut, we were unable on the high demand dates to actually offer those rooms.

Kunal Lakhan: Sure.

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Patanjali Keswani: I'll give you another example. When we shut these hotels, we shut some restaurants. When you shut restaurants for renovation, because as I said, it is a complete reimagining of these hotels, the restaurant shifted into the banquets because obviously, we have to continue providing food. When they shifted into the banquets we lost banquet revenue. One flows into the other. But basically, the broad point I'm making is that we have taken a fair amount of pain, and we expect that, that will demonstrate itself the results in H2 FY25.

Kunal Lakhan: Sure. Understood. Also, across these segments, if you can just give us some indication of how the rate differential is like corporates, airlines, travel trade, OTA and other ones. If you can give us some indication of how the rate differential is.

Patanjali Keswani: In commercial rate increase on an aggregate, without Aurika, Mumbai went up 5%. Because we were unable to take more group, I mean, travel trade bookings and MICE bookings because we could turn away some business, we were able to reprice. So, the average rate increase in travel trade was 11%. So as a total, corporate went up 6%. And retail went up, well, OTA remained flat, web went up 8%.

Now if I overlay that with Aurika, so this subtotal of this whole thing was about a 3% - 3.5% hike in ARR from Rs. 5,240 odd last year, it went to Rs. 5,416 this year. If I overlay it with Aurika, then the increase was 8%. And the ARR became Rs. 5,688 from Rs. 5,240.

Kunal Lakhan: Understood. Okay. And my second question was on, say, after the whole renovation plays out, right, for the Keys portfolio this Rs. 3,500 rate that you're seeing goes to what number, like or grows by what number?

Patanjali Keswani: Minimum 4.5 k.

Kunal Lakhan: Minimum 4.5 k. Around like 30% jump overall?

Patanjali Keswani: Yes. You see even our ability to reprice Pune is affected because while a large number of rooms are renovated, now the public areas and the restaurant is getting renovated, the restaurant has gone into banquets. There is this entire planning process.

Kunal Lakhan: And even the occupancy levels would like normalize, to

say, around 70%?

Patanjali Keswani: Kunal, we have only 70 rooms open and they're all going full at a 25% higher rate. We don't have rooms there. And our restaurant is half the size of what it should be in spite of 70% occupancy because the banquets are small there.

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Moderator : The next question is from Jinesh Joshi from Prabhudas Liladher Private Limited .

Jinesh Joshi: Sir, I have a question on Aurika Mumbai. You mentioned that the crew base has declined from about 200 rooms to about 100 -odd rooms and given the fact that with low-rate business, ideally, I mean, in an environment, we will let go this kind of a business then to get the high rate business, right. But if I look at your occupancy from 66% in the last quarter, if I heard you right, it has gone down to 46%. Why did we let go this business when we were not getting some other high rates business?

Patanjali Keswani: Two reasons. One is you take airline business, it's a year contract. While you may get it in summer, you will regret it in winter. We are far more confident about winter in this hotel. See, if I go back to how Lemon Tree Premier with 300 rooms did in 7 months from an opening occupancy of 40%, it went to 90%. It was fundamentally led by a massive pickup in retail demand month -on-month.

Our view is that we are seeing signs of a similar trend line of retail for Aurika Mumbai . If that happens, we feel that the right inventory to have is about 15% airline crew on an annualized basis, which is about 100 rooms. And we have a good pickup in corporate, which will continue and now early signs of a good pickup in retail. So , if this continues, then in the next 6 -8 months, my expectation is retail will cross 200 room today. Corporate will c ross 200 rooms. And then there will be the overlay which we'll get from meetings, incentives, conferences. So , this is a call that we took. And as I said, some calls have some short -term pain. And in a quarter, it may reflect negatively. But on an aggregate across the year, it should lead to an improvement in RevPAR.

Jinesh Joshi: Got that. And sir, I mean in the call, a lot of discussion has happened surrounding renovation, and you have given quite a few numbers. But I mean just to understand it simplistically, out of 5,800 -odd old rooms that we have, how many were shut in Q 1 FY25 because of renovation.

Patanjali Keswani : At peak, about 700.

Jinesh Joshi: Okay. And do you expect this number to be at full potential in the sense that the entire 5,800 rooms will be opened in Q 3 or Q 4 FY25 when we have the peak business time? Because renovation is an ongoing exercise is what you have mentioned. I just wanted to know whether this number will fall or will it continue?

Patanjali Keswani: No. That's an important question. Thank you. I will explain it in detail. Routine renovation is you polish the bathroom, you replace a few fixtures. You may or may not replace furniture, but you will definitely redo the fabrics, you redo the curtains,

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you'll relook at your lighting. And typically, that's like a certain cost. And as I said, on an aggregate, since we like to refurbish/renovate 1/6 of our rooms in the inventory every year we typically spend under 2% of the year's revenue on such type of renovation . But what we are doing i n many of our old hotel s; look at Lemon Tree Premier, Delhi, it is 12 years old. If you look at Lemon Tree Premier, Hyderabad, it is, I don't know, 13 -14 years old. If you look at Lemon Tree Premier Bangalore, similar. If y ou look at Red Fox, the big ones, they are all very old hotels, and they have been going through routine renovation, which is this 1.5% -1.8% of revenue. But once we opened the new Lemon Trees which were in Calcutta, Mumbai , Pune, by comparison, the old ones were a very old fashioned and old design. So , considering that we personally feel as management that there will be an uptick i

n

demand, a significant uptick due to structural shifts, we wanted to future ready this company.

So, we took a call that now that we've opened the 3 new Lemon Tree Premiers the old Lemon Tree Premiers should reflect a similar standard. So , it's not a 1.8 % type of thing. It is more of a 6% type of investment. And that is what you are seeing. It's not a renovation, the way we describe the renovation. This is a reinvention.

And I don't know which of you ever stayed in a Lemon Tree, but those who have told me that they cannot believe the difference. And we are basically doing it to reprice and reposition ourselves as the preferred choice. We don't want to be a leading brand, w e want to be the choice in the mid -market and upper mid -market segment.

Jinesh Joshi: Got that. But sir, I was still looking out whether this number , I understand what you're trying to get into. But my question was basically say for instance in Q 1 FY25 you mentioned that at peak 700 rooms were under renovation. If during Q 3, given the exercise which you are taking, in Q 3, which is a peak period for you, even in that quarter if 700 rooms are under renovation and we are basically in a similar

environment. I just wanted to know whether that environment will improve or not.

Patanjali Keswani: Let me explain that. When I say renovation, 1,500 rooms are new, which is the new Lemon Tree Premiers, Aurika Mumbai and so on. Those don't need renovation after 2 years, they will need their routine stuff. That leaves 4,400 rooms. 900 of those rooms are what is called Keys. Keys we will continue renovating non-stop, summer, winter whatever and we will get them completely ready by next year, that leaves 3,500 rooms. We did about, if I remember right, about 250 -300 rooms last year, over 6 months, and that left about 3,200 rooms. What are we saying? We are saying that we would like to renovate most of these rooms by the end of next year. For any given time in a quarter, 600 -700 rooms will be shut.

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Since the typical renovation takes 2.5 months. we hope that in summer, we are able to finish the lot, again, next year summer. And then we are a fully ready company. This also includes shutting down of restaurants and banquets and so on and so forth, and in some cases, additional facilities like gyms and so on.

Jinesh Joshi: Got it, sir. This is pretty much clear. Just one small clarification required. When we report our occupancy, do we include the rooms that are shut into our base while calculating that number because essentially that rooms are not available for sales? Just wanted to clarify on that part.

Patanjali Keswani : We reported on full inventory. If you report it on net inventory, then our occupancy is 10% higher than what we reported.

Moderator : Next question is from Meet Jain from Motilal Oswal.

Meet Jain: I need 1 clarification. In terms of our EBITDA for Keys. As we mentioned, our EBITDA from Keys post renovation will be Rs. 60 crore annually, and ARR will be at least Rs. 4,500.

Patanjali Keswani: Yes, that is correct. And the occupancy will be much higher because the occupancy of the Keys portfolio is also very low, partly because of the fact that, of course, 25% of the inventory is shut, but we expect a double whammy of occupancy and rate.

Meet Jain: Understood. And also, we are expecting complete innovation of our entire room inventory by end of FY26, so FY27, you can see all the 5,800 rooms to be renovated and operational fully?

Patanjali Keswani: You will see all 5,900 rooms as a new company.

Meet Jain: Okay. And last thing is like we recently signed a management contract under the brand Aurika. Do we have a pipeline or a target like how many Aurika brands are we looking? I mean locations preferable or a type of greenfield or brownfield? Just some colour on that.

Patanjali Keswani: See, I don't want to give, it becomes forward-looking, but there are

other Aurikas in the pipeline.

Moderator : The next question is from Bharat Gianani from Money Control.

Bharat Gianani: Yes, sir. Given that you have highlighted on near-term pain because of rebranding or reinventing, as you pointed out, any sense you could give, what would be the overall revenue number for FY25 and FY26? And margin at the consol level given that you've highlighted renovation expenses, expanding the business development

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team, investment in technology. So, can you give a ballpark estimate of how the consol revenue number for FY25 and FY26 and consol EBITDA margin would look like?

Patanjali Keswani: You want clear guidance.

Bharat Gianani: Sir, ballpark will do. Because like you said a lot of the mix is different, some of the high earning rooms were shut. Probably a ballpark guidance would be very helpful.

Patanjali Keswani: Look, the world is a very uncertain phase. Somebody asked me that will you do 15% RevPAR growth, and I didn't disagree. I think what you should take from that is last year, we did Rs. 1,076 crore, 15% is another Rs. 170 crore. And I did not disagree nor did I comment on it. Obviously, we should be north of Rs. 1,250 crore, number one. Number two, is we have said clearly that we will achieve 20% return on capital. Our total deployed capital is how much, including retail earnings? About Rs. 4,500 crore? So, what we are saying is somewhere in the next one year or two, we'll start trending to Rs. 900 crore net EBITDA. And that's what we will have to deliver to achieve what we have promised.

At that stage, also keep in mind that our renovation expenses, which has had a big hit on our EBITDA and our digital transformation, which has had a second hit will be subsumed and will reduce to normal, which means the expenditure as a percentage of revenue will come down by maybe 4 percentage points. That means EBITDA will go up by 4%. Actually, I would like to explain something. If you look at the drop in our EBITDA margin, it was 47.6% last year first quarter and 43% this year. What

dropped? 2.6% was the fall due to renovation or 2.5% was a fall due to renovation and our digital. Another 2% -2.2% was due to fundamental increases in business development, sales and marketing teams and increments.

When you aggregate it, it is quite clear that when revenue picks up, this obviously as a percentage will start normalizing. And we will naturally move back to our 50% net EBITDA margins. And I'm very confident about that. So, I understand that this as a one-off might seem a surprising number, but it is because there are one-off, large one-off expenses and those are obviously something we expect to recover. To add another point, I have publicly said that any renovation we do, our payback period must be 2 years. Here's the point. If I invest Rs. 100 crore in renovation, then my expectation is my incremental EBITDA due to that renovation, should be Rs. 50 crore or more every year. And when I finish investing Rs. 200 crore, my EBITDA must increase by at least Rs. 100 crore, and that will be an ongoing increase in EBITDA. Moderator: The next question is from the line of Rajiv Bharati from Nuvama.

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Rajiv Bharati: Sir I'm on slide 12, if I look at your, for example, Lemon Tree Premier and Lemon Tree Hotels, typically for getting a EBITDAR of close to 50% or 50% plus, you need to clock something like a 70% plus kind of occupancy.

Now if I look at Aurika Hotels Resorts, which is 46% occupancy and still it is able to do 49% EBITDAR, where we have Aurika Mumbai, which is a city hotel. I'm not able to connect how, I mean, how does it work in a sense when it reaches its 70%, what is the kind of EBITDAR.

Patanjali Keswani: At 70%, it will do 70%. Keep in mind that Aurika earns up much higher average rate, but the cost structure is slightly more than an LTP. Actually, what we are trying to demon

strate is that it is possible to have a higher priced hotel with a high EBITDA margin. And if I recollect right, Aurika Mumbai in Q4 FY24, when it did 66% occupancy, it did 62% EBITDAR at 66%. At 70%, it will be fundamentally flow through. So it should do 70%.

Sorry, even if I take a Lemon Tree Premier, which in winter is priced at over Rs. 8,000. So, our Lemon Tree Premiers, which are new, highly priced and does high occupancy do 64% to 66% EBITDA, which is what incidentally, Rajiv, we are trying to achieve with Hyderabad, Bangalore and Delhi after the renovation.

Rajiv Bharati: Sure, sir. In our entire network and I'm seeing the data for past also. In season or off-season, we have never reached this kind of 70% kind of number. So, the Aurika, I mean, is the benchmark in itself.

Patanjali Keswani: See, what we report is the aggregate. Lemon Tree Premier, there are 2 or 3 Lemon Tree Premiers, even incidentally, Lemon Tree Premier Delhi in spite of having very old rooms in Q4 FY24 it did 71%. Happy to share it with you if you are ever in Delhi. What you are seeing is, obviously, these are hotel-level EBITDA. Below that is corporate expenses and other expenses. In season, you will find our net EBITDA are in the mid -50s.

Rajiv Bharati: Sure, sir. And second question is on Slide 11. If you were to use back work and calculate the rates per night, now this airline rate, which we are getting for Q1 FY25 is close to Rs. 6,900. Now we have not seen this kind of rate across your portfolio of corporate, airline and trade travel for the last 7-8 quarters. This is just because you have let go of some low-yielding airline crew and is it just the high yielding ones which are remaining with us?

Patanjali Keswani: No. So there is more high yielding because of the 100 rooms in Aurika Mumbai, We've also got some high-yielding crew in a couple of other hotels, but I would like

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to urge you to consider one thing. This is gross rates what you are seeing. And one impact of airline crew is transportation cost. If I link it to that, the transportation cost in our company went up by about Rs. 40 lakhs, Rs. 50 lakhs in the quarter. So, the flow-through in that sense is less. Am I making sense to you?

Rajiv Bharati: Yes. Can you just talk about the flow-through across the, like say, 4 channels, 4 or 5 channels, what you had reported.

Patanjali Keswani: Okay. Like this year, let's assume we'll do 50% net EBITDA, which means at the hotel level, we will do maybe 55% -56% hotel level EBITDA. Now this means really if I remove corporate expenses and below-the-line expenses, this Rs. 45 that we are spending for every Rs. 100 of revenue at each hotel, roughly half is variable cost and half is fixed costs. Now if I do Rs. 100 at a normal hotel, roughly Rs. 75 is room, Rs. 20 is food and beverage and Rs. 5 is others. In the Rs. 5 that is others, we typically have a flow-through of 30%. In the Rs. 20, that is food and beverage, our flow through, I would say, is 40%. Now 25% gives a flow-through of 35%, but the other 75% gives a flow-through of 75%. Am I making sense? Room income typically has

a flow-through of 75% -80%. Now if I look at corporate, the flow-through is 85%. The rate may be lower but the flow-through is higher because we have no other expenses on it. On airlines, the flow-through is less by perhaps 10 percentage points because of transportation, inclusive laundry and so on. In travel trade, the flow-through maybe less because of commissions we pay to travel agents. In OTAs, the flow-through will be less because we give commissions to the online travel agents. In lemontree.com, the flow through will be maximum because it is the cheapest channel. And in others/FITs, it will be similar to lemontreehotels.com. If I look at the slide you are referring to, corporate will be second highest, Lemon Tree and other FITs will be highest and travel tra

de and online travel agents, roughly similar and airline will be the least.

Moderator : The next question is from Anuj Upadhyay from Investec.

Anuj Upadhyay: Can you elaborate on our debt repayment plan schedule going ahead based on the anticipated future cash flow, considering the fact we will be having significant expenses towards the renovations over next 2 years?

Patanjali Keswani: See, I'll give you a simple example. Our free cash flow is, say, Rs. 50 crore every quarter, at least Rs. 50 crore in the summer. That, as I said, is going into renovation. In winter, it is normally 2x -2.5x. Last year, if I remember right, our free cash flow was Rs. 300 crore and I think the summer was less than Rs. 100 crore, the rest was in winter.

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What I said earlier was, Anuj, that the winter free cash flow will all go to paid debt. Next year, summer, again, we will invest in renovation. Hopefully, our income will be higher because Aurika will be stable. We should have something left over next summer to write down debt. Following winter, it will all go towards debt write down. The broad statement I had given was that in the next 4 years, and I said it last year, we should be close to debt being 0, which means, really, we are in a position, we feel to write down our debt over 4 years. What I also mentioned is that if we take Fleur public, 80% of our debt resides in Fleur. As and when we take Fleur public, should it be earlier than this, then naturally, our debt will become zero in six years.

Moderator : The next question is from Prateek Kumar from Jefferies.

Prateek Kumar: My question is on, as you said like there's some improvement in trends of ARR like 10% in Q2 versus a lower number in the previous quarter on a like-for-like basis. This trend, is it like sort of pan-India for your hotels? Or is it like specific segment which you're seeing recovery like MICE segment, which was under pressure last quarter or marriage segment? Or like how would you attribute the improvement in Q2 FY25?

Patanjali Keswani: I would say it's overall pricing, including Keys.

Prateek Kumar: Okay. So all segments would have improved maybe to that extent?

Patanjali Keswani: Yes.

Prateek Kumar: Okay. And now more like generic question, most of the other company specific questions are answered. A general question like does the hotel industry, I mean we have seen like sort of very strong years like past 2-3 years. In FY25, have had like sort of a slow start. But Q 4 was also relatively slow. So does the hotel industry, like sort of feeling a pinch that maybe the growth may not be like as strong as you are kind of foreseeing that we were seeing 6 months back? Or we remain as bullish as we were like 6 months back for the next 2 -4 years?

Patanjali Keswani: See the traditional view on the hotel industry has been cyclical. When supply growth is more than demand growth than over a period of time, there is pain because of operating leverage, hotel drop prices. When this auto corrects, because return on hotel assets reduces, then supply growth reduces and demand growth continues at a secular level based on the economy and then prices pick up as demand picks up, and that was the normal cycle.

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Now, when I look at India demand, by the way, it is nowhere near top of cycle even in the last 2 years. Very exceptionally after COVID, in a very fragmented industry, the entire hotel sector took its prices up without waiting for an increase in demand. There was a one-off of leisure travel, revenge travel and so on and so forth. But that was not obviously sustainable.

But what I do see is that there is about a 10% growth in demand every year, and I can use airline demand growth as a proxy. And supply growth will be 6% as per what all the consulting firms inform us. So naturally, we are in the midst of moving towards a top of cycle. Though we are not there yet

t. Once you hit top cycle, all bets go off because dynamic pricing takes over, and you sell the room as high as a customer is willing to pay. But what I am interested in, that is the cycle. What I'm interested in is the high-frequency indicators, which show a change, a likely change in demand across a very large cohort of Indians who were earlier not consuming branded hotel groups. For example, the current consumers of hotel rooms in India in our best estimate are people where the average household income is north of Rs. 25 lakhs to Rs. 30 lakhs income. There are only 6 million such households in India. But if I look overlaid with the GDP growth, and I do some level of segmentation and demographic, my best guess is that the 6 million will hit 30 million in the next 5-6 years, simply because the median income going from \$3,000 to \$3,500-\$4,000 or \$2,800 to \$3,500 to \$3,800, the number of people who move into this signal limit of the bell curve grows 5x. It's not a large number. I'm just saying that instead of 6 million, there will be 30 million, but 30 million still will be 10% of India's households or 20% of the urban households. That is exactly what happened in China, in Indonesia, it's playing out right now in Vietnam. And I am hopeful that, that is what will happen in India sometime in the next 2-4 years. So that is a hockey stick change in demand. In China, demand grew from that period on when it was roughly similar to India and Indonesia too at 22% to 25% CAGR growth in demand. So, it was a hockey stick.

What were the high-frequency indicators that started showing up early, growth in airline traffic, growth in airports, growth in aircraft; imagine the number of aircraft in order are 3x of current supply, growth in number of runways; growth in Four-lane highways; which doubled in the last 4 years, just FYI. Growth in SUVs, which show an intent to travel outside the city.

I will give you an interesting example. Time to travel from Delhi to Jaipur has dropped to 3 hours because of the highway or express way. The number of travellers from Delhi to Jaipur have gone up 50% since then. These are the indicators I'm kind of

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looking at, and that is what I'm hopeful will play out. I'm not playing for the cycle. Actually, I'm playing for the structural shift.

Moderator: Next question is from Jayesh Shah from OHM Portfolio Equi Research.

Jayesh Shah: My first question is, if I understood right, then 700 rooms are shut for renovation for the entire year, which means in second half, we should be short by 700 rooms and you are still maintaining the annual guidance of Rs. 1,250 crore.

Patanjali Keswani: No. I said clearly, we renovate these rooms in 2.5 months and in 6 months, we will renovate, then in winter, we will cash. The next year summer we will renovate and by then all these roughly 3,000 rooms we will renovate.

Jayesh Shah: The renovation cycle will only be in the first half, but in second half, the total inventory will be available.

Patanjali Keswani: Absolutely.

Jayesh Shah: Okay. And a related question is, you've talked about reviewing your own hotels. Now do you see this problem also in your managed hotels? And how would you be grappling with that issue?

Patanjali Keswani: I had referred earlier, good point, to the global CEO who said his biggest problem was renovating the old hotels because the owners were not willing to do so. As it happens, we have accelerated the number of rooms we have in the managed portfolio. About 50% are new. Of the remaining 50%, roughly 2/3 are what I would call old and in need of renovation. Over the last few months, we have been in talks with multiple owners. And I would say that with an 80% acceptance level, they will also be undergoing renovation. In fact, some are undergoing renovation as we speak. And we intend to renovate that part of the portfolio. Now, if that does not happen, we have

we obviously given them some time, then we are quite clear that the hotels that do not meet our brand standards, especially now that we have such new hotels, we will churn out of the system.

Jayesh Shah: Okay. Then there are 2 consequences. One is if they agree to renovate, do they bear the expenses or does it really impact your management fee? And for people who don't and when you churn out, then does it mean that you would fall short on your 2030 guidance where you've talked of 25,000 rooms.

Patanjali Keswani: Well, the guidance was not for 2030, it was for 2027. And absolutely not. We have literally hundreds of inquiries at this moment. The point is, Jayesh, unlike a traditional management company, which looks at cash flow, we look at longevity of cash flow.

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One of the key clauses we have is just this that you must renovate the hotels to our standards. And number two, you cannot exit once you sign a 15-year contract. And if you exit the penalty is very onerous. Basically, you have to pay us the fees for the

unexpired term of the contract. This is like an international hotel company would do like a Marriott, for example. In the early stages of starting this third-party management business, we found a lot of pushback, but we adhered to it, which is why in the beginning, it was a little slow. Now we are very clear we do not bear a single expense in the renovation of any hotel. We charge fees to manage and these fees are fixed and variable part on performance part on what we call basic fees and sales and reservation fees.

Typically, our fees are about 8% of revenue. And if the hotel outperforms, then it can move up to 10% of revenue. Number two is, as far as the portfolio goes, there are not many hotel owners who have said no. In fact, a few have asked for some time because Q1 was a little weak, as you can imagine, for everybody. But my instinct tells me all of them will go for renovation.

Jayesh Shah: Which would basically be next summer because obviously, winter they want and you may not want renovate.

Patanjali Keswani: They would renovate in Q2.

Jayesh Shah: Okay. Secondly, coming back to your 2027 guidance of 25,000 rooms.

Patanjali Keswani: It was 20,000 of rooms, including those in the pipeline. We are currently at I think at about 14,500.

Jayesh Shah: Right, I thought 50% of this was supposed to be ownership. So you would still be looking to build a hotel for, say, 5,000 rooms.

Patanjali Keswani: No, What I said is 30% owned 70% managed, which means 6,000 owned 14,000 managed. That if tomorrow Fleur list as a growth development asset -owning platform, then it is entirely possible that it may get into developing new hotels and acquiring hotels. This was as is when we gave this 5-year vision plan, 1 year ago.

Jayesh Shah: Right. And sir, the last question is what you've actually talked about. Instead of if, can I ask when Fleur list for DRHP?

Patanjali Keswani: That's a decision for the Board and for our partner, APG but I would expect it to be sooner rather than later.

Moderator: The next question is from Sanjay Kohli from Goldstone Capital.

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Sanjay Kohli: Question on the capital structure, any plans for a rights issue?

Patanjali Keswani: No. We are cash positive, and we can see that we can write down our debt. In fact, the big question for us will be as and when we list Fleur, we will be a debt-free cash accretive company, and so how will we deploy that cash. will we start the dividend process? Will we redeploy. I don't think there is any need for rights in Lemon Tree.

If there was, it would have been during COVID, but we managed to avoid that.

Sanjay Kohli: Well we have decent currencies, so one would have thought and maybe it's an opportune time to our rights issue.

Patanjali Keswani: Sanjay barring another COVID, there will be no need.

Sanjay Kohli: Hopefully, there won't be another

COVID.

Moderator: Thank you very much. That was the last question. I would now like to hand the conference back to the management team for closing comments.

Patanjali Keswani: Everybody, thank you so much for your patience and for listening in and maybe to a little bit of rambling by me, and thank you for your interest and support. We will continue to stay engaged. Please be in touch with our Investor Relations team for any further details or discussions. And I look forward to interacting with you after the Q2 results.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity and accuracy. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Nov 2024

November 22, 2024

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Name of Scrip: LEMONTREE BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

BSE Scrip Code: 541233

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Ref: Outcome of Conference Call with Analysts/Institutional Investors

Dear Sir/Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation to the disclosure made on November 18, 2024 w.r.t the audio recording of the conference call on Unaudited Financial Results for the quarter and half year ended September 30, 2024 held on Monday, November 18, 2024 at 4:00 PM IST, please find enclosed herewith the transcript of the conference call with Investors/Analysts.

This is for your information and record.

Thanking You
For Lemon Tree Hotels Limited

Jyoti Verma
Group Company Secretary
& Compliance Officer
M. No.: F7210

Encl. as above

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Lemon Tree Hotels Limited
Q2 & H1 Earnings Conference Call Transcript
November 18, 2024

Moderator Ladies and gentlemen, good day and welcome to Lemon Tree Hotels Limited Earnings Conference Call.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you and over to you, Mr. Poojari.

Anoop Poojari Thank you. Good afternoon, everyone and thank you for joining us on Lemon Tree Hotels Q2 and H1 FY25 Earnings Conference Call.

We have with us Mr. Patanjali Keswani, Chairman and Managing Director and Mr. Kapil Sharma, Chief Financial Officer of the Company. We would like to begin the call with the opening remarks from the management following which we will have the forum open for an interactive question and answer session.

Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I would now like to request Mr. Keswani to make his opening remarks.

Patanjali Keswani Thank you. Good afternoon, everyone and thank you for joining us on the Call. I will be covering the business highlights and the financial performance for Q2 and H1 FY25 post which we will open the forum for your questions and suggestions.

Due to the high seasonality of the hotel industry, I would request everyone to consider YoY performance rather than QoQ. Lemon Tree recorded its highest ever second quarter revenue this year. At Rs. 284.8 crore our revenue grew 24% as compared to Q2 last year, while net EBITDA grew 25% YoY, translating to a net EBITDA margin of 46.1%, which increased by 53 bps YoY. Q2 FY25 recorded a gross ARR of Rs. 5,902, which increased 12% YoY. The occupancy for the quarter stood at 68.4%, which decreased by 328 bps YoY. This is translated into a RevPAR of Rs. 4,035 which increased by 7% YoY.

In Q2 FY25, if we exclude the increase in renovation expenses of Rs. 8 crores beyond that spent last year. In Q2 our net EBITDA margin would be around 49%, 340 bps increase YoY with demand growth expected to exceed supply growth in the next few years accompanied by the structural tailwinds in discretionary consumption of branded hotel rooms that India is now starting to witness. Our increased investment and renovation will allow us to better position our hotels going forward to capture better pricing and position Lemon Tree as the preferred brand of choice in the mid-market segment.

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Fees from managed and franchise contracts for third-party-owned hotels stood at Rs. 13.4 crore in Q2 FY25, which increased 28% YoY. Fees from Fleur Hotels stood at Rs. 18.4 crore in Q2, which increased 35% YoY. Total management fees for Lemon Tree stood at Rs. 31.8 crore in Q2 FY25 which increased 32% YoY. Our debt decreased by Rs. 90 crores from Rs. 1,912 crores as of 30th September 2023 to Rs. 1,822.6 crore as of 30th September 2024. Cash profit for the Company stood at Rs. 69.8 crore in Q2 FY25 which increased 43% YoY. During the quarter, we signed 19 new management and franchise contracts which added 1,373 new rooms to our pipeline and operationalized 5 hotels which added 193 rooms to our portfolio. As of 30th September 2024, the inventory for the group stands at 112 operational hotels with 10,318 rooms and a pipeline of 75 hotels with 5,220 rooms.

Going forward, we are very confident of the Company's ability to sustain this growth in the coming quarter by focusing on the following growth levers, stabilization of Aurika MIAL, which is already EBITDA accretive, accelerated growth in our management and franchise portfolio with proportionate increase in fee-based income, timely completion of renovation activities in the owned portfolio to be able to further improve gross ARR and occupancy. Please note that the increased investment allocation and renovation expenses will continue into FY26 until the entire portfolio of all owned hotels have been fully renovated and refreshed. Post this, renovation expenses are expected to be between 1.5% - 1.6% of revenue on an ongoing basis.

With this, I come to the end of my opening remarks and would ask the moderator to open the forum for any questions that you may have.

Moderator Thank you very much. We will now begin with the question- and-answer session. The first question is from the line of Archana Gude from IDBI Capital. Please go ahead.

Archana Gude I have 3 questions, first one is on the ARR, while we had this 12% increase in ARR, which is pretty impressive, this occupancy declines of 328 bps to 68%, I am sure this is because of renovation of property. My second question is on this Aurika Mumbai, what kind of growth you have seen on occupancy and ARR on both sequential and YoY basis?

Patanjali Keswani You have to keep in mind that one of the reasons that the occupancy was low, of course, as you said was that about 9% of our inventory was shut in Q2, about 530 rooms. Some hotels which could have gone full obviously were unable to sell those rooms. Second is, Aurika itself did about a little over 50% at a little over Rs. 9,000 ARR. As a result, because it is about 15% of inventory, the weighted average occupancy was deflated by I think about 3%.

Archana Gude And sir, this you said on YoY?

Patanjali Keswani I am talking about Q2.

Archana Gude Q2, last year Q2?

Patanjali Keswani No, I am talking Q2 this year. Last year Q2, there was no Aurika.

Archana Gude And sir, sequential, has there been some improvement in terms of corporate contracts for Aurika? And maybe some color on rates for corporate contracts?

Patanjali Keswani Yes, because you will see that from Q3 onwards. Aurika is starting to do very well, actually surprisingly well in Q3.

Archana Gude Sir, how is this wedding season for us in terms of pre-booking for Aurika Udaipur and Bombay?

Patanjali Keswani I think we have booked 21 or 22 weddings this year in Aurika Udaipur, and they are some more under negotiation. 21 or 22 are confirmed. I reckon we close by about 25 weddings. It has been good for Aurika Udaipur.

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Archana Gude Sir, may be one book keeping question, sir, you mentioned your opening remarks that we paid roughly Rs. 90 crore debt. Should we consider it as an ongoing phenomenon and the debt reduced by roughly Rs. 400 - Rs. 450 crores on bi-yearly basis?

Patanjali Keswani Yes. See, first is Archana, we are spending

a large amount of money in renovation. As I said, in 3 years, we will spend Rs. 250 - Rs. 300 crore instead of what would normally have been say, Rs. 20 crore a year, instead of Rs. 60 - Rs. 70 crore, we will be spending 3.5x that. So, that will anyway get over next year and I think you will start seeing the results from ARR jumps from Q3 onwards. Once that happens, free cash flow will be enormous in Lemon Tree. I think we are sticking to our guidance that in the next 3 - 3.5 years, we should be debt free, but if we list Fleur before that then we will be debt free that much earlier.

Moderator Thank you. Next question is from the line of Jinesh Joshi from PL Capital. Please go ahead.

Jinesh Joshi Sir, my question is again on Aurika. While you highlight that the occupancy is 50%, if I remember right, in the last quarter you had stated that we let go some low yielding crew business to occupancy in Q3 and we are almost like halfway through the quarter. Is it possible to share some color on occupancy or pricing in the first 45 days?

Patanjali Keswani Let me just say this, we let go low rate crew. It does not mean we are not interested in crew.

There is also high-rate crew, specifically some international crews. We have tried to get that because the average rate of that crew is higher than in fact the Rs. 9,000 ARR, I just spoke about. We are focusing on taking some crew. It is basically a churn, think of it this way, any higher rate business, which has a predictability of demand we will be taking. Now, as far as Aurika goes in Q3, I do not want to give specific figures, but we are doing quite well, but let me say, it will be over 60%.

Jinesh Joshi And second question is on our management fee income, I think the number stood at about Rs. 25 crores in H1 and given the seasonality impact. I think H2 should be better than H1 and perhaps we may end the year with about Rs. 55 - Rs. 60 crores in terms of revenue, but this is a bit lower than what we have been guiding in our past call whereby the numbers were I think if I remember right between Rs. 75 - Rs. 100 crores. Is there anything that one needs to be aware with respect to our management fee income revenue guidance?

Patanjali Keswani See, my basic point is if you look at last year, we did Rs. 50 crores of third party. But if you remember in Q2, we did Rs. 10 crores. So, that was the multiple that is whatever we reflected in Q2, we did roughly 5 - 5.2x of that, if you look at H1, last year, we did Rs. 20 crores, but in the full year we did Rs. 50 crores. You can see, you can do the math, if you say 30% - 35% is the growth in third-party fees, then obviously we will be north of Rs. 65 more likely to be Rs. 70 crores. It is not your numbers, it is closer to 70 because of seasonality. Remember a bunch of our fees also comes from incentive fees when your gross operating profit crosses a certain hurdle, which obviously in winter with higher rates and higher demand, those hurdles are cost progressively.

Jinesh Joshi Sir, one last question from my side. If I look at our RevPAR for Keys, it is flat on YoY basis, and this is one segment of our portfolio where some kind of renovation is required. And ideally, after renovation we should see some kind of an uptick in pricing which essentially is missing. So, can you please share the reason behind it and once the entire renovation size is complete, what can be the steady state EBITDA margin increase, because I think that is pulling down the overall EBITDA margin of the consol entity?

Patanjali Keswani See Keys, we have shut 25% of the inventory and we are renovating it, as I said, fairly aggressively. Certain hotels are being renovated to very superior standards and certain hotels are being renovated to what I would call hygiene standards because the whole portfolio was in shambles when we acquired it. First is, there was an impact of availability of rooms in certain markets

like Pune and Visakhapatnam and in Bangalore, but once we finish the renovation, I will give a broad guidance that after we stabilize it, we are looking at an EBITDA of roughly Rs. 60 crores from the portfolio, which means about Rs. 6.5 lakhs a room.

Moderator Thank you. Next question is from the line of Kaustubh Pawaskar from Shreekhana by BNP Paribas. Please go ahead.

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Kaustubh Pawaskar Sir, my question is on the renovation part. In your initial comment, you mentioned that in FY26 also you will be doing some bit of renovation. How many rooms are we planning to renovate in FY26? Do we have any ballpark number for that? And also, post this renovation activities, what kind of increase you are expecting in terms of room rentals on a base of 100 maybe 1.2x or 1.3x. What kind of revenue room rental increase are you expecting post the renovation?

Patanjali Keswani Kaustubh, these are actually separate questions. Let me say firstly that we are renovating Keys Hotels non-stop, at any given time 20% - 25% of the portfolio will be shut. I reckon that the full portfolio will open perhaps next financial year end. So, really, the impact will be felt for the full portfolio from FY27, number one. Number two it is difficult for me to give you an aggregate figure but let me put it this way. Many of the hotels in the Keys portfolio were, as I said, most of them, not most, I should say all were in very bad shape. So, when we renovated it, we had a two-pronged approach, where do we think we will be able to re-price and increase occupancy that is where we invested more money and where we felt we had to maintain brand

standards, minimum standards and although we would not increase pricing, we would increase occupancy over the other hotels like Cochin and Trivandrum and Ludhiana and so on. What is our expectation? Our expectation is that whatever we invest in renovation, every year we should be able to recover it in 2 years. Put another way, if we over 3 years invest Rs. 250 crore or say Rs. 80 crore a year, we think we will be able to recover this after 3 years in incremental EBITDA of Rs. 125 crore each year. Am I making sense to you?

Kaustubh Pawaskar Yes.

Patanjali Keswani Think of it this way, in normal renovation is just to maintain standards, which is about 1.5% - 1.7% of our revenue. This renovation we are doing is to replace and reposition, our expectation is we invest 100 bucks, we want 50 a year increment.

Kaustubh Pawaskar Sir, my other question is in the markets where you are doing most of the renovation or investment, how is the supply scenario over there? You must have assessed the demand supply scenario over there and you must have taken this renovation strategy. Can you just give us some perspective on the same? How is the demand supply scenario? And what are your expectations over the next 2 years?

Patanjali Keswani See, where are we investing the maximum money, Keys, of course, is going to take some amount, but we are investing a lot of money in our hotels in Delhi, the two Lemon Tree and Red Fox and in Hyderabad, the four hotels there. We think both those markets are very deep markets. And I will give you a simple example, we renovated I think about 120 rooms in Lemon Tree Premier Delhi, we spent about Rs. 10 crores - Rs. 12 crores on it. Rs. 10 crores, its ARR is already north of, I think about Rs. 10,500 - Rs. 11,000, and it is doing 100% occupancy since we opened the rooms. So, that is our expectation where we put money is where we think there is more pricing power and therefore also high demand. That is a very basic strategy, but we have minimum spends anyway in all hotels to catch up for the COVID time and then an extra spend where we think we can reprice.

Moderator Thank you very much. Next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar Can you talk about the growth in October and November?

member? How is it going on?

Patanjali Keswani Now, it will be seen in same store, so to speak, because in October last year, Aurika was launched. I would reckon that we should be north of 15%. Now, obviously we have our number in mind, but let me just say our revenue should be north of 15% and our EBITDA should be north of hopefully 20% YoY.

Sumant Kumar And when we talk about the growth of everybody is talking about and how the market for wedding, how much benefit we are going to get in particular in the coming month and how the 15% growth contribution is there for the wedding?

Patanjali Keswani We have two types of weddings. We have destination weddings which we get a share of because of the Aurika Hotel in Udaipur. Then we have regular weddings, which we get in our banquet halls in some cities where we have large convention facilities. But as a Company we have not had a heavy focus on banquets. Going forward, we identified certain markets where

we felt there would be heavy demand and in fact we are renovating those banquet halls also, which is why as I said, it has affected some demand because in some hotels, we are renovating restaurants and moving the restaurants to the banquet halls and in some hotels, we are renovating banquet halls and therefore not getting banquet business in both. My view on weddings is it is an annual high value business and as a Company, we have reoriented our strategy towards trying to capture that. But we are a midmarket Company by and large. So, obviously, we are targeting midmarket hotels that is as far as the wedding business goes, but overall, let me put it this way, Sumant, we are seeing very high demand for our hotels in general and I am quite confident that the next few quarters will be very good quarters.

Sumant Kumar How is the wedding demand for Aurika Mumbai?

Patanjali Keswani We do get on and off, but we have generally a lot of banquet demand in that hotel. It is not only wedding, it is social events, it is meetings, incentive trips, conferences. So, it is doing very well.

Moderator Thank you. Next question is from the line of Sakshi Chhabra from Svan Investments. Please go ahead.

Sakshi Chhabra My question was pertaining to your Bangalore market. If you see in every other market, you have seen close to a double-digit growth, but only in Bangalore, the ARR has remained flat as well as there has been a slight dip also in the occupancy. Just wanted to understand what would be the reason for this and can you just throw some light on the Bangalore market overall?

Patanjali Keswani Well, a fair number of rooms are shut in Bangalore, I think about 10% of the inventory. And I also think frankly, we have not performed as well in Bangalore as I would like for many reasons, and we intend to recover from that. It is partly poor performance also.

Sakshi Chhabra But how do you plan to recover now from this?

Patanjali Keswani By focusing on improving our performance.

Sakshi Chhabra No, I just want to understand that is the overall Bangalore market down or have we particularly not performed and is there any reason for that.

Patanjali Keswani See, I will tell you Sakshi. I will explain. Bangalore has multiple markets. Today, all big cities have many markets. There is a market in Bangalore along Outer Ring Road, which is a fabulous market where we do not have a hotel. There is a market in Whitefield where about a large part of our Lemon Tree Whitefield Hotel was shut for renovation. Then there is a market in Hosur and Electronic City where we have two hotels where there was a dip in demand because it is very IT dependent and hiring had come down and we depend a lot of the hiring business. So, there were multiple reasons in multiple markets. Unfortunately, the market, which is the best performing in Bangalore, which actually turns and changes the entire perspective, so if I say, Bangalore has 20% of its supply in Outer Ring Road, but 30% - 40%

of its demand, then that is part of the micro market skews the overall view in Bangalore. City Centre, Bangalore; Whitefield, Bangalore; Electronic City; Hosur Road might do say X, but Outer Ring Road will do X+5. So, therefore the average is higher than X and we are unfortunately not in that specific micro market which is completely outperforming. So, that is the first point. Second, I think we can do better in some markets and what we have learned is to reduce our dependence on IT hiring, which is where we used to traditionally get a lot of our business from. So, that is how we are also reorienting our focus. And I am confident that from this quarter, we have kind of repaired that as you will see.

Moderator Thank you. Next question is from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani Sir, how many rooms across brands do we plan to complete renovation in FY25 and in FY26 separately?

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Patanjali Keswani Let us put it this way, of our total inventory of 5,800 rooms, other than about 1,300 rooms, say 4,500 rooms, we will renovate, last year, this year and the next year.

Prashant Biyani One-third, one-third, one-third would be right?

Patanjali Keswani See, I do not have the exact number, but actually it is a question of capital allocation. We were investing more heavily in the hotels we wanted to repricer earlier like Delhi and Hyderabad.

And now, we will start renovating some other hotels where the repricing is more limited.

Because we decided we would not invest more than say Rs. 100 - Rs. 110 crore per year. The inventory allocation for renovation would probably be higher next year for Keys portfolio. And lower for the high value portfolio, which should be fully renovated.

Prashant Biyani Sir, Hyderabad portfolio has been renovated or it is yet to complete?

Patanjali Keswani No, it is still to be completed. I think I can say about 60% has been renovated.

Prashant Biyani Partial rate hikes, we should start to see for that market from next quarter as well?

Patanjali Keswani From this quarter, yes, Q3.

Prashant Biyani Sir, at the portfolio level, in FY27, when all rooms are renovated, how much ARR increase do you anticipate?

Patanjali Keswani Impossible to tell, but I do not know what the future holds, but I would reckon that 15% - 20% growth in revenue every year is the minimum we would expect and once renovation slows down and cost flat and then this will be mostly operating leverage.

Prashant Biyani Sir, lastly, by when are we planning to come up with the IPO for Fleur?

Patanjali Keswani Sometime, in the near future, hopefully.

Prashant Biyani Any outer timeline for that?

Patanjali Keswani Well, I would reckon within the next 2-3 years at most.

Moderator Thank you very much. Next question is from the line of Nihal Shah from Prudent Corporate Advisory. Please go ahead.

Nihal Shah My question is, if we exclude the total number of rooms that are being renovated, so what would be our occupancy rate not considering those in the inventory?

Patanjali Keswani It would be 10% higher.

Nihal Shah And is this level of 530 rooms that are closed right now, has it peaked out or we can see this number going up in the following quarters as well?

Patanjali Keswani It will come down in Q3 and Q4 excluding Keys. We will not be renovating any rooms. For example, we had decided that till Diwali, we would continue our renovation, which was till the end of October. But in November, excluding these 230 rooms of Keys which are under renovation, all the rest of the inventory will be operational. We will have roughly 5,500 rooms operational in Q3 and Q4.

Nihal Shah And the last question is regarding the debt, so we have reduced it by Rs. 90 crore in this quarter, but as we had mentioned in the previous calls as well that the cash flow generated from activities in Q3 and Q4 will be majorly used to

retire some part of the debt. Do we stick

with that strategy or have we changed it looking at the high inventory cost?

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Patanjali Keswani No, think of it this way, Nihal, the high value renovation got done in Q1 and Q2. Q3 and Q4 will be mostly renovation, which is actually of the Keys portfolio. The free cash flow that we generate will not go towards renovation, it will go mostly towards debt reduction.

Moderator Thank you very much. Next question is from the line of Karan Khanna from Ambit Capital. Please go ahead.

Karan Khanna Just a couple of questions, firstly, clarification part, in the last call, you mentioned that most of the renovation CAPEX will be front ended in the first half of the year in FY25 and FY 26, but earlier on in the call, you mentioned that the renovation CAPEX will continue going until FY26.

Just curious to understand if second-half of FY25 will also see a high element of renovation expense or is that something which is largely captured in the first half results?

Patanjali Keswani See let me explain. Renovation, Karan has 2 parts, CAPEX and OPEX. Whatever we are renovating, like you are seeing a number of Rs. 13 crore or Rs. 10 crore and so on, that is the OPEX number, not the CAPEX number. The free cash flow represents post CAPEX, but the PAT and the EBITDA represents post OPEX. The renovation in Q3 and Q4 will be mostly CAPEX because the Keys portfolio requires CAPEX, not OPEX. They will continue to be renovated, but from the P&L perspective, I reckon the impact will be much less.

Karan Khanna And just a follow up, for the part of the renovation that got completed in H1, what kind of improvement in the RevPAR's have you seen in the last 2 months?

Patanjali Keswani Well, in the last month, that is October, there would not have been a big improvement because it was Dussehra and Diwali and that is the period of low demand. But overall improvement, I have given you a broad guideline which is that our revenue from our owned hotels will go up by north of 15%. And I would say at least half of that would be roughly demand led and half of that would be price led.

Karan Khanna And secondly, if you can comment on the same store growth that you have seen in the inventory, which was not affected by renovation?

Patanjali Keswani See, I will give you an example, Karan, when we shut hotels in Delhi and Hyderabad, I would say that half the days we were turning business away in those hotels. There the reduction in inventory mattered, similarly, when we did it in Pune and in Chennai, but in some markets, it did not matter so much because the turn away was less and, in some markets, it mattered a lot. But we still went ahead with it. The impact of this in terms of loss of business, I would say would have been about Rs. 10 crores - Rs. 12 crores. That is a broad guess, and this is something we were quite happy to accept because we felt we would catch up. That was in our mind some form of investment also in the product. I think what you have to really look at is our performance in Q3 and Q4 and it will answer your question as far as RevPAR growth goes, as far as operating leverage goes, and what I can tell you is the numbers will be better than we expected.

Karan Khanna And my last question on Aurika Mumbai, do you still expect to increase the share of retail and corporate to let us say, 200 rooms by H2? And if yes, how do you see the margins evolving in the Aurika Mumbai?

Patanjali Keswani See Aurika Bombay, I expect will do EBITDA margin of 60% plus in H2.

Karan Khanna And the mix, will it be about 200 rooms for retail corporate in the second half?

Patanjali Keswani I think we are quite clearly moving towards that. Actually, what we have to really look at Karan is the right balance. There is what I call bread and butter. Bread and butter business is that is round the year, preferably also over weekends, which is crew, but

obviously we do not want

crew business which is low rate. So, that is the tradeoff. Think of it this way, getting one room from Monday to Friday at Rs. 15,000 is earning Rs. 75,000 and getting one room from Monday to Sunday at Rs. 11,000 is actually also the same amount. The tradeoff is really on RevPAR. So, one is we want to basically churn our crew portfolio, and we would really like it to be about 150 - 200 rooms around the year. We would like retail to be another 200 and corporate

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meetings, conferences, etc., to be 150 - 200, so roughly one-third each. Some we will achieve earlier, some will take a little longer, but that is, I would say the one year forward perspective.

Karan Khanna And just to follow up on Aurika Mumbai, have you onboarded the new General Manager for the property or is it still in process?

Patanjali Keswani No, we have a General Manager there who was the Deputy GM who is actually a very good guy. We are very happy with him.

Moderator Thank you. Next follow up question is from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani Sir, for Delhi, Bangalore and Hyderabad market, all high value renovation is now complete?

Patanjali Keswani No, Delhi, we still have about 40%. We have done about 60% or maybe we have done 70% actually in Delhi. Hyderabad, I would say that in the Lemon Tree Premier, we have done 70%, but in Gachibowli and Red Fox, we have done maybe less than 50%. For different hotels, different levels of renovation have occurred. But Hyderabad and Delhi, we will continue next year, in summer and Bangalore, we will focus really on Lemon Tree Premier Bangalore. Whitefield will continue indefinitely till the end of FY26 and LTP Bangalore and Lemon Tree

Whitefield will go under renovation next summer. But these are low-cost renovations. These are not high-cost renovations like Delhi and Bangalore.

Prashant Biyani Even for Hyderabad market, for existing hotel where we are not 100% complete in terms of renovation, those also will be low cost or low value renovation?

Patanjali Keswani Well, the highest value renovations, Prashant were in Delhi and Hyderabad Lemon Tree Premier where next level was Keys Pune and Keys Whitefield. Keys Pune is now practically complete. End of this month, it will be fully renovated. Wherever we felt we could start earning earlier is where we allocated the first round of capital. It is difficult for me to tell you that it was evenly distributed. It was distributed where we felt we could start earning earlier.

Prashant Biyani Sir, would it be fair to say that renovation expenses would have peaked out in Q2? We will continue with renovation, but the capital contribution to that will be lower from here upon?

Patanjali Keswani In Q3 - Q4, yes, but it will shoot up again in Q1 - Q2 next year.

Prashant Biyani It is likely to be same as H1 this year or more than that?

Patanjali Keswani More or less.

Moderator Thank you very much. As there are no further questions, I will now hand the conference over to the management for closing comments.

Patanjali Keswani Thank you once again for your interest and support. We continue to stay engaged. Please be in touch with our Investor Relations team for any further details or discussions and I look forward to interacting with you soon.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity and accuracy. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Nov 2024

November 22, 2024

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Name of Scrip: LEMONTREE BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

BSE Scrip Code: 541233

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Ref: Outcome of Conference Call with Analysts/Institutional Investors

Dear Sir/Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation to the disclosure made on November 18, 2024 w.r.t the audio recording of the conference call on Unaudited Financial Results for the quarter and half year ended September 30, 2024 held on Monday, November 18, 2024 at 4:00 PM IST, please find enclosed herewith the transcript of the conference call with Investors/Analysts.

This is for your information and record.

Thanking You
For Lemon Tree Hotels Limited

Jyoti Verma
Group Company Secretary
& Compliance Officer
M. No.: F7210

Encl. as above

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Lemon Tree Hotels Limited
Q2 & H1 Earnings Conference Call Transcript
November 18, 2024

Moderator Ladies and gentlemen, good day and welcome to Lemon Tree Hotels Limited Earnings Conference Call.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you and over to you, Mr. Poojari.

Anoop Poojari Thank you. Good afternoon, everyone and thank you for joining us on Lemon Tree Hotels Q2 and H1 FY25 Earnings Conference Call.

We have with us Mr. Patanjali Keswani, Chairman and Managing Director and Mr. Kapil Sharma, Chief Financial Officer of the Company. We would like to begin the call with the opening remarks from the management following which we will have the forum open for an interactive question and answer session.

Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I would now like to request Mr. Keswani to make his opening remarks.

Patanjali Keswani Thank you. Good afternoon, everyone and thank you for joining us on the Call. I will be covering the business highlights and the financial performance for Q2 and H1 FY25 post which we will open the forum for your questions and suggestions.

Due to the high seasonality of the hotel industry, I would request everyone to consider YoY performance rather than QoQ. Lemon Tree recorded its highest ever second quarter revenue this year. At Rs. 284.8 crore our revenue grew 24% as compared to Q2 last year, while net EBITDA grew 25% YoY, translating to a net EBITDA margin of 46.1%, which increased by 53 bps YoY. Q2 FY25 recorded a gross ARR of Rs. 5,902, which increased 12% YoY. The occupancy for the quarter stood at 68.4%, which decreased by 328 bps YoY. This is translated into a RevPAR of Rs. 4,035 which increased by 7% YoY.

In Q2 FY25, if we exclude the increase in renovation expenses of Rs. 8 crores beyond that spent last year. In Q2 our net EBITDA margin would be around 49%, 340 bps increase YoY with demand growth expected to exceed supply growth in the next few years accompanied by the structural tailwinds in discretionary consumption of branded hotel rooms that India is now starting to witness. Our increased investment and renovation will allow us to better position our hotels going forward to capture better pricing and position Lemon Tree as the preferred brand of choice in the mid-market segment.

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Fees from managed and franchise contracts for third-party-owned hotels stood at Rs. 13.4 crore in Q2 FY25, which increased 28% YoY. Fees from Fleur Hotels stood at Rs. 18.4 crore in Q2, which increased 35% YoY. Total management fees for Lemon Tree stood at Rs. 31.8 crore in Q2 FY25 which increased 32% YoY. Our debt decreased by Rs. 90 crores from Rs. 1,912 crores as of 30th September 2023 to Rs. 1,822.6 crore as of 30th September 2024. Cash profit for the Company stood at Rs. 69.8 crore in Q2 FY25 which increased 43% YoY. During the quarter, we signed 19 new management and franchise contracts which added 1,373 new rooms to our pipeline and operationalized 5 hotels which added 193 rooms to our portfolio. As of 30th September 2024, the inventory for the group stands at 112 operational hotels with 10,318 rooms and a pipeline of 75 hotels with 5,220 rooms.

Going forward, we are very confident of the Company's ability to sustain this growth in the coming quarter by focusing on the following growth levers, stabilization of Aurika MIAL, which is already EBITDA accretive, accelerated growth in our management and franchise portfolio with proportionate increase in fee-based income, timely completion of renovation activities in the owned portfolio to be able to further improve gross ARR and occupancy. Please note that the increased investment allocation and renovation expenses will continue into FY26 until the entire portfolio of all owned hotels have been fully renovated and refreshed. Post this, renovation expenses are expected to be between 1.5% - 1.6% of revenue on an ongoing basis.

With this, I come to the end of my opening remarks and would ask the moderator to open the forum for any questions that you may have.

Moderator Thank you very much. We will now begin with the question- and-answer session. The first question is from the line of Archana Gude from IDBI Capital. Please go ahead.

Archana Gude I have 3 questions, first one is on the ARR, while we had this 12% increase in ARR, which is pretty impressive, this occupancy declines of 328 bps to 68%, I am sure this is because of renovation of property. My second question is on this Aurika Mumbai, what kind of growth you have seen on occupancy and ARR on both sequential and YoY basis?

Patanjali Keswani You have to keep in mind that one of the reasons that the occupancy was low, of course, as you said was that about 9% of our inventory was shut in Q2, about 530 rooms. Some hotels which could have gone full obviously were unable to sell those rooms. Second is, Aurika itself did about a little over 50% at a little over Rs. 9,000 ARR. As a result, because it is about 15% of inventory, the weighted average occupancy was deflated by I think about 3%.

Archana Gude And sir, this you said on YoY?

Patanjali Keswani I am talking about Q2.

Archana Gude Q2, last year Q2?

Patanjali Keswani No, I am talking Q2 this year. Last year Q2, there was no Aurika.

Archana Gude And sir, sequential, has there been some improvement in terms of corporate contracts for Aurika? And maybe some color on rates for corporate contracts?

Patanjali Keswani Yes, because you will see that from Q3 onwards. Aurika is starting to do very well, actually surprisingly well in Q3.

Archana Gude Sir, how is this wedding season for us in terms of pre-booking for Aurika Udaipur and Bombay?

Patanjali Keswani I think we have booked 21 or 22 weddings this year in Aurika Udaipur, and they are some more under negotiation. 21 or 22 are confirmed. I reckon we close by about 25 weddings. It has been good for Aurika Udaipur.

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Archana Gude Sir, may be one book keeping question, sir, you mentioned your opening remarks that we paid roughly Rs. 90 crore debt. Should we consider it as an ongoing phenomenon and the debt reduced by roughly Rs. 400 - Rs. 450 crores on bi-yearly basis?

Patanjali Keswani Yes. See, first is Archana, we are spending

a large amount of money in renovation. As I said, in 3 years, we will spend Rs. 250 - Rs. 300 crore instead of what would normally have been say, Rs. 20 crore a year, instead of Rs. 60 - Rs. 70 crore, we will be spending 3.5x that. So, that will anyway get over next year and I think you will start seeing the results from ARR jumps from Q3 onwards. Once that happens, free cash flow will be enormous in Lemon Tree. I think we are sticking to our guidance that in the next 3 - 3.5 years, we should be debt free, but if we list Fleur before that then we will be debt free that much earlier.

Moderator Thank you. Next question is from the line of Jinesh Joshi from PL Capital. Please go ahead.

Jinesh Joshi Sir, my question is again on Aurika. While you highlight that the occupancy is 50%, if I remember right, in the last quarter you had stated that we let go some low yielding crew business to occupancy in Q3 and we are almost like halfway through the quarter. Is it possible to share some color on occupancy or pricing in the first 45 days?

Patanjali Keswani Let me just say this, we let go low rate crew. It does not mean we are not interested in crew.

There is also high-rate crew, specifically some international crews. We have tried to get that because the average rate of that crew is higher than in fact the Rs. 9,000 ARR, I just spoke about. We are focusing on taking some crew. It is basically a churn, think of it this way, any higher rate business, which has a predictability of demand we will be taking. Now, as far as Aurika goes in Q3, I do not want to give specific figures, but we are doing quite well, but let me say, it will be over 60%.

Jinesh Joshi And second question is on our management fee income, I think the number stood at about Rs. 25 crores in H1 and given the seasonality impact. I think H2 should be better than H1 and perhaps we may end the year with about Rs. 55 - Rs. 60 crores in terms of revenue, but this is a bit lower than what we have been guiding in our past call whereby the numbers were I think if I remember right between Rs. 75 - Rs. 100 crores. Is there anything that one needs to be aware with respect to our management fee income revenue guidance?

Patanjali Keswani See, my basic point is if you look at last year, we did Rs. 50 crores of third party. But if you remember in Q2, we did Rs. 10 crores. So, that was the multiple that is whatever we reflected in Q2, we did roughly 5 - 5.2x of that, if you look at H1, last year, we did Rs. 20 crores, but in the full year we did Rs. 50 crores. You can see, you can do the math, if you say 30% - 35% is the growth in third-party fees, then obviously we will be north of Rs. 65 more likely to be Rs. 70 crores. It is not your numbers, it is closer to 70 because of seasonality. Remember a bunch of our fees also comes from incentive fees when your gross operating profit crosses a certain hurdle, which obviously in winter with higher rates and higher demand, those hurdles are cost progressively.

Jinesh Joshi Sir, one last question from my side. If I look at our RevPAR for Keys, it is flat on YoY basis, and this is one segment of our portfolio where some kind of renovation is required. And ideally, after renovation we should see some kind of an uptick in pricing which essentially is missing. So, can you please share the reason behind it and once the entire renovation size is complete, what can be the steady state EBITDA margin increase, because I think that is pulling down the overall EBITDA margin of the consol entity?

Patanjali Keswani See Keys, we have shut 25% of the inventory and we are renovating it, as I said, fairly aggressively. Certain hotels are being renovated to very superior standards and certain hotels are being renovated to what I would call hygiene standards because the whole portfolio was in shambles when we acquired it. First is, there was an impact of availability of rooms in certain markets

like Pune and Visakhapatnam and in Bangalore, but once we finish the renovation, I will give a broad guidance that after we stabilize it, we are looking at an EBITDA of roughly Rs. 60 crores from the portfolio, which means about Rs. 6.5 lakhs a room.

Moderator Thank you. Next question is from the line of Kaustubh Pawaskar from Shreekhana by BNP Paribas. Please go ahead.

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Kaustubh Pawaskar Sir, my question is on the renovation part. In your initial comment, you mentioned that in FY26 also you will be doing some bit of renovation. How many rooms are we planning to renovate in FY26? Do we have any ballpark number for that? And also, post this renovation activities, what kind of increase you are expecting in terms of room rentals on a base of 100 maybe 1.2x or 1.3x. What kind of revenue room rental increase are you expecting post the renovation?

Patanjali Keswani Kaustubh, these are actually separate questions. Let me say firstly that we are renovating Keys Hotels non-stop, at any given time 20% - 25% of the portfolio will be shut. I reckon that the full portfolio will open perhaps next financial year end. So, really, the impact will be felt for the full portfolio from FY27, number one. Number two it is difficult for me to give you an aggregate figure but let me put it this way. Many of the hotels in the Keys portfolio were, as I said, most of them, not most, I should say all were in very bad shape. So, when we renovated it, we had a two-pronged approach, where do we think we will be able to re-price and increase occupancy that is where we invested more money and where we felt we had to maintain brand

standards, minimum standards and although we would not increase pricing, we would increase occupancy over the other hotels like Cochin and Trivandrum and Ludhiana and so on. What is our expectation? Our expectation is that whatever we invest in renovation, every year we should be able to recover it in 2 years. Put another way, if we over 3 years invest Rs. 250 crore or say Rs. 80 crore a year, we think we will be able to recover this after 3 years in incremental EBITDA of Rs. 125 crore each year. Am I making sense to you?

Kaustubh Pawaskar Yes.

Patanjali Keswani Think of it this way, in normal renovation is just to maintain standards, which is about 1.5% - 1.7% of our revenue. This renovation we are doing is to replace and reposition, our expectation is we invest 100 bucks, we want 50 a year increment.

Kaustubh Pawaskar Sir, my other question is in the markets where you are doing most of the renovation or investment, how is the supply scenario over there? You must have assessed the demand supply scenario over there and you must have taken this renovation strategy. Can you just give us some perspective on the same? How is the demand supply scenario? And what are your expectations over the next 2 years?

Patanjali Keswani See, where are we investing the maximum money, Keys, of course, is going to take some amount, but we are investing a lot of money in our hotels in Delhi, the two Lemon Tree and Red Fox and in Hyderabad, the four hotels there. We think both those markets are very deep markets. And I will give you a simple example, we renovated I think about 120 rooms in Lemon Tree Premier Delhi, we spent about Rs. 10 crores - Rs. 12 crores on it. Rs. 10 crores, its ARR is already north of, I think about Rs. 10,500 - Rs. 11,000, and it is doing 100% occupancy since we opened the rooms. So, that is our expectation where we put money is where we think there is more pricing power and therefore also high demand. That is a very basic strategy, but we have minimum spends anyway in all hotels to catch up for the COVID time and then an extra spend where we think we can reprice.

Moderator Thank you very much. Next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar Can you talk about the growth in October and November?

How is it going on?

Patanjali Keswani Now, it will be seen in same store, so to speak, because in October last year, Aurika was launched. I would reckon that we should be north of 15%. Now, obviously we have our number in mind, but let me just say our revenue should be north of 15% and our EBITDA should be north of hopefully 20% YoY.

Sumant Kumar And when we talk about the growth of everybody is talking about and how the market for wedding, how much benefit we are going to get in particular in the coming month and how the 15% growth contribution is there for the wedding?

Patanjali Keswani We have two types of weddings. We have destination weddings which we get a share of because of the Aurika Hotel in Udaipur. Then we have regular weddings, which we get in our banquet halls in some cities where we have large convention facilities. But as a Company we have not had a heavy focus on banquets. Going forward, we identified certain markets where

we felt there would be heavy demand and in fact we are renovating those banquet halls also, which is why as I said, it has affected some demand because in some hotels, we are renovating restaurants and moving the restaurants to the banquet halls and in some hotels, we are renovating banquet halls and therefore not getting banquet business in both. My view on weddings is it is an annual high value business and as a Company, we have reoriented our strategy towards trying to capture that. But we are a midmarket Company by and large. So, obviously, we are targeting midmarket hotels that is as far as the wedding business goes, but overall, let me put it this way, Sumant, we are seeing very high demand for our hotels in general and I am quite confident that the next few quarters will be very good quarters.

Sumant Kumar How is the wedding demand for Aurika Mumbai?

Patanjali Keswani We do get on and off, but we have generally a lot of banquet demand in that hotel. It is not only wedding, it is social events, it is meetings, incentive trips, conferences. So, it is doing very well.

Moderator Thank you. Next question is from the line of Sakshi Chhabra from Svan Investments. Please go ahead.

Sakshi Chhabra My question was pertaining to your Bangalore market. If you see in every other market, you have seen close to a double-digit growth, but only in Bangalore, the ARR has remained flat as well as there has been a slight dip also in the occupancy. Just wanted to understand what would be the reason for this and can you just throw some light on the Bangalore market overall?

Patanjali Keswani Well, a fair number of rooms are shut in Bangalore, I think about 10% of the inventory. And I also think frankly, we have not performed as well in Bangalore as I would like for many reasons, and we intend to recover from that. It is partly poor performance also.

Sakshi Chhabra But how do you plan to recover now from this?

Patanjali Keswani By focusing on improving our performance.

Sakshi Chhabra No, I just want to understand that is the overall Bangalore market down or have we particularly not performed and is there any reason for that.

Patanjali Keswani See, I will tell you Sakshi. I will explain. Bangalore has multiple markets. Today, all big cities have many markets. There is a market in Bangalore along Outer Ring Road, which is a fabulous market where we do not have a hotel. There is a market in Whitefield where about a large part of our Lemon Tree Whitefield Hotel was shut for renovation. Then there is a market in Hosur and Electronic City where we have two hotels where there was a dip in demand because it is very IT dependent and hiring had come down and we depend a lot of the hiring business. So, there were multiple reasons in multiple markets. Unfortunately, the market, which is the best performing in Bangalore, which actually turns and changes the entire perspective, so if I say, Bangalore has 20% of its supply in Outer Ring Road, but 30% - 40%

of its demand, then that is part of the micro market skews the overall view in Bangalore. City Centre, Bangalore; Whitefield, Bangalore; Electronic City; Hosur Road might do say X, but Outer Ring Road will do X+5. So, therefore the average is higher than X and we are unfortunately not in that specific micro market which is completely outperforming. So, that is the first point. Second, I think we can do better in some markets and what we have learned is to reduce our dependence on IT hiring, which is where we used to traditionally get a lot of our business from. So, that is how we are also reorienting our focus. And I am confident that from this quarter, we have kind of repaired that as you will see.

Moderator Thank you. Next question is from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani Sir, how many rooms across brands do we plan to complete renovation in FY25 and in FY26 separately?

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Patanjali Keswani Let us put it this way, of our total inventory of 5,800 rooms, other than about 1,300 rooms, say 4,500 rooms, we will renovate, last year, this year and the next year.

Prashant Biyani One-third, one-third, one-third would be right?

Patanjali Keswani See, I do not have the exact number, but actually it is a question of capital allocation. We were investing more heavily in the hotels we wanted to repricer earlier like Delhi and Hyderabad.

And now, we will start renovating some other hotels where the repricing is more limited.

Because we decided we would not invest more than say Rs. 100 - Rs. 110 crore per year. The inventory allocation for renovation would probably be higher next year for Keys portfolio. And lower for the high value portfolio, which should be fully renovated.

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Patanjali Keswani No, it is still to be completed. I think I can say about 60% has been renovated.

Prashant Biyani Partial rate hikes, we should start to see for that market from next quarter as well?

Patanjali Keswani From this quarter, yes, Q3.

Prashant Biyani Sir, at the portfolio level, in FY27, when all rooms are renovated, how much ARR increase do you anticipate?

Patanjali Keswani Impossible to tell, but I do not know what the future holds, but I would reckon that 15% - 20% growth in revenue every year is the minimum we would expect and once renovation slows down and cost flat and then this will be mostly operating leverage.

Prashant Biyani Sir, lastly, by when are we planning to come up with the IPO for Fleur?

Patanjali Keswani Sometime, in the near future, hopefully.

Prashant Biyani Any outer timeline for that?

Patanjali Keswani Well, I would reckon within the next 2-3 years at most.

Moderator Thank you very much. Next question is from the line of Nihal Shah from Prudent Corporate Advisory. Please go ahead.

Nihal Shah My question is, if we exclude the total number of rooms that are being renovated, so what would be our occupancy rate not considering those in the inventory?

Patanjali Keswani It would be 10% higher.

Nihal Shah And is this level of 530 rooms that are closed right now, has it peaked out or we can see this number going up in the following quarters as well?

Patanjali Keswani It will come down in Q3 and Q4 excluding Keys. We will not be renovating any rooms. For example, we had decided that till Diwali, we would continue our renovation, which was till the end of October. But in November, excluding these 230 rooms of Keys which are under renovation, all the rest of the inventory will be operational. We will have roughly 5,500 rooms operational in Q3 and Q4.

Nihal Shah And the last question is regarding the debt, so we have reduced it by Rs. 90 crore in this quarter, but as we had mentioned in the previous calls as well that the cash flow generated from activities in Q3 and Q4 will be majorly used to

retire some part of the debt. Do we stick

with that strategy or have we changed it looking at the high inventory cost?

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Patanjali Keswani No, think of it this way, Nihal, the high value renovation got done in Q1 and Q2. Q3 and Q4 will be mostly renovation, which is actually of the Keys portfolio. The free cash flow that we generate will not go towards renovation, it will go mostly towards debt reduction.

Moderator Thank you very much. Next question is from the line of Karan Khanna from Ambit Capital. Please go ahead.

Karan Khanna Just a couple of questions, firstly, clarification part, in the last call, you mentioned that most of the renovation CAPEX will be front ended in the first half of the year in FY25 and FY 26, but earlier on in the call, you mentioned that the renovation CAPEX will continue going until FY26.

Just curious to understand if second-half of FY25 will also see a high element of renovation expense or is that something which is largely captured in the first half results?

Patanjali Keswani See let me explain. Renovation, Karan has 2 parts, CAPEX and OPEX. Whatever we are renovating, like you are seeing a number of Rs. 13 crore or Rs. 10 crore and so on, that is the OPEX number, not the CAPEX number. The free cash flow represents post CAPEX, but the PAT and the EBITDA represents post OPEX. The renovation in Q3 and Q4 will be mostly CAPEX because the Keys portfolio requires CAPEX, not OPEX. They will continue to be renovated, but from the P&L perspective, I reckon the impact will be much less.

Karan Khanna And just a follow up, for the part of the renovation that got completed in H1, what kind of improvement in the RevPAR's have you seen in the last 2 months?

Patanjali Keswani Well, in the last month, that is October, there would not have been a big improvement because it was Dussehra and Diwali and that is the period of low demand. But overall improvement, I have given you a broad guideline which is that our revenue from our owned hotels will go up by north of 15%. And I would say at least half of that would be roughly demand led and half of that would be price led.

Karan Khanna And secondly, if you can comment on the same store growth that you have seen in the inventory, which was not affected by renovation?

Patanjali Keswani See, I will give you an example, Karan, when we shut hotels in Delhi and Hyderabad, I would say that half the days we were turning business away in those hotels. There the reduction in inventory mattered, similarly, when we did it in Pune and in Chennai, but in some markets, it did not matter so much because the turn away was less and, in some markets, it mattered a lot. But we still went ahead with it. The impact of this in terms of loss of business, I would say would have been about Rs. 10 crores - Rs. 12 crores. That is a broad guess, and this is something we were quite happy to accept because we felt we would catch up. That was in our mind some form of investment also in the product. I think what you have to really look at is our performance in Q3 and Q4 and it will answer your question as far as RevPAR growth goes, as far as operating leverage goes, and what I can tell you is the numbers will be better than we expected.

Karan Khanna And my last question on Aurika Mumbai, do you still expect to increase the share of retail and corporate to let us say, 200 rooms by H2? And if yes, how do you see the margins evolving in the Aurika Mumbai?

Patanjali Keswani See Aurika Bombay, I expect will do EBITDA margin of 60% plus in H2.

Karan Khanna And the mix, will it be about 200 rooms for retail corporate in the second half?

Patanjali Keswani I think we are quite clearly moving towards that. Actually, what we have to really look at Karan is the right balance. There is what I call bread and butter. Bread and butter business is that is round the year, preferably also over weekends, which is crew, but

obviously we do not want

crew business which is low rate. So, that is the tradeoff. Think of it this way, getting one room from Monday to Friday at Rs. 15,000 is earning Rs. 75,000 and getting one room from Monday to Sunday at Rs. 11,000 is actually also the same amount. The tradeoff is really on RevPAR. So, one is we want to basically churn our crew portfolio, and we would really like it to be about 150 - 200 rooms around the year. We would like retail to be another 200 and corporate

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meetings, conferences, etc., to be 150 - 200, so roughly one-third each. Some we will achieve earlier, some will take a little longer, but that is, I would say the one year forward perspective.

Karan Khanna And just to follow up on Aurika Mumbai, have you onboarded the new General Manager for the property or is it still in process?

Patanjali Keswani No, we have a General Manager there who was the Deputy GM who is actually a very good guy. We are very happy with him.

Moderator Thank you. Next follow up question is from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani Sir, for Delhi, Bangalore and Hyderabad market, all high value renovation is now complete?

Patanjali Keswani No, Delhi, we still have about 40%. We have done about 60% or maybe we have done 70% actually in Delhi. Hyderabad, I would say that in the Lemon Tree Premier, we have done 70%, but in Gachibowli and Red Fox, we have done maybe less than 50%. For different hotels, different levels of renovation have occurred. But Hyderabad and Delhi, we will continue next year, in summer and Bangalore, we will focus really on Lemon Tree Premier Bangalore. Whitefield will continue indefinitely till the end of FY26 and LTP Bangalore and Lemon Tree

Whitefield will go under renovation next summer. But these are low-cost renovations. These are not high-cost renovations like Delhi and Bangalore.

Prashant Biyani Even for Hyderabad market, for existing hotel where we are not 100% complete in terms of renovation, those also will be low cost or low value renovation?

Patanjali Keswani Well, the highest value renovations, Prashant were in Delhi and Hyderabad Lemon Tree Premier where next level was Keys Pune and Keys Whitefield. Keys Pune is now practically complete. End of this month, it will be fully renovated. Wherever we felt we could start earning earlier is where we allocated the first round of capital. It is difficult for me to tell you that it was evenly distributed. It was distributed where we felt we could start earning earlier.

Prashant Biyani Sir, would it be fair to say that renovation expenses would have peaked out in Q2? We will continue with renovation, but the capital contribution to that will be lower from here upon?

Patanjali Keswani In Q3 - Q4, yes, but it will shoot up again in Q1 - Q2 next year.

Prashant Biyani It is likely to be same as H1 this year or more than that?

Patanjali Keswani More or less.

Moderator Thank you very much. As there are no further questions, I will now hand the conference over to the management for closing comments.

Patanjali Keswani Thank you once again for your interest and support. We continue to stay engaged. Please be in touch with our Investor Relations team for any further details or discussions and I look forward to interacting with you soon.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity and accuracy. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Feb 2025

February 11, 2025

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Name of Scrip: LEMONTREE BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

BSE Scrip Code: 541233

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Ref: Outcome of Conference Call with Analysts/Institutional Investors

Dear Sir,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation to the disclosure made on February 06, 2025 w.r.t the audio recording of the conference call on Unaudited Financial Results for the quarter and nine months ended December 31, 2024 held on Thursday, February 06, 2025 at 4:00 PM IST, please find enclosed herewith the transcript of the conference call with Investors/Analysts.

This is for your information and record.

Thanking You

For Lemon Tree Hotels Limited

Rashi Goel
Company Secretary
& Compliance Officer
M.No: F9577
Page 1 of 13

Lemon Tree Hotels Limited
Q3 & 9M FY25 Earnings Conference Call Transcript
February 06, 2025

Moderator Ladies and gentlemen, good day and welcome to the Lemon Tree Hotels Limited Earnings Conference Call.

I now hand the conference over to Mr. Anoop Poojari from CD R India. Thank you and over to you, sir.

Anoop Poojari Thank you. Good evening, everyone. And thank you for joining us on Lemon Tree Hotels Q3 and 9M FY25 Earnings Conference Call. We have with us Mr. Patanjali Keswani, Chairman and Managing Director and Mr. Kapil Sharma, Chief Financial Officer of the Company. We will begin the call with opening remarks from the management, following which we will have the forum open for an interactive question and answer session.

Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the earnings presentation that was shared with you earlier.

I will now request Mr. Keswani to make his opening remarks.

Patanjali Keswani Thank you. Good afternoon, everyone and thank you for joining us on this call. I will be covering the business highlights and financial performance for Q3 & 9M FY25,

after which we will open the forum for your questions and suggestions.

Due to high seasonality in the hotel industry, please consider YoY performance rather than QoQ. Lemon Tree recorded its highest ever third quarter revenue this year at Rs. 355.8 crore. Our revenue grew 22% compared to Q3 last year while net EBITDA grew 30% YoY to Rs. 184.8 crore translating into a net EBITDA margin of 51.9% which increased by 316 bps YoY. Q3 FY25 recorded a gross ARR of Rs. 6,763 which increased 7% YoY. The occupancy for the quarter stood at 74.2%, an increase of 826 bps YoY. This is translated into a RevPAR of Rs. 5,018 which increased 21% YoY.

Fees from third party-owned hotels for management and franchise contracts stood at Rs. 18.4 crore in Q3 FY25, an increase of 24% YoY. Fees from Fleur hotels stood at Rs. 25.3 crore in Q3 FY25, an increase of 45% YoY. Total management fees for Lemon Tree stood at Rs. 43.7 crore in Q3, an increase of 35% YoY. The Company's

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profit after tax stood at Rs. 79.9 crore in Q3, an increase of 82% YoY. Cash profit for the Company stood at Rs. 114.9 crore, an increase of 49% YoY.

On the business development front, this quarter, Lemon Tree received a letter of award from the Directorate of Tourism, Government of Meghalaya for the redevelopment, operation and maintenance of the existing Orchid Hotel in Shillong under the design, build, finance, operate and transfer mode on a PPP basis. This will be redeveloped as Aurika, Shillong and will be operational within the next 2.5 years to 3 years. It will feature 120 rooms with all the additional facilities our Aurika's offer. This hotel is situated in the prime location of Polo Market opposite the Chief Minister's bungalow and is the first PPP undertaken by us. Interestingly, this project qualifies for significant capital subsidy and incentives, including full GST reimbursement and interest subvention by 5% under the Meghalaya Industrial and Investment Promotion Policy 24 and various other policies.

On the asset light side, we signed 13 new management and franchise contracts, adding 766 new rooms to our pipeline and operationalized 1 hotel adding 38 rooms to the portfolio. As of December 31st, 2024, the total inventory of the group, for those of you who like cricket as I do, it was a double century. The total inventory stood at 200 hotels and 16,385 rooms, broken into 112 operational hotels with 10,317 rooms and a pipeline of 88 more hotels with 6,068 rooms.

Going forward, we are confident in the Company's ability to sustain this growth in the coming quarters by focusing on certain growth levers, which is obviously accelerated growth in our management and franchise portfolio. The timely completion of renovation activities in the owned portfolio to further improve gross ARR and occupancy. Please note that the increased investment in renovation expenses will continue into FY26 and a little bit into FY27, until the entire portfolio of our owned hotels of about 6,000 rooms has been fully renovated and refurbished. Post this, renovation expenses will close at 1.5%-1.7% of revenue on an ongoing basis. With demand growth expected to outpace supply and an expected significant increase in discretionary spending on branded mid-market hotels in India, we think this increased investment in renovation will allow us to position Lemon Tree as the largest and preferred brand in the mid-market segment.

With this, I come to the end of my opening remarks and would ask the moderator to open the forum for any questions you may have. Thank you.

Moderator Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. The first question comes from the line of Karan Khanna from Ambit Capital.

Please go ahead.

Karan Khanna My first question part is on Aurika, Mumbai. Congratulations on the ramp up in terms of occupancy. You recently mentioned that you expect this property to stabilize by FY26. What kind of RevPAR can we expect for FY26 and what according to you should be a sustainable growth rate for this property? And as a follow up for the Aurika brand, you recently decided to shut down operations at Aurika, Coorg. Can you talk a bit more about it, should we expect more Aurika branded hotels to be added to your own pipeline given it's still a small part of your overall portfolio?

Patanjali Keswani Thank you Karan, that's many questions. So, let me start with the first one. Aurika, Mumbai has not really stabilized in Q3. I think the occupancy was in the early 70s and the ARR was a little over Rs. 9000. Well in Q4 it is doing much better. In fact, I think our occupancy is north of 85% and average rate is north of Rs. 9500. But for me that is still not stabilization because as I had mentioned, I think maybe a couple of concalls before, we would like this hotel to be at around Rs. 11,500 to Rs. 12,000 ARR, at about

t 85% occupancy. In order to do it, first we have to build demand such

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that we can then churn the demand and keep the higher price demand with us in this hotel. To answer your question, although we are doing 85% in Q4, and we are doing Rs. 9,500 ARR, to me that is not stabilized. Stabilized to me would probably be H2 next year when on a sustained basis we will be north of 85% at Rs. 11,000 plus ARR. So, that is the first one. As far as Aurika as a brand goes, we have as you know, signed Shillong, we have amicably parted ways with the Coorg Hotel due to some reasons I am really not at liberty to disclose but Aurika is very much in our strategy. We are very close to signing on long lease, an outstanding Aurika in Varanasi which as you know is a Rs. 50,000 a night market. So, it is a little odd for a mid-market hotel Company talking about an Aurika brand which will be north of 5x of the current Aurika hotels. We are also looking at a few more Aurika hotels for management contracts which we as and when they firm up, we will obviously inform the markets and you folks. But Aurika in short is a part of our capturing lifetime value of our customers strategy.

Karan Khanna Thanks for the update. Just a follow up on Aurika, Mumbai and in particular we are seeing a lot more hotels opening in the entire Mumbai airport micro markets. With the new Navi Mumbai airport and new supply coming in that market, do you see that as a risk to let's say growth beyond the Rs. 12,500 price point that you are seeing or you are still quite confident that this market will continue growing to double digit RevPAR or possibly a high single digit ARR growth?

Patanjali Keswani Karan, I am ashamed to tell you that on and off, Lemon Tree Premier Mumbai does a higher ARR than Aurika. This is because of the very large base of fixed business. Aurika has which is what I had referred to earlier to build a base of demand, so that we could reprice it once it is stable. My view is the same as I had 10 years -12 years ago when India was at a far different place and lot of people told me that why are you buying and investing in a hotel in Delhi, Aerocity when airport had in various other places like Greater Noida will open, 6000 rooms will come up in Delhi Aerocity, the whole of Delhi has only 8000 rooms, isn't it highly risky? And I said based on my experience about airport hotels in the major metros of any large economy worldwide, they have never ever not absorbed supply. Delhi is the highest performing market, Delhi, Aero city. Although something like 3% of India's branded supply came up here in 1-2 years. It is absolutely not to be worried about. There may be a temporary blip of 3 months / 6 months / 12 months, but I don't think it will significantly affect the RevPAR of the micro market. What will happen is certain hotels that are not the customer's preferred choices, but customers go to it because of demand being more than supply. That type of demand will disappear and there will be more availability in the branded hotels. I don't know if I am making sense to you but I don't see based on my experience in airport markets, I don't see that really affecting Mumbai, especially Mumbai I should say.

Karan Khanna Sure, this is helpful. My second question given your ambitious goal of expanding portfolio to about 20,000 rooms by 2027 do you foresee any operational or other challenges that you may encounter in executing your growth pipeline?

Patanjali Keswani No. I had said we would be 20,000 rooms in our CY28 Vision, but we are already at over 16,000 and I am pretty confident we will hit 20,000 in the next 12 months to 15 months, signed and operational. Where I see possible slippages is that we have in this pipeline of signed converting to operational, there have been slippages when owners are not being able to fund/finish their hotels on time. So, that is the only

concern I have. But as far as our growth goes, we have actually, we are very gung-ho on the kind of demand we are seeing from asset owners in our space. There is something like 3-4 inquiries every single day. So, 20,000 is actually a bit of an understatement. I think we will do far better than that.

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Karan Khanna And the last question, if you can highlight the benefits of renovation that you saw this quarter in terms of better pricing or occupancy, especially for Key's portfolio, where perhaps the delta for pricing should be a little higher.

Patanjali Keswani I will give you an example. If you look at Pune, the portfolio, look at the occupancy rate and price. Pune went up by 20%. The reason, a significant part of the reason is that we have a 101 room Keys in Pune. That was the first hotel we fully renovated. See, in other hotels, there is still a lot of work still going on because we are renovating non-stop, it is 936 rooms. But this hotel, which has got fully renovated, the ARR is 24% over what it was pre-renovation. And now, because the rooms are back, it is doing 90% occupancy – between 80%-90%. I am talking also now, about Q4. I had said earlier that we will definitely target a Rs. 60 crore EBITDA from keys, which means really Rs. 6.5 lakhs a Key. Currently, if you look at our EBITDA for the Keys portfolio, it is Rs. 1 lakh, a quarter or I think Rs. 3.5 lakhs a year. We will double that.

Moderator The next question comes from the line of Jinesh Joshi from PL Capital. Please go ahead.

Jinesh Joshi Sir, with respect to the new partnership at Shillong, can you highlight how will the accounting happen as the hotel might be in an SPV with some kind of a JV structure? Also, if you can share what can be our prospective share in that JV and will the benefit be limited to the capital subsidy and the GST reimbursement that we have highlighted in the PPT or if the state government also expected to contribute towards the CAPEX outflow. I know we have not shared the indicative CAPEX number, but can you share similar hotels in that region, what kind of CAPEX per Key do they command?

Patanjali Keswani Well in Shillong, there are 2 hotels. There is a Taj and there is a Court yard by Marriott. It is doing I think about Rs. 10,000 and one is doing Rs. 12,000. We think we will do Rs. 12,000 – Rs. 13,000 because it has the best location. The land is being given to us for 1% of the revenue share and Rs. 2 crore a year. We don't think we will invest more than Rs. 120 crore for 120 rooms because we get a 5% interest subvention, so instead of borrowing money at 8%-8.5%, we will effectively get debt at 3%-3.5%. Our estimate is this hotel will make about Rs. 15 crore EBITDA a year to begin with. It is a joint venture between Lemon Tree and another Company. We will be the majority owners; they will be the minority. The total equity requirement will be Rs. 35 crore. We will take a debt of about Rs. 70 - 80 crore. We will get Rs. 15 crore back as capital subsidy on the day this hotel opens. Really our equity investment will be probably Rs. 20 crore. We get 100% GST back. One for 7 years, I think that's central, and state is I think for 10 years. So, that means that if I add that to the EBITDA margin, the EBITDA margin will be about 65% and we think we will have our equity payback, for both partners within 1.5 year. So, really it is a fantastic opportunity and it is really maybe Rs. 10 crore or more for Lemon Tree every year for the next 45 years.

Jinesh Joshi Fairly elaborative sir, thank you for that. Just one observation from my side, if I look at our standalone performance, I think that revenues were up by just about 2% while the PAT was down by about 16% YOY. Apparently, it seems like the standalone business wherein we have, if I am not mistaken, about 1,800 rooms faced some kind of challenges in this quarter. So, if you can just

talk a bit about that?

Patanjali Keswani No, there is no challenge. You see, Lemon Tree has an agreement to charge a fair amount of money from Fleur for what is called Development Fees. And we got a very large sum when we developed Aurika, Mumbai. If I remove that, actually we did better, significantly better this year than last year. You can say it was part of the project management fees that Lemon Tree charged and it is our agreement with
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Fleur that every time we put up assets there, we take about 10%-12% of the investment as our fees.

Jinesh Joshi One last bookkeeping question from my side. Can you share what is the operating cash flow generated so far in 9 months after interest and what is your debt repayment target for the next couple of years given no major CAPEX is lined up?

Patanjali Keswani Our cash profit for the nine months is Rs. 240 crore and we paid back Rs. 150 odd crore of debt which is reflecting in our gross debt fall and we had another Rs. 40 odd crore of cash.

Jinesh Joshi For the next 2 years, I mean just in case if you have any number in mind in terms of repayment?

Patanjali Keswani See, what I had said is that we will be debt free in three years. Now the point I am trying to make is that we will be probably debt free earlier the minute we list Fleur.

That is very much on the plan, we are unable to right now brief the market in detail about it, but I can say with certainty it will happen in the next 1.5-2 years max. If that happens - automatically we go debt free. In the absence of that when we look at the cash flow generation, let me give you an example. The most profitable quarter is Q4 from every perspective. So, we think our EBITDA will increase significantly next year to this year, very significantly and our debt-to-EBITDA will be under 1.7 x by the end of next year. And if that continues, then obviously interest savings plus further improvement in performance. Somewhere in the next 2-3 years, we will be debt free on that basis too. If you look at FY24, we did nearly Rs. 300 crore of cash profit, but we got Rs. 176 crore in the first 9 months. Are you getting me? Last year Rs. 176 crore was cash profit in the first 9 months and nearly Rs. 300 crore for the full year. So, basically 40% of the cash profit came in Q4 and it would be no different this year.

Moderator: Next question comes from the line of Abhay Khaitan from Axis Capital. Please go ahead.

Abhay Khaitan My question is on the ARR growth of other brands, particularly Lemon Tree, which

has seen 5% growth in the third quarter. And particularly for hotels outside metro cities, we have seen only 1% growth. Is this evidence to check that metro cities or business cities are doing significantly better than the Tier two cities or tourism cities? And do you see this trend changing in the coming quarters? And a follow up on that would similarly for premium hotels v/s mid-market hotels, would you see premium hotels continue to outgrow mid-market hotels in terms of ARR growth and then will it switch?

Patanjali Keswani If you look at the last three markets that went through J-Stick or Hockey-Stick growths in demand at similar levels of household income, the most obvious example being China in 2006 to 2012, the first couple of years luxury took off. Then with the shift in median income and the number of households that earned more than \$34,000-\$35,000 per capita, per household, started consuming branded mid-market supply. It's linked partly to age, partly to aspiration, partly to urbanization and so on. Now if I look at India, it's very simple to me. I don't like to draw comparisons with China, but 50% of India plus minus depends on agriculture, which is only 1/7th of our GDP. So, really to me, India has two parts. One is the 50% agricultural and the 50% population, which is non-agricultural of which 70% lives in urban areas in the 160 - 17

0 cities of 0.5 million plus population. So, this is where consumption resides in India in my opinion. Hotel consumption, well the truth be told, forms about 2% of Indian households, about 6 million households consume branded hotel room. If the GDP of India grows by 6%-7% in real terms for the next 6-7 years, what will happen is the number of households who consume luxury items would grow from 1 million - 1.5 million to 6 million - 7 million and the number of mid-market households who will consume branded hotel room will grow from 3.5 million - 4 million to 30 million. Put together it is still a small number, it is roughly 10% of Indian households, which is about 320 million.

Looking at these other markets, the first 2 years the growth is in luxury because of the base effect, because it's such a small base. The next 4-5 years growth is in upscale and midscale. So, we are waiting for our turn. In fact, somebody asked in an interview once that how do you tell this? I said the first indication is sale of SUVs, intent to travel and connectivity by 4 lane highways. It's very visible in India, very visible that the number of aircraft on order are 2.5x of current supply, airports 138 are becoming 240. Runways are growing by double. It's all evident, it is all out there. So, we are getting on that; which is why we are so aggressively after Tier 2 and Tier 3 cities. Now coming to ARR growth, it is reverse pyramidal. The highest growth is in the deepest markets, but this is precisely because of the reasons I just told you. So, will Allahabad change price as significantly whether it is a 5-star or a 2-star as in Pune and will Pune change as significantly as Mumbai? Absolutely not. But they all catch up over time and the reflection is very simple. If the input cost - the cost to build a hotel room including land is lower in Pune than obviously and because that is partly because the earnings also per room is lower in Pune. Otherwise, all capital would flow there. This is an automatic thing, so to speak, self-regulating.

Abhay Khaitan Thank you for this elaborate answer. So, just as a quick follow up on this as well, is that the reason why in the current pipeline that we can see, we see mostly either Lemon Tree Hotels or Keys Hotels, but we hardly see any Aurika or Lemon Tree Premier for that matter? Do we expect this trend, or do we see some sort of pipeline coming in? You mentioned Aurika, Shillong today, but apart from that, anything in Lemon Tree Premier that we can expect in the coming quarters?

Patanjali Keswani No, there is a fair amount of Lemon Tree Premier's even in the portfolio. But let me put it this way, the way Lemon Tree strategy goes is Network. What I am most interested in is future demand. If I say there are 160-170 cities in India with 0.5 million plus population and technically, I can put 1 hotel up in each of these cities strategically, the demand I capture out of these cities into other cities where we have Lemon Tree Hotels or other branded hotels of ours gives us what I call is a competitive moat which is the network effect which is very difficult to overcome. I am just interested in creating a moat, building our brand and having a network presence in every single city where there is a consumer for branded mid-market hotels in India in the next 5 years. That is our strategy.

We are looking at multiple data sets. One is which 4-lane highways connect from which city to which city. There are 1,53,000 kilometers of highways in India. 50,000 are 4-lanes and just FYI this doubled in the last 5 years. Hats off to Mr. Gadkari. He said we will further double it in the next 4 years. Where are these highways coming, where are the next airports coming, which airports are going to have twice the number of runways, where is the next set of commercial activity happening in India?

It's visible through international

property consultants talking about rented buildings, commercial buildings. Where are the announcements of projects? We are looking at all kinds of datasets. We've created proprietary algorithms. And we are saying we want to go to these 20 cities strategically and opportunistically to any of these 170 cities. That's the way we are looking at it. It's all asset light but the minute Fleur lists, the question will then arise because Fleur will be an independent Company and we think it will have a really solid listing because we think its EBITDA will be \$100 million when it lists. Here's the thought, where will Fleur deploy its capital, especially if it is debt free? So, we will have certain principles, the hurdle rate of expectation, we will have principles of what is the ideal optimum debt structure, should the debt for new hotels be more than 2x of the EBITDA of old hotels, so it is a waterfall process and beyond that how will we allocate capital, where will we distribute this cash flow that we generate. So, these are many moving parts but I am very confident

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that in the next 2 years the stock market in India will start seeing how this whole, all these balls in the air start playing together.

Moderator The next question comes from the line of Raghav Malik from Jeffries. Please go ahead.

Raghav Malik I just want to understand, like, get a bit more color maybe on city-wise. If I see, like, our performance for Bangalore specifically, there's been a significant jump but of course that's on a slightly lower base of occupancy. Is that like more a reflection of how the market is doing and could you provide some color just comparing it to other markets like how they are shaping up at this point of time?

Patanjali Keswani Well it's not how markets are doing, Raghav, it's how micro markets are doing and what is the supply we have in each of these micro markets. To give you an example, let's assume we are operating in Delhi. If I say Delhi, it includes Aero city and it includes East Delhi. East Delhi is a poor market. Five-star hotels average price in an East Delhi location is 1/3rd of what it is in central Delhi or 50% of what it is say airport hotels. We have some hotels in different micro markets in each of these cities. Bangalore, for example, out of these 874 rooms, 370 rooms or 380 rooms are Keys hotels. Half of them, at any time, 30%-40% of those rooms are shut. I am reflecting the full inventory and occupancy on full inventory, but the reality is they are all undergoing significant renovation. What you are seeing in Bangalore is actually performance on an aggregate basis and not specific hotel wise. Now the minute Keys Whitefield is fully renovated which is 222 rooms, this number and this ARR will change also quite significantly because right now the ARR is only I think Rs. 5,000. But Keys Whitefield ARR is Rs. 3,000 bucks. The minute it's renovated and parts of it we have renovated that is Rs. 5,500 alone. So, you will have to wait for the renovation to get done. I would guide you specifically towards Bangalore, Pune which is where the Keys Hotels are, and the rest of India because that is where there is some degree of Keys Hotels, I don't know how to describe it but wait until those hotels start producing fully, it is still going to reflect, it may appear an underperformance, but it is not so.

Raghav Malik And sir, just a follow up on that this ARR, the kind of growth we see in occupancies is much stronger. Is that like a conscious sort of effort or is it based on the phenomenon you mentioned of once? Your view on capitalizing on RevPAR tailwinds?

Patanjali Keswani See, now that we intend to list Fleur, we are looking very specifically at return per square foot and our investment per square foot. And the way to maximize return per square foot is to maximize revenue per square foot which is RevPAR which is what

you will see on the 3 columns on the extreme left. We are agnostic about occupancy and ARR. What is the best combo of RevPAR that we can achieve? And that is actually neither the maximum occupancy nor the maximum ARR, it is some intermediate combination that maximizes. The other thing we are very cognizant of is, we want to look at the Gross Operating Profit per square foot. Obviously if the rate of growth of revenue is through utilization of rooms, then what flows through to the bottom line is contribution because you have to account for variable cost. But if you increase the rate, then what flows through to the bottom-line depending on which channel is used, can be a higher or lower number. For example, if your occupancy goes up due to OTA's, then you are paying some form of commission in the mid-teens. If your occupancy goes up because of another source which is 5% lower in price but does not pay any commission, that gives you a higher profit margin. It's a combination of so many variables based on so many different sources of demand

which you are trying to get to flow in your funnel. That I would say broadly we look at only one thing which is how do we maximize RevPAR in order to maximize our GoPPAR or Gross Operating Profit per available room.

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Raghav Malik If I can squeeze in one last quick question, just on pan India, kind of RevPAR, any color or guidance that you could give us, is the strong double-digit trend kind of continuing?

Patanjali Keswani Yes. But I want you to keep one thing in mind that Aurika, Mumbai became a more or less fully performing hotel in Q3 last year. So, there is still some base effect in Q3. In Q4 last year, Aurika, if I remember right, did occupancies in the mid-60s. You will really see same store performance in Q4 and I think I am very satisfied with how we are doing there.

Raghav Malik Okay, sir. Got it. You mentioned that Aurika, Mumbai stabilized in the early 70s already, so that's a great sign of course.

Patanjali Keswani No, it is now in the 80s, but I am saying still you will see same store performance to a large extent in Q4.

Moderator The next question comes from the line of Vikram from Vikram Securities. Please go ahead.

Vikram Hello, good afternoon. Congratulations on a great set of numbers, sir. Forgive me for asking you this, but I struggle to understand the exact structure of Fleur, if you could just simplify it for me, what it looks like right now and what it will look like post listing in terms of your holding structure and what part of your EBITDA and what part of your assets go into Fleur by the time it lists?

Patanjali Keswani In some form or the other, in the most tax-friendly form, we would like all assets that we own to be in Fleur, number one. Number two, Fleur will then become a pure asset company. Fleur, during and post listing will raise some form of capital and it will deploy that capital for objectives as defined by the Board of Fleur. We will continue to be very significant shareholders of Fleur. There are a few conversations within our Company as to: A) How should Fleur be listed? Should it be through a scheme of arrangement? Should it be through a direct listing? B) what should the shareholding of Lemon Tree be in Fleur? C) How do we ensure for the satisfaction of all shareholders that there is a Chinese firewall between how Fleur runs and how Lemon Tree operates. Lemon Tree ideally should be an operating Company and it runs hotels in the Fleur portfolio, but how do we ensure Fleur is independent and if and when required, can also go for other operators. So, that is broadly where we are. I am summarizing it but obviously our discussions are very advanced, and I reckon that in the next 3-4 months you will have a very clearly defined picture as to what is happening with Fleur. What is Lemon Tree shareholding likely to be in Fleur and when is Fleur

going to list.

Vikram Okay, will shareholders enjoy, will they have something in Fleur before, I don't understand how to ask you this, but what I am going to say is.

Patanjali Keswani You are saying will it be like ITC hotels? It could be, yes, it could be like ITC hotels, it could be like Reliance Jio, it could be like a simple listing. Let's keep the suspense on for a while.

Vikram That's what I was worried about, we do not have a holding Company discount, that's all.

Patanjali Keswani But we would want the shareholders of Lemon Tree to get a massive upside. And I mean, I am using this word very clearly, massive upside when we list Fleur.

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Vikram You just brought a big smile to us. Thank you. And secondly, sir, is about your directional on ARPU's. I know you give us some guidance. What is your trajectory given the pipeline you see in the industry-wide? And how do you see that in the next 12-15 months, 18 months?

Patanjali Keswani Let me again come back to it, you are asking actually about revenue per room growth?

Vikram Correct, yes.

Patanjali Keswani I have always said we would like to grow at, depending on which combination of we follow, whether it's a focus on occupancy or average rate in which market? We would like to have mid-teens growth at the least. Our cost structure went through multiple jerks if I may say that, in the last 2 years. One is, I think our wage bill went up somewhat significantly. Number two is our investment in renovation went up significantly, which I blame myself for not explaining to you folks. That it is a 3-year one-off - a catch-up on the 3 years we missed out due to COVID. Our expenses went up. Now going forward, what is the trend line for our expenses? Well, if I use the last year as a basis for the next year, I will use this year for next year, it will be a far less

increase in expenses than it was this year v/s last year. And then the following year it will be even less because our renovation will more or less be over. Therefore, my view is that if this mid-teen RevPAR growth continues - plus minus 15% and our expense increases much less than that. Then you will have very clear visibility on operating leverage. Ultimately, we want to maximize the EBITDA per room and EBITDA per square feet and obviously we would like to target north of 20%.

Vikram Yes, just adding to that question, I think you are going a bit hard on yourself. You did explain to us very thoroughly about how your renovation plan was for Lemon Tree, was it done what do you call it? But has that been done? And have you finished with your renovation of that portfolio? And if not, how much is left of it? Because I remember you saying that you would have finished it by the second quarter of this year, or third quarter?

Patanjali Keswani No, I said a significant portion will have been completed by H1 of this coming year, that is by September -October of CY 2025 with a little bit leftover for the following year and that we are sticking to and after that we will go back to routine renovation which is why when you spend money like this there is double counting because you are seeing depreciation as an expense of Rs. 160 crore s. But actually, depreciation is replacement reserve. I am already spending that money under a different heading which is called renovation. Depreciation for us is pure cash profit and that is how we look at it going forward to o.

Moderator The next question comes from the line of Sumant Kumar from Motilal Oswal Financial Services Limited. Please go ahead.

Sumant Kumar Can you talk about the Aurika, Mumbai ARR strategy from here, how we are going to grow next year? When we see the Mumbai Hotel ARR, the Lemon Tree Premier and Aurika almost at the same level. From here, how much increase we can see with the product mix, customer mix changes and how much is the pricing power?

Patanjali Keswani L

Let's split this, Sumant, into two parts. Take out Crew, then look at retail and look at corporate. Crew typically is less than a \$100 a room. It's you know maybe Rs. 7,500 - Rs. 8,000. If you look at corporate depending on the corporate it varies from say Rs. 9,000 - Rs.11,000. If you look at retail, retail varies from depending on time of the year and day of the week from anywhere from Rs. 9,000 - Rs. 16,000. The reason why Lemon Tree Premier, Mumbai has an ARR equal to Aurika, Mumbai is because it Lemon Tree Premier, Mumbai has more of higher value business

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relatively, and lower of lower value business. That is precisely where we will take Aurika, Mumbai too also. Now if I look at Lemon Tree Premier, Delhi as the other airport city, we had a similar situation here. We had a large amount of Crew, we stabilized it post-COVID, then we churned it and today the ARR of Lemon Tree Premier, Delhi in many days is greater than Lemon Tree Premier, Mumbai and Aurika, Mumbai. So, this is an ongoing process. Once you build demand and sustain demand, then you constantly churn the portfolio to constantly remove lower price business and replace it with higher price business. And that is what we will do. And obviously if we get more of retail at Rs. 15,000 - Rs. 16,000, more of corporate at Rs. 10,000 - Rs. 11,000, then the ARR target that we have set for ourselves, Rs. 11,500 - Rs. 12,000 is very low.

Sumant Kumar For the Keys Hotel, the renovation and refurbishment is going to be over, right? Almost.

Patanjali Keswani Keys is on-going. Unlike other hotels where we typically renovate in H1 and operate those hotels in H2, the Keys portfolio is ongoing because we needed to renovate entire 936 rooms. So, the key components of the hotels if you want to reprise, Keys Pimpri, Pune done. Keys Whitefield, out of 220 rooms, I think about 120 rooms are renovated and we hope fully will renovate the next 100 in the next 7 months.

Wherever we see pricing power and demand, we are trying to accelerate, that renovation first and then in the other cases later. Right now, we have fully renovated Keys Pimpri, half renovated Keys Whitefield, 70% renovated Keys Ludhiana and Keys Vishakhapatnam and we have to start with Keys Trivandrum and Cochin. This will continue, trickle into F Y27 also, but will not have a big impact either way on either renovation expenses or on incremental revenue blocks.

Moderator The next question comes from the line of Kunal Lakh an from CLSA. Please go ahead.

Kunal Lakhani Hi, good evening. My first question was on the, of the 6,000 keys that we plan to renovate, how many are already done in first half and how much will be done in 2026? And if there'll be a spillover in 2027 also, if you can just lay out that plan?

Patanjali Keswani See, of the 6,000 rooms, 670 rooms of Aurika require no renovation nor the 140 in Udaipur. So, that's 800. Then the 300 rooms of Lemon Tree Premier Mumbai, 200

in Pune and 140 in Calcutta, that is 640, require no renovation. If you take this out there are 4,500 rooms that need renovation of which 900 are Keys and 3,600 are the rest of the portfolio. Now if I look at it from the revenue generating upside perspective of these 4,500, the most important hotels that we want to renovate to reprice is Lemon Tree Premier Delhi, Lemon Tree Premier Hyderabad, Lemon Tree Premier Bangalore, Lemon Tree Gachibowli and Lemon Tree Electronic City. We have renovated 70% of these hotels including public areas. We are renovating also on where we think we can extract juice earlier rather than later. Am I making sense to you Kunal? Now of these 4,500 rooms, this year I think we have renovated roughly 1,300 rooms. Last year we renovated about I think about 1,000. So, of these 2,300 rooms we have already renovated some are still going on, by the end of this financial year it will be probably 2,600-

2,700. The high-value hotels will all be renovated by next year. A few 100 rooms will be left with a low value, I should say, refurbishment, which will basically be keys in Cochin, Keys in Trivandrum and so on and so forth, which will continue into FY27. Does it make sense what I said?

Kunal Lakhan Yes, sir. Thanks so much for laying out that plan. My second question is a related question, there'll be an uptake on the ARRs post this renovation, and which will have a direct flow through to the margins. Where do you expect your margins to be post this renovation on an annualized basis?

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Patanjali Keswani 60%.

Kunal Lakhan 60%?

Patanjali Keswani Yes. Why not? Why are we doing it?

Kunal Lakhan Sustainable basis, yes. Okay. Understood, sir. Thank you so much.

Moderator The next question comes from the line of Prashant Kshirsagar from Unived Corporate Research Private Limited. Please go ahead.

P. Kshirsagar: Congratulations on an excellent set of numbers. I just wanted to ask you a bookkeeping question. What is the gross debt on standalone and consolidated basis and the net debt on the same?

Kapil Sharma So, consol is Rs. 1,760 crores as of 31st December.

P. Kshirsagar: That's gross?

Kapil Sharma Yes, gross. I am talking about gross only. And standalone is Rs. 300 crores.

P. Kshirsagar: And net debt, if you can give us a figure?

Kapil Sharma Rs. 70 crores less in the consolidated.

P. Kshirsagar: My second question is on Aurika, Mumbai. You said that you expect in H2 the real stabilization, H2 of FY26, real stabilization of Aurika, Mumbai. But there was a question asked on the Navi Mumbai airport. Now, would Aurika, Mumbai come in the mid-market segment or comparing with the Navi Mumbai airport and what rates do you expect to be in Navi Mumbai airport region?

Patanjali Keswani We have nothing with Navi Mumbai airport. Aurika, Mumbai is at the International Airport in Andheri.

P. Kshirsagar: That I know. But when Navi Mumbai airport comes through, would there be a competition in the sense of on the rates of Aurika, Mumbai?

Patanjali Keswani Listen Prashant, when the Navi Mumbai comes, some airlines will have some flights from there. Okay, so there will be demand near that airport for airline related business. And over an extended period of time, normally when an airport comes up there is development around it but that is many years over. The impact of Navi Mumbai on the Aero city side which is where our hotel is and multiple other hotels are will be there temporarily as a blip. But it will get absorbed because it's very simple. If the Indian economy grows at x%, there is a disproportionate growth in the main metros and even more disproportionate growth near the airport. I am not a fortune teller but I can tell you with my experience of what happened in Delhi, what I saw happening in Delhi was and even in Bangalore was, any disruption in demand due to an alternate generation of supply or location and so on gets absorbed very fast. So, it's not something I am particularly concerned about. Number two, Aurika, Mumbai is not in the mid-market. It is in the upscale segment. It is somewhere between 5-star hotels and say 3.5 Star hotels.

P. Kshirsagar: But your mid-market like Lemon Tree Premier or something big that is affected by this thing. I am asking you from the perspective that the rates of your hotels will not be as high.

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Patanjali Keswani No, let me explain when I say rates in Delhi are over Rs. 10,000. Today rates in Hyderabad are now starting to creep up to Rs. 9,000. Rates in Bangalore have not crept up at the same level. Rates in Mumbai are also very high. What happens when Navi Mumbai comes is there is a shift in flights. How it plays out in rates is only if

there is a significant shift in demand to Navi Mumbai which normally will take a few years because Navi Mumbai already

has some supply. And in that period what happens is that shift of supply is more than compensated by shift, by creation of new demand. That is the broad point I am making. And this is therefore a temporary disruption and it's not significant.

P. Kshirsagar: Okay. I understand. And second question about Aurika, Mumbai, how much of the percentage of the traveler from foreign countries and from India, from domestic?

Patanjali Keswani Foreign demand would be maybe 15% -20%.

P. Kshirsagar: And would it be the same in Udaipur also or is it slightly different?

Patanjali Keswani See, Prashant, we are very focused on capturing the Indian demand because that's where we see real growth. Foreign demand, let me tell you, is only 11 million guys coming to India as foreign tourist arrivals and total international tourist arrivals, if I add Indians, the diaspora is 18 million. That's it. But in that same period, 26 million Indians flew out of India. And I have no doubt this year it will be a larger number. There are more Indians who are consuming than foreigners in India and going out of India. And we are very focused. We want to be the preferred brand for Indian consumers. Full stop. Not in the luxury but in every other space. And I think we are. But we are on that assumption, we are going forward to basically try and control that mid-market space in India.

P. Kshirsagar: Another question was about the margins front which you said that may increase after a few days. But would you say that the input cost would also be, will rise sharper than the revenue increases?

Patanjali Keswani Okay, so let's look at our margin for Lemon Tree say in Q4. If I add back extraordinary renovation etc. then basically in this year, we should be north of 50%. Right? So, we are north of 50% already. Now what is below the line after hotel level EBITDA, when you look at this hotel level EBITDA, to get to EBITDA the only expenses below the line for EBITDA is corporate expenses. Nothing else. Our corporate expenses will get more than adjusted with the rate of increase of our management fee income. So, what am I saying, I am saying that if I expect that our rate of growth or RevPAR will be in the mid-teens, the rate of growth of our cost structure will be in the mid-single digits. That is one level of flow through. And this is no rocket science. If you do the flow through it is very visible if you look at our last 8 quarters. What I am saying is if revenue grows 15 bucks per room, expenses grow 5 bucks per room, and everything stabilizes after one year more of renovation 10 bucks will flow. So, therefore your revenue would be 115 and your cost will be 55 because that's gone up 5 and that's gone up 15. Then your management fee income we expect will double in the next 2 years. And management fee income will take care of your corporate expenses completely plus with something. If you just add these numbers, I think we will be 60%.

P. Kshirsagar: But would you foresee a very sharp increase in the wage cost, employee cost for that matter? Because as the demand picks up, there will be a shortage of talent?

Patanjali Keswani No, not at all. In our case, we have a very clear strategy. We don't compete for talent with the hotel industry. Let me start by telling you that. Only about 15% of our talent is talent which would be fungible across 5-star hotels and us. Number 2, we have a very different way of looking at our wage bill. If you look at our wage bill, it has gone
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down by 1% as a percentage of revenue if you go to slide 15. As the revenue grows, the rate of growth of wage bill reduces. I mean it is well below the rate of growth of revenue. Lastly, it is only in the legacy hotel companies that wage bills grow because you are paying for, basically you are paying more and more for the same role. So, a semi-skilled role the guy is getting overpaid because of time spent

rather than

because of re-killing. Our principle is we are growing so fast in the managed portfolio that anytime there is a good guy in our system, we transfer him on promotion to a newly opened hotel typically at a lower cost than a similar role would be filled at and we replace that guy at a much lower rate. Am I making sense to you? I am paying a guy 30,000 bucks. He gets transferred to another hotel which is not owned by us at 40,000 instead of hiring a new guy at Rs. 50,000. So, that hotel saves Rs. 10,000. The guy we transfer who is paid at Rs. 30,000 the entry level salary there is Rs. 20,000. So, we replace him with 20. We save 10 and the managed hotel portfolio also saves 10. And by the way this has been a successful strategy for us for 15 years since this Company more or less started running hotels and our average wage bill inflation in 15 years is about 1.2%. You can also see those numbers.

P. Kshirsagar: The last question is - as you grow faster, that's the right way, but as you grow faster,

would you be able to maintain the service quality across the, especially in the Tier 2, Tier 3 cities?

Patanjali Keswani You know you are talking about one of the most important things we just have to deliver , Prashant. We are not interested in reckless growth. When I am quoting some CEO 's of very large travel agents, online travel agents who tell us that whenever you open a hotel, immediately 20% of your business comes or the entire demand of that hotel comes because of your brand. Now that is the most monetizable and valuable part of our Company . We are very clear we will not accept, just to show growth we are not going to accept poor hotels or badly run hotels. While as long as we manage hotels, we are very careful about the net promoter score , we track it very frequently. But when we grow through franchise route this will be the single most important thing, we keep an eye on . Please rest assured it will be a number one priority of the management to ensure that growth does not come at the cost of the brand.

P. Kshirsagar: Last question on the brand, in the new structure which you are emphasizing, where would the brand be placed in Lemon Tree, original Lemon Tree Hotel or?

Patanjali Keswani All brands are in Lemon Tree. All tech and all brands and all distribution platforms will be in Lemon Tree because over time that becomes the single most important monetization opportunity.

Moderator Thank you. Ladies and gentlemen, that concludes the question -and-answer session. I now hand the conference over to the management for their closing remarks .

Patanjali Keswani Thank you everybody once again for your interest and support and questions. We will continue to stay engaged. Please be in touch with our investor relations team for any further details or discussions and we look forward to interacting with you soon.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity and accuracy . The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Jun 2025

June 05 , 2025

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Name of Scrip: LEMONTREE BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

BSE Scrip Code: 541233

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Ref: Outcome of Conference Call with Analysts/Institutional Investors

Dear Sir,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation to the disclosure made on May 30 , 2025 w.r.t the audio recording of the Investor Conference Call on Audited financial results for the quarter and year ended March 31, 2025 held on Friday, May 30, 2025 at 2 :00 PM IST, please find enclosed herewith the transcript of the conference call with Investors/Analysts.

This is for your information and record.

Thanking you
For Lemon Tree Hotels Limited

Pawan Kumar Kumawat
Company Secretary
& Compliance Officer
M. No: A25377

Encl: a/a
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Lemon Tree Hotels Limited
Q4 FY25 Earnings Conference Call Transcript
May 30 , 2025

Moderator: Ladies and gentlemen, good day, and welcome to Lemon Tree Hotels Limited Earnings Conference Call.

I would now like to hand the call over to Mr. Anoop Poojari of CDR India. Thank you and over to you.

Anoop Poojari: Thank you. Good afternoon, everyone and thank you for joining us on Lemon Tree Hotels Q 4 and FY25 earnings conference call. We have with us, Mr. Patanjali Keswani , Chairman and Managing Director, Mr. Kapil Sharma , Chief Financial Officer , Mr. Sanjay Rai, Chief Revenue Officer , Mr. Mayank Sharma , CFO , Fleur Hotels , Mr. Prashant Malhotra , Chief Operating Officer and Mr. Niket Sood , Vice President, Commercial Strategy of the company.

We would like to begin the call by opening remarks from the Management following which we will have the forum open for an interactive question and answer session. Before we start, I would like to point out that some statements made in today's call may be forward looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I would now request Mr. Keswani to make his opening remarks.

Patanjali Keswani: Thank you, Anoop. Good afternoon, everyone and thank you for joining us on this call. I will be covering the business highlights and the financial performance for Q4 and for the full year FY25, post which we will open the forum for your questions and suggestions.

In Q4 this year Lemon Tree recorded its highest ever 4th Quarter revenue at Rs. 379.4 crore. Our revenue grew 15% compared to Q4 last year while net EBITDA grew 17% YoY to 205 crore, translating into a net EBITDA margin of 54% which increased 109 bps YoY. Q4 FY25 recorded a Gross Average Room Rate of Rs. 7,042 which increased by 7% YoY. The occupancy for the quarter stood at 77.6%, which increased 557 bps YoY. This is translated into a RevPAR of Rs. 5,462 which increased 15% YoY. The total revenue for the year stood at Rs. 1,288 crore which was an increase of 20% over FY24 and the EBITDA stood at Rs. 637 crore for the full year, which also increased by 20% over FY24.

Fees from management and franchise contracts for third-party owned hotels stood at Rs. 16 crore in Q4, an increase of 11% YoY. Fees from Fleur Hotels stood at Rs. 28.3 crore in Q4 FY25, an increase of 19% YoY. Total management fees for Lemon Tree stood at Rs. 44.4 crore in Q4, an increase of 16% over YoY and 149 crore for the full year, an increase of 22% over FY24.

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The company's profit after tax stood at Rs. 108.1 crore in Q4 FY25 an increase of 29% YoY. Cash profit for the company stood at Rs. 143 crore in Q4 FY25, an increase of 22% YoY. Total cash profit generated by the company during FY25 was Rs. 382.4 crore, an increase of 30% over FY24. The debt to the company decreased by about Rs. 190 crore during the year from Rs. 1,889 crore in FY24 to Rs. 1,699 crore this year. Debt to EBITDA ratio in FY25 for the company stood at 2.67x, which is a 25% reduction over 3.57x in FY24.

On the asset light side in Q4 we signed 15 new management and franchise contracts adding 833 new rooms to our pipeline and operationalized 2 hotels adding 121 rooms to our operational portfolio.

As of 31st March, this year, the total inventory for the group stands at 212 hotels and 17,116 rooms divided into 10,269 rooms and 111 hotels being operational and the rest in pipeline.

Going forward, we are confident in the Company's ability to meet the objectives set forth in our 5-year plan ending CY28.

- As of the 31st March 2025, the current total inventory for Lemon Tree stands at 85% of the 5 year target. In fact, we are also confident that we will add at least 3,000 rooms to our pipeline this financial year, taking the total inventory this year above the 20,000 numbers, i.e., 3 years in advance of CY28
- EBITDA margin for FY25 stood at 49.4% which is ~60 bps less than the stable EBITDA margin of 50% highlighted in the 5-year plan. Renovation expenses stood at 2.7% of revenue in FY25, an increase of 30 bps over FY24. This increased investment and renovation expenses will continue into this year and a much lesser amount in FY27, so that the entire portfolio of owned hotels has been fully renovated and refreshed. Post which renovation expenses will close at 1.2%-1.3% of revenue on an ongoing basis which will help stabilize EBITDA margin over 50%
- We recently also relaunched our loyalty program, Infinity 2.0 along with technology upgrades to our website. With this we should start seeing an uptick in the retail demand share which stood at 45% in FY25 to achieve the target of 66% by CY28

With this I will come to the end of my opening remarks and would ask the moderator to open the forum for any questions you may have.

Moderator: Thank you. Ladies and gentlemen, we will start with the question-and-answer session. The first question is from the line of Sameer Sinha from Macquarie.

Sameer Sinha: Thank you. First question about Aurika Mumbai. Can you talk about the developments there? Seems like the ARR, at least the retail ARR or retail pricing continues to stay below about Rs. 7,000 as you have seen in our spot check. So where do we stand there? What gives you confidence that you will be able to bring it back up to Rs. 11,000 – Rs. 12,000 range and do we need to wait for seasonally strong period of the year? And if you can talk about within the same context, what's

the gating factor and a couple of other examples of maybe other brands that have succeeded in that kind of price range. Thank you and then I will come back for a follow up.

Patanjali Keswani: Okay . Sameer, let's start with retail pricing. Retail pricing varies from bottom to top by 250%. What do you see today , is Rs. 6,000 and in winter on a Tuesday it will be Rs. 20,000. When we talk ARR, we do not talk ARR of a date, we talk about ARR for the year. And typically, retail ARR in high season which is H2 is 1.2x, maybe even 1.3x of H1 because in H1 you are driving occupancy, in H2 you are driving rate. If

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you do a retail spot check 6 months from now you will have a very different number and then the

possible question will be why is your ARR so low and your retail rate so high? So, what is the business? Our business is roughly 55%, what is called negotiated business and 45% which is non negotiated or what we would broadly call retail, which is fundamentally business direct to customer or through an intermediary. And the negotiated business is normally with an intermediary like a corporate and so on. How did we do? Well, Aurika, as you know, is the largest inventory hotel in India. So, for the first year, year and a half, our focus has been to fill the hotel. Typically, once you fill the hotel and there is enough demand generated and awareness of the hotel, both in retail and in negotiated, then you start repricing once you have the base of demand. Aurika was on that path, if I look at Aurika in Q4 it did over 80% occupancy versus 65% odd in the similar period last year. So, we effectively increased the occupancy. Actually, as an exact number, we increased it by 18.2% of inventory and for the full year therefore Aurika last year did 63% v/s 53% in its first year of operation. Now we are at a point when we will start looking at price rise. You cannot really increase your price if you are doing subpar occupancy. So, I hope that's answered the first question.

We are pretty confident that Aurika 's ARR will hit. I mean if you look this winter it will nearly certainly be over Rs. 11,000 - Rs. 12,000 and then that becomes the run rate. What is it going Forward? Well, in Q4 alone Aurika gave a return of I think an EBITDA of about Rs. 42 crore at about 67% EBITDA margin. And considering that we invested finally about Rs. 880 crore in that hotel, I think it got nearly 5% return in 1 quarter , 1.5 years after opening, I think is a very satisfactory outcome.

Sameet Sinha : Got it, thank you. Second, if you can talk about the retail share that you have spoken about, what gets you from 45% to 65%, what all do you need to do along the way apart from the program that you just spoke about, additional steps from here on to get it there and what sort of efficiencies , how does it reflect in your income statement if that were to happen?

Patanjali Keswani: See, retail is a function of underlying demand of what you would fundamentally call individual travelers. When you have, when we look at a business, here's how at least Lemon Tree looks at business. We look at fundamentally trends to decide strategy and after that what we are very focused on is basically the execution and the cost. We really are very focused on frugality. So, the trend line is quite clear. India is at a kind of an inflection point , I think the number of customers who will start using mid-market hotels, which typically starts at Rs. 36 lakhs per household, which was on the total base of 330 odd million households in India , was a very small number, is poised for a big increase. Now this big increase is based on a very small base. So, when that starts happening, as has happened in every other country in the world, that is moving from lower income towards middle income, the discretionary consumption of items becomes non-discretionary . And hotels is in the, I would say the 70 percentile. Which means after a bunch of other discretionary items like athletic wear, footwear, all these become non-discretionary . Then hotels and travel come in.

Retail naturally will pick up for all hotels in India in the next 5-6 years. So that's a given. Now we need to capture our fair share of it and that is why when I gave these opening comments of mine, I specifically spoke about the loyalty program, the relaunch of it and the juicing of it. So let me give you an interesting num

ber. The

largest hotel chain in the world is Marriott. It has 210 million , last I saw, 210 million loyalty members and 2.1 million rooms. So, here is a rule of thumb. For every room they have 100 loyalty members. On an average, loyalty members I would say should give them a few room nights a year. So here is the second proxy or second statistic. I think two-thirds of Marriott's demand comes from its loyalty program and mostly through its own website. They have no cost of sales through their own website. Let's take Lemon Tree. Lemon Tree has about 1.5 million members and it has 11,000 rooms. We think in another 3 years we will be operating 20,000 rooms or maybe 4

years. We have 2 million members by say in the next few months we will have also 100 members per room. But we do not juice them the way we should. Firstly, our loyalty membership generates only 25%-30% of the business, not 65% as in Marriott and I think this is even more important for us as they come through more through OTAs than through our own website. The advantage of this loyalty program Infinity 2 will be that we will be able to capture more through the cheaper direct channels, using loyalty and our upgraded websites. Let's combine it, we think there are going to be tailwinds, this is the inflection point. We think we are going to significantly improve our own offerings and the rewards we offer to members and as a combination I am reasonably sure that we will achieve this two-thirds target of our customers as retail in the next 3 odd years.

Moderator: Thank you. The next question comes from the line of Archana Gude from IDBI Capital. Please go ahead.

Archana Gude: Hi sir. Thank you for the opportunity. Very well -explained that loyalty program thing. Maybe one small follow up on that. Now considering the healthy RevPAR growth to continue and this increase in management fees and renovation cost behind us by FY28, is it fair to assume that the full year EBITDA margin would be at least 200 -300 bps higher than our current EBITDA margin for let's say FY28. What would be your internal target?

Patanjali Keswani: Net of all expenses net EBITDA we'll, I don't think it will be 200 bps. Our internal expectation is at least 55%.

Archana Gude: So that becomes then from 50% you are saying 55% by FY28?

Patanjali Keswani: What I promised is 50% based on Mr. Narayan Murthy principles which is under promise d, over deliver. But since you are asking, I think it will be closer to 55%.

Archana Gude: Sure sir, that. That's a pretty optimistic guidance.

Patanjali Keswani: Archana, our revenue grows, now you have to keep in mind last 2 years a very interesting number. And I want to explain it actually generally as an industry number. Here is Lemon Tree that does 50%. Various chains do from 30 %-50% also. How does this 50% get realized? So let me explain. If we do like last quarter, we did 54%, 23% was fixed, 23% was variable. Well one of the benefits of COVID was variabilization of plenty of fixed costs or at least making them semi -fixed or semi -variable. Now for the last 2 years, when we say our revenue grew 20% it means 100 went to 120 and expenses grew 20% which means 50 went to 60. That means when revenue grew 20 bucks our expenses grew 10. Whereas what I broadly said was that the variable component which should have been half of that, it should have only grown by 5. Am I making sense to you?

Archana Gude: Yes sir.

Patanjali Keswani: Why did it grow by an additional 5? It was renovation, tech investments which we are OPEX ing and all this will become stable and not increase. It will effectively become, once we make these investments which we are showing as OPEX, but some of them are investments which can be actually other than financially treated as a CAPEX, they will all disappear. The flow

through that you will, think of it this way, we have spent I think about Rs. 100 crore couple last year in renovation. We normally spend Rs. 25 crore – Rs. 30 crore. We spent Rs. 100 crore last year. This year we will spend Rs. 130 crore. What we are trying to do in order to not give shocks to people like you is, we are trying to make sure the rate of growth of these extraordinary investments are such that they are equal to the rate of growth of revenue. So, EBITDA margins are maintained. This year we will invest Rs. 130 crore

in renovation. At the end of which we will drop from 2.2%, in fact this year it will be 3% of the revenue. But then suddenly we will drop to 1.2%, so that 2% will come back as EBITDA margin. Similarly, tech investments are 1.4% of revenue will become 0.2%. Then of course there will be the natural non-growth of our fixed cost because we were doing a catch-up post for the last 2 years where payroll went up significantly. But now going forward these 3 main contributors to an increase in fixed and variable costs will all start trending to what I would call Norm which means EBITDA margin automatically will be up by over 3%. I don't need a very high revenue hike. I mean if we grow at 15 %-20% a year, which we will automatically trend to 54%-55%.

Archana Gude: Sure sir. We have given to be debt free next 4 years. So, should we consider this run rate of Rs. 400 crore repayment every year and maybe some guidance on Aurika, Shillong?

Patanjali Keswani: No, it doesn't work like that. Firstly, Aurika, Shillong is not a very large investment. The government has been very kind. In the auction they have given us a subvention

on the interest rate of 5%. When we look at Debt to Equity of say 1:1, here we can get away with loan to value of 75% and that too the interest costs will be at 3.5% and there is a GST refund for 10 years. Effectively what it means, our income will be higher because of GST refund and our interest will be 50% lower. And we don't think we require much equity in this project as it happens, number one, because even the lease rent is very low. If I look at our repayment of debt this year we generated, I mean this year I think we generated Rs. 380 crore of cash. We invested in CAPEX and this and that maybe I think about Rs. 100 – Rs. 120 crore and then we repaid Rs. 200 crore and there is a bit of cash on our books, about Rs. 60 crore is cash on our books. Next year this will increase by another Rs. 120 – Rs. 150 crore. We will start then investing that money, repaying debt at a higher rate. And the following year when CAPEX of renovation also drops by Rs. 100 crore. The repayment is not Rs. 400 crore a year, it will be Rs. 300 crore this year, Rs. 400 crore next year.

Archana Gude: Gradually that will increase, right.

Patanjali Keswani: Yes.

Moderator: Thank you. The next question comes from the line of Samarth Agrawal from Ambit Capital. Please go ahead.

Samarth Agrawal : Sir, just following up on your point on renovation. What would be the current renovation status in terms of number of rooms completed and how many rooms we expect to renovate in FY26 and FY27?

Patanjali Keswani: Okay, so the renovation is in on 2 basis and it is at 2 extremes. We are renovating high value, high demand hotels like our Premier's wherever we can reprice them significantly, that is one extreme end of renovation. The other is we are renovating all Keys hotels because they were in a very shabby state. Every year if we spend Rs. 100 – Rs. 130 crore, you can assume we are renovating anything from 1,000 to 1,500 rooms. We are also renovating public areas. Our entire owned portfolio is 6,000 rooms of which about 1,000 do not need renovation. They just need minor refurbishment. Another 1,500 need low level interventions because they are not in markets where we can reprice significantly but we need to maintain brand standards

and the balance will be renovated between Rs. 5-10 lakhs a room. So, at present I think we have renovated about 70% of the portfolio and the higher value renovation, we will do another 30% this year and knock it off. That will be done. Some of the renovation, which is the smaller refurbishments and so on and so forth, will continue into the next year, but will be in terms of investment, significantly smaller. So, the view was very simple. As a risk mitigation strategy, even when we take new debt, we try and

fund it through old EBITDA. So, we do not take debt on an asset, assuming the asset will cover the debt. We know we want stable EBITDA to mitigate risk. Similarly, renovation investments are made that anything we invest should be in high value generating EBITDA and cash which can then go into the, the area, other hotels which may not be generating that level of return. So, it's a front-end investment, so to speak.

Samarth Agrawal : Understood. Thank you so much for that. Just a question on the recent geopolitical developments that we are seeing, what would be our indication to northern India would have been affected and what would be the impact? Have you seen any impact in terms of any cancellations or any bookings getting deferred to a couple of months after from now?

Patanjali Keswani: Yes, there was a significant impact in May due to Covid, also, the news came that of course the media reported 1,000 cases. From 20 cases, suddenly it went up 50x. So, it's quite scary hearing that and of course the war. Fortunately, we are not while we have multiple hotels in the North and in Srinagar, these are managed hotels. So, capital at risk or EBITDA at risk was very low for us. If I look at it, I think we did about 20% revenue growth in March. We grew about 20% in March, 21% in April and then in May it crashed to 14%. We will end this quarter maybe in the mid to high teens, so that is the effect. It was not a good effect. But our profit margins in this quarter will surprise, in Q1.

Samarth Agrawal : Understood and just looking at the managed homes that we are adding, so if I just go through the last 4 or 5 presentations, I think last year we were expecting to add around 1,700 Keys under the managed model. And if I just sum up the total number of openings over the last four quarters, it was around 680-700 Keys. But the total number of managed rooms increased just north of 400 I think from 4,100 to 4,500 plus. So firstly, just could you help to reconcile this difference and what is preventing us from sticking to our expansion plans in terms of the managed rooms?

Patanjali Keswani: I wish I had the owners of these hotels on this call. See, it's not in my hands. What we do is we give you a best guess estimate. Let me tell you how I try to mitigate it

because I used to be asked these questions ever since we listed and we started focusing on asset light. Who owns the hotels we are talking about, which we are going to manage, what is our intent and who owns this? Asset light growth is not to get some EBITDA. Everybody in India is announcing asset light. First is rate of growth of asset light does not equal to the rate of growth of EBITDA. In fact, I am a little worried that these heavy announcements imply very fast growth. But the growth in EBITDA will be 10% of the announcements. One must understand that because most of the EBITDA remains with the owner. Only the managed income comes to us. Let me give you an example. If we hit 20,000 rooms and we open all of them in the next 3 years and 6,000 are owned, the other 14,000 will give me EBITDA equal to only 2,000 -2,500 owned rooms. Even at 70% managed portfolio, my own EBITDA will be 3x of the managed EBITDA. That's the first point which I know you did not ask, but I want to just set expectations here.

Number 2, when we sign these contracts, you will notice the

average size of the hotel

is 60. These are not institutional owners, these are individuals, very high net worth individuals in different cities. Since they build the hotels, we do not build the hotels for them. They tell us a date that we will open it by this date. Earlier pre-Covid I was reporting it that if they said we will open it in March of this year, we used to say March, we will open these many rooms. We realized quickly that this was not working because they were not adhering to their timelines and it was affecting our credibility. We started reporting openings by quarter, that didn't work. Then we made it half yearly, that didn't work. Now we report full-year and we are hoping that when they say they will deliver their hotel then, they actually do. But there have been multiple delays and each person who builds a hotel has his or her own cash flows which they

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allocate to the project. Sometimes they put it in their main business. So, to ask me this question. Well, what I can say is whatever we have signed, assuming there is a 5%-10% drop off, because ultimately those hotels may or may not get built or get sold. Rest all will open. When they open is our best guess. So, am I making sense to you, Samarth? It is, we are just conveying what the owner tells us on an aggregate basis. We do not actually, maybe we should not even announce when these hotels are opening. I know it makes it difficult to assess management fee growth, but that is the hard reality.

Samarth Agrawal: Understood. Thank you so much. Just a last I think clarification. Were there some managed hotels that closed down during the quarter or the year, anything the number of rooms?

Patanjali Keswani: Yes. If you look at worldwide franchise, on an average, everybody talks net additions, In India so far, we have not been talking net additions. We just announced what comes, we deduct what goes. Maybe, we should going forward tell you what is net. But the net we do is at the aggregate, not specifically defining what we added and what we removed. This happens for multiple reasons and the most common reason is a disagreement on quality. So let me leave it at that.

Moderator: Thank you. The next question comes from the line of Sumant Kumar from Motilal Oswal Financial Services Limited. Please go ahead.

Sumant Kumar: Hi sir. This is regarding our Keys hotels. So, in this quarter also we have seen the margin is under pressure. I guess the increase in your renovation cost. You are also talking about Q1 FY26, we are going to have a better profitability. Can we expect FY26 onwards we can see an improvement in Keys hotel performance?

Patanjali Keswani: Firstly, hi Sumant. Number two about Keys, Keys is a work in progress. I would urge you not to look at Keys. While the EBITDA margin grew from 38%-40%. If you remember about a year ago or maybe more, you asked me a similar question on Keys. And I said our current intent is to take it to about 40% EBITDA margins, which we did in Q4. But the reality is in Keys, every single room and every public area needs renovation. It has not been touched when we acquired it, it had not been touched for 10 years. It was in criminally bad shape. What I said to you is that when it's fully renovated and it will continue throughout this year also, what we are targeting is roughly north of Rs. 60 crore net EBITDA from this portfolio. And I would therefore like to just give this guidance that is in FY27 it will be north of Rs. 60 crore. But in between what we spend, what we shut down, we shut down 50-100 rooms in one hotel sometimes because if there are cribs and so on, we just shut that hotel or shut half that hotel and renovate it.

Sumant Kumar: Okay. And when we talk about the Q1 profitability is going to be better and we are talking of mid-teens kind of RevPAR growth. The profitability improvement YOY, can we assume the ARR g

growth in Aurika is going to drive ?

Patanjali Keswani: No, Aurika's ARR will not grow because in summer again as I said as a policy all hotels across India focus on occupancies because summer is much lower demand than winter.

Sumant Kumar: I am talking about YoY basis not on QoQ, ARR .

Patanjali Keswani: Yes, but Aurika I do not recollect offhand what it did in Q1 but the occupancy will be much better in Q2. What I said is Aurika is stabilizing. So, one would like to see a summer occupancy north of 70 %-75% and a winter occupancy north of 85 % to average to 80 % and we are well on track there. And once that's stable then yes you will see some level of repricing. But remember most repricing Suman t is a function

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of retail - day to day dynamic repricing and that really does not work in summer. I don't know unless it is very specific leisure destinations where demand in summer is very high and you can reprice in summer. But for large business or multipurpose hotels like in the metros like Aurika and so on, ARR hikes I would not bank on. I would bank on occupancy hike driving EBITDA and then in winter , high occupancies and high ARR s which would drive a much higher flow through.

Moderator: Thank you. We take the next question from the line of Vaibhav Muley from Yes Securities . Please go ahead.

Vaibhav Muley: Hi sir. Congratulations on a fabulous set of numbers. My first question was on your expansion pipeline. Majority of our pipeline is now into Lemon Tree Hotels and Keys portfolio. While Lemon Tree Premier seems to have limited edition especially post FY26. Any particular reason for a lower addition in a n upscale or upper mid-scale segment? And can we expect more additions going forward in Lemon Tree Premier and Aurika ?

Patanjali Keswani: So let me talk strategy for you Vaibhav for a minute. See we are focused on getting to about 200 cities in India. Our view is that if we get into all the cities in India which have 0.5 million population or more today or in the next 3 years, some are growing in population and those cities also have decent degrees of connectivity through highways, through Vande Bharat, through current or future airports and are in states where the state GDP is rising faster than the national notional average of 10%. Then these are markets we prioritize to get into earlier and then ultimately into all these 200 cities. Now unfortunately in most of these Tier II , maybe even Tier III cities , the product is such that it does not have 5-star hotels . It does not even have 4-star hotels. They basically have decent 3-star hotels. And in some cases, so I would say they have hotels which are like 2.5 to 3.5 star our and the size of the inventory is also small, these are not 200 -room hotels because the demand in that city is not so large yet. So, most of our growth and if you see our pipeline, if you look at it, they are in Tier II, Tier III cities. This is deliberate. It is strategic. We want to increase network. We want every Indian in every urban area to basically be aware of Lemon Tree literally physically and we think that will ultimately drive growth. So, we have generally found whenever we put up a hotel in a new market, the demand from that market goes up by an exponential amount. So today if I get two rooms from City X across our network, then if I put up a hotel in City X , this is just illustrative and anecdotal. It will become 50 rooms a day and it feeds the entire network. So, to answer your question, if you see the hotels we have signed in this pipeline last year, Q4, it's in places like Niman in Madhya Pradesh, Garot h in Madhya Pradesh, Moga in Punjab, Chittorgarh, Pali in Maharashtra. Look at where they are and those can't support elementary premier, let alone an Aurika and they are small inventory. So, this is a network strategy. And I think when this gets done, we will see an upsurge in demand and i

n our loyalty membership which will be pan India. So, the way we look at it is very simple. Top 1% of India is 23% of GDP. Bottom 45% is 15% of GDP and the middle 50 % odd is 60% of GDP. We are focused on that middle.

Vaibhav Muley: Understood. And regarding your Red Fox properties, so there I am seeing limited expansion in the Red Fox as well. Is it because the brand positioning of Red Fox is similar to that of Keys Prima or Key Select? So, you are preferring maybe higher edition in Key Select over Red Fox?

Patanjali Keswani: Yes. Actually, that's a very correct question. See when we set up Lemon Tree there was Lemon Tree, then Lemon Tree Premier One Up , Red Fox One Down and Aurika came up because we wanted to expand share of wallet of customers who were migrating up. We acquired Keys and suddenly Keys had an overlap o r was supposed to be positioned as an overlap with Lemon Tree . But the reality is the product was much inferior. And therefore, when we acquired Keys, we said we would have to actually review our entire portfolio of brands. If you ask me to do some crystal gazing,

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Keys Prima , Keys Select and Keys Lite will become the vehicles for franchise for

small hotels supported by tech and distribution from Lemon Tree . Lemon Tree and Lemon Tree Premier and Aurika will be the managed part of the brands which will grow in future. Yes, we will have to look at all the Red Foxes once we finish this renovation and ask ourselves whether we should leave them as they are or reposition them as a Lemon Tree or an equivalent in the Keys portfolio.

Vaibhav Muley: Understood sir. Just last bit on the Fleur Hotels, any update on the potential listing and asset recycling of standalone entity to own rooms to Fleur books?

Patanjali Keswani: See this is all under informal discussions. I think what we will do is , by the next board meeting we will try and come up with a very definite plan - what we are going to do with the listing of Fleur and how Fleur will be the vehicle that does asset development assets . Let's put it this way , where to go, what to develop, how to finance it and they will own all the assets. So, there will be a development cum asset owning company with a large pipeline which we have already identified. And Lemon Tree will become more asset light and will be a brand /technology /management platform.

Moderator: Thank you. We take the next question from the line of J inesh Joshi from PL Capital. Please go ahead.

Jinesh Joshi: Thanks for the opportunity, sir. I just have one bookkeeping question on debt reduction which was at about Rs. 190 crore in this year. However, if I look at our standalone debt , the reduction is about Rs. 70 odd crore whereas our standalone PAT number is relatively flat on a YOY basis. Just wanted to understand how the apportionment of repayment happens between the standalone and the consolidate entity, given the fact that Aurika resides in Fleur and considerable cash flow generation will happen at the consol level. So just wanted some clarity on this.

Patanjali Keswani: Let me summarize this. Most of our old hotels are in Lemon Tree, the newer hotels are in Fleur . There is Rs. 300 – Rs. 350 crore of debt in Lemon Tree. I am giving you very illustratively, it's around that number . We would be repaying Rs. 70 – Rs. 80 crore of that . We take 15-year debt, first 3 years is a moratorium, next 4 years is like 15% repayment of principal, next 4 years is like 35 % and the last 4 years that is year 11 onwards is the last 50%. Are you with me so far? So, it is ballooned out. And the reason we do this is one is we want a long tenure because these are capital heavy projects. And number two is the asset inflation of a hotel after 11 years is significant enough to drive a much higher repayment by generating much higher free cash , assuming you are repricing at the rate of asset of inflationary growth. Lemon

Tree

has a much higher repayment compare to capital deployed in Fleur . Are you getting me?

Jinesh Joshi: Yes.

Patanjali Keswani: Think of it this way. Lemon Tree, if we did nothing between Lemon Tree and Fleur , Lemon Tree would get debt free much before Fleur would , number one. Number two is that , I think Vaibhav asked this question of the listing of Fleur . Once Fleur lists basically, we will have zero to very limited Gross Debt. In fact, one of the questions the board will ask is what is an ideal Debt to EBITDA ratio to carry forward to optimize return on equity. And that could be 2:1. We are already at 2.57. So, I think this is an inflection point for our company , both from tailwinds which is structural change from asset deployment, asset upgrade, technology upgrade so on and so forth. So, the way the balance sheet looks will start looking somewhere substantially different and better year by year in the next 2 years.

Jinesh Joshi: Sir, just to clarify this a bit better. I just wanted to know whether the cash flow generated from old hotels in Lemon Tree is that only used to repay the debt at the

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standalone level or whatever we generate at the consol level is fungible and can be used to make payment at the standalone level ?

Patanjali Keswani: Absolutely not fungible . At Fleur , the shareholders of Lemon Tree only own s 60%, 40% is with the Dutch pension fund. So, there is no question of moving money from Lemon Tree to Fleur .

Jinesh Joshi: Understood. And sir, secondly on the Hyderabad market I think the RevPAR growth in this quarter is at about 9% but some of your peers in this market have done well.

So, any specific reason you would want to call out for a slightly lower RevPAR growth number? And also, if you can just clarify why the tax rate was a bit low this time around.

Patanjali Keswani: Firstly, who is our peer according to you ? We have no peers; they are all 5 star hotels. So, I think you are talking of different segments. It's like comparing the growth of economy pricing and business class pricing in a sector. First thing, please don't do that. Number two is , you can use 5 star hotels performance as a general proxy. Now the reality is that 20% of our inventory or 18% of our inventory in Hyderabad was shut for innovation. It is precisely what you are saying. It's a very high demand

market and we shut the inventory so we were constrained in terms of supply. That is number one. Number two, if you look at on a total growth basis, we really shut a lot of inventory in Banjara Hills, which is our hotel in the city center, to renovate. As a result, the gross ARR in Q4 FY25 dropped by about 10% or 8% and revenue also dropped by 20% in that market because occupancy was down and rate was down because there was noise and renovation and so on. Similarly, Lemon Tree Premier Hyderabad about 5% of the inventory was shut. When you look at it from that perspective, you are not comparing apples to apples. And overall, I am actually not very dissatisfied with the growth in Hyderabad because while the occupancy hardly changed because of inventory shutdown. I am quite pleased that as an average market our ARR there was Rs. 7,700 which is 10% over our national average.

Jinesh Joshi: Understood. And the tax rate part if you can clarify and lastly if I can chip in just one because we are targeting to take our retail share to about 65%. A rough ballpark number if you can share what is the pricing differential between the negotiated business in the non-negotiated business, even a rough indication would help.

Patanjali Keswani: So, in good times the non-negotiated business pricing, I am just giving you rule of thumb, is much higher than negotiated. In bad times negotiated and non-negotiated becomes the same and in summer the non-negotiated which is the retail pricing becomes much lower. It is entirely, just think of it

very simply Jinesh, as the following.

A high demand period, non-negotiated or retail pricing is like airline pricing. It can be very high and in low demand it can be very low. Contracted business or negotiated business is the same around the year. So, one actually offsets the other. Am I making sense to you?

Jinesh Joshi: Yes.

Patanjali Keswani: And the ARR we report is a combination of the two.

Jinesh Joshi: Understood, sir. Only on the tax rate part if you can clarify then I am done. Thank you.

Kapil Sharma: On the tax rate actually, you are right that this time the rate is coming lower and that is primarily due to the deferred tax adjustment.

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Patanjali Keswani: I think it's an annual excess in Q4. Even last year, Jinesh, in Q4 the tax for the quarter was lower than the year average.

Moderator: Thank you. The next question comes from the line of Prashant Kothari from Stock Market Read. Please go ahead.

Prashant Kothari: Good afternoon, everyone. Just wanted to ask about the IPO for Fleur Hotels. We are retaining a majority. We are intending to retain a majority even after post listings for Fleur. So right now, what are the plans to deploy the unlocked capital that we will be having from the listing?

Patanjali Keswani: I am not sure we will have a majority or not firstly, that is a function of board and discussions. We may deconsolidate to show a very high management fee income growth in that portfolio. Let me talk about it, see there are three points, there is a midpoint and two extremes of return in the hotel industry. If I do pure franchise, any income I earn is 99% flow through, if I do management contract, income flow through is 80%-85%. And here the deployment of capital is practically zero. So, this is one extreme that is say one sigma, franchise is two sigma and there is zero risk other than reputational risk if you don't perform. At the other extreme is asset ownership where the EBITDA is very chunky. Risk is 100%, capital deployed is 100%. Risk is 100%. In a JV like ours with APG we own 60% of the company but our effective economic share is 65%. Plus, we take 15% of the revenue, between 10%-15% of the revenue as management fee. So effectively our economic interest is 65% to 70%. Am I making sense to you?

Prashant Kothari: Yes.

Patanjali Keswani: Suppose hypothetically we owned only 30% of Fleur. Then our economic interest would be we would get 30% of the EBITDA. So, suppose the EBITDA was Rs. 100 and we took Rs. 20 of it as fees. Then our economic interest would be 30% of the balance Rs. 80 which is Rs. 24 plus Rs. 20, which is our fees. So, our economic interest is Rs. 44, but the investment is Rs. 30. So, the lower the ownership and skin in the game and it should ideally be at least 25% in my opinion. But this is as I said, subject to discussion. The much higher return on capital in equity we give to the shareholders of Lemon Tree. The other funny thing is that the multiple on management fee income is a higher multiple than on asset if you look at the Indian market, it is literally double. So, if I take an asset of which gives me Rs. 100 crore EBITDA in Fleur and let me assume the multiple is, I am just taking it illustratively is 18. The valuation is Rs. 1,800 crore of enterprise. But suppose out of that 100, 20 is management fee that is multiplied at 2x and the balance is multiplied at 18. So, this

is a global standard on average. Of course it varies from country to country. But broadly these are the rules. For the shareholders of Lemon Tree, we want to give very high growth in profit, we want the market to value it, we want high growth, we don't want asset heaviness, we just want skin in the game. The other advantage of that is that if we create Fleur as a growth vehicle, then every asset it adds, we will have a good shot to get it to manage. From every perspective, segreg

ation of risk

segregation of return, it makes sense for us to list Fleur.

Prashant Kothari: That I understood. But whatever money we will be getting from the IPO, what Lemon Tree will be getting from the IPO, is there any plan for that, how that will be utilized?

Patanjali Keswani: How would we utilize? It doesn't make sense for us to get money. It makes sense for us to go debt free. And if you ask me and this is not discussed to the board, I would expect Lemon Tree to become very asset light, very high in profit and a dividend distributing company within the next 1-2 year. It would need no capital. The only capital it would need would be perhaps in marketing spend and in technology investments and in distribution to very rapidly expand the network. And Fleur would

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need capital for growth, for strategic growth and for growing that portfolio which would be by the way from a governance perspective we are very clear, it will be completely firewalled from Lemon Tree.

Prashant Kothari: Okay, second question, Infinity 2.0 and tech upgrades that were expected to boost the retail demand share from around 45% to 66% by CY28. So, what measurable changes have you seen in the customer acquisition or repeat bookings or direct channel since the relaunch?

Patanjali Keswani: We had shut down our website or half shut it down for upgrades. So, in fact it dropped to be very specific. The loyalty program was also launched very recently. It went through multiple iterations. We wanted it to be best in class. These are work in progress. I think the way to look at it is what happens by the end of this financial year for me to give you a definitive answer of how this is changing. But the intent is very simple Prashant. It is that we make it easy, two clicks preferably. It's super high in reward. It also offers multiple choices and the best possible rates to any customer in India.

Prashant Kothari: Understood. Just one more question. Beyond room revenue, are there any strategic priorities for expanding on the non-room's revenue side like banquets, F&B, co-working spaces, or branding experiences?

Patanjali Keswani: See if you look at global companies, I think one interesting thing again speaking as a proud Indian is that there are finally companies in this country which can operate on a global scale. And as India's economy grows and relative share of the economy increases in the global economy because we are growing at 3 x of the global economy, we are going to see some wonderful changes in this country, both in terms of domestic consumption, private capital expenses and in terms of our impact on the soft impact and economic impact in the rest of the world. Where should Lemon Tree be. So let me take you through the growth of normal large hotel companies. They all start with one brand like we did in one city, like we did. If the brand does well, they start expanding that brand across a geography which is normally their home country. The brand does better and their customers start traveling to other countries. They expand the brand to that country in order to follow the customer and offer them a brand they are familiar with and like. Over time these brands go up and down. So, from say a 3-star brand which Marriott launched at, they went into 4-star and 5-star and 2-star. So, they start offering multiple price points to multiple customers who have now become familiar with their brand. First expansion is one brand, then all brands in their home country, then markets where their customers go and ultimately, they become global players. It's an X-Y axis pricing which is brands and geographies. Over time they start following customers into what I would loosely call adjacencies, timeshare, holiday, resorts. They go into casinos, they go into cruise liners, they go into service departments and so on. Lemon Tree, I have no doubt in due time will follow

a similar strategy. I think we need to juice our brand where it is still under penetrated and we want it to be dominant in its space. So that is our focus. It is a singular focus. Adjacencies and monetizing it will come alongside.

Prashant Kothari: Okay, so for now I can say we are focusing on the hotel part only, not on the adjacent side.

Patanjali Keswani: Yes.

Prashant Kothari: Okay, last question about the international foray. The Dubai property marked your first international foray, there is little limited communication there. Are there any

concrete plans for further international expansion?

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Patanjali Keswani: Not strategic but opportunistic and fundamentally asset light. So, wherever Indians go. So, I will give you, I think I gave this example a year ago, I think 18 million foreign arrivals come to India of which I think 7-8 million are Indians only and the other 10-11 are foreigners. But 26 million Indians go out and we expect that by FY30 it will become 100 million. So, we have a good loyalty program. We have captured a large share of these customers. They are familiar with our brands. We have a positive outcome to offer to owners of hotels outside India where these Indians go. And I am absolutely sure that we will be in all these places in the next 3-5 years.

Moderator: Thank you. We take the next question from the line of Rohan John from Quantum AMC. Please go ahead.

Rohan John: Thanks for the opportunity. Just a couple of questions. Firstly on the Aurika Mumbai Hotel, how much of the business is currently coming from the crew segment?

Patanjali Keswani: The current business is I think about 25%-27%.

Rohan John: So the follow up question on this is with the T1 renovation which is going to be happening so do you expect any impact on your occupancies in the next 2-3 years maybe on your Aurika Mumbai portfolio and even the Lemon Tree Premier Airport Hotel given this renovation is going to take about 2-3 years?

Patanjali Keswani: No, firstly Aurika is not undergoing renovation. It's a brand-new hotel.

Rohan John: No, I am not Talking about the T1, the Terminal 1.

Patanjali Keswani: Oh, sorry. Well, it's not visible because Aurika Mumbai is doing better than our portfolio in Q1. If I remember right, the portfolio is doing north of 70%, Aurika is closer to 80%. So no, there is no impact. In fact, the outcome is positive. Generally, renovations, we are a little, by and large the tradeoff is we try and renovate at a time where demand is low. But given the fact that during renovation rooms are shut for up to 3 months, we try and time it with where we think the displacement or the opportunity cost is low. So, if we shut 25% of say inventory, we expect the impact would be only on those days where demand is more than 75% or the balance inventory. So, we do Displacement analysis. It's tech driven. And I think by and large if you ask me for a flat number, it would not be a material number of loss of revenue. Maybe Rs. 10-15 crore, maybe Rs. 20 crore, but not much.

Rohan John: Yes sir. Sorry, I think I wasn't clear with my question. So, the thing is that the T1, the Terminal 1 Airport is going through renovation starting November. So, I was asking whether that will have any impact on your Aurika Mumbai or the Lemon Tree Premier?

Patanjali Keswani: I have no idea. But I can tell you when they shut, I think it happened in Delhi and demand didn't go down.

Moderator: Thank you. We take the next question from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: My first question is on your region wise mix of operating inventory today and how does it look when it goes to 20,000 rooms?

Patanjali Keswani: As far as asset heaviness goes we have 5,760 Keys. We are opening a 90 Keys Aurika in Shimla and 160 Keys Aurika in Shillong, which are two nice markets and these are resort markets

. So, our asset base is currently still about 6,000. Where are we going elsewhere? It's a mix of opportunistic and strategic. Opportunistic is Page 14 of 14

within these 200 cities, wherever we get opportunities, we just sign it and we add it to our network. As far as strategic goes, we have identified about 15 cities where we think we should be present because currently and going forward because of connectivity, they are close to an airport. Either the airport is in the city or within 2 hours drive, highways are coming up or have come up. When we can identify using multiple data sets, cities where there is large population, there is consumption, there is high demand of outbound travel, that is people traveling from that city to the rest of India. We want a strategic presence there which means we would look then at acquiring a hotel to manage or even lease because if we do that, then the benefit to the network is a very high one. Think of it this way, that if we have a hotel in, I am using this example loosely in Ranchi and we discover that there are about 1,000 people from Ranchi who visit the rest of India every year and right now we are getting only 5 of them, but with presence it will become 100. Then we would strategically go into that city as quickly as possible. So, when you look at this growth, I would say 90% or 95% of these 101 rooms we had, it's 113 rooms. Well, as of today there are another 12-13 hotels we signed. But if you look at our pipeline, which is a little larger than our operational hotels now in terms of number of hotels, I would say about 7 or 8 are in cities which we hunted out and the rest are all over the place all the 200

cities we want to be in.

Prateek Kumar: Regarding recent announcements by some of the global companies which you would have seen, how do you see this having an impact on industry supply maybe a few years down the line?

Patanjali Keswani: I think it's a good thing personally . I am not talking only from a Lemon Tree perspective. When a market gets more organized, pricing becomes rational, customers get used to better quality and then the high performers are the ones who are delivering that. Unfortunately, in India 90% of the hotel rooms are not branded . In Europe it's 30%, in America it's 70% branded. This is a part of the natural evolution. I think what is unusual in India is such a large part of 15 odd lakh rooms is small hotels of 30 -40 rooms which are really subscale. It does not make sense to manage it. So, to just give you a number, if we charge 15% of the revenue of a hotel as fees , in our minds 10% is for the brand and 5% is for management. If two thirds of the fees are for franchise and these are very small hotels, why target that remaining one-third? Where the effective cost of delivering management is more than the revenue we earn from it. So going forward, all these international companies who are trying to announce or trying to get in or have announced growth in India, they are all equally foxed as to how to reach out to these small hotels. But it will happen. I have no doubt somebody will crack it. I think we are also fairly strongly positioned to crack it using technology and our Keys brands. And those who do will be the big winners of the future because they will basically consolidate supply, which is unconsolidated, very fragmented, and very poor in quality. And if they can manage to solve for that, it's a massive opportunity.

Moderator: As there are no further questions , I will now hand the conference over to the management for their closing comments.

Patanjali Keswani: Thank you. Thank you all once again for your interest and support. We will continue to stay engaged. Please be in touch with our investor relations team for any further details or discussions and we look forward to interacting with you soon.

Disclaimer: This is a transcription and may contain transcription errors.

The transcript has been edited for clarity and accuracy . The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Aug 2025

August 14, 2025

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Name of Scrip: LEMONTREE BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

BSE Scrip Code: 541233

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Ref: Outcome of Conference Call with Analysts/Institutional Investors

Dear Sir,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation to the disclosure made on August 11, 2025 w.r.t. the audio recording of the conference call on Unaudited Financial Results for the quarter ended June 30, 2025 held on Monday, August 11, 2025 at 03:00 PM IST, please find enclosed herewith the transcript of the conference call with Investors/Analysts.

This is for your information and record.

Thanking you
For Lemon Tree Hotels Limited

Pawan Kumar Kumawat
Company Secretary
& Compliance Officer
M. No: A25377

Encl: a/a
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Lemon Tree Hotels Limited
Q1 FY26 Earnings Conference Call Transcript
August 11, 2025

Moderator : Ladies and gentlemen, good day and welcome to the Lemon Tree Hotel Limited's Earnings Conference Call.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you and over to you.

Anoop Poojari: Thank you. Good afternoon, everyone and thank you for joining us on Lemon Tree Hotel's Q1 FY26 earnings conference call.

We have with us Mr. Patanjali Govind Keswani - CMD, Mr. Kapil Sharma - CFO, Mr. Vishvapreet Singh Cheema - President, Mr. Sanjay Rai - Chief Revenue Officer, Mr. Saurabh Shatdal - CEO, Fleur Hotels, Mr. Mayank Sharma - CFO, Fleur Hotels Limited, and Mr. Niket Sood - Vice President, Commercial Strategy of the Company. We would like to begin the call by opening remarks from the management, following which we will have the forum open for an interactive question-and-answer session. Before we start, I would like to point out that some statements made in today's call

may be forward-looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I would now request Mr. Keswani to make his opening remarks.

Patanjali G. Keswani: Thank you. Good afternoon, everyone and thank you for joining us on this call. I will be covering the business highlights and the financial performance for Q1 this year, post which we will open the forum for your questions and suggestions.

In Q1, despite the headwinds faced by the industry due to the geopolitical tensions and COVID scare, Lemon Tree recorded its highest ever Q1 revenue at Rs. 317.4 crore. The revenue grew 18% compared to Q1 last year. Net EBITDA grew 23% YoY to Rs. 142 crore, translating into a net EBITDA margin of 44.8%, which increased 178 bps YoY. Q1 FY26 recorded a gross ARR of Rs. 6,236, which increased 10% YoY and the occupancy for the quarter stood at 72.5%, an increase of 591 bps YoY. This translated into a RevPAR of Rs. 4,523, which increased 19% YoY. The company's profit after tax stood at Rs. 48.1 crore for this quarter, an increase of 139% YoY. Cash profit for the company stood at Rs. 82.3 crore in this quarter, an increase of 51% YoY. The debt for the company stood at Rs. 1,658 crore in Q1 FY26, a decrease of Rs. 206 crore or 11% vis-à-vis Rs. 1,864 crore in Q1 FY25. The

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company has significantly reduced its cost of borrowing over the year to 8.01% in this quarter as compared to 8.80% in the previous year.

Slide #17 of the investor presentation demarcates the gross debt, i.e. the borrowings from banks and the lease liabilities. The gross debt represents debt on existing properties and new strategic investments that the company has made on new developments.

We continue making significant investments in renovations, business development, tech and renewable energy. These expenses are incremental in nature, above the normal expenses and are necessary to prepare our company to LT 2.0 as highlighted in our 5-year plan. During the quarter ~350 rooms were shut for renovation, the majority of which were in Delhi, Hyderabad and Bangalore and we shall continue to spend on renovation into FY27 until the entire portfolio of owned hotels has been fully renovated and refreshed.

Going forward, we are confident that once all these incremental investments are complete; over the next 15 months, then:

1. The occupancy or ARRs or both will go up meaningfully across our entire portfolio, leading to a very significant increase in our owned hotel revenue.
2. The renovation and tech costs will also drop significantly, down to about 2% - 2.25% of the total revenue from 6% currently, with the upgrades also leading to a reduction in the repair and maintenance costs that the company incurs annually.
3. The current investments made in renewable energy have already led to a year-on-year drop in power and fuel costs from 8.7% of revenue to 6.9% of revenue in this quarter, despite a 6.9% increase in occupancy. Over the next 12-18 months, we will continue these investments to achieve our target of 50% renewable energy in our owned portfolio, from 40% currently, leading to further savings.

On the asset-light side, in Q1, we signed 14 new management and franchise contracts, adding 1,273 new rooms to our pipeline and operationalized 5 hotels, adding about 400 rooms to our operational portfolio.

As of June 30, 2025, the total inventory for the group stands at 226 hotels and 18,430 rooms, divided into 10,660 rooms and 116 hotels being operational and the rest in pipeline.

Fees from management and franchise contracts for third-party hotels stood at Rs. 16.1 crore in Q1, an increase of 29% YoY. Fees from Fleur Hotels stood at Rs. 21.3 crore, also an increase of 29% YoY. Total management fees for Lemon Tree stood at Rs. 37.4 crore in Q1 FY26. Although there have been delays in scheduled openings of managed and franchise hotels due to factors beyond our control, we are very confident of accelerated growth in our management fees going forward.

With this, I come to the end of my opening remarks and would ask the moderator to open the forum for any questions.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Archana Gude from IDBI Capital. Please go ahead.

Archana Gude: Hi, sir. Thank you for the opportunity and congrats on a very good set of numbers. I have 3 questions. First, in Aurika, Bombay, the occupancy has been pretty robust,

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but ARR looks slightly subdued. What would be the management strategy on threshold level of occupancy post which we should expect ARR to take precedence?

Patanjali G. Keswani: Archana, as far as Aurika, Bombay goes, our primary focus was on taking the occupancy to what we felt was a sustainable ongoing level. And last year, we did only about 46% and this year we did about 76%, which means a 30% increase. Now, typically, you can not increase occupancy and ARR in a new hotel, both at the same time. The normal strategy is building occupancy and once you hit a sustainable level, then keep adding at higher rates and removing the lower rate business. We are very much there. There has been nearly a 50% increase in our corporate business with an increa

se in ARR in the corporate side. The airline business has also increased because obviously, we needed a certain base occupancy there. And we have also focus ed on the non -negotiated or retail business. So, that is why we have increased 30% in absolute numbe rs and I expect that now, going for ward, once we have achieved what we would call stability, we will focus now on increasing the rates.

Archana Gude: Sure, sir. Again, on Aurika, currently, we have these four hotels under pipeline and they are expected to be open in FY28 onwards. I am sure these are the Greenfield projects. Is it a conscious decision of the management to keep a check on the addition or is there a dearth of supply which fits the bill for us, for Aurika?

Patanjali G. Keswani: No, we will continue to focus on building hotels. But right now, we have only two under construction and one is fairly advanced, which is the hotel in Shimla, which is nearly 100 rooms. And the second one, which is 160 rooms in Shillong, we have started co nstruction. So, that too should be ready in the next 2.5-3 years. And well, if you wait for a little time, you will understand our strategy. Right now, there are multiple balls in the air. But we are going to have a very accelerated growth in our entire p ortfolio, whether it is owned, leased, managed or franchised. And we are going to try and do it in a very risk -mitigated fashion. I can only give this level of guidance right now.

Archana Gude: Sure, but my question was more on the management contract side. I am sure there are many hotels up for management contracts. And is there are lesser options for us which fits the bill of Aurika for us was my question, sir?

Patanjali G. Keswani: Aurika, we have right now got 4 managed Aurika in the pipeline, which is in Kasauli, Rishikesh, Sasan Gir and Surat. But obviously, we are going to look at getting more and more, but we are very finicky also about the quality of the hotel we would brand Aurika. So, here is the problem. In India, there are very few upscale or upper upscale hotels, which are unbranded. Most of the unbranded hotels are in the upper mid -scale, mid -scale and economy segments. The runway for branding more Aurika would really come from Greenfield or Brownfield projects, because most hotels of that quality are already branded by either an international or a domestic brand of high quality.

Archana Gude: Right, sir. My last question when I look at the ADR for the rest of India, it has underperformed the blended ADR. What are the few markets which underperformed and how we should look at it going forward?

Patanjali G. Keswani: See, rest of India is basically a combination of maybe 60 -70 markets where we are present. And each of them has a distinct characteristic. It is a function of demand/supply in each of those markets, technically, if I break rest of India down, there are markets that have grown 15% in ADR and there are markets that have grown zero in ADR. It is entirely a function of that micro -market. I would n ot really specifically be able to give you an idea of why it is. This is a weighted average th at you see. Obviously, our intent is to increase but if you look at the ARR increase in Gurgaon, it has not been very high. In Bangalore, it has not been very high. In

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Mumbai, it is actually just 2% because our focus was on stabilizing the occupancy of Aurika. Pune is 7% and the rest of India is 4%. But I am not unhappy with this because we have achieved this with a significant increase in our occupancy also. And I think what one must look at is overa ll the RevPAR that we have grown by, which is 19%.

Moderator: The next question is from the line of Karan Khanna from Ambit Capital. Please go ahead.

Karan Khanna: Yes, hi. Good afternoon and thank you for the opportunity and congrats on the strong RevPAR outperformance during the quarter despite external headwinds. Firstly, congrats on

strengthening the senior management team. If you can just start with some though ts on the recent senior management appointments and how this will change the growth orbit for Lemon Tree moving forward? And also, if you can share some thoughts on your long -term aspirations for the company and as Executive Chairman, how would you be looking to work closely with Neelendra and Saurabh in

helping Lemon Tree move in that direction?

Patanjali G. Keswani: Hi, Karan. Let me explain. You may have also seen that we have said that a committee of directors has been set up in Lemon Tree and in Fleur to evaluate how we can possibly look at a transfer of assets from Lemon Tree into Fleur through a demerger scheme and then automatically look at how we can list Fleur. So, the intent is that Lemon Tree will then become asset light, a significant shareholder in Fleur and will focus on management, brand and technology as a company, which is, I think, quite common to what have been global trends in this space.

Fleur will become an independent asset company, a PropCo. And the intent of the leadership change was to get 2 very good people who would then run these two companies independently on a day-to-day basis. If you observe my role in Lemon Tree, since Neelendra will be taking over from October 1st, I have just taken an 18-month extension beyond that as an Executive Director. The reason is, I obviously want to settle in Neelendra. It is a listed company. And although he has run a very large operation, Adidas, he has been with Adidas for over 20-years. And his experience is, interestingly, just the kind of experience we need for growing Lemon Tree. However, he needs, I am sure, some level of handholding, which is my job, so that he settles in quickly and understands, firstly, the industry, which is quite different from the shoe industry or the athletic shoe industry. And number two is to help him navigate how a listed company in India operates, what are the compliances, the regulatory oversights required and so on. Really, my focus is transitioning over the executive role to Neelendra and then focusing on strengthening Lemon Tree's expansion in asset-light growth and providing just generally a high-level strategic oversight and governance through the board.

Now, coming to Fleur, since the committee of directors has been set up in both companies, Fleur, we hope too will become a listed company by the end of next calendar. Saurabh, who has worked extensively in transactions and in structuring of real estate across multiple asset classes and has great experience in that. Saurabh's role will be driving the asset-heavy growth once Fleur lists, or even before. And my job then in that is besides of course strategic oversight and long-term governance, is to also ensure a smooth transition and to guide and strengthen Fleur Hotels expansion plans through a very structured capital allocation strategy, using technology to identify high-demand areas where there is less risk and potentially high returns. We will be focusing there on asset development or asset acquisition, leases with a very disciplined risk management framework. So, that is the overview. Then to support, Neelendra, we have got an outstanding set of 3 colleagues. There is Vishvapreet, who was running Intercontinental Hotels in India and he is there as President to run the operations and the revenue function. To support him, there is Sanjay Rai, who was formerly Executive Vice President Sales and Marketing of

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Oberoi Hotels, who is the Chief Revenue Officer, and his deputy, Niket Sood, who was running revenue for Accor Hotels. And I am confident with these four supported by existing teams, specifically Kapil Sharma, who is now also becoming an Executive Director, I think we will position Lemon Tree for its Version 2. And while we said we want to have 20,000 rooms in our 5-year plan, that is absolutely going

to be

exceeded. And I am very pleased that there is this team in place to take this company forward.

As far as this Fleur is concerned, with the proposed listing hopefully end of next year, we also have Mayank Sharma, who has worked with Lemon Tree for over 10 years. And he is the CFO working with Saurabh and with Sanjeev Jain, who has great experience in development and in projects. I think we are positioning both companies for, as I said, a very, very accelerated growth.

Karan Khanna: Sure, this is quite helpful. Just a follow-up on this. If we talk about the pipeline of assets, most of the hotels are asset-light currently with just 2 pipeline hotels on your balance sheet in Shimla and the one in Shillong. How should one think about, let us say, future expansion within Fleur? Do we see those announcements coming, let us say, after 18 months or whenever Fleur gets listed independently? Where is the right time to think about more announcements on the asset-heavy front?

Patanjali G. Keswani: No, once we are going through this scheme, I think you will get a very clear idea of how we intend Fleur to be as a standalone listed company with investors who will be focused. We are actually even offering 2 options for any potential investors. One is the asset-light side of the business, the brand business, which is Lemon Tree, and the asset-heavy side of the business, which is Fleur. I do not think you need to wait another 16 months. I think we will be making enough interesting announcements in the next 1 year, which will give a very clear idea of where we think Fleur will go and

really look at how we can increase its inventory enormously in the next 3 years.

Karan Khanna: Sure. My second question is on Aurika, Mumbai, which seems to have done quite well over the last 2 quarters. Given that we will start seeing T1 shutting down soon, and you spoke about taking price hikes here as well, help us reconcile how the demand would look like for this property in a seasonally strong H2 and what sort of an impact are you expecting owing to the shutdown?

Patanjali G. Keswani: As you have seen, Karan, we have hit about 76% in Q1. Now, what I want to actually tell everybody who is listening in this call is that I was happy to see all our other hotels in the listed space had also reported good results. But one reason for that was that last year, it was due to some level of a base effect last year. Last year in Q1, it was very significantly affected due to elections and the heat wave. Normally, Q1 last year should have been at least 5% or 6% better than what it ended up being because of these deflators of demand. Now, despite that, this year it is actually going to be the reverse because Q2 will see moderation. There was no base effect in Q2 last year. And this year, in fact, July has not been so good. All the festivals which affect demand for business hotels or city hotels will happen in Q2 this year. And I know I am not directly answering your question. I just want to put certain things in perspective, which is Q1 last year was very affected by multiple events. Q1 this year was slightly affected by the geopolitical tensions and the COVID scare, but nowhere near as Q1 was last year. In fact, this year, some of the stuff that did not happen in Q2 has flown into Q2 this year. So, there will be number one moderation. But despite the moderation, what we are seeing is in markets like where Aurika operates, and I am aware that there will be some shift of demand to Navi Mumbai and so on. I am very sure that Aurika, Bombay and in fact, that micro market of Bombay will continue to do occupancies north of 80%, because if you look at the distribution of demand, that is still growing. Maybe some massive incremental demand will occur in Navi Mumbai with more and more passengers there. But keep in mind, there are 1,800

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planes that are going to be operating in India in the

next few years. I just see growth

in demand. I do not see a loss of demand in where Aurika operates.

Karan Khanna: Sure. And my last question, given you spoke about the trends in second quarter and also for Aurika, Mumbai, but more importantly, what is the outlook for seasonally strong second half for the company?

Patanjali G. Keswani: Very positive.

Moderator: The next question is from the line of Sameet Sinha from Macquarie Capital. Please go ahead.

Sameet Sinha: Question for you. It is interesting, you are already pretty close to the 20,000 rooms that you have been talking about for the last few quarters and you kind of vetted our appetite by talking about how we should expect to see some accelerated growth in rooms and pipeline. In that 5-year plan that you mentioned, are we thinking about 30,000 - 40,000 rooms, is that within the realm of possibility? That is my first question. Then I will ask a couple of follow-ups.

Patanjali G. Keswani: Yes. It is in the realm of possibility.

Sameet Sinha: Okay. Got it. Okay. Neelendra hiring was interesting. Can you talk about how his experience with retail and footwear, athletic footwear, fits in with your thought about Lemon Tree. Are we talking about more branding? I am just going to stop there and let you answer that question.

Patanjali G. Keswani: Okay, good. Sameet, let me go back for a minute. Lemon Tree is basically morphing into an asset-light company, of course, with a significant shareholding in Fleur. But it will be basically focusing on brand, management, technology as an enabler, and of course, business development to grow this portfolio. One of the biggest markets, in fact, not one, in my best guess, it is probably the single biggest market today in the world, it is the 2-3-star market of unbranded hotels in India. Let me give you some numbers. If I go to MakeMyTrip and look at their platform, there are roughly 14 or 15 lakh rooms in the platform. If I look at the cities where most of these hotels are, they are in about 180 -190 cities in India, where about 85% of personal consumption expenditure occurs. These are the cities of typically 5 lakh or more population. And while some of them are not so well connected, if you look at the plans for Vande Bharat trains, you look at the plans for the growth in airports in India, which we have a list of, and then if you look at the connections through highways, and I was delighted to read that Mr. Gadkari says that our target is now to build 100 kilometers of highways every day. If you put all these together, India is going to be super well connected. And I think we are at the early stages of a structural shift of demand into discretionary.

Now, Neelendra has been in this specific area of branding, franchising. He was

earlier the Senior Vice President Franchise globally in Germany for Adidas. He has run own ed stores; he has run franchise stores. He has a very structured way of looking at managing scale. So, if Lemon Tree is to scale up in an area which is currently totally unstructured, which is about 1.2 million rooms, which are completely unbranded, we need somebody with that kind of a mindset and experience. While he may not specifically have hotel experience, he certainly has the competencies required to lead Lemon Tree to its next phase.

Sameet Sinha: That is certainly some out of the box thinking. Thank you for the explanation. Final question, if you can talk to us about the rooms that have been renovated over the last year or so, what sort of increase in occupancy and ARR are you seeing in those rooms?

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Patanjali G. Keswani: Before COVID, we used to renovate one -sixth of our hotel rooms every year. So, it was a structured process by which every 6 years, a hotel would be renovated. And we would try and close inventory such that it would not significantly affect our ability to fulfill demand. Unfortunately, in 2019, 2 thin

gs occurred. One is we acquired another 1,000 rooms, which was Keys. And we opened 4 hotels in Lemon Tree Premieres in Bombay, Calcutta, Pune, and one Red Fox in Dehradun in our own portfolio. So, that added ano ther 700 rooms. Really, our inventory increased from 4,000 rooms to 5,800 rooms straight away. Now, COVID completely disrupted the renovations we would have done to the older hotels, excluding these four, and the renovation we planned for Keys. The next three years, or actually, I should say four years really went towards surviving COVID and then repairing our balance sheet and of course, opening Aurika, Bombay and stabilizing Aurika , Bombay. Now, once all that happened, we had to do what is called a catch up. Typically, we spend 1.5% to 1.8% of our revenue every year in this one -sixth of the hotels, renovation. But in order to do a catch up, we had to practically triple the amount invested though our revenue still went up . From a revenue basis we are spending, I think this year we will be spending how much, Kapil, about Rs. 100-plus crore. Interestingly, when you see our EBITDA margins, they are shrunk by another 4% because of the investments, other than normal because of the investments we are making in technology, in business development and in renovation. All this will be over by next year , October, then we will go back to normal. Really, in the next 15 months , we are going to continue renovating very large numbers of rooms. Now, coming to the specific numbers of rooms, if I take out Aurika, Bombay and the new hotels pre -COVID, which together account for about 1,400 -1,500 rooms, we have to renovate 4,300 rooms. We have completed about 65% -70% of that in the last 2-2.5 years and by next year, as I said, October, we will have completed all this. And then what you will see is a huge expansion in our EBITDA margins, because you will have new rooms. Even in Keys portfolio, the first fully renovated hotel was the Keys Pimp ri where ARR went up by I think Rs. 1,300 - Rs. 1,400 and the occupancy went up by 10%. Now, you are going to see it with Keys Whitefield, it is a large hotel, it is 220 rooms, I think we have renovated about 170 rooms and we will finish the other 50 in the next one year. Trivandrum, Cochin are undergoi ng renovation, Vishakhapatnam will undergo renovation, and Ludhiana is complete. So, that was the Keys portfolio. As far as the rest of the hotels go, out of those balanced 3,500 rooms, excluding the Keys por tfolio, we really looked at where should we put in the maximum money to get the maximum return. Delhi, Hyderabad and Bangalore were identified as where we have large inventory hotels, which needed this uplift. I think we have completed about 80% in Delhi. We have completed, I think, about 60 -70% in Hyderabad, where we have about 700 rooms, and we have completed about 30% in Bangalore. So, this is going to just go non -stop. At any given time, 350 rooms are shut, we typically take 2-3 months to renovate them. So, on an ongoing basis, say in 6 months, we would renovate this year, maybe 1,200 rooms or 1,300 rooms. And this will happen next year also. And then it is an entirely new portfolio.

Sameet Sinha: Got it. Thank you very much.

Patanjali G. Keswani: And interestingly, just let me add, if you look at the increase in ARRs also, you can see it directly , for example, Delhi, now that we have managed to renovate so many rooms, the ARR went up 15%, Hyderabad, 19%. You can see the direct linkage that when we finish, then one of the three things will happen. In certain markets where we felt from a brand perspective, we needed to upgrade the rooms anyway, we did not spend as much as, because we just wanted to ensure that the brand standards were maintained. But in some markets where we felt there was a possibility of significantly increa sing ARR and occupancy, we spend double the amount per room. It is a mix and match. But the intent is u

Ultimately to increase RevPAR and increase guest satisfaction and stickiness.

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Moderator: Thank you. The next question is from the line of Vaibhav Mule from YES Securities. Please go ahead.

Vaibhav Mule: Hi, team. First of all, congratulations on a very strong set of numbers. My first question was on our management contracts pipeline. We have a very strong pipeline. And as just mentioned, there is potential to reach 30,000 to 40,000 rooms in the long term. Do you think there can be an execution challenge while adding such aggressive amount of inventory, especially given many industry participants are highlighting that there are challenges on the manpower front, so do you think that can pose a challenge in future, and would that affect the flow through to EBITDA? That is my first question.

Patanjali G. Keswani: Vaibhav, let me go back. Challenges are always there when you are talking hyper growth, and we want hyper growth. If you notice, the rate of signings is much more than the rate of openings currently. But surely, in the next couple of years, the openings are going to also accelerate because about 70 -75% of the hotels we are signing are Brownfields or Greenfields. We are very keenly aware that we need trained staff for this. We are trying to combine an approach which is both technology - oriented and identifying the future leaders of all these new hotels within our system. So, that process is ongoing. We have multiple learning and development programs for general managers, for heads of department, and so on and so forth. While there will be challenges, based on our rate of growth, we have also grown I think more than 30% a year for the last 10 -15 years. Keep in mind that we were 1,000 rooms 12-13 years ago. I think we are quite familiar with that challenge. Now, as far as the flow-through goes, there is no risk to the flow -through. Management fees will keep accelerating. I think we specified in our Lemon Tree Version 2.0 we will be 20,000 rooms, including pipeline by 2028 . We will achieve that in the next 6 months by the way. That question that I was asked earlier, I think by Karan or Sameet, 30,000 - 40,000 , could be any of these numbers. I hope, of course, it is much more than what we have targeted. We are quite sure we will be able to manage the growth. There will be hiccups. But I think our entire approach was first, let us finish with our old portfolio, let us get it cleaned out, renovated, fully staffed, improve the occupancies, as you can see it is happening, improve the ARR, still more once the renovation is over, and then our entire focus will be on the asset -light growth. And once Fleur lists, also on the asset -heavy growth, where Fleur will raise capital and also go debt -free I am sure in the next 1 - 1.5 years. So, basically, the way I see it is Lemon Tree will be more or less debt -free as a group in the next 18 months. I am pretty sure Fleur will raise a large amount of capital. It will expand in the asset -heavy side, and we will focus on managing hotels across the spectrum in Lemon Tree.

Vaibhav Mule: Got it, sir. My second question was on your tie -up with BCG for revamping your technology, website and your loyalty program. So, has that exercise been completed and have you started seeing any material benefit in terms of higher bookings from your website or benefit of your loyalty program? If you can share some color on that?

Patanjali G. Keswani: The BCG assignment was towards digital transformation and it was building a foundation of using technology to enable hyper growth. Once BCG finished, it was more of a strategic level intervention. They moved on and then we had actually moved this entire IP we created into a 100% subsidiary of Lemon Tree called Totally Foxed Solutions, which is now fully manned. We have got data scientists, we have got user experience engineers, including 2 people amusingly from BCG themselves.

We also have Ernst & Young working with us in this, and we have created a bunch of products. They are what we call MVP, means Minimum Viable Products. Some of them have been launched in revenue management, some have been launched at early stage in loyalty, but it is an ongoing process. My best estimate is that the fruits of these entire investments in technology, which will include customization, personalization, loyalty program, predictive revenue management rather than prescriptive revenue management , using chatbots, agentic AI, so on and so forth, Page 9 of 17

which will help also reduce staffing and reduce training costs. All these will start rolling out I think I am told from October this year going forward into September next year. The MVPs have been prepared. We are piloting it at multiple hotels. In fact, at any given time, 2-3 hotels have one MVP in place. So, we are refining it, and I am pretty sure that in the next 12 months as far as our loyalty program goes and our revenue management, we will be best -in-class. Now, loyalty, I think we have already increased the number of members. We are enrolling them very fast. I think we have about 2.1 million members already in the loyalty program. Our repeat usage is about

43%-44%. So, that is very encouraging for us because what it really means is that if we open a new hotel, we are very rapidly able to move customers there who are repeat members and make that hotel breakeven very quickly and that I think is an attractive proposition for any hotel owner from the asset-lite side. All this is work-in-progress, and I think you will see a completely new Lemon Tree and Fleur in the next 15 months.

Vaibhav Mule: Got it, sir. Lastly, on Keys portfolio, we have seen stable quarter-on-quarter numbers for Keys. I believe this is on the back of benefits from the renovated portfolio. So, I just wanted to check what kind of headroom do you see from the current levels of 63%-odd occupancy and around 3,800 ARR in the Keys portfolio itself, and what is the contribution of overall renovation expense we are expanding into Keys portfolio currently?

Patanjali G. Keswani: Keys portfolio is 936 rooms. We have identified high value investments specifically in Keys, Pimpri, Pune, which is over. We spent Rs. 10 - Rs.12 crore. We have already spent I think Rs. 10 – Rs. 12 crore in Keys, Whitefield and we still need to spend another Rs. 8 – Rs. 10 crore. We have completely renovated Ludhiana at Rs. 3 lakhs a room. So, as I told you, if I split the Keys portfolio, what is called the Bangalore and Pune portfolio is about 500 rooms and the other 400 rooms and something are in these other markets. So, what we are really doing is in the markets like Trivandrum, Cochin, Vishakhapatnam and Ludhiana, because the hotels were so tired and old, our intent was from a brand standards perspective to just renovate them to minimum standards, at Rs. 3 lakhs a key and the others we would spend Rs. 8 – Rs. 10 lakhs a key, which is like Pune and Whitefield. So, the average would be Rs. 5 lakhs across 900 plus rooms. So, we would spend about Rs. 45 – Rs. 50 crore over 3 years in the Keys portfolio. What is our intent? Our intent is and I have said this before is that we want to take the EBITDA of Keys to between Rs. 60 – Rs. 80 crore, which means that we will need to take the EBITDA margin to about 50% which means we need a revenue of Rs. 120 – Rs. 160 crore in Keys, and that would require, if you work back, our occupancy moving to 75 -80% and the ARR moving towards Red Fox levels which is Rs. 4,500 – Rs. 5,000. So, Keys, Whitefield, the renovated part is already doing Rs. 4,500 – Rs. 5,000 ARR, the Pimpri is doing Rs. 5,500 ARR. So, that is why you are seeing this gradual shift in Keys and this EBITDA doubling is nothing, the base was very low, and our intent is basically to make Rs. 60 – Rs. 80 crore out of Keys by next year as a run rate.

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Moderator : Thank you. The next question is from the line of Prashant Biyani from Elara Capital. Please go ahead.

Prashant Biyani: Yes, thank you for the opportunity. Sir, a question on renovation again. Sir, by when are we going to complete the renovation for LTP HITEC City, then Whitefield, Delhi Airport, LT Gachibowli, Keys Select, Hosur and Whitefield?

Patanjali G. Keswani: Okay. Sorry, I did not write it down. Let me start with Lemon Tree Premier Delhi, will be done by somewhere in the middle of next year, maybe July - August. We have also renovated all the public areas including the lobby, restaurants, banquets, etc., Now, we get to Red Fox Delhi, which is also a very high earning hotel. I think we have done about 60%. So, this should get over by next year and we are looking at converting it into a Lemon Tree Hotel because our colleagues in our revenue

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department say that if you rebrand it to Lemon Tree, the possibility to increase rates by 15 % - 20% will become very visible or likely. Then we go to Electronics City in Bangalore. We are going to rebrand it Lemon Tree Premier. Renovation is underway, but this will take about a 1.5 - 2 years. So, we will renovate 75% of the hotel by next year. As far as Hyderabad goes, there were two issues. One was the renovation of Hyderabad. In public areas, we have completed 80% of that. And then with the rooms, I think we have done 60 % - 70% of the rooms and I expect that we will finish it all by next year. Red Fox Hyderabad is also likely to be converted into a Lemon Tree Hotel. It is also, I think, 50% renovated. We have to finish the rooms and the public areas. As a Lemon Tree Hotel again, we will look at significantly raising the average rate once it is rebranded. Lemon Tree Gachibowli is going to be completed by 18 months. It has very high demand. We are not sure because of the room size whether we will call it a Lemon Tree Premier or retain it as a Lemon Tree Hotel, but either way, it will happen in the next 18 months. As far as Keys, Hosur goes, this will continue. So, this, I think, as I said, 80 % - 90% of the portfolio would be renovated. Some parts like Keys, Hosur will probably go into early 2028 calendar. But the point is the major investments, and renovation will be over by H1 next year. And after that, we will revert back to that one-sixth of the hotels and a huge drop in renovation expenses by about 3% - 3.5% of revenue.

Prashant Biyani: Sir, is there some delay in renovation due to high demand, because previously, we were about to complete major renovations by H1 of this year?

Patanjali G. Keswani: Never that. I don't think that was ever the case, Prashant. I always said it will take 3 years. See, it is a balancing act. Like I will give you an example. Red Fox Hotel, we are renovating, I think 30 rooms at a time. It takes about 2.5 months. Now, when we released those 30 rooms about 2-3 weeks ago, suddenly there was a spike in demand for Red Fox. So, we said, okay, we will defer it for 2 weeks and we will try and do a catch-up. It is a balancing act. Sometimes we defer renovation when we have a very large block or some very exciting demand opportunities. But by and large, we obviously look at the trade-offs. That is if I delay renovation, will it go into season? Will I have a loss there versus what is my benefit here? In revenue management, it is called displacement. What am I displacing by doing this now versus later. And I think we have done a pretty good job and I must say our renovation team has generally always delivered on time.

Prashant Biyani: Right. You have announced key management changes. What could be the flow-through of events for the parent entity as well as for Fleur, which can happen between now and listing of Fleur? One thing which you highlighted was slew of signings of Fleur. Apart from that, anything else?

Patanjali G. Keswani: See, the thinking is ver

y simple. Prashant, but let us assume we own 60% of Fleur.

But our management fee income is typically 17% - 20% of EBITDA. When we own 60% of Fleur, it means we really get about 66% - 68% of the economic return. The 7% - 8% more we get is the management fees from the other owners, so to speak. Or to put it another way, we earn 100 bucks of EBITDA, we take fees of 17 bucks, the remaining 83 is distributed to the shareholders, which is 60 Lemon Tree and 40 to APG. Now, the larger the amount of capital we raise in Fleur, while our shareholding may come down, our economic interest increases disproportionately. It is really a return on equity that we get through management fee contracts in Fleur itself. Our fees, by the way, are very standard. I mean, whether it is Lemon Tree or any other management company, the fees are generally at the same level. It is not that we charge disproportionate fees. But our view is that the more we dilute in Fleur, and the larger the capital raise, and assuming it is deployed successfully, the management fees of Lemon Tree from Fleur will explode. It will be Rs. 100+ crore this year. But there will be a time if we do what we want to do, then it could be Rs. 300 - Rs. 400 crore, just from Fleur in the next 3 years.

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Moderator : The next question is from the line of Pratik O jha from Systematix Group. Please go ahead.

Pratik Oza: Thank you for the opportunity. Sir, just one question on your international strategy, I guess, in the previous call, you had stated that your international strategy is opportunistic and an asset-light one, which is targeting Indian diaspora. First is, could you share some learnings from your first international foray, how is that property performing, and is it serving as a successful template for future ventures?

Patanjali G. Keswani: Oh, yes. Pratik, it is doing very well. We have a hotel in Dubai. To give you an idea, 6 million Indians go to Dubai every year. I was reading, I do not know, was it today or yesterday in one of the financial newspapers, maybe Economic Times or Mint, that in CY24 there were 9.9 million arrivals into India, inbound and they said 30 million Indians travelled overseas. Here are the very interesting statistics. The number of foreign guys who come into India, and this includes, I presume, Indian diaspora, is one-third of the number of Indians who go outside of India. It makes complete sense for us to follow where Indians go. And we have a hotel in Dubai which is doing very well. I think now we have a hotel in Nepal also. We are going in the neighboring countries where there are a large number of Indians and where we feel we can provide a revenue uplift to those hotels by capturing loyalty members of our program who travel to these cities. The long answer which I have given you is that it makes complete sense for us to go where Indians go without losing focus on capturing obviously the Indian market in India.

Pratik Oza: Got it. Sir, second question is, I guess on the other expenses which I am seeing, there is this delta of Rs. 8.9 crore. Just wanted a breakup of this, I mean, how much of this would be our discretionary spending, like marketing for launch of Infinity 2.0 and new website versus a non-discretionary or inflationary cost pressure, just wanted to get an idea on this?

Patanjali G. Keswani: We are doing 2 things. Let me explain which are also one-offs. Our technology Opex is pretty significant right now. This year it will be Rs. 10 crore alone or Rs. 12 crore. During COVID, in order to ensure we did not lay off anybody. As a company we took a call that the top 20% of the company would take a big salary cut in order to enable

us not to lay off anybody. It started with me. I took a 100% cut. Senior leaders and colleagues like Kapil and so on took 75%, 66%. At different times, based on COVID, over 2-2.5 years, there was a very large amount of salary cut from the to

p leade rs.

So, basically, this year, we are returning it to them. It is a part of the other expenses that you are seeing. And our intent is very simple that by the end of this year more or less, we will have returned to every employee of our company whatever money we deducted from them in those 2.5 years of COVID. Again, this is an extraordinary one-off expense. And next year onwards, you will see it fall back to normal. Does that answer your question?

Moderator: Thank you. The next question is from the line of Jinesh Joshi from PL Capital. Please go ahead.

Jinesh Joshi: Thanks for the opportunity. Sir, my question is on Aurika MIAL. I think you mentioned in the opening remarks that there was a 50% increase in the corporate business this time around, and the contribution from airline has also increased. In that context, the share of negotiable business has increased, do you foresee any kind of challenges in increasing the rate from here on? And also, if you can share what was the contribution of negotiable business in 1Q and the ARR for Aurika MIAL?

Patanjali G. Keswani: I do not want to get into specifics because it is competitive information. I will give you an overview on it, Jinesh. We did 512 rooms per day, which is 76.6% occupancy in Aurika in Q1 this year versus 307 rooms a day, which was 45.8% last year. So, that
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is why I said it increased by nearly 31 % points. When I look at the increase in occupancy, the increase in occupancy was roughly 65% through the negotiated business, which is say 20 % points, and 35% through the non -negotiated business, which is 10 % points. And these percentage points are on the entire inventory. So, the 30% increase was 20% because of negotiated and 10% because of non -negotiated. Now, when you increase negotiated business, the increase in rate you get is marginal. In the non -negotiated, we were focusing basically on filling the hotel during times when rooms were not full. Aurika, Bombay is already demonstrating the characteristic which many of our business hotels have, which is in the weekdays, it goes full, in the weekends, it goes light, which is why the average is 76%. And for example, on a Tuesday, Wednesday, Thursday, the hotel is full. And then on a weekend, it could be 60% or 50%. Our target is that when demand is light from the negotiated side of the business, which is specifically corporate and some travel trade, then we look at filling it through OTAs and through our own website and other direct channels. And that does not enable us to increase prices in a low demand period. Broadly, that is the current situation.

Jinesh Joshi: Understood. And sir, if I heard you right, you also mentioned during the call that you have about 2.1 million loyalty members. I think in the last quarter, this figure was approximately 1.6 million. We have basically seen a considerable jump over here. But can you share what proportion of your business basically comes from these loyalty members?

Patanjali G. Keswani: Here is what we discovered. During COVID, a lot of our systems and processes became more desultory, less managed. We found that about 44 % - 45% of our hotel's occupancy is repeat members. But of them, only 65% are loyalty members. One-third are actually using us repeatedly but have not been enrolled. What you are seeing is a catch up. Niket came on board about 3-4 months ago. One of the challenges he took on board was that he would focus on increasing enrollment. And he and Vishvapreet and our leaders from operations have been focusing across all our hotels across India on enrolling more and more with a specific focus on enrolling anybody who has already stayed with us before. This 2.1 million number is nothing. In fact, we think based on our database, we could hit 3 million in the next one year. And they will all be enrolled.

Jinesh Joshi: Understood. One last question from my side. I mean, if I heard yo

u right, you

mentioned that in FY26, our renovation expense will be about Rs. 100 crore and some bit of renovation is expected to flow through FY27. Can you call out what can that number be?

Patanjali G. Keswani: See, renovation is of two parts. One is Opex, one is CAPEX . Most of the renovation of our non -Keys hotels is Opex. Most of the renovation of the Keys hotels finally is Capex . Because there we are doing things of a long -term nature, because these hotels are so run down. So, typically, I think 60 % - 65% of our total expenditure is Opex and balance one -third is Capex. So, this year, actually, we will spend close to Rs. 130 crore. And our Opex would be, I would reckon about Rs. 80 – Rs. 90 crore.

I am giving you rough numbers. And next year, it will probably be about 70% of this. And after that, it will drop to about Rs. 20 – Rs. 30 crore a year in Opex.

Moderator: The next question is from the line of Sumant Kumar from Motilal Oswal Financial Services Limited. Please go ahead.

Sumant Kumar: My question, when we see the growth, we are adding rooms through management contract. Do you plan for adding rooms through lease and rental basis also?

Patanjali G. Keswani: See, that is going to be a part of the Fleur mandate. Let me go back for a minute. See, when we manage a hotel, we take 17% of EBITDA. If we franchise a hotel, we

take 10% of EBITDA. If we lease a hotel, we typically put in 10 % - 20% of the capital value, and we take 50 % - 60% of EBITDA. And when we own a hotel 100%, then obviously, we take 100% of EBITDA with 100% of the risk. Fleur's mandate will be to focus on, at the right value, building, buying, or leasing hotels. Lemon Tree's will only be to manage or franchise. Lemon Tree will not lease hotels once the Fleur demerger happens.

Sumant Kumar: Currently, whatever the pipeline we have, are we going to excel or increase our lease and rental model in coming years under Fleur? And what is the mix currently?

Patanjali G. Keswani: Yes, 100%. I noticed that some analysts were saying our debt -to-EBITDA is some very large number. And I think they were just blindly adding the lease liability.

Actually, the real number one should look at is our free cash flow and the fact is that our debt, only 60% or 65% of our debt is bank debt, the other is lease liability. And if we go forward and keep leasing hotels, then under the new accounting standards Ind AS 116, you will see a big increase in our lease liability, the depreciation and interest that will also be applied on it, but this is all non -cash. This will go to Fleur. The advantage of a lease I have personally found since we have a few leased hotels is the capital risk we take is anywhere from 5% - 20%. In some cases, if we lease a building, which is a shell, then the capital risk we take is 50%. Whatever the amount of capital we put, our share of EBITDA is disproportionately higher. We have hotels, I can tell you in our system, where we have put in Rs. 1 crore or Rs. 2 crore, like Lemon Tree Banjara Hills, I think we put Rs. 2 crore totally, and we get Rs. 5 crore a year out of it. It makes Rs. 10 crore, we take Rs. 5 or 6 crore, I think. And it is obviously a very attractive model for us. What we try and negotiate is the least possible minimum guarantee and we are happy to share the upside of revenue share. This is the way we see leases. We are going more and more aggressively towards revenue share and less and less towards minimum guarantee, because as I said, it adds to our liabilities or appears to add to our liabilities. That is how Fleur will go forward and in fact, that is one of Saurabh's strengths is the leasing transactions he has done across India.

Moderator: Next question is from the line of Rajiv Bharati from Nuvama Wealth. Please go ahead.

Rajiv Bharati: Yes, thanks for the opportunity. With regard to Aurika, Mumbai, a couple of years back, you had called out th

at your EBITDA margin would largely move in tandem with your occupancy. I just want to get if you can call out what is the EBITDA margin for that asset currently?

Patanjali G. Keswani: It is about 60%.

Rajiv Bharati: Sure. And with regard to Keys, we see that incremental margin is close to 100% on a YoY basis. But pre -COVID, we used to see that the non -room revenue used to be close to 35 % - 40%, which is now 20% -odd. Is there a plan to go back to those levels or these are, let us say, the new levels at which it will work?

Patanjali G. Keswani: This is the new levels because, see, a heck of a lot of customers today order food from Swiggy, Zomato, so on and so forth. Our focus is to actually maximize RevPAR.

And if you maximize RevPAR, the flow through is as you can imagine it is, 85 %-90%. If I look at Keys, and I say that the total revenue in Q1 was Rs. 24.4 crore, typically our revenue for a full year is about 5x the Q1 revenue because of seasonality. If this number is an indicator, then Keys Hotel, based on Q1, should do Rs. 120 crore. I mean, this is, I want to be clear, this is just an estimate by me, it is not a guidance. But the EBITDA margin will be north of Rs. 40 crore there. When we finish the entire renovation, what I am interested in in Lemon Tree is what is the EBITDA we do. I am not particularly bothered about how much F&B revenue we do,

because we are not really a five -star kind of a company. This is more of a mid -market hotel company and the main focus is to maximize RevPAR and therefore maximize EBITDA and therefore maximize return on capital, provided your asset turn is right.

Rajiv Bharati: Sure, sir. So, regarding this retail rate versus negotiated rate, now, again, the retail rate is lower than the negotiated rate. And this used to be the reverse sometime

back. Is there a catch-up which is going to happen on this piece because the proportion has gone higher, will it take some time?

Patanjali G. Keswani: I will tell you what is happening. Earlier we had a focus on building retail and changing the mix. See, our long-term strategy remains the same, which is as more and more cohorts of Indian customers move into what we would call the consuming segment in India, consumers of branded mid-market hotels, then presumably there would be an increase in demand and therefore an increase in pricing. However, what has happened is a lot of corporate customers today book through OTAs, for example. MyBiz of MakeMyTrip, I mean, there are multiple such channels through which they book. When we are defining it as OTA, actually it has also got corporate customers. So, one reason is this. But the second reason is our focus is actually on filling our valleys, which we found that because we have increased our corporate and at good rates, we are able to fill the weekdays, but we are not able to fill the weekends. So, to get the weekends, you have to focus on staycations, you have to focus on nice offers, so on and so forth in order to bring customers to you at the time when you need them. And I think it varies YoY. This time it is a bigger focus on filling our troughs. After all, if you look at our growth of occupancy, it is partly led by some weekend demand growth and that is driven by lower prices. So, this is an overview, I mean, I am sure there are many reasons for this which we look at, but I am trying to give you an overview of why this is happening. But the good news for me is that overall, the ARR grew 10% and the negotiated business ARR grew 9% and the non-negotiated which is OTA, LT.com and other FITs grew 10%.

Moderator: The next question is from the line of Jai Chauhan from Trinetra Asset Management. Please go ahead.

Jai Chauhan: Good afternoon, sir. Thank you for this opportunity. I just have one question. While I can see company focus is clearly on expanding the core hotel brands, could you share your long-term per-

spective on growing trend of villas and alternative accommodations?

Patanjali G. Keswani: We are in the mid-market. Villas, alternate accommodation is an asset class where we do not personally currently have the competence. We do not want to lose focus. We are very clear; we want to focus from 2.5 star to 4.5 star. That means basically mid-scale, upper mid-scale and upscale. We think the opportunity is so big in India that we do not want to go and start dabbling in other areas or pivoting our business model. For the time being, I do not see us at all focusing here. Though I know that many people are, we will not.

Jai Chauhan: Right, sir. Understood. And, sir, what I understand from a local market perspective, like for example, Uttarakhand, there are some type of asset structures like resorts work well there, this is something that I have heard. So, what are your views on it?

Patanjali G. Keswani: Well, resorts, certainly discretionary travel into vacation, leisure, pleasure, all that is doing well. We do not own hotels there. See, we have very few owned hotels in the leisure segment. But a majority of our managed hotels or at least 50% are in the leisure segment. We are interested in it, we are interested in managing resorts, we are interested in managing any vacation destination. Other than Aurika, Udaipur or Goa hotels and what we are building in Shimla, we are not currently looking at putting any capital at resorts currently.

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Moderator: The next question is from the line of Nikhil Poptani from Kizuna Wealth. Please go ahead.

Nikhil Poptani: Hi, sir. Thank you for giving me the opportunity and congratulations on a good set of numbers. Sir, my first question is, like, how much debt are we targeting to reduce this year?

Patanjali G. Keswani: If we list Fleur, we will be debt free. Otherwise, we reduce by Rs. 50 crore a quarter.

Nikhil Poptani: Okay, sir. That is great to hear. And so, when we are transferring our assets to Fleur, will there be any kind of consideration on cash basis or any kind of stock, our percentage of shareholding increases in Fleur?

Patanjali G. Keswani: That is subject to the committee of directors. There is one committee of directors in Lemon Tree, one committee of directors in Fleur. If you are patient like I am being, then you will get to know I think in a few months, perhaps by the next call.

Nikhil Poptani: Okay, sir. That is great to hear. And, sir, in our managed hotel network, how is the occupancy and ARR?

Patanjali G. Keswani: Well, if you look at the business hotel side, it is similar to us. If you look at the leisure hotel side, it is a little lower.

Moderator: Thank you. The next question is from the line of Sucri Patil from Eyesight Fintrade Pvt Ltd. Please go ahead.

Sucri Patil: Good afternoon. As Lemon Tree is thinking about scaling over the next few years

especially with the mix of owned and managed properties evolving, how are you planning growth between new geography segments or formats that may not have been core to your plans before? And if some of the let us say, Tier-2 or Tier-3 cities or the premium category do not play out as you had planned, what kind of contingencies or backups do you have in place to protect margins and maintain growth momentum? Yes, thank you very much.

Patanjali G. Keswani: Sucrit, in Tier-2 and Tier-3, we are not investing capital, just FYI. Our general approach to capital allocation is we will invest capital where we see high demand today and where we see a return on capital which meets a hurdle rate. We are happy to compete in an area where there is high demand and high supply. But we will not go and invest in markets where there may be future high demand which has not yet materialized, in which case if it comes, then we will be happy to consider investing there. Capital allocation will be very disciplined. It will be in markets where we feel we

have a competitive advantage in our modes of expenditure and so on, cost control, we feel we will be able to give a return on capital once it stabilizes of 20%. We are very, very clear on that.

Now, let us come to Tier-2 and Tier-3. The way we look at it is we have an opportunistic approach and a strategic approach. Opportunistic is any owner who comes to us and right now let me say there are, I am told there are 800 - 900 hotel owners who are in talks with our business development team and obviously there will be drop-offs at different levels. But we have a very healthy pipeline of potential growth in the asset light side. We do not have such a healthy pipeline in the growth of franchise, which is what we are wanting to activate now, which are smaller hotels across many Tier-2, Tier-3, Tier-4 cities. As far as strategic growth goes, as I had mentioned earlier, there are 180 - 200 cities which have currently high connectivity or will have high connectivity in the next 2-3 years based on the plans that have been announced. And these cities are where we want to have a hotel, although not our

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own hotel, but a hotel that we manage in order to make customers familiar with the Lemon Tree brand across India. Our general view has been that once we put a hotel in a city, the number of customers from that city who travel to other cities where we have hotels, they increase. Before we had a hotel in Calcutta, we were getting 100 guys from Calcutta every day. After we put up a hotel in Calcutta, we were getting 200 guys every day staying in our hotels. Basically, it is a visibility and network strategy we are focusing on and we will basically drive it through an asset-light strategy. Does that make sense?

Sucrit Patil: Yes, just to close the loop, would I be right to assume from what you have just given through a guidance that a franchise model would be in the cards of Lemon Tree in the next coming quarters?

Patanjali G. Keswani: No, it will be our focus for the Keys brands, not the Lemon Tree brands, which are far more coherent. Keys will be a soft brand. If you have noticed, many of the listed companies in the brand space have launched what are called soft brands.

Interestingly, even Marriott has launched a soft brand called Series. Most of the hotel companies of some scale operating in India have launched soft brands. This is to cover for those hotels that have been built by individuals and there are 1.2 million such rooms, which have been built tiny, that means it is 30 - 40 rooms hotel. It does not make sense to manage them because while you manage, you get 17% of EBITDA, but if you franchise, you get 10% - 11% of EBITDA and you do not have to actually do anything more than just distribute and sell that product. When you have disparate hotels, you cannot brand them coherently. You have to have a soft brand, which makes a commitment on quality, security, safety and hygiene with the umbrella brand of Lemon Tree, but it will not be branded Lemon Tree and yes, we want to hypercharge that part of the business and go after franchising in a very big way. And that is one of the reasons. Somebody asked me earlier. That is one of the strengths that Neelendra has.

Moderator: The next question is from the line of Vikram from Vikram Securities. Please go ahead.

Vikram : Hello, namaste. Congratulations on the great set of numbers. Just curious about how the shareholding will look after the demerger is done. How much of the Fleur will Lemon Tree hold? And what is the plan on the listing? Will you demerge it first? Or will we get a one-on-one stock for each share? I think the last time we have spoken about this. You had said there will be massive value unlocking. But I am just curious on how the shareholding will look like.

Patanjali G. Keswani: Again, Vikram, that is why we have set up two committees of directors in Lemon Tree and in Fleur. I think clarit

y will come once they come back with their recommendations. We have said a potential demerger. How will the demerger work is something that they have to come back with their recommendations to the board too. And once it is approved by the board, and we find such a scheme, then I think everybody will be aware of it and this will answer your question then.

Vikram: Do we expect some sort of announcement this financial year?

Patanjali G. Keswani: Definitely.

Vikram: Fabulous. And lastly, sir, what will Fleur, the asset-heavy business maximize out in terms of rooms? Will they ever keep expanding or will they top out at 4,000 - 3,000 rooms?

Patanjali G. Keswani: Fleur already has 4,000 rooms. And our intent is obviously to cross 10,000 - 15,000. If it happens, you will see it.

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Moderator: The next question is from the line of Bharat Gianani from Moneycontrol Pro. Please go ahead.

Bharat Gianani: Thanks for the opportunity. Just one clarification. Before the Fleur listing happens, any property that we start to acquire on the own or lease basis, that will be under wholly owned Lemon Tree subsidiary or the 60 % - 40% on Lemon Tree and Fleur?

So, just one clarification on that.

Patanjali G. Keswani: It is subject to obviously discussions with boards, but I would expect it would all be in Fleur.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Patanjali G. Keswani: Thank you once again for your interest and support. We will continue to stay engaged. Please be in touch with our investor relations team for any further details or discussions and we look forward to interacting with you soon and answering many of these questions also very soon. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity and accuracy. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Nov 2025

November 19 , 2025

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Name of Scrip: LEMONTREE BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001

BSE Scrip Code: 541233

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Ref: Outcome of Conference Call with Analysts/Institutional Investors

Dear Sir,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation to the disclosure made on November 13 , 2025 w.r.t. the audio recording of the conference call on Unaudited Financial Results for the quarter and half year ended September 30, 2025 held on Thursday , November 13 , 2025 at 04:00 PM IST, please find enclosed herewith the transcript of the conference call with Investors/Analysts.

This is for your information and record.

Thanking you
For Lemon Tree Hotels Limited

Pawan Kumar Kumawat
Company Secretary
& Compliance Officer
M. No: A25377

Encl: a/a
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Lemon Tree Hotels Limited
Q2 FY26 Earnings Conference Call Transcript
November 13, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Lemon Tree Hotels Limited Earnings Conference Call.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you, Mr. Poojari.

Anoop Poojari: Thank you. Good afternoon, everyone, and thank you for joining us on Lemon Tree Hotels Q2 FY26 Earnings Conference Call.

We have with us Mr. Patanjali Keswani, Executive Chairman , Mr. Kapil Sharma, Executive Director and CFO , and Mr. Neelendra Singh, Managing Director and CEO of the company. We would like to begin the call with opening remarks from the management, following which we will have the forum open for an interactive question -and-answer session.

Before we start, I would like to point out that some statements made in today's call may be forward -looking in nature, and a disclaimer to this effect has been included

in the earnings presentation that was shared with you earlier. I would now request Mr. Keswani to make his opening remarks.

Patanjali Keswani: Thank you, Anoop. Good afternoon, everyone, and thank you for joining us on this call. I will be covering the business highlights and financial performance for Q2, post which we will open the forum for your questions and suggestions.

During the first half of the year, the industry faced multiple headwinds, including geopolitical tensions, floods, airplane accident, tariff wars and GST revisions, which resulted in some muted demand. Despite these headwinds, in Q2, Lemon Tree reached and recorded its highest ever Q2 revenue at Rs. 308 crore, which grew 8% compared to Q2 last year.

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Net EBITDA grew 1% to Rs. 132.4 crore, translating to a net EBITDA margin of 43%, which decreased by 306 bps YoY, primarily due to increased investments in renovation, technology and a onetime ex-gratia payment to employees due to salary cuts during COVID. While these expenses/investments accounted for 8% of revenue in this quarter, we expect all these 3 expense heads to reduce to 5% of revenue in the next year, before stabilizing at 2% of revenue by FY28 onwards. So we expect this will lead to a corresponding expansion in EBITDA margin.

We have completed significant renovations in H1 this year with major upgrades being completed in the Delhi, Bangalore and Hyderabad markets and the Keys portfolio.

Post these upgradations, for example, the Red Fox Aerocity Hotel has been rebranded as Lemon Tree Hotel Aerocity, which will now allow us to reprice the hotel from this quarter onwards and capture significantly higher revenue.

Similar upgrades have occurred in our 2 hotels in HITEC City, Hyderabad and in Whitefield and Electronic City in Bangalore as well as, as I said, the Keys portfolio.

As an example, we have seen a significantly improved performance in the first fully renovated Keys hotel in Pune, which has now shown an increase of roughly 47% in RevPAR YoY.

Q2 FY26 recorded a gross ARR of Rs. 6,247, which increased 6% YoY. The occupancy for the quarter stood at 69.8%, an increase of 139 bps YoY. This translated into a RevPAR of Rs. 4,358, which increased 8% YoY. The company's profit after tax stood at Rs. 41.9 crore in Q2 FY26, an increase of 20% YoY. Cash profit for the company stood at Rs. 76.3 crore in this quarter, an increase of 9.2% YoY.

The debt for the company stood at Rs. 1,610 crore as of 30th September, a fall of Rs. 212 crore vis-a-vis the Rs. 1,822 crore on 30th September last year. Lemon Tree has also improved its credit rating to A+ from A, which has significantly reduced our cost of borrowings over the year to 7.72% in Q2 this year as compared to 8.68% in Q2 last year.

On the asset-light side, in Q2, we signed 15 new management and franchise contracts, adding 1,138 new rooms to our pipeline and operationalized 5 hotels, adding 272 rooms to the operational portfolio. Lemon Tree also won the Letter of Award through an auction for 2.25 acres of land in Nehru Place, New Delhi. The proposed hotel on this site will be a 500 to 550-room Aurika hotel and the initial approvals and design of the hotel are currently underway. This will give Lemon Tree a long-term strategic advantage with a very large, high revenue-generating hotel in a prime location with minimal anticipated supply growth in the foreseeable future.

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As of September 30, 2025, the total inventory for the group stands at 242 hotels and 20,074 rooms with 10,956 rooms and 121 hotels being operational and the rest in pipeline. Keeping with the muted demand environment, in H1, specifically in Q2, fees from management and franchise contracts from third-party owned hotels stood at Rs. 14.3 crore in Q2 this year, an increase of 7% YoY.

Fees from Fleur Hotels stood at Rs. 19.9 crore in Q2, an increase of 8% YoY. Total management fees for Lemon Tree stood at Rs. 34.3 crore in Q2 FY26. Although there have been a few delays in the scheduled openings of managed and franchise hotels, we are very confident of accelerated growth in our management fees going forward.

While Q2 posed headwinds, our outlook for H2 remains extremely positive with our continued investments in renovation and technology, showing material increase in occupancy and ARR across the portfolio in Q3 and onwards.

With this, I come to the end of my opening remarks and would ask the moderator to open the forum for any questions you may have. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Karan Khanna with

Ambit Capital. Please go ahead.

Karan Khanna: Yes, hi and thanks for the opportunity. My first question is on Aurika, Nehru Place. If you can help us understand because it appears that the total lease payments are at about Rs. 10,000 crore over a 55-year tenure. What kind of margins are you expecting in this project in the next 5-7 years? And more importantly, what kind of IRRs have you penciled in while finalizing this project? And as a follow-up, are there any other nonnegotiable parameters that you maintain when considering a greenfield development on your own balance sheet?

Patanjali Keswani: Firstly, this is on the balance sheet of Fleur and as you know, we are looking at listing it. The IRR that we expect is north of 15% but let me explain how this works. This is a headline number you are reading. Our lease rent is going to be Rs. 27 crore, and it will escalate at 5% a year over a 55-year period. So if you look now we are talking inflation. Basically, this will escalate at a rate of inflation. And on a cycle basis with the repricing of this asset and its specific location.

You see if they had sold this plot, our best guess is it would have gone for Rs. 600 crore. So really, we are paying something like a 6% rate on the value of the land and that value of the land will be captured in the ARR. Let me give you an example.

Lemon Tree Premier, Delhi nowadays is now doing north of Rs. 10,000. We have

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done an IRR, assuming this hotel is ready 4 years later based on Rs. 12,500 ARR which is therefore, an IRR on a very conservative basis.

Our best guess is that this hotel, once it is stable, like many of our existing hotels like Lemon Tree Premier, Delhi, for example, currently does about Rs. 24 lakhs to Rs. 23 lakhs EBITDA per room. If you take this at a 550-room hotel and the current EBITDA of Lemon Tree Premier, Delhi, and this is a Aurika, not a Lemon Tree Premier, then we are talking of Rs. 150 crore, of which we will give roughly 1/6 to DDA. I would not worry about my headline number. That was to make it sound sexy. For us, it is a very, very good project.

Karan Khanna: Sure. This is helpful. Just as a follow-up on this, if you look at your pipeline of projects, so you have about 2-3 hotels that are currently on the pipeline on your own balance sheet. But essentially, if you look at most of the pipeline, this is largely in the Aurika brand. So is it a conscious strategy to position upcoming own rooms under the luxury segment while expanding via the asset-light route for the mid-scale segment?

As a follow-up, given your balance sheet now supports you to perhaps take on more greenfield opportunities. So what is the thought process for that now going forward, given that while you have announced one project, which is Aurika, Nehru Place, how should we look at future expansion in terms of greenfields going forward?

Patanjali Keswani: Okay. Let's go back for a minute. We are brand agnostic as to when we deploy capital. What we are interested in is what is the market segment we want to target and where is it that there is sufficient demand. Obviously, higher price, the better, where we can compete in the market and look at a ROCE, which meets our hurdle rates.

Based on what we felt about Shimla, about Shillong and obviously about Nehru Place, we said we would put up Aurikas. But for example, if we looked at another location, which we are, they may be Lemon Trees or Lemon Tree Premiers. So there is no conscious decision to grow the upscale portfolio. It is simply based on the type of demand and how we can get a return and our bid is based on that. Even if we lose the project, we are quite okay because ultimately, it is all IRR.

Karan Khanna: My second question, if I look at the numbers for this quarter, it seems that Bengaluru grew just 6%, while Gurgaon declined by almost 10%. When I look at this v/s peers, it se

ems that this is a bit lower compared to the performance of some of your peers in these markets. So was there any specific reason why the portfolio here relatively underperformed this quarter?

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Patanjali Keswani: Yes, 2 reasons and that is linked actually to the P&L. So let me just give you a number. In the last 3 years, about 2.5 years, really in the last 2 years, we have renovated 3,000 rooms. Out of a portfolio that needs renovation, excluding new hotels for 4,600 rooms, we have spent a little under Rs. 300 crore in this renovation. A large part of this is OPEX, which is affecting the bottom line. But the way we look at it is, this is very limited short-term pain for significant long-term gain.

I had referred in my opening remarks briefly to Keys, the first fully renovated Keys hotel, Pune is showing 47% improvement in RevPAR. And you will start seeing it from Q3 because lots of rooms were shut in H1 and far fewer rooms will be shut in H2 where we see more demand. Our renovation is also based on demand/supply patterns.

In Gurgaon, we had closed a large number of rooms and if I look at sold-out dates on the smaller inventory, we were sold out on many days, and we could not sell more rooms. It was very simple. So this is part of the reason. Plus during renovation, there was a lot of noise. And when there was a lot of noise of banging, breaking and drilling and so on and so forth, your pricing also must reflect that. So there was a double impact really for us. And now that renovation is over. So I suggest when you look at Q3, you will get a complete picture of what the renovation is starting to yield. And I can assure you it will be a startling revelation.

Karan Khanna: Sure. And then my last question on Aurika, Mumbai, if you can provide some color in terms of how the ADR and the occupancies trended during third quarter? And more importantly, what is the expectation for second half for Aurika, Mumbai and the rest of the portfolio, October, November, what has been the RevPAR overall for the sector and perhaps for your portfolio as well?

Patanjali Keswani: I cannot comment on the sector, and I hesitate to give guidance. Let me tell you that I would be expecting mid-teens RevPAR growth this quarter, primarily because one of the reasons was, October was very muted for the hotel industry because you had Dussehra, you had Diwali and Chhath Puja this year in the entire month of October, which is a big deflator of business demand and in fact, retail demand other than pure leisure.

Dussehra, Diwali and Chhath Puja last year were in October and November. So in October, interestingly, we were 4% in occupancy lower than last year. ARR was up, but the occupancy was lower. But in the first 15 days of November, not only have we overtaken that, but on an overall basis, we are in the mid-teens in RevPAR, in revenue growth. If we continue on this trajectory, then mid-teens is the minimum expectation for revenue growth for Q3.

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Karan Khanna: Sure. And on Aurika, Mumbai, if you can give some color on this, yes.

Patanjali Keswani: Aurika, Mumbai did well last year, if I remember right. On an improved base effect, it will still be north of 15%.

Moderator: Thank you. Next question comes from the line of Sameet Sinha with Macquarie. Please go ahead.

Sameet Sinha: Thank you very much. So, in terms of renovation spend, if I am doing the math correctly, it seems like you are 66% above last year, same time first half last year.

Can you tell us how many rooms are done? What are you thinking about second half and how much will be left over for FY27? Second question was around the GST rate cuts. Obviously, you get a double benefit, right, lower room rates as well as higher disposable income for people to spend. Can you talk about that? Have you seen any sort of discernible change in the last few days since September 21? And if there

is

any way to kind of isolate that specific change?

Patanjali Keswani: Very good point. Thank you for asking Sameet. As far as renovation goes, renovation is ongoing. The call we have to take is, we have to renovate this entire portfolio by next year. We have renovated about 3,000 out of 4,600 rooms. Some more will be renovated in H2. Many, many more will be renovated in H1 next year, because it is a question of demand/supply. So this is a call we take based on what we see happening in each micro market. And then there is always this trade-off. For example, many, many days in H1 this year, the 80 rooms that were shut, 80 to 100 rooms that were shut of the Delhi hotel, we definitely needed. But that trade-off was that we would take the hit now and reprice the new hotels when they came back to market. So it is, as I said, short-term loss, long-term gain.

To summarize, this is ongoing. Right now, it is 3,000 rooms. We have 1,600 more rooms to renovate. Now the other interesting thing is the high-value renovations are Rs. 10 lakhs - Rs. 12 lakhs a room. Then there is medium value renovation at Rs. 6 lakhs - Rs. 7 lakhs - Rs. 8 lakhs a room and there is low-value renovation at Rs. 3 lakhs a room.

So when I say I renovated 3,000 rooms, some have been at Rs. 12 lakhs but we have tried to renovate the high-value hotels first, which is why we have spent about Rs. 300 crore, the majority of which is OPEX over the last 2-2.5 years. Is that correct, Kapil?

Kapil Sharma: Yes.

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Patanjali Keswani: Just in renovating. And that is why I think from an investor/analyst perspective, you have seen this decline in our EBITDA margin. But this is a one-off decline because, as I mentioned, this entire investment which we are making, what we think is one-off over 3 years is really in technology. This year, of course, we also have ex-gratia, which will be another Rs. 20 crore, which is affecting our EBITDA. But if you look at

renovation OPEX , TFS OPEX , ex-gratia and so on, it put together is about 8% of revenue in this quarter v/s 5% last year, which explains the 3% fall in our EBITDA margins in Q2 this year v/s last year. So this is a balancing act, Sameet . What I can tell you is rather than give you month -by-month numbers , what I can tell you is that by the end of next year, calendar year, most of the portfolio, if not all, will have been fully renovated. So Sameet , that is the first point.

Coming to GST effect. GST affected about , when we looked at the previous year, about 50% of our portfolio was under Rs. 7,500 in room rate and 50% of our revenue . For us, the impact then assessed was 3 % - 3.5% of revenue because that was the loss of input credit and your expenses would go up that much.

Now I think I mentioned in the last investor call that we were hoping that we would get to a 7% - 8% improvement in revenue to account for this 3.5% increase in cost in order to maintain our EBITDA margins. That is very evident now. But obviously, we do not like the increased expenses. We think looking at the way our rates are growing, this 3.5% impact on EBITDA will probably come down to 2.5% when we finish this quarter. And going forward, as our rates keep going up and more and more rooms are priced over Rs. 7,500, then we will have the double whammy benefit of higher ARR, higher GST income input credit, and that should nullify it in our best guess by next year. Does that answer you or confused you sufficiently?

Sameet Sinha: No, that was good. Just one final kind of follow -on to that is. For this year, looking at your aggressive renovation schedule and obviously take the hit now for gains later, do you expect EBITDA margins to be up year -over-year, flat, down? Any commentary there?

Patanjali Keswani: I think in FY26 , our EBITDA margin will be the same as FY25, which means effectively that the increase in spend, we will make up with a dou

ble increase in

revenue. So if our spend goes up by 'X', our revenue will go up by '2X' on that basis, and we will maintain our EBITDA margins. But going forward, our forward thinking is that we would be very disappointed if by FY28 , our net EBITDA without extraordinary expenses is less than 59%.

Moderator: Thank you. Next question comes from the line of Abhay Khaitan, Axis Capital. Please go ahead.

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Abhay Khaitan: Hi, thanks for the opportunity. My first question is on Aurika, Mumbai. Firstly, on the 71% occupancy that has been reported in the quarter, just wanted to understand how much of it has come from the negotiated one that is the crews or operators and how much of it is transient? And are we seeing this trend change over the quarters? And the second part to that, the same question would be that so far, we have also seen ARRs declining YoY. And now that the occupancy has more or less stabilized in the last 3 -4 quarters, we are seeing 70% plus occupancy. When can we see the ARR growth pick up from here? And what is the sort of stabilized ARR that we are looking at for the property?

Patanjali Keswani: I think I had said this in earlier calls also, where we had first plan was to fill the hotel and then do the shifting of low -value business and as we could gradually replace it with high -value business. This is the largest hotel in India. It has an enormous inventory. Obviously, our focus was not on ARR, rather the total revenue we could generate from this hotel.

When we talk that we have achieved 75%, say, in Q4 last year, that was within a year or so of operationalizing this hotel. In my opinion, our team in Mumbai , our revenue team did a phenomenal job. But it had a very large amount of crew and not enough corporate and negotiated and not enough retail business.

When I look at retail today for Aurika, Mumbai , the corporate now has stabilized at about 130 - 140 rooms. I am talking Q2. The airline business is at 150 v/s 95 last year. The travel trade business has about doubled from 20 to 40. So really, the negotiated business has gone up from 256 to 320 rooms. The retail business has gone from 80 rooms to 180 rooms. Typically, it takes a little more time. We do not advertise Aurika in the papers or in TVs and so on. But I am reasonably happy with the pickup in retail, and I expect that this non -negotiated part of the business will continue to grow over the next 1 year.

Once that happens, let me put it this way, the gross ARR of the negotiated business is only at sub -Rs. 8,000, but the retail business is north of Rs. 10,000. But because of this mix, the overall ARR was showing at Rs. 8,500. But my expectation is like from Q3 onwards, it will cross Rs. 9,500; then in Q4, it will probably be north of Rs. 10,000 , in the next summer, we will then move to Rs. 9,000, Rs. 9,500 , and in winter, we will hit our target, which will be Rs. 11,000 to Rs. 12,000. Actually, I expect we will hit Rs. 12,000.

Abhay Khaitan: Understood. That is very helpful. My second question is that if you have any updates on the Fleur demerger, any update that you can provide on what is the process and what is the timeline that we are working with right now on this?

Patanjali Keswani: It is in process. There are a subcommittee of the Board and the full Board, which is in discussions, both boards, Lemon Tree and Fleur. And I think we will have a bunch of interesting things to tell the market, I think, in the next 3 months. Would that be right, Kapil?

Kapil Sharma: Yes.

Patanjali Keswani: It is not only the demerger of Fleur, but some other even more exciting stuff, but we will talk about it when the time is right.

Moderator: Thank you. Next question comes from the line of Prateek Kumar with Jefferies.

Please go ahead.

Prateek Kumar: I have a couple of questions. You talked about like renovation of rooms, 3,000 rooms followed by 1,60

0 more. Just wanted to understand the schedule of this renovation.

Is it the first time we are renovating post COVID or it has been like a constant renovation where you are trying to upgrade the pricing for your portfolio over like in the past 5 years?

Patanjali Keswani: See, we took a call that we think that there are going to be structural shifts in consumption in India based on the current level of GDP per household and the expected move of different cohorts of customers who will treat mid-market branded hotels as nondiscretionary rather than discretionary.

Now looking from that perspective, we took the call that, as I said, we would take some short-term pain. And this was not only strategic, it was also in my opinion, essential because we stopped renovation pre-COVID. We planned obviously a routine renovation. But for those 3 years during and post-COVID, we had to repair our balance sheet because obviously, we were skeletal at the end of that.

So really, renovation started in summer of 2023. And that too, we did not have so much cash flow. So we did a few hundred rooms. Then in 2024, we accelerated. In 2025, for example, this year, I think we are going to spend about Rs. 130 crore, Rs. 140 crore, including capex in the renovation of our hotels. So as I have repeatedly said, these are one-offs because once we finish this complete reimagination of our rooms, and these are lovely new rooms, which you will see we are capturing in pricing, by the way, in the fully renovated hotels we have, then our renovation spend will drop to 1.5% of revenue.

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But while we are going through this pain, we are going to see it as probably 6% of revenue. And therefore, our EBITDA margins are going to take a hit of 4% - 4.5%. And I urge you to look at how it will be once the renovation is over because it will have a double whammy. You will have new rooms, very little future investment for the next 3 years. In fact, that 1.5% is an average. I expect that in FY28, '29, '30, we will probably spend 0.5% of our revenue in renovations or upkeep. And with it, our pricing will also go through the roof. So as an example, besides the Keys hotel that we have renovated, we have now renovated 2/3rd of the Keys, Whitefield. If I remember right, the ARR has gone up 30% or 40%, sorry. And I am talking obviously this quarter because last quarter was very muted, pricing hikes were also muted. If you look at Lemon Tree Premier, Delhi, it is going through the roof. If you look at Lemon Tree Premier, Hyderabad, I was amazed to see that our ARR is north of Rs. 12,000 when it used to be Rs. 6,000 3 years ago. So this is going to be visible to you from Q3 - Q4 as more and more renovated high-value hotels come for sale.

Our plan is very simple. I want to just mention to everybody, we will spend another Rs. 130 crore - Rs. 140 crore next year, in total, so that we finish this entire portfolio once and for all. And the fruits of that of the current renovation, the fruits will be visible in this H2 and the fruits of the complete portfolio will be visible from H2 next year. But even this year, it is very encouraging what we are seeing.

Prateek Kumar: I have a related question. You mentioned about, I think, tech upgrades also, what specific digital initiatives are being implemented and how will that impact the guest experience and cost efficiency?

Patanjali Keswani: So that is a work in progress. We have not yet focused on the cost towers that we want to implement, which is an automated way of managing costs because we feel our control over costs and our management of cost is a key moat for us, and it is actually a moat which is difficult to climb to overcome for any other hotel company as far as I know in India.

The focus was initially in creating, using AI, deep learning, our own revenue management system. This has been self-learning for the last 1.5 years and I think it

is at MVP 2 stage. I think it will be fully operational maybe by next winter. Because the data we had during COVID was obviously irrelevant, so we need to build history and data and demand in order to be more and more accurate in automated pricing, dynamic pricing literally every 2 hours. As far as the second part goes, it was the cleanup of our data lake. We had, I think, 10 million customer profiles, keeping in mind privacy laws, so on and so forth, we were wanting to reimagine and reinvent our loyalty program and our website. That, too, is work in progress. Elements of it

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will be visible now from this quarter. We have about 2.1 million members, but there is a fair amount of duplication. We are trying to use basically technology to drive our loyalty/website.

Third element is on sales. We use Salesforce. We have integrated it into our system. We have put a middleware in place where we think we will be significantly able to improve the efficacy of sales. Now why am I talking about efficacy of sales? It is also linked to , as a strategy and as an industry, we have very high attrition. So we were looking at automating as much as we can on the front -facing relatively low engagement jobs of front office, housekeeping, so on and so forth, even engineering now. Our intent is very simple. How do we use technology to improve guest service and experience? How do we use it to improve revenue? How do we use it to outreach to more and more customers using third -party data sources? And how do we price it better so that we can maximize our yield? And of course, how do we improve our repeat guests, which is already, I think, north of 40%. How do we keep increasing each of these? Because put together, they lead to a completely virtuous cycle. And I am pretty confident that by next year, we will have achieved at least 70 % - 80% of what we hope to achieve over the long term.

Prateek Kumar: Sure. If I may ask one more question. Recently, IHCL's recent acquisition of Clarks Hotels significantly expand its presence in the luxury and mid -scale segment under the Ginger brand. Given Lemon Tree's leadership in this space historically, how do you view this consolidation impacting your growth strategy or otherwise?

Patanjali Keswani: I do not see any change actually because it was a branded portfolio earlier, it is still a branded portfolio. Ginger really is positioned v/s Keys, the 2 lower Keys brands and maybe Red Fox. And we were competing with Clarks and now we will compete with Ginger. So I just see it is good that more and more consolidation will happen. And ultimately, the consolidation of the very fragmented hospitality landscape in India will lead to, I think, better standards, better outreach and will help this structural shift towards branded hotels. I see it more as collaboration, no competition. And just a minute, Prateek, I think as somebody just advised me, I should also mention a very large part of our technology investment is geared towards managing scale. So while we have not accelerated , I was talking to my new colleague, Neel, who I hope will be talking to you going forward. We want to focus extensively on the asset -light part of our business because of this very fragmented landscape. And while we have 240 hotels in our portfolio now, including the pipeline, we want to use technology to not only drive the business development, but to also drive customer outreach to these new locations we are getting into so that we really juice the network effect of our

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system. So that is an unstated outcome we want to get from the technology investments we are making.

Moderator: Thank you. Next question comes from the line of Sumant Kumar with Motilal Oswal Financial Services Limited. Please go ahead.

Sumant Kumar: My question is for technology investment, what we have done. Is it our in -house team or we are having a third -party vendor

where they are working on it?

Patanjali Keswani: We started with BCG , Boston Consulting Group laying out a strategic road map, which was scanning best practices worldwide in technology and in our industry. When that assignment got over, we, in the process, also recruited a couple of BCG consultants. We have our own leader of the team, and it is in a 100% subsidiary of Lemon Tree called Totally Foxed Solutions. It is a tech company. It is currently doing all its piloting with our owned hotels, and now we are going to move into the managed portfolio. So the team is, I think, about 20 people, Kapil?

Kapil Sharma: 30 now.

Patanjali Keswani: Now, there are 30 people in this team, which is why you are seeing this investment in technology. And we are working with various vendors. We also have some implementation support technology staff like from Ernst & Young right now. We have also various other platforms that we are using or using and putting a middleware in place. But our intention is ultimately to be self -sufficient other than in those modules in our technology stack where the architecture accepts commodity products like, for

example, property management systems, and we simply put a middleware in order to get that data in the right place and then do the right set of analysis and so on and so forth.

Sumant Kumar: Okay. These 30 member teams, we have created their main work, whatever module we are getting from the supplier software or maybe they are integrating that module to our system, right? I am maintaining that.

Patanjali Keswani: Correct. By using APIs, middleware and then creating our own AI/ML, our LLMs on top. So as I said, because our data is limited post COVID, this is a work in progress.

We really started this about a year and 2 years ago. And we think some results, early results are visible, but many of them are at MVP 2 stage. And we think they will be fully, well, let it be put this way, debugged and piloted out and checked at scale and then rolled out in the next 12 to, I would expect 18 months?

Kapil Sharma: Yes, 18 months.

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Patanjali Keswani: Yes.

Sumant Kumar: Okay. Now coming to Aurika, Mumbai, how is the MICE activity or the business segment there? And what are we trying to increase more MICE in our hotel?

Patanjali Keswani: MICE v/s last year doubled from 19 rooms to 41 rooms in Q2. But Q2 is a very bad example because it was really the worst quarter. In Q3 and Q4, we will be able to give you more color. But suffice to say that the change in mix, somebody asked me earlier about Aurika too, Sumant. If you look at last year, in Q2, we did 337 rooms per day, which is about 50% occupancy. And this year, we did about 504 rooms a day, which is 75% occupancy. So this increase of about 170 rooms per day from last year to this year in Q2 in a very muted demand environment came not due to a growth in corporate because corporate did not grow. It was due to a little bit of growth in airline and a massive growth in retail. So really, this 170 -room growth, if I summarize, 100 rooms came from non-negotiated and 60 rooms came from airline. And therefore, airline was a deflator because the rate of airline is Rs. 8,000 whereas negotiated was an inflator. So it is a mix. It varies. What do we pick up at what price, what is MICE at and so on.

For example, the doubling of the MICE business dropped our rate by about Rs. 1,500 because in Q2, there was not that significant MICE. Last year, we did Rs. 9,000 for 19 rooms. This year, we did Rs. 7,500 for 41 rooms. But what I am trying to say is I am pretty pleased with the way it is progressing based on my experience of opening big box hotels. And by next year, I think whatever we said as our target about Rs. 12,000 ARR and so on, you will start seeing that definitely play out.

Moderator: Thank you. Next question comes from the line of Vikram Shah from Vikram Securities. Please go

ahead.

Vikram Shah: Good evening. Congratulations on a good set of numbers again. I have one question to start is, again, I did not get the opening statement. So what was the main reason for the muted quarter industry-wide? And do you still expect to do 100% of your internal expectation at the beginning of the financial year?

Patanjali Keswani: Yes. To answer, yes. Now why was Q2 muted. So perspective. Last year, Q1 was muted because of elections and pent-up demand moved to Q2. So last year, Q1 base was low, Q2 base was high. Traditionally, most hotel companies report Q2 is the worst quarter, traditionally. But last year, for example, Q2 was much better for us than Q1, precisely because of this reason I just enumerated. Now Q1 this year, because of the low base of last year, was a 17% - 18% growth in our revenue. Q2, on the other hand, because of high base last year was muted and further affected

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partly by base effect and partly by these massive rains, which really affected us in multiple locations. There was this airline crash, which affected airline traffic and also demand for us for about 2 weeks. There was this war or this war effect. So there were multiple little, little, little reasons affecting large swaths of India or, in fact, all India. So it was muted. And I think when I look at the results, which have been given by the larger players like Taj or ITC and so on, if I take out consolidation and I take out other income, they are all in 7% - 8% zone. So we grew, they grew roughly the same.

Now obviously, some may have grown better. They were concentrated in markets which were less affected, which are the smaller players, but I do not want to comment on that. What affected our EBITDA margins is very simple, and I keep repeating it, which is we are making massive investments in technology and in renovation. But when we finished the renovation, we will have invested Rs. 450 crore across the portfolio. And this is a catch-up and a reimagination. And when we finish our technology, our technology spend will typically stabilize at about 0.7% of revenue,

but much increased revenue. There was another impact this year, which was the repayment or I should say, the ex-gratia we gave to those staff members who took a big hit during COVID on their payroll, on their salaries and roughly Rs. 20 crore will be paid back to them in this year. So that Rs. 20 crore will have an impact on our EBITDA for this year, but that is an absolute one-off.

The increase in renovation expense will continue to next year. And if I look at the total expense on these one-offs and this increase in renovation, it accounted for 8% of our revenue vis-a-vis 5% last year, where we also did a lot of renovation. So there was a 3% hit on our EBITDA. So last year, we did 46%. This year, we did 43%. It is very simple math.

Vikram Shah: May I quote you, sir, on an interview you gave on YouTube recently with the Inside Scoop and where we spoke about Rs. 1,000 crore EBITDA target next year, I suspect. And then there is a road map towards gaining a lot of market share and hitting a Rs. 1 lakh crore valuation at some point. Is this possible after the delisting or the relisting of Fleur v/s Lemon Tree, where Lemon Tree continues to capture a lot of the franchisees and managed hotels and Fleur continues to capture market share in larger cities?

Patanjali Keswani: Yes, we do want to target Rs. 1,000 crore, but I want to be very specific. This is for both Lemon Tree and Fleur put together. So I was talking of us as a group. What is the vision? It is very simple. At some point in time, any company has to take a view on the future. When Lemon Tree started, it was totally asset heavy. Roughly 10 years

ago, we started focusing on the asset-light side when we felt we should start looking at monetizing our brand and expanding our network. We are a young c

ompany. We

are really from the first hotel to today, that first 50 rooms to the 11,000 rooms we have. It has happened in the last 20 years.

Now that our brand is monetizable and very widely recognized, our view is very simple. In the mid-market space, we do think we are dominant. And ultimately, there will be 1, 2 or 3 players in this space. And it is traditionally worldwide, the single largest space in the hospitality sector and the one where you have maximum scale.

I joke with a couple of my friends in the hotel industry that all the large hotel companies started in the mid-market and they acquired 5-star brands. In India, for whatever reason, we have been more 5-star driven and less mid-market driven. But like in China between 2006, where we are today in household income and so on and 2013, this grew 6x - 7x. And I expect the same thing will happen in India, and we have to take a view on it with appropriate risk adjustment. So what is our view? Our view is we list Fleur as a pure asset corp. It will have its own set of investors. It will raise capital. It will build hotels. We will support it. Obviously, it may have other brands, but we hope with our performance that we will be the preferred provider of management and brand services. Lemon Tree will continue growing with third-party hotels and will now start focusing on franchise.

Now one very important element of the Indian market is that individuals who own small hotels do not want us to manage their hotels because it is like a family business or some nephew or niece or daughter runs it. We want to provide them technology/distribution support and that is the traditional model globally when the market has expanded from where we think it is today to where we think it will go in 2033. So that is our view. It is very simple. We are trying to make it sexy. We are trying to say we will help you with ESG. We will show you how to use renewable energy. We will lower your cost. We will demonstrate to you that every buck you pay us in fees, we will improve your revenue/EBITDA by 4x. We want to be an attractive provider of these services and basically monetize our brand and management capability and use Fleur to grow in those markets where we think they will generate the hurdle rates of IRR we look at because that is a massive opportunity for Fleur too.

Vikram Shah: Noted, sir. Of this Rs. 1,000 crore expectation, my last question is which normalized after a year, will you expect what percentage to be Fleur and what percentage to be Lemon Tree?

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Patanjali Keswani: Friend, I cannot give you so much guidance, Vikram. One day when you are in Delhi come over for a coffee, and without it being UPS I, I will show you how we are looking at it as a vision.

Vikram Shah: I definitely will. Who should I get in touch with to get in touch with you?

Patanjali Keswani: Me, patu.keswani@lemontreehotels.com.

Vikram Shah: I will write to you, sir. Thank you so much.

Moderator: Thank you. Next question comes from the line of Vaibhav Muley with YES Securities.

Please go ahead.

Vaibhav Muley: Thanks for the opportunity and congratulations on a good set of numbers. Sir, my first question was regarding our management portfolio. We have continuously seen strong traction in terms of signings, but openings have been lagging. And I understand the actual timelines are beyond our control, and it is more dependent on the developers. But for our growth to sustain going forward, openings of management contracts is going to be critical. So just wanted to understand when do you see this pace of openings to pick up going forward for managed portfolio?

Patanjali Keswani: So typically, at least with my experience and conversations with other players in the managed/franchise space, openings are always behind the curve because if you are a growing company, you will be always adding more pipeline, but the pipeline

that

you open is 3 years ago. So just think of it very simply, if I signed 800 hotels or 1,000 hotel rooms in 2023, I will open them in 2026. In 2024, I will sign 1,500 rooms, I will open it in 2027. In 2026, I will sign 4,000 rooms, I will open it in 2029 or 2028. So really, there is a time lag. This is a positive sign that we are signing more than we are opening because what we are opening is what we signed 3 years ago. So as long as the signings are more than the openings, it means that there is positive net addition. Am I making sense to you?

Vaibhav Muley: Yes, sir. But if you can just provide broad guidance in terms of possible number of Keys that could be added over the next 3 years? I mean the operational Keys on the managed part.

Patanjali Keswani: So we are now going at the rate of 4,000 rooms. Yes. So I think we should do 5,000 next year, maybe 7,000 the following year. We would also look at some acquisitions, which is unstated, but I kind of implied it. We think that we should be closer to 35,000 to 40,000 rooms as a pipeline that is double the pipeline in the next 2.5 years, including operational.

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Vaibhav Muley: Okay. And second question on Aurika, Mumbai. So last year, for Q3 and Q4, Aurika performance had notably improved, right, sequentially. For Q3 and Q4, occupancy as well as ARR are relatively higher. Do you think the higher base for Aurika, which was actually a benefit for first half where Aurika did lower occupancy last year, that will be a challenge in terms of posting a double-digit growth?

Patanjali Keswani: No, not really. So look, it is also, I think, one very important part of our business is not only cyclical due to demand supply over a 7-year cycle, but also seasonality. See, like if you talk to a hotelier in America, he knows exactly when Christmas is, when Good Friday is, when Thanksgiving is and so on because it is a fixed date. In India, the important festivals are not a fixed date. They vary. As I mentioned in passing earlier, last year, in October, there was really Dussehra and the beginning of Diwali and Chhath Puja was in November, whereas this year, all the 3 were in October. In October, we were flat vis-a-vis last year. But in November, we are very far ahead of last year. When I look at Aurika, first 45 days, in spite of doing well last year, we are roughly 30% ahead of last year, okay, in Q3. And therefore, it will take our average up. So when I say mid-teens, well, 15% of that growth of mid-teens, say, 2% is due to the Aurika impact and I am starting to wonder guys, when I listen to all of you that are you going to grill me the same way with Aurika, Delhi. That is what I am worried about. But anyway, Aurika is now performing the way we want it to. The journey we envisaged for it. And I think you will also be quite happy with the outcomes for Q3 and Q4.

Vaibhav Muley: Great, sir. Just lastly, on the Lemon Tree Premier and Lemon Tree Hotels, the performance has been divergent across both the brands in Q2. While Lemon Tree Premier did see positive RevPAR growth with slight occupancy improvement, Lemon Tree Hotels actually posted a negative RevPAR with quite a bit of decline in occupancy. Any particular reason for this divergence?

Patanjali Keswani: Part of the reason, as I had explained earlier, a significant part is the renovation that we did because the renovation, it is not that we are renovating 20% of Lemon Tree Premier and 20% of Lemon Tree Hotels, it varies. And if you look at it, Red Fox, for example, 1/3rd of the Red Fox in Delhi was shut. That is why it was 0% growth and in fact, the occupancy was negative. Similarly, lots of Lemon Tree Hotels like in Ahmedabad, in Indore, in Aurangabad, in Chennai, which was a high demand market. We had to shut large portions of it. So this is a catch-up. So I would urge you not to look at a quarter result. Please look at the full year result.

t. It will tell you exactly

what is happening because we are also being quite conservative and careful in the way we are renovating. Ideally, I would have liked to shut down the entire portfolio

and renovate it in 6 months, but then there would have been 0 revenue for those 6 months.

Moderator: Thank you. Next question comes from the line of Kaustubh Pawaskar with ICICI Securities. Please go ahead.

Kaustubh Pawaskar: Sir. I have a couple of questions. First, a clarification. You mentioned that renovation cost overall will be around Rs. 450 crore and I guess in your earlier comment, you mentioned that out of that, we have spent around Rs. 200 crore. So for next 2 years, should we assume renovation cost to be around Rs. 250 crore?

Patanjali Keswani: No. Take the weighted average of renovation cost at Rs. 10 lakhs a Key. So we have renovated 3,000 rooms and spent Rs. 300 crore, of which the majority, I do not have the exact breakdown, is OPEX. We still have to renovate another 1,600 rooms. So you assume another Rs. 160 crore at the same rate will go into renovating these, of which the majority will be opex. And this will be reflected next year, and then it will more or less disappear after that.

Kaustubh Pawaskar: Sure. Sir, my second question is on the demand side, especially in the mid-scale or mid-premium range of hotels where we are looking large supply, which is coming up in most of the markets. So you just comment on the demand front in this particular segment because supply is going to be there. But also in terms of demand, how do you see demand shaping up in this particular space?

Patanjali Keswani: The best proxy for demand, Kaustubh, is the rate of growth, which is the consolidated industry that is a proxy for hotel demand is airlines, unlike the hotel industry, where a lot of this assessment, frankly, is anecdotal or it is just an assessment. I do not think it has much in data because data is all over the place.

The airline industry has ordered 2x more aircraft or 2.5x more aircraft and number of seats that currently exists, and I presume these will come over in the next 5 years.

Even if we assume some old aircraft will be retired, what you do see is that a consolidated forward-thinking, highly technology-driven industry like the airline sector is saying we will more than double our seats in the next 5 years.

Number two, the number of airports in India are going to grow from 140 to 260, improved connectivity. I am not talking Vande Bharat trains and roads and highways and SUVs. What does this tell you that demand is going to grow at 15%-16%-18% a year. And that is the hypothesis on the basis on which we are also doing whatever we are doing. And I do not see supply growing at that rate. It is absolutely not correct.

I mean the few reports I have read talk about 5%-6%-7%-8% CAGR, it is not something to really worry about. It will work in our favor.

Kaustubh Pawaskar: And connected question to this, do you see this demand-supply gap to reduce depending on the markets like Tier 1, the gap will be a little bit less in Tier 3 towns where penetration of the overall sector is improving. So just your thoughts on that, because a lot of reports suggest that supply, it might be coming up very high in the Tier 3 towns, but the demand will be lower because that market is yet to penetrate. But on the other hand, in Tier 1 towns, the supply is less, but demand will continue to be there. So thoughts on that.

Patanjali Keswani: It is all economics. Unlike 10 years ago, when supply of hotels was partly irrational and partly driven by conversion of black to white. A lot of hotels were built on that basis. They had no basis on economic return. But fortunately, today, after demonetization, government keeping a track, I think a lot of hotels are built through institutional capital or listed players or equivalents. A

nd they are built on the basis of economic rationale. Naturally, if it costs Rs. 1.7 crore - Rs. 1.8 crore a room to build a 4-star hotel in Delhi, the only person who will build it will be somebody who is confident about an appropriate IRR. But the future markets, you are very right, will be as they diffuse, as demand diffuses into Tier 2, Tier 3, Tier 4, where the cost of land is low, there will be more and more hotels coming up there. On the base effect, there will be a much higher growth of supply because of also lower base in the Tier 2, Tier 3, Tier 4 markets. And the metros and Tier 1 will see more measured supply growth because the base is already very large, and the cost is also very high.

Moderator: Thank you. Next question comes from the line of Pratik Ojha with Systematix. Please go ahead.

Pratik Oza: Just one question from my side. Which micro market are you most excited about and where do you see a lot of potential? And additionally, why was Gurgaon soft this quarter in terms of occupancy and in RevPAR?

Patanjali Keswani: See, one reason for Gurgaon was a lot of rooms were shut for renovation. It was a catch-up. One reason was demand in Gurgaon in one of our large micro markets, which is Sector 60 was muted because the previous year, we had 2 large groups,

which did not materialize this year. They were tech companies, and we did not get it because this year, the hiring stopped basically. Again, as I say, this is a quarterly phenomenon and so on. This is not a long-term trend. And I urge everybody based on seasonality to look at a full half year at the least or at least and preferably a full year performance to get a better gauge of the market and performance.

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Now when I look at which market I think is very sexy, frankly, this is a bit of an IP. We have identified 6 or 7 markets where we think airline traffic is going to go through the roof. Branded supply is very low. Unbranded supply is highly priced, which means that customers do not have choice. And customer feedback is not too great for those hotels. So this is an ideal opportunity for us because we can offer quality assurance, safety, hygiene and a certain standard of product and service. So obviously, we would like to go to those markets, but I do not want to talk about it. It will be part of our strategic growth map.

I am very excited about our Nehru Place, our Shillong Hotel. And I am also looking very closely at Dubai because to me, Dubai, with 6 million Indians going there every year is a phenomenal market for any hotel company in India with an Indian hotel brand. And it is about time Indian hotel companies went international wherever Indian customers are going.

Moderator: Thank you. Next question comes from the line of Dipak Saha with Nirmal Bang Institutional Equities. Please go ahead.

Dipak Saha: Yes. My question is that with Navi Mumbai Airport coming closer to its operation, your broad thought process on the impact on the overall portfolio for Mumbai market.

Patanjali Keswani: Well, I think it is a great thing because near the airport, the market is already doing very well. Aurika at 75% is probably because of its large inventory, the lowest performer in occupancy. There will be initially some shift in demand from Mumbai's current market, airport to Navi Mumbai. And we ourselves are looking at putting up supply there, either asset heavy or asset-light. Actually, I think we have signed some asset-light. We are operating one hotel. About 100-room hotel we are already operating in Navi Mumbai, but we want something very close to the airport. And we are discussing with one other owner another 150 rooms. So that is Navi Mumbai, but we would like to put up 400 or 500 rooms there.

Similarly, actually at Jewar Airport, but our perspective is very simple. We do not want to buy land or invest capital unless we see sufficient demand there.

We are

excited about competing for demand. We are not in the business of anticipating future demand because that can affect your hurdle rates. So any big airport in any major metro, new one is something of great interest to us. Even Bangalore, for example, we are looking at how do we get some more presence next to the airport. And I have no doubt that in the next 2-3 years, we will have a similar perspective for Hyderabad and Calcutta. Hyderabad, Calcutta, we are looking quite actively. So this is ongoing. We think this is all linked to the overall theme that I spoke about earlier, and we would be interested in growing in these markets.

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Dipak Saha: Sir, one last question. I mean, Indigo has already announced 18 flights operating on a daily basis from that particular airport. Now given we have a meaningful chunk of business coming from crew business, anything you want to share from that point of view? Or do you think it is going to be offset by incremental demand that we are seeing in the current portfolio?

Patanjali Keswani: I actually do not have a clear idea how this will play out. My broader thesis or I think I should say a broader investment thesis is where it is opportunistic and there are hotels available to manage, obviously, where there is no capital deployed other than some effort by us, we are ready to go anywhere and build our network.

When we talk about the Fleur perspective of deploying capital, then we want certainty of demand. And then the only risk we look at is, will we get our fair share or more than our fair share of the RevPAR in that market. So that is a very simple way we look at it. It is no complicated way. It is simple. Is there demand? Can we capture our share of that demand? Can we give a return if we invest capital there? Will we meet our hurdle rates, and then we go for it.

Moderator: Thank you. Next question comes from the line of Ashok Shah with Eklavya Invesco Family Office. Please go ahead.

Ashok Shah: Thanks for taking my question. Sir, we have already renovated 3,000 rooms and also a few more 1,500 approximate room will be renovated by next year. Can you give some rough idea how much maintenance capex will be required next year onwards to maintain these 4,500 rooms?

Patanjali Keswani: So there are 3 types of expenses in room or hotel maintenance. One is repairs and

maintenance, if something gets spoiled, etcetera. Typically, that is 1.5% of revenue. That is every year irrespective, 1.5% - 2%, and that is captured in our regular OPEX. So it is not incremental, it is just regular.

Then there is stores and supplies and housekeeping supplies, which is a certain needs replacement, a carpet needs replacement, or some furniture needs polishing. So that too is factored in, in our routine expenditure. The third element is refurbishment and renovation. That is when rooms get old. In my broad experience, typically, after a room has been used for 250 to 300 days for 4 -5 years, it needs a freshening up or a refurb. Our normal expense there is 1.5% to 1.7% of revenue. Because of this catch-up because we did nothing during COVID for 3 years, then we did nothing for the next 1 year. So we were really catching up for 4 -5 years. And our strategy is normally we renovate 1/6th of our portfolio every year, assuming every 6 years, we refresh the entire portfolio. But this time, it was a huge catch-up, which is

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why I said we will spend Rs. 450 crore instead of normally spending Rs. 25 crore - Rs. 30 crore a year. Really over 2 years, we are spending nearly Rs. 300 crore this year and next year instead of spending Rs. 25 crore - Rs. 30 crore a year, Rs. 50 crore - Rs. 60 crore. The incremental spend is Rs. 250 crore, of which the majority is opex, which is why you are seeing deflated EBITDA margins. Now how does this play out? I would urge you to look at our performance in the Hyde

abad market, which is now 70% renovated. Look at our performance in Delhi. Look at our performance in Keys Whitefield and Keys Pune. And you will understand exactly what I mean. Our principle is that any investment we make like this, we want a payback in 2 years. We spent Rs. 300 crore, what I am saying is we want Rs. 150 crore increase in EBITDA per year going forward.

Ashok Shah: So roughly, if I calculate, it would be Rs. 100 crore per year would be a maintenance required for 4,500 rooms?

Patanjali Keswani: No. 1.5%, take our revenue, Rs. 1,500 crore, see, I am just taking a number.

Ashok Shah: Rs. 225 crore approximate maintenance will be required.

Patanjali Keswani: No. Rs. 25 crore, Ashok.

Ashok Shah: Only Rs. 25 crore. Okay.

Patanjali Keswani: Yes. That is why I am crying that we spent Rs. 300 crore instead of Rs. 50 crore. The Rs. 250 crore is what you are punishing me for by saying the EBITDA margin has shrunk.

Ashok Shah: Okay. And after 5 years, no renovation will be required?

Patanjali Keswani: No. Now it will not be required because this is a catch-up. Now we will do maintenance renovation or what is called refurbishment. So please assume for after we finish next year, going forward for at least the next 5 -6 years, it will be Rs. 20 crore - Rs. 25 crore a year.

Ashok Shah: Sir, we have spent so much, but our depreciation has reduced in a half year basis. Can you explain?

Patanjali Keswani: Because the majority of this spend is OPEX. It is affecting our EBITDA margin. It is not coming in your gross block.

Moderator: Thank you. Next question comes from the line of Shivam Singh, an individual investor. Please go ahead.

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Shivam Singh: Sir, regarding the declaration we made with the RJ Corp Hotel in Ayodhya and Guwahati, do we have further details about it about when it might open? And would it be an Aurika Hotel? Or will it be a Lemon Tree Premier?

Patanjali Keswani: As you know, Ravi Jaipuria was a very early investor in Lemon Tree, and he counts it among his best investments in spite of doing so well in Varun. Ravi, for a long time has been talking to me about investing significant capital in hotels as his personal capital, not company capital. He is a believer in the same thesis that I have, which is that there will be a structural growth in consumption of mid-market hotels.

So about a year ago, he told me that he would like to build a whole bunch of Lemon Tree/Lemon Tree Premiers in India in markets which we recommend, which would be designed, built, managed and branded by us, and he would be the asset owner. Right now, he has committed in the first 2 hotels. There is a 300-room hotel in Ayodhya. There may be a small diagnostic center of Medanta on one floor there. But this 300-room hotel will be built by us. We will be charging Rs. 15 crore to build this hotel, to design and build it. And he will spend about Rs. 300 crore. And this 300-room hotel will be branded as Lemon Tree Premier, and we think it should be ready in the next 3 years.

As you know that there is a very big development happening in Guwahati, where they have acquired land from the government for roughly 5 acres to build a 600-room

Medanta hospital, 100 -bed, if I am right, childcare hospital and a 300 -room Lemon Tree Premier and a 50 service department Lemon Tree Premier, which will connect with both the hospitals and will provide not only rooms for tourists and for business because it is a great location, but also for the patients. Once they finish their basic treatment, they will move there for after patient care and for the families of patients who can stay there in the service apartments . This is being built for us. We are charging Ravi another Rs. 15 crore to design and build this. And then we will charge fees, a normal fees, which is typically 9% of revenue for both these hotels. And Ravi will invest another

Rs. 300 crore in this hotel and service apartment , actually Rs. 350 crore .

He has also asked us to look for more opportunities for him. He is going to be a 50% shareholder in the Aurika, Shillong. And beyond that, he has said that if we ever find an interesting opportunity and if we want to do it, obviously, we will do it. Otherwise, he would be happy to do it.

Shivam Singh: But there were some auctions in Andaman Islands . Did we bid for that?

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Patanjali Keswani: No, we did not bid for it. See, there are many things we think will happen, Shivam, in the next 3 to 4 years. What I have is an assurance from Ravi as an ultra -high net worth individual that he would like to grow a portfolio of Lemon Tree branded and managed hotels. And it is a good thing because every project that comes to us, we do not necessarily want to invest our own capital.

Shivam Singh: Okay, sir. And sir, regarding the platforms we are listed on, sir, a lot of platforms are charging more than twice of what we are charging on our own website. Is there a pricing model which we are getting wrong? Or is it something else regarding that?

Patanjali Keswani: No. So look, we want to offer the most attractive price on our direct channels. The reason being on these other channels, there is a commission . It could vary from 13%-14%-15%-16%. So if the guest books directly on our channel, it is 15 %-16% cheaper than if they book, say, through MakeMyTrip or Booking.com and so on. So our perspective is very simple. We want to use loyalty in our website to drive direct non - negotiated traffic and ultimately, we monetize it because in our new managed hotels, we also charge 12% of the revenue, incremental revenue booked through our website and 4% through our loyalty program as additional fees to owners of hotels. Basically, we are saying we are like an in -house online travel agent and we think it will be a large revenue earner for us as we start building this network out. And that is part of our tech spend, as I had mentioned, I think, a little earlier. Right now, we earn only a few lakhs, maybe a couple of crore , but it will shoot up to Rs. 20 crore - Rs. 30 crore in the next 2 -3 years.

Shivam Singh: Okay, sir. And sir, are we lagging on the Shillong and Shimla hotel openings because the construction does not seem to be in pace with our timeline ?

Patanjali Keswani: No, Shillong, we are very much in our timeline . We will open it in 2027, mid. Shimla, we deliberately delayed for 2 reasons. We did not have much capital, frankly. It was a capital allocation decision since it resides in Lemon Tree and not in Fleur. We started it before COVID. During COVID, everything stopped, as you can imagine and post-COVID, we were busy repairing the balance sheet first year after that. Second year after that, we were deploying capital in the operating hotels for renovation. Now you will find that we have enough cash surplus that we will start accelerating Shimla. And I think we will open half the hotel by next year. We will do a soft opening next year. So basically, Shillong will open in 2027 and Shimla , half of it will open next year.

Shivam Singh: Okay, sir. And sir, there is one small suggestion that I have. Sir, can we add the number of rooms under renovation in our investor presentation by any chance?

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Patanjali Keswani: Good idea. We will do it.

Shivam Singh: Yes, sir, that is the factor in calculating the quarterly analysis that we do.

Patanjali Keswani: Thank you for the suggestion. We will implement it. What I want is how many already renovated every year? How much did we spend? How much have we finished in H1? What are we doing in H2 and what are we planning in next year? So we have a clear idea.

Moderator: Thank you. Next question comes from the line of Kushal Shah, an individual investor. Please go ahead.

Kushal Shah: Hi, thanks for the opportunity.

I was looking at the city -wise RevPAR growth, which you have provided. Looking at the major cities like Delhi, Gurgaon, Bangalore, I was seeing the growth on a CAGR basis from pre-COVID to now from 2Q FY20 to 2Q

FY26, it is in low to mid-single digits, which is broadly in line with the increase in replacement cost or the construction cost. I just want to understand when will this demand-supply mismatch manifest into disproportionate RevPAR growth? What can we expect over the next 3 to 4 years?

Patanjali Keswani: First is that you are taking 6 years when you should take 4 years because 2 years, there was no RevPAR. And then building demand back up. So my first recommendation is look at CAGR, at least some other investors I have spoken to who eliminate COVID as a black swan event. Now to your other point, it is very valid what you are saying that replacement cost went up in spite of COVID because that was due to the time factor of inflation. And even today, by the way, in many markets, it does not make sense to put up a hotel at Rs. 1.7 crore a room. And there is a certain element of risk. So really, the way to look at hotel return is your cash and non-cash return. So it is like nominal GDP. Nominal GDP is inflationary impact and the real rate of growth. Similarly, here, it is your rate of growth of EBITDA plus the replacement cost of the asset, and that is your real return. And I would recommend that you look at it from that perspective, and it is an interesting return. Of course, in the second case, the assumption is when you look at capital asset depreciation that you are able to reprice to get a certain return on it or you sell the asset and you capture the capital upside.

Kushal Shah: A follow-up. Can we get a range ballpark what type of RevPAR growth can we expect for the industry, not necessarily for Lemon Tree for the next 3-4 years in major cities, I am talking of the metros and the Hyderabad and all of those just because of the demand-supply mismatch. Because the last cycle, which we know was like 20

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years old and that time the industry was more informal. So I just want to get a range how it can be.

Patanjali Keswani: See, on an absolute basis, if I look at the average rates we charge today for the hotels that existed with us because our company was very new in the last cycle, it is 20% lower in rupee than it was in 2007 and 2008. To give you an example, we had 2, 3 hotels in Gurgaon. And if I remember right, our rates were Rs. 9,000 and Rs. 10,000. And today, it is Rs. 7,000 - Rs. 8,000. So it is still a catch-up amazingly that after 17 years and inflation, the rate is still not caught up to the pre-global financial crisis rate. My view is that if the thesis we are betting on plays out, then occupancy of the hotel sector, not a hotel, individual hotel or even a micro market, once it crosses 70% - 72%, you see significant repricing. So when that happens, I cannot project, but my best guess case is in the next couple of years, you will see significant repricing. I cannot say whether it will be next year or the following year. It will obviously depend on market conditions. Number two, if the structural tailwinds, which I am betting on, occur, then pricing will go through the roof.

Kushal Shah: Okay, that answers my question. Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Patanjali Keswani: Thank you once again for your interest and support. We will continue to stay engaged. Please be in touch with our investor relations team for any further details or discussions, and we look forward to interacting with you soon.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity and accuracy.

The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Jan 2026

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January 21, 2026

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Name of Scrip: LEMONTREE BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai – 400 001

BSE Scrip Code: 541233

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Ref: Transcript of Investors & Analysts Conference Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the Investors & Analysts Conference Call held on January 15, 2026, w.r.t. announced of the Composite Scheme of Arrangement is enclosed.

You are requested to take the above information in your record .

Thanking you,
For Lemon Tree Hotels Limited

Pawan Kumar Kumawat
Company Secretary
& Compliance Officer
M. No: A25377

Encl. as above

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Lemon Tree Hotels Limited
Investor and Analyst Conference Call
January 15, 2026

Moderator: Ladies and gentlemen, good day, and welcome to Lemon Tree Hotels Limited Investor and Analyst Conference Call.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you, Mr. Poojari.

Anoop Poojari : Thank you. Good evening, everyone, and thank you for joining us on Lemon Tree Hotels conference call to discuss the announced Composite Scheme of Arrangement.

We have with us Mr. Patanjali Keswani Executive Chairman; Mr. Kapil Sharma,

Executive Director and CFO , Mr. Neelendra Singh , Managing Director and CEO, and Mr. Saurabh Shatdal , CEO Fleur Hotels. We would like to begin the call with opening remarks from the management, following which we will have the forum open for an interactive question -and-answer session.

Before we start, I would like to point out that some statements made in today's call may be forward -looking in nature, and a disclaimer to this effect has been included in the presentation that was shared with you earlier. I would now request Mr. Keswani to make his opening remarks.

Patanjali Keswani: Thank you. Good afternoon, everybody, and welcome to this conference call.

Thank you for joining us, and I wish you all a belated Happy New Year. The purpose of this call is really to explain the rationale of the timing and logic for this Composite Scheme of Arrangement, which has just been announced. To begin with, I would like to give some context. So please bear with me.

As you know, the hospitality sector in India is currently at the start of a structural upcycle, which has been marked by sustained demand, healthy repricing and a favourable long-term travel outlook. On the supply side, over the last 2 years, we
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have attempted to position ourselves to capitalize on this by commissioning the Aurika Mumbai, securing a marquee 500 -plus room hotel Aurika Hotel at Nehru Place in New Delhi and signing about 7,000 rooms under third -party management contracts. So today, we operate about 130 hotels with approximately 11,700 rooms with another 130 hotels and about 10,000 rooms in the pipeline.

In addition, over these past 2 years, we have also undertaken other initiatives, including very significant investments in extensive renovations across our own ed portfolio as well as digital / technology capability building. These will have an enormous impact on our pricing, revenue and margins going forward.

Alongside our network expansion, product impr

ovement and digital initiatives, we

have also strengthened our organizational foundation by transitioning to independent professionally led management teams for both Lemon Tree Hotels and Fleur Hotels, including separate Managing Directors for the 2 entities. This structure will provide clarity on accountability and sharper strategic focus as both these entities scale going forward.

Against this backdrop, the corporate scheme of arrangement represents a logical and value accretive next step. The proposed reorganization will result in 2 distinct well-capitalized businesses, Lemon Tree Hotels as a pure -play asset -light company focused on offering hotel management, brand , loyalty distribution and digital services.

Fleur Hotels will operate as a large -scale growth -oriented hotel ownership/leasing platform, with end -to-end in -house development capabilities and potentially a very large pipeline with a significant pool of available capital. Each entity will have its own management team, capital structure and growth priorities while continuing to benefit from long -term operating arrangements and strategic alignment.

Post the reorganization in about 12 -15 months, Lemon Tree will emerge as a debt -free high -margin, high ROC E company generating strong free cash flows from fees and brand -related income. Fleur Hotels will consolidate ownership of our group's existing hotels, all of which will be fully renovated, including assets like airport hotels in Mumbai and Delhi, flagship resorts like Aurika Udaipur and premium urban hotels in high moat key Indian markets. Its growth will be driven by completing ongoing construction of 3 hotels with 750 -plus rooms and acquiring much of the current 2,500 -plus rooms, which are under active discussions and pursuing other selective acquisitions/portfolio opportunities, which come up over time, as well as actively enhancing asset level performance.

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From a shareholder perspective, the scheme is designed to unlock value while preserving continuity. Post reorganization, Lemon Tree shareholders will effectively own close to 74% of Fleur Hotels , 33% directly and about 41% indirectly through Lemon Tree , this is of course before any primary infusion by Warburg Pincus and this is v/s the 59% which Lemon Tree directly owns in Fleur today.

In addition, the primary capital commitment of about Rs. 960 crores by Warburg significantly strengthens Fleur's balance sheet and provides flexibility to pursue growth at scale. This structure allows each business to access capital aligned with its risk return profile, while remaining tax efficient and operationally integrated.

As Executive Chairman, I will continue to chair both companies with direct ownership in each. Our core values, including our commitment to being an employer of choice and fostering an inclusive diverse culture, will remain central to

how both platforms operate as we enter this next phase of accelerated growth.

With this, I come to the end of my opening remarks, and I would ask the moderator to open the forum for any questions you may have. Thank you.

Moderator : Thank you. We will now begin the question-and-answer session. The first question comes from the line of Jinesh Joshi with PL Capital. Please go ahead.

Jinesh Joshi : Thanks for the opportunity. Sir, my first question is on the ownership structure of Lemon Tree in Fleur. Now any specific reason to design the structure in a way whereby Lemon Tree continues to own an indirect stake in Fleur. I mean was it not possible to design the structure whereby shareholders of Lemon Tree directly get shares in Fleur as a consideration for the transfer of room?

Patanjali Keswani: Let me explain this in a slightly different way. Currently, there is obviously a case to be made that all 74% of Lemon Tree shareholding in Fleur should be distributed to all shareholders of Lemon Tree. When the Board debate

did this, and so did, I think,

Warburg, the conversation was along, how does Lemon Tree show it still has skin in the game when it manages hotels for Fleur.

We felt it was prudent to have significant skin in the game at this stage, which means that going forward, it is very possible that Lemon Tree may dilute or even increase its stake over time; this will obviously be a Board decision. But the intent is to show skin in the game and going forward, as Fleur keeps raising capital Lemon Tree would naturally get progressively diluted.

Jinesh Joshi : Understood.

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Patanjali Keswani: Sorry, I would like to explain one thing. Since you asked this question, now look, this sounds a little bit like guidance but let me give some idea of what dilution means when Fleur gets diluted, I mean, Lemon Tree gets diluted in Fleur. Let us assume Fleur, just as a number Rs. 1,000 crores of capital after listing in some form, say, a QIP. If this Rs. 1,000 crore is deployed, it should typically lead to an asset turn of about 30 %-35% of the capital deployed, which means that Rs. 1,000 crore deployment of capital will lead to roughly Rs. 350 crores. This is through development, Rs. 350 crores of turnover, which means based on our performance, about Rs. 170 crores to Rs. 180 crores of EBITDA, which means that Lemon Tree will also get fees of about Rs. 30 crores. So just to put it in perspective, a Rs. 1,000 crore deployment with Fleur in development will lead to a Rs. 30 crore fee stream for Lemon Tree.

You can put your multiples on it but let me put it this way. This value alone, if it is deployed at scale, this kind of capital in a structural upcycle, which I think will continue for the next 10 - 20 years means enormous fee streams for Lemon Tree.

So, I am just giving you some rationale on how we thought about this.

Jinesh Joshi: Got that. Sir, the reason I asked this question is because a direct stake warrant hold-co discount, whereas an indirect stake Fleur does not. So, I was just kind of intrigued as to why we kind of devised this structure. Yes. So that that was the reason.

And secondly, I think the hotel assets that are going to be transferred to Fleur all of these assets, basically what we have stated in the PPT is that a new hotel operating agreement will be signed from 1st of April. So just wanted to say whether Lemon Tree will get a higher fee income from Fleur, given the fact that there is a transfer of development capability that happens from Lemon Tree to Fleur. If you can just clarify on that part?

Patanjali Keswani: Okay. The fees that we charge, rest assured are completely transparent and completely in keeping with norms of other management companies of our size. It is not that Lemon Tree being a 40% shareholder of Fleur will take out a disproportionate share of money as fees, because that would be very unfair to the shareholders of Fleur and long-term to the value that Fleur will unlock for the Fleur shareholders. So that is an assurance and a commitment. By me as actually the Chairman of Fleur.

Number two, the transfer of assets and development capabilities, the valuation has been done by a credible third-party. It is roughly along the lines of what we expected. It is obviously based on, I think, what was it Kapil, a discounted cash

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flows, so on and so forth, so it was done as it would have been done even if this was 2 separate companies with no ties with each other. And I am in this amusing situation where I am Chairman of both companies, and I was certainly very interested that it should be completely transparent and not open to any debate.

And I think I can commit that it has been done from that perspective. Development capability was an issue which was raised in order to maximize Fleur's growth, we

did not want shareholders of Fleur to ever feel that Lemon Tree when it recommends any assets was cherry

-picking, which means Lemon Tree would say,

I have got this very nice asset in Delhi, why should I offer it to Fleur. It has a very assured return. So, we will develop it ourselves.

In order to have Chinese firewalls, we said development capability and exclusive right to develop hotels would be Fleur's mandate. And it made sense from even an earlier commitment we have been making that we want to transform ourselves into an asset -light, high growth, high ROCE business with a focus on brand management and digital. I think from every perspective, we looked at all the pros and cons and try to make it transparent, fair to both shareholders with as far as possible zero conflict of interest.

Jinesh Joshi: Sure. One last question from my side. I mean do we expect to renew the lease of 202 rooms that are not getting transferred to Fleur or will it be that these rooms will no longer be a part of our portfolio once the lease term expires?

Patanjali Keswani: See, the deal was for, I think, a certain number of years. This was signed very early in Lemon Tree's life. I think the leases get over in the next 5 -6 years. In which case, I cannot comment whether the owners will be okay to extend the lease, in which case they may ask for different terms or whether it will simply move into a management contract for Lemon Tree or simply the owners take the assets back and run it themselves will give it to some other brand. Keeping in view this uncertainty we decided not to transfer. It was very difficult to value these two assets.

Moderator: Thank you. Next question comes from the line of Abhay Khaitan with Axis Capital. Please go ahead.

Abhay Khaitan: Hi, thank you for the opportunity. My question is more on how will both Fleur and Lemon Tree like after the transaction is completed. In a sense that, firstly, for Fleur, I know that you have mentioned that there is a Rs. 960 crores of capital that is committed from Warburg Pincus side. But just wanted to understand how will this be expanded and in future, will we see Fleur also going for other brands apart from
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Lemon Tree as well? Or will it be now continuing to be an exclusive tie -up? And how will the future of Fleur look like after this is completed?

Patanjali Keswani: Let us put it first is how do we look at this capital raise with Warburg . Warburg has made close to Rs. 1,000 crores available to Fleur. Obviously, this will be leading to some level of, how would one say dilution, for say for Lemon Tree and Fleur. What we understand is Fleur itself will have a few hundred crores of cash available, maybe Rs. 300 crore - Rs. 350 crores of equity cash available in the next 1.5 years to deploy.

Obviously, our first choice is to deploy Fleur's free cash into acquisition/development. Warburg Rs. 1,000 crore is also available. So, we will look at what makes best sense for Fleur in terms of how much capital we deploy internally and from Warburg, how much debt we take in order to grow this portfolio. If I look at all the negotiations/discussions we are having, and I think I mentioned it in my talk that we are in active conversations for 2,500 rooms. A lot of them are operating assets and a lot of them are going to be development assets. It depends on what fructifies now and what fructifies in the next 12 months. But this is the kind of capital we have available, which means if we go for a prudent 1:1 debt equity. We have potentially about Rs. 3,000 crores available to deploy in this growth before we list. And of course, after we list, then we have an ability to access public markets. How will Fleur operate? Our hope is that speaking from the Lemon Tree operating company perspective, if we continue to generate very good ROCE for the mid-market segment and for the upscale segment. Then we see no reason why we should not continue to be in the preferred operator of choice for Fleur. However, if there are assets available,

which have a different operator, and the operator is doing a good job, and the assets are available for a good price, and we feel that bringing it into Lemon Tree will improve its performance. Then obviously, we will keep that operator. It could be a multi -brand platform. We are not saying it is exclusively for Lemon Tree, but that depends on availability and opportunity.

Abhay Khaitan: Got it. That is very useful. My second again, on the Lemon Tree side now that given that it will be a pure brand manager, what would it do differently now compared to what it has been doing over the past few years . And in terms of will be looking more acceleration in terms of managed contracts or will be looking at expansion of number of brands that we have. So, what is the sort of vision there

once it transitions to your brand company?

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Patanjali Keswani: We currently have about nearly 12,000 rooms in 130 hotels in the next 3 -4 years, it will be as of today, 260 hotels, about 22,000 rooms. We typically add 4,000 - 5,000 rooms a year, and Fleur, I hope will add 1,000 or 2,000 rooms a year, of which we will get a share. We think if I did some crystal gazing, and this is not guidance, I am making guesses. In the next 3 -4 years, we would certainly like to be 30,000 - 40,000 rooms, a large , in fact, the largest operator in this space with very significant fee income. And in fact, internally in the Board, the question then was what we do with this cash flow because we are going to be nearly 100% asset - light. And that would require, in fact, the Board to define a dividend policy or a shareholder reward policy, which I have no doubt we will be coming out with in the next few months. And therefore, Lemon Tree will morph into a rewarding shareholders company. And Fleur will be continuing to be an asset-heavy asset - owning company and with its own risk/reward profile.

Abhay Khaitan: Got it. In terms of brands, are we looking at expansion on to further brands?

Patanjali Keswani: No. We do not want to confuse our customers. We feel Lemon Tree is very widely recognized. In fact, once upon a time, MakeMyTrip CEO told me that the minute you open a hotel with the Lemon Tree brand, 20 %-25% of the occupancy comes from us straight away. And we would like to, therefore, continue building our brands rather than adding more and more brands. We feel we have more than enough brands.

Moderator: Thank you. Next question comes from the line of Kaustubh Pawaskar with ICICI Direct. Please go ahead.

Kaustubh Pawaskar: Good afternoon, sir. Thanks for giving an opportunity. Sir, my first question is on debt. So now on Fleur's balance sheet, there will be around Rs. 1,300 crores of debt. As you said that you are expecting 1:1 debt -to-equity ratio. We should be comfortable with debt remaining at this level and there should not be any significant increase unless there is any good acquisition. Is it the right understanding?

Patanjali Keswani: No. See, debt , here is our thought. The way we look at risk mitigation and management on the asset -heavy side of the businesses. I am talking now about Fleur. Firstly, when this demerger happens, all the debt, including the Lemon Tree's debt, after adjustment is being transferred to Fleur. Fleur will have 100% of our debt and Lemon Tree will have zero debt. Okay. So, what will Fleur's debt be on an ongoing basis by end of next year, by the time of this demerger would be around Rs. 1,300 crore including Lemon Tree's debt which will be transferred. What will Fleur's EBITDA be after paying all fees and expenses, would be \$100 million next year. So, what are we talking? We are talking that you have a Rs. 900

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crore EBITDA and a Rs. 1,300 crore debt. This is now the question for debate that we are going to deploy another up to Rs. 1,300 crore - Rs. 1,400 crores , maybe more of equity then I think in order to maximize return

for Fleur shareholders within

acceptable risk levels, we should be able to borrow another Rs. 1,300 crores . Which is what? Which means that with a Rs. 900 crore net EBITDA and a debt of maybe Rs. 2,500 crores , we should be quite safe because this deployment of capital will lead to acquisition of some EBITDA because we will acquire hotels and some future EBITDA, which is the pipeline. This is the mix and match we are looking at.

And I think our EBITDA levels, at least in our modelling, look so sustainable and large that I think it will be a little bit of a surprise to the market when you look at the net EBITDA of Fleur in 1 year from now.

Kaustubh Pawaskar: Is it fair to assume that Rs. 2,500 crore - Rs. 2,600 crore kind of funds, which you will be having, that will suffice for the expansion of rooms. What you have given in the presentation, there is 756 rooms, which you are adding on your books, plus the acquisition, what you are planning to do in terms of properties you are looking at?

Patanjali Keswani: Let us go back for a minute , Kaustubh. We have 750 rooms under -construction , where Shimla will be ready this coming year, which is about 100 rooms, another 160 rooms from Shillong will be ready in the following year. So, these two hotels will 100% be ready by the time this company lists, we will have these 250 rooms definitely. Aurika Nehru Place will take 4 years . It will require maximum cash in the last year. So, we will take care of it with free cash flow in, say, FY29 or FY30. Now we come to these 2,500 rooms we are talking about. Let us assume it costs Rs. 1 crore a room, which is Rs. 2,500 crore is roughly what I am saying. So, it all depends on what we acquire, which is operating EBITDA, where we can take debt, what we acquire as development assets where we look at cash required to build

that asset out and therefore, when do we take debt. Debt-to-EBITDA will be a moving number. But rest assured, it will be highly risk mitigated.

Kaustubh Pawaskar: My second question is on the portfolio mix. Under Fleur, will it be more towards Aurika and Lemon Tree as you are tapping to the premium and mid -premium kind of a segment or it will be a mix of everything?

Patanjali Keswani: It will be more Lemon Tree and Aurika. The asset -light side of our business, especially in the economy and lower mid segments will be driven by Keys or Red Fox.

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Kaustubh Pawaskar: And sir, my last question is on the margin front. Fleur , we have seen that margins over the past 2 years have reduced mainly because of the fact that a lot of renovation has happened. Now we are at the end of that renovation phase and from here we should start seeing benefits of those renovations coming in. So, should we expect Fleur to achieve EBITDA margins of around 44% - 45% over the next 2 years, and there is a scope of further improvement considering the fact that you are focusing on at the premium end of the segment?

Patanjali Keswani: Actually, I did not explain. These 2,500 rooms, we are under active discussion. I think we will make some very interesting announcements of a very large portion of this in the next 3 months. Would you agree , Kapil and Saurabh ?

Kapil Sharma: Yes.

Saurabh Shatdal: Yes

Patanjali Keswani: Okay. So that will be something interesting for the market to see. And it will be significant. Let me assure you. Now we come back to short -term pain and long -term gain. The Indian stock markets whip you for a quarter performance without seeing the upside on the long term. Let me actually just put this on the table.

In this year, besides everything you mentioned, what is the other hit to Lemon Tree and Fleur. There were two regulatory interventions , one in GST and second in Labour Code. GST meant that any hotel where we do not charge Rs. 7,500, we no longer were entitled to input credit, and that would hurt us fairly significantly. We were starting

to focus on taking more and more rooms, at a price above Rs. 7,500 obviously subject to market accepting it.

Labour code will hit us one -off quite significantly. I think it will be close to Rs. 16 crores to Rs. 20 crore this quarter. Then if I put everything together, what you said and what I am seeing, which is what are the one -offs. The one -offs are the massive full-scale renovations we have undertaken last year, this year and next year . The impact of labour code onetime and the impact on an ongoing basis going forward. The ex-gratia of about Rs. 20 crore that we have paid this year, which is OPEX . The technology and digital investments which we are making, the onetime property tax that we were asked to pay at Delhi Airport suddenly, which is close to Rs. 8 crores to Rs. 10 crores . If we put all this together, the incremental impact on our EBITDA margins will be 5% of revenue for FY26 and FY27.

And then it will revert to norm by FY28. So let me explain this. Our all these costs, excluding the one -offs, put together should be 3% -4% of revenue. But this year, it

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will be 9% of revenue. Obviously, the EBITDA margins will be 5% below what they should be this year and next year. The renovations will only be over by H1 next year, after which the EBITDA margins of Fleur will be north of 48%.

Moderator: Thank you. Next question comes from the line of Sameet Sinha with Macquarie.

Please go ahead.

Sameet Sinha: Yes. Thank you very much. Couple of questions here. Mr. Patanjali , you said by the end of 3-4 years, 30,000 to 40,000 rooms, are we talking these 30,000 to 40,000 rooms would be operational or they will be operational plus pipeline?

Patanjali Keswani: Well, then it would be 40,000 rooms, including pipeline. The point is, Sameet, that we signed 5,000 rooms but we will open 3 years later. So, it depends on how many operating assets we signed, how many greenfield , how many brownfields. So, I am saying 40,000 will definitely be including pipeline. How many are operating difficult to say, but I would say it should be north of 20,000, - 25,000.

Sameet Sinha: Got it. Okay. Perfect. Second question is what is with this transfer of these rooms from Lemon Tree to Fleur, I think it was 1,565 rooms or so. What was the implied valuation that you used to get at to issue those 5 crore odd shares?

Patanjali Keswani: There were 2 valuations. One was discounted cash flow, which was done by a third-party valuer. And one was the giving up of development capability and transfer of 2 hotels, which is Shillong and Shimla. I would say, if you look at it, it was roughly for every 100 shares with Fleur, 58 new shares were issued.

The new share capital of Fleur would be 158 shares, of which Lemon Tree directly

has 59 plus .

Warburg is buying APG 's 41, which on 158 is 26 and the balance, 52 , 52 out of 158 is going to Lemon Tree shareholders, including me. And that will how Fleur will automatically be a listed entity.

Sameet Sinha: Got it. As you were doing the due diligence on this event, Lemon Tree becomes a unique asset, right, with really high margins, high growth rate, high ROCE, which is probably not seen in the hospitality industry globally. What sort of comparable company analysis that you do undertake to kind of arrive at the valuation for that?

Patanjali Keswani: Very good question. I was hoping you would answer it, Sameet, or our transaction adviser Morgan Stanley. But here is what we see. Typically, obviously, asset -light capital non -intensive businesses with high growth have much higher multiples than asset heavy.

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But asset heavy businesses with high growth also command higher multiples, as you can see in the Indian asset companies, than those asset companies that are not growing quite so fast. Basically, the difference in multiple is the implied growth premium.

What I see happening is Fleur will 100% have a

net EBITDA north of Rs. 1,000

crores within by FY28, without doubt. Okay. Now the question is how many of these 2,500 rooms we get, how many more do we add on? What will the EBITDA of Fleur look like in FY28, which is, by the way, what will be valued when we list next year. And what will it look like going forward, which is the pipeline, which will derive the multiple. I do not know. Obviously, we are hopeful it will be something quite large.

As far as Lemon Tree goes, when we look at the numbers, we are talking about EBITDAs, which are very significant, purely from fee income without our 41% share of Fleur Hotels PAT and the implied hold -co discount. After all, I do not feel there should be a significant hold -co discount like HDFC with its subsidiaries, because this is a concentrated portfolio. We are not a conglomerate. It is our business. So, whatever the value of this 41% is in Fleur. I hope it will not be a large discount . Yes, there will be some hold -co discount, but not a very significant discount. So, when we looked at this and we looked at our likely fee stream and the numbers look fantastic for FY28 . And we have used comparables here. We have used Indian comparables. Now getting into specific means guidance. But let me just say it is enormously value accretive to where we are today.

Sameet Sinha: Got it. Okay. One final question. Just wanted to understand how the GST, ITC dynamics work. So, in the case, if the hotel room is less than Rs. 7,500, you do not get the credit. Yes, in a hotel, which is, let us say, your rooms, which are different parts of the spectrum, is it proportionate in some way? I am just trying to understand the dynamics .

Patanjali Keswani: It is proportionate. Let me give you an example. If I take last year roughly half of it is above Rs. 7,500 and half is below Rs. 7,500. But if you take our rate increase that happened now, it may be 60 -40, which means that if 40% of our revenue, these rooms, which are selling at below Rs. 7,500 then the GST input credit we get is only 60% of the total, which means we lose 40%, it can be a significant impact. Last year, if we work backwards, it would have been about Rs. 35 crore - Rs. 40 crores , is that correct Kapil?

Kapil Sharma: Roughly 3 %-3.5% of the revenue . But this is going to reduce, actually. This will be going to be in the range of 1.5% -2% of the revenue .

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Patanjali Keswani: But 2% of next year 's revenue of Rs. 1,800 crore - Rs. 1,900 crore is still Rs. 36 crores .

Kapil Sharma: Yes.

Patanjali Keswani: It will have an impact. When I gave that, which I should not have given that guidance of Fleur hotels at 48%, it was after adjusting by the way. This I think I had said earlier, our expectation is Fleur on a gross EBITDA before fees and everything else, would have an EBITDA margin of 60%. This is what our expectation is for FY28. And then there are these incremental impacts, but the very large impacts, one-offs will obviously not apply, which is property tax at Delhi Airport, ex gratia and labour code put together, that was what Rs. 60 crores . That will not apply. The incremental spend on renovation, which is another Rs. 60 crore a year, will no longer apply from FY28. All these costs will go out. The only incremental cost that will come will be the ongoing Labour Code, which is just a couple of crores , and the GST impact and put together, it will be about 2% of revenue.

Moderator: Thank you. Next question comes from the line of Dipak Saha with Nirmal Bang

Institutional Equities. Please go ahead.

Dipak Saha: Sir, my first question is with these 202 rooms that we have kept it with ourselves, just on the timeline of these leases remaining, if you can share what are these two properties and what is the remaining timeline for these leases?

Patanjali Keswani: These two properties. One is a 100 -room hotel in Indore, and one is a 102-room hotel

in Aurangabad. These are both Lemon Trees. They are with common owners, and this lease was signed, I think, it was signed 17 years ago. One lease was for 24 years, so that will get over in 6 years, and one will get over in 8 years I think broadly.

Dipak Saha: Got it. And one last question in this context, sir, is there any divergence in the business strength of these two properties compared to, say, what we have in overall business scenario or is it just because of what you alluded earlier, that is the reason you have not transferred. Just trying to understand from this context?

Patanjali Keswani: No, there was also when we signed a transfer restriction, that it should not be transferred out of Lemon Tree. Normally, if there was 15 years left on the lease, we would have still gone to the owners and said please permit this. But since there was not much time left and there is a transfer restriction, we said forget it. Let it remain in Lemon Tree's balance sheet.

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Moderator: Thank you. Next question comes from the line of Samarth Agrawal with Am bit Capital. Please go ahead.

Samarth Agrawal: Yes. Thank you for this opportunity. Mr. Keswani just wanted to understand on the Lemon Tree standalone side, what kind of profitability for the underlying hotels do you expect in the next couple of years because right now at least for the industrial report suggests that your RevPAR growth like -to-like is not exceeding that inflation rate that we have seen for the past few years. So just wondered even for fees, it would make a difference. I just wanted to understand how the profitability for the underlying asset -light hotels would look like in the next couple of years?

Patanjali Keswani: For the asset light?

Samarth Agrawal: Yes. Not for entity, but the management contracts that you are signing right now.

Patanjali Keswani: No, I am a little confused. Sorry, Samarth are you asking about the hotels or are you asking about our fee income growth?

Samarth Agrawal: Sir, my understanding is that as long as the asset -light hotel do well because you get a certain percentage of the GOP and the profit. So, your fees will continue to grow at a good rate. But if the profitability itself of those underlying assets tend to shrink down, then perhaps the fee flow -through might be lower? I am just trying to understand that.

Patanjali Keswani: Okay. So typically for every Rs. 100 in fees that we charge, about 65 , two-third maybe 70% is fixed and 30% is variable . The variable is a function of whether we cross a certain EBITDA threshold in percentage terms and so on and so forth. In the worst case, I would charge out of that 30 is zero . If I perform, I will say, 40% EBITDA level for that hotel, I will charge 10 %-15%. If I get over 50% EBITDA levels in those hotels, then I charge the full 30%. So, are you with me so far?

Samarth Agrawal: Yes.

Patanjali Keswani: Yes. So, is that clear?

Samarth Agrawal: Yes.

Patanjali Keswani: Okay. Now in some markets, multiple things happen. We manage hotels which are inefficiently designed. Therefore, our ability to get to 50% EBITDA is itself compromised. In other markets, the hotel has got massive F&B and the way to maximize EBITDA is actually through room income and not so much through F&B income.

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If you look at the weighted average flow -through, the highest flow -through is through room and then any other fee stream income stream in a hotel. So, there is a hotel, which has a lot of banquets, a lot of restaurants. It is very difficult for us to hit an EBITDA of even 40 %-45% because the flow -through of the F&B side of the business is much lower. So, there are multiple reasons, then it could be that a certain market is not doing as well as we thought over the next 3 -4 years. Broadly, we take management contracts opportunistically, which means wherever there is a contract that comes up, we

are happy to take it and run it. If left to us, where would we deploy capital is a completely different story.

So, when you see the fee income not growing so fast, it could be that in some new hotels we have opened, it is just not taken off yet for multiple reasons. What you

should see is a secular trend. And I think if I look at our fee income growth, every year, it is about 20%. But I am hopeful now you see the problem was that we were opening far fewer hotels than we were signing. But going forward, now we will be doing the catch-up and I think you will see fee income grow proportionately.

Samarth Agrawal: Understood.

Patanjali Keswani: Does that answer the question.

Samarth Agrawal: Yes, sir very clear. And just one question on the profitability front. We are looking at different Marriott, all the Hiltons of the world. And what I understand is you are doing higher margins than most of them at around 65 %-70% EBITDA margin. So firstly, despite the scale of a Marriott or Hilton, what is that difference which is through which you are able to drive the superior margin and what would the PAT margin look like for the Lemon Tree standalone entity ex of any contribution from its holding in Fleur?

Patanjali Keswani: Let us work backwards for a minute. We expect that our underwriting is that within 2 years, which is by FY28, our EBITDA margin should be North of 80%. If it is 80% and there is hardly any depreciation, there is no finance cost, there is some small depreciation because of the lease of those two hotels. If I take 80% and take out 25% is my tax because there is no write-off on tax. Frankly, my PAT should be 60% of my revenue simple.

Samarth Agrawal: Okay. And sir then why it is the case then perhaps even name like a Marriott is not able to even reach a 50% PAT margin. They are still at around 40% last I checked.

Patanjali Keswani: You should ask them what I should say.

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Moderator: Thank you. Next question comes from the line of Kunal L akhan with CLSA. Please go ahead.

Kunal L akhan: Yes. Hi, thank you. Patanjali, just taking a step back, just trying to understand the rationale for this transaction, right. Just trying to understand like the challenges that you were facing in the earlier structure v/s today in the new structure. That is because it is essentially that the shareholding of remained the same essentially in terms of the shareholders remain the same, except for the change of hands between A PG and Warburg. So that remains the same. So just trying to understand what were the challenges you are facing earlier in the earlier structure v/s the new structure?

Patanjali Keswani: As you know, Kunal, we have multiple types of investors. The hotel business has two very clear subsets: those who design, develop, finance and own hotels. Those kinds of investors want chunky returns are willing to take development risk and are looking at yield income. So, these are normally who invest here. These are like pension funds, insurance companies, they are betting on inflation, re-pricing of these assets due to inflation and a long annuity kind of return. Those who want to bet in the asset-light business are betting on brand, management capabilities, betting on how you grow an asset-light business with very low, hardly any capital intensiveness.

Lemon Tree was a combination of both, and that is our history because when we started this company, I still remember, in 2004, 2005, 2006, 2007, when we had built only 4 -5 hotels. Whenever I went to a guy, and I said, listen, let me run your hotel we say who are you. We were forced to build hotels to build our brand. But once we build our brand, technically, we do not need hotels because now it is time for Lemon Tree to monetize its brand, which is enormous recall. I mean, it is amazing when we open a new hotel, when I see the number of repeat guests or members of our loyalty program,

it is actually, frankly, amazing. For such a new company, remember, we are 20 years old. Every other operating company is 75 - 125 years old. We are very well recognized. Why should we not monetize it? We have actually separated 2 types of businesses. One is asset heavy, long-term appreciating asset, capital intensive. It has a different kind of investor, and this business has a very different kind of investor, and we wanted to actually attract both types of investors.

Kunal Lakhan: Sure. Understood. My second question was on what was the valuation of the 4 entities that we transfer in absolute terms on this in terms of shares noted, in terms of absolute terms of the valuations of Oriole, Sukhsagar, Manakin and Canary.

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Patanjali Keswani: I gave it to you can work backwards. We own 59 today, and A PG owns 41. We issued 58 new shares for every 100 shares, which means in that 58, Lemon Tree got, I think, 5 or 6 more for this, which is how it went up to 41 into 158 means, it was 5.5 shares more, roughly. So out of the 58, 10%, that is 5.5 shares went to Lemon Tree because of those 4 companies' merger, and the rest, which was our

asset transfer of those 11 hotels and those hotels under construction. They accounted for 53%, which went to the shareholders of Lemon Tree. Does that answer the point?

Kunal Lakhan: Partly because essentially, I still need to the valuations of Fleur , that you calculated in this .

Patanjali Keswani: No. I will repeat. I will explain again. Just write this down. Fleur today, 59 Lemon Tree, 41 APG.

Kunal Lakhan: Yes.

Patanjali Keswani: 58 fresh shares issued. 6 shares go to mentor for those 4 companies' merger. So, 59 shares become 65 shares. 41 is Warburg buying out APG. That leaves out of the 52 shares going to Lemon Tree shareholders. Does it add up?

Kunal Lakhan: Okay.

Patanjali Keswani: Lemon Tree gets 59 today plus 6. That is 65. Warburg buys APG's 41 and 52 shares go to Lemon Tree shareholders.

Kunal Lakhan: Okay.

Patanjali Keswani: Does the math work out for you.

Kunal Lakhan: Let me just work on it and I will come back to you.

Patanjali Keswani: Okay.

Kunal Lakhan: Okay. And my last question is I know it is very difficult to comment, but APG held about 15% stake in Lemon Tree as well in parent entity which obviously included Fleur also in the earlier structure. Now that they are out of Fleur, any outlook on the 15% stake that they hold at.

Patanjali Keswani: They have told me they do not plan to sell, but I do not want to comment. If they do sell, I am sure they will do it in an orderly way. But they are shareholders, they are the second largest shareholder after me. If they do plan to sell, I hope that they do
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so in an orderly way with our help. But they have told me right now they do not have any intention to sell.

Moderator: Thank you. Next question comes from the line of Prashant Biyani with Elara Capital . Please go ahead.

Prashant Biyani: Sir, can we get the pro forma top line EBITDA and PAT for Lemon Tree and Fleur in the ir new avatar for the trailing 12 months?

Patanjali Keswani: So, if you go to Page 13 of our presentation.

Prashant Biyani: Yes.

Patanjali Keswani: This shows Lemon Tree but last year. It is, I think, quite different this year, know.

Kapil Sharma: For 9 months also.

Patanjali Keswani: This year, it is a little different because now I give you a number, you will be able to work out Q4, which is guidance and Q3. Fleur is Page 22. If you look at Fleur.

Prashant Biyani: Okay. Sure. And then, sir, how much is Warburg paying to APG for acquiring their share of stake?

Patanjali Keswani: See, this is a transaction between one new incoming shareholder and one other shareholders, it could be at a premium, depending on how keen Warburg was. It could be at a discount depending on how not keen or how keen APG was to sell. I think it is a q

uestion you should ask them. I do not want to comment on it, but it was not an unfair value. Warburg, Vishal said in CNBC that it was multiples of what this 9,600 was.

Prashant Biyani: Sir, would Warburg have ROFO on APG stake in Lemon Tree?

Patanjali Keswani: No. But there would not be a ROFO, Prashant, because it is a public company. It is a listed company. You cannot have a ROFO on it. And I do not think , Warburg seeing a big upside now in Fleur. So, this is why they want to take a large stake in Fleur, put in 100 's and 100's million dollars for a chunky return. So as far as I know, there is no such a deal between Warburg and APG on Lemon Tree.

Moderator: Thank you. Next question comes from the line of Sumant Kumar with Motilal Oswal. Please go ahead.

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Sumant Kumar: My question is for Warburg commitment of Rs. 960 crores going forward. What is the timeline, number 1, number 2 are they going to increase their stake at the level of what APG has in Fleur currently?

Patanjali Keswani: See, currently, when you do the full demerger, Sumant, it is 26% on a fully diluted basis. The Rs. 960 crores if it comes in, will obviously increase their stake and dilute Lemon Tree. Lemon Tree today is 41% they are 26%. If they put in more money there, 26% will go up and this Lemon Tree's 41% will come down. So that is the understanding, but they can only deploy this Rs. 960 crores in the next 12 months. Because once we list Fleur, then if we want to raise capital, and I am sure Fleur will keep raising capital to keep growing. It will be through either through its

internal accruals or it will be through QIPs.

Sumant Kumar: So, the current structure of the Lemon Tree has 59% and APG is 41%. So, they can -- we have a similar kind of shareholding going forward for Warburg?

Patanjali Keswani: No. It will now become, if you go to our presentation.

Sumant Kumar: 26%, I understand that, but the kind of investment they are going to do in the future. They kind of can go to that level with more in future.

Patanjali Keswani: 41% no. They might go up a little, a few percentage points. It is nowhere nearby. It is no way. We will always be much larger shareholders than Warburg.

Sumant Kumar: Okay. Got it.

Patanjali Keswani: I know you are trying to find out at what value, and I am trying to make sure I do not tell you. But it is fair to Fleur, it is fair to the Lemon Tree shareholders in terms of dilution, and it will be accretive to Fleur shareholders, actually, and they will never cross or come close to Lemon Tree shareholding, even after dilution.

Sumant Kumar: Okay. And sir, when we talk about the asset valuation, all the few players are listed in the space like X and Y player. Can we assume some premium or similar level of discount to that player on FY26 valuation or FY27 valuation? What Warburg has bought a stake in the company?

Patanjali Keswani: See, obviously, Warburg has underwritten something. They have kind of indirectly shared it, but here is how we are looking at it jointly. Because after all, Lemon Tree is also a shareholder, just a much bigger shareholder than Warburg. What we are hoping is to have a very large EBITDA operating platform, with a very large pipeline, which means what do we want to capture.

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We want to capture a very large EBITDA and a large multiple. Obviously, we would like to be in the top quartile of multiple and with a very big EBITDA. So that is the intent. Now whether we get there, how we get there, how do we risk mitigate, how we execute that is obviously the challenge for us.

Moderator: Thank you. Next question comes from the line of Naresh Naiker with Systematix. Please go ahead.

Naresh Naiker: Yes. Good evening, sir. Thank you for the opportunity. Sir, as it is mentioned on investor presentation, you know, Warburg will acquire 41% stake and a primary investment of Rs. 960 crores. Just wa

nt to know this investment will come in what form, like QIP, preferential and it will index to Fleur's performance or eventual the listing of the Fleur shares?

Patanjali Keswani: It will come as pure equity on a fair valuation, and this is not QIP. This is a committed line of capital equity. This will lead to growth for Fleur. As I said, Fleur itself will have a few hundred crores of equity, we can take debt on top of it. We can take as much as we want of this Rs. 960 crores. So up to maybe Rs. 3,000 crores of capital with our working, we can deploy in the next 12 months.

This is not a QIP. This is a prelisting investment. Once we list, if there is any balance left of the Rs. 960 crores, we will not take that. We will then, as a public company, go to public markets and raise at public market valuations. Obviously, here, Warburg will not invest in Fleur at a public market valuation 2 years out. It will be obviously at a discount to that, but it will still be a fair value as of today. Does that make sense?

Naresh Naiker: Understood. Yes. Thank you, sir.

Patanjali Keswani: Thank you.

Moderator: Thank you. Next question comes from the line of Rajiv Bharati with Nuvama. Please go ahead.

Rajiv Bharati: Good afternoon, sir. Sir, you mentioned two numbers, one Rs. 1,800 crore and Rs. 900 crores. This you are stating for FY27, is it? Because the Slide 20 you mentioned, which is Rs. 509 crores in 2025 and plus, let us say, Rs. 100 crores, which is sitting in, you know, the EBITDA number, which will come from standalone entity the Rs. 600 crores. You are saying this number by 2027 will go to Rs. 900 crores?

Patanjali Keswani: In FY27, this would go to about Rs. 850 crores post fees, this is all post fees.

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Rajiv Bharati: And this includes inorganic also? Or this is your all organic from the current portfolio, sir?

Patanjali Keswani: See, we have a couple of sure shots, we have added that. We have not added, for example, Shimla, we have not kind of really taken into account other than in a very small way. Shillong may open earlier we have just guessed it. So let us put it this way. If I just go current basis, demerger, as I said, in FY26, it is Rs. 620 crores, in FY27, it is Rs. 850 crores. And this includes one or two things we are doing, but most of the capital has not been deployed. So, there is Rs. 3,000 crore we are

talking about potentially. I would say 95% of it is not giving any additional EBITDA here.

If we acquire those 2,500 rooms, plus some other stuff we are looking at because those 2,500 are active, there are many more in the pipeline, then this EBITDA number could change based on how many of these are operating assets v/s how many of them are under development assets. I am giving you a broad range. I am saying we are very sure we will do Rs. 850 crore or more in FY27, net EBITDA, and we are very sure we will cross very, very sure we will cross Rs. 1,000 -plus crore by FY28.

Rajiv Bharati: Sure. Sir, one clarification. This Rs. 950 crores, I mean, there will be another round of valuation which will be done at the time of infusion, or the current valuation basically will imply there?

Patanjali Keswani: No, it will be at a premium to current value.

Moderator: Thank you. Next question comes from the line of Sucrit D Patil with Eyesight Fintrade Private Limited. Please go ahead.

Sucrit Patil: Yes. Good evening to the team. I have 2 following questions. My first question is to Mr. Patanjali. As India's hospitality sector is seeing rising demand from Tier 2, Tier 3 cities, how do you see Lemon Tree balancing its premium Aurika brand with mid-market offerings to capture this growth? Could you share how the company plans to position itself over the next 2-3 years in terms of portfolio mix and customer experience innovation? Thanks. That is my first question. I will ask my second question after this.

Patanjali Kesw

ani: Thank you. You are being very considerate because I might have forgotten the second when I finish answering the first. Okay. Very valid question. See, what we find is we also start tracking where are our customers coming from, especially retail. While we have a clear idea of where B2B business is growing, which is
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corporate business, there is retail business growing. We like to see connectivity through airlines, which sectors are going full, what price are they going at which airports are operating full, which airports are expanding, where are new airports coming, where are four lane highway is going, where are Vande Bharat trains connecting India. So, we do a very detailed study of all this.

Based on that, we form certain opinions and then we ask partners. We could ask, for example, MakeMyTrip. Can you tell us where you are seeing maximum traction in terms of demand with cities from which cities to which cities. So, these are things we do routinely. Then we obviously subscribe to certain paid consultancies where we get clearer pictures of, you know, what is happening. What we have seen very interesting is Tier-2, Tier-3, Tier-4 towns. Now how many cities are there in India where there is 5 lakh population or more, about 200. How much consumption comes; discretionary consumption is 95% from these 200 cities. So obviously, we want to be in all these cities, whether asset heavy or asset light.

So, we do further assessments. What we generally feel is Aurika, the kind of positioning we are doing for Aurika should either be in a high-value resort or a high-value location. We are not looking at doing Aurika's in Tier-2, Tier-3, Tier-4.

Similarly, Lemon Tree Premier's, again, are position based on ability to pay, willingness to pay and depth of market. So, there is a format for it. And I hope this has broadly answered your question. We have a framework. We are actually now using our digital platform, our AIML to get more and more into this to pop out where we should go for capital investment, too.

Sucrit Patil: Thank you. My second question is to Mr. Kapil Sharma. With rising input costs and competitive pricing pressure, what forward-looking steps are you taking to sustain margin expansion while continuing to invest in new properties and technology? Specifically, how do you see operating leverage playing out in FY 2027? And what benchmarks are you setting for long-term cost efficiency? Yes, thank you.

Kapil Sharma: Yes. As you know, in the operating cost of the hotel, there are two major costs, which is one is the manpower cost and second is the power and fuel. On both the fronts, if you have very focused attention and you clearly monitor it to keep it under control, that you can control your margins and you keep your operating costs under control. So, as you know, we have a very low increase in the manpower cost because of our model, which is relating to the HR. And secondly, on the power and fuel front, we are, as you know, regularly and continuously focusing on the renewable energy proportion. We are increasing the sources, which are renewable
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sources, the power coming from them, and we have got the target to complete, to make it 50% of the total consumption coming from the renewable energy sources.

So based on this, we would be completely focusing and as you rightly mentioned, we are using the technological solution also to reduce our costs. And that is the main focus areas where we continue to pay our attention and keep the margins at a high level and keep control on the costs.

Moderator: Thank you. Next question comes from the line of Naveen Vijay with NS Capital. Please go ahead.

Naveen Vijay: Good evening, sir. Given the transaction going through, Lemon Tree will have their job cut out in operationalizing all the pipelines. Roughly, what would entail this activity of operationalizing, sir?

Patanjali Keswani

: Our operationalizing is we have a D minus 360 strategy. See, these hotels are under construction or under renovation or under upgrade and so on. So, we have a fairly clear line of sight when we need to open these hotels, which is why we give now quarterly, we say we expect to open this quarter, though we report, I think, now every year of reopen.

Once we know that roughly 360 days before, we identify a general manager in our system. Typically, the owner wants to interview him. We identify the heads of departments again in our system. These are all placed depending on the role between 9 to 3 months before the hotel is scheduled to open. Separate conversations happen with the revenue team, the sales team, the revenue management department, so on and so forth, our partners who distribute our hotels. So, we try and build up some pipeline of demand before the hotel opens. Simultaneously, we start to recruit. Usually, in a managed hotel, the general manager is employed by us but works at the hotel as part of the owner's payroll arrangement. The rest of the employees are employees of that hotel and therefore, that owner. We then identified these people. We try and recruit locally to strengthen local communities. We send training teams from our company. They do a lot of training programs in the last 3 months before opening the hotel, including mock runs. Then we opened this hotel. And any support that the owner needs, he pays for through technical fields. And whether it is relating to the project, whether it is relating to engineering, whether it is relating to housekeeping, whatever it is, ordering, we help with all that. And that is part of the fees the owner pays us. So, it is a very standard process. That is how we have opened 80 hotels in the last 6-7 years, and we will open another 130 in the next 3-4 years.

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Naveen Vijay: Great. From what you are saying, most of the pipeline is on the management contract and very few are the franchisees? Is it...?

Patanjali Keswani: That is correct. No, Franchisees is also there, but franchisee is a business we are watching closely because there is an implied risk to our reputation, because the franchiser actually runs the hotel. That general manager of that hotel is not our employee and, therefore, is more aligned with the owner. And unfortunately, in some cases, we have found owners are ready to cut costs and so on and so forth. And that impact is ultimately set by the brand. So, our strategy on franchise is fundamentally different. Our strategy for future growth is strongly focused on technology, which will play a crucial role in maintaining the strength of our brand.

Moderator: Thank you. Next question comes from the line of Manoj Kumar Pal, an Individual Investor. Please go ahead.

Manoj Kumar Pal: Thank you for giving me this opportunity. In fact, the majority of the questions have already been addressed. And one question is sir, as of now as a consolidated level, our ROE is at 18-odd percentage. My question is that after the demerger, what will be the ROE or any guidance on that?

Patanjali Keswani: Actually, I have not even evaluated that. Good point, Manoj. Can you wait till the next concall? We will actually study this. And I am sorry, I do not have a number, but obviously, it has to be superior to where we are today.

Kapil Sharma: But actually, if you look at from the Lemon Tree standalone perspective, which will be an asset-light company, it will have a very high ROCE because there is hardly any capital investment into that, except for technology. The ROE will be very high in the Lemon Tree asset-light space. And I think Fleur as it grows further and adds to its new portfolio, there would be better margins and better ROI on that also. But exact number, obviously, we will have to see.

Patanjali Keswani: Actually, we should know that.

Kapil Sharma: Yes.

Patanjali Keswani: Thank you,

Manoj. If you are in the next concall, we will try and answer that.

Moderator: Thank you. Next question comes from the line of Jay Kalra, an Individual Investor.

Please go ahead.

Jay Kalra: Yes. Thanks. And congratulations on taking a great leap forward. I would like to ask as to whether the brands, I believe the brands will be now housed with Lemon Tree. Would you possibly get a royalty or a fee for the brand per se? That is one. And secondly, we are a regional player, let us say, of 2, 3, 5 properties and his own brand come to you and say, could you manage this property for us and onboard us onto your technical systems? Would you do it in Lemon Tree?

Patanjali Keswani: Thank you, Mr. Kalra. I must now go back for a moment. Let me explain what is the global model? In some ways, what Lemon Tree has done now or plans to do through this demerger is follow what Marriott and Hilton did earlier, which is remove all their asset-heavy businesses, and I gave the rationale and put it into a separate company. Marriott did it with Host hotels. And I think these Hilton guys did it with Park Hotels.

Now if you talk to Marriott or Hilton, and I have talked to many of these large global players, if they charge fees, typically, their fees range from 10% to 15% even more of revenue. How do they break their fees up? In their minds, I find if they do a pure franchise, and by the way, Marriott does a lot of franchise. In the United States, 70% of their business is franchise, which means they do not even manage hotels. Typically, their franchise fees are 2/3rd of the fees they charge in a management contract, which means that if they charge \$3, \$2 is towards the brand and \$1 is towards management.

In our model, the way we are looking at growing our franchise business, we also want to capture 2/3rd of the fees that should come if we do pure franchise. Therefore, I am not sure we want to do management because it is not a value-added kind of business for us. The opportunity to franchise 1.5 million rooms in India, in my opinion, is the biggest hospitality opportunity in the world today. Because India is at a structural point, there will be more and more cohorts of customers who want branded hotels, who are aspirational, who are earning more income, who move into the magic Rs. 36 lakhs or more per year of household income. These are the consumers of midmarket hotels.

We may franchise, but I do not think we will manage without our brands. I do not think we would like to do that. However, if there is an opportunity for co-branding and we manage and the opportunity is relevant enough and large enough and strategic enough, then we would be very open to that.

Jay Kalra: Okay. You would largely manage your own brands and not really take responsibility for another brand coming in? Is that right?

Patanjali Keswani: That is correct.

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Jay Kalra: But if it is a franchise and you really wrap yourself around the franchise model in times to come, that would be fine with you if it is a set of properties that come along?

Patanjali Keswani: Absolutely.

Jay Kalra: Okay. And my second question is after the fresh infusion of capital of, say, about Rs. 960 crores, which is what you refer to, would one say that Warburg would get to own about 1/3 of the Fleur Hotels?

Patanjali Keswani: We have not worked that, but it would be less of that, less of that than that.

Jay Kalra: It would be less than that?

Patanjali Keswani: Yes.

Moderator: Next question comes from the line of Vishnu Madat with Greenhill Consulting. Please go ahead.

Vishnu Madat: Hello, thank you for giving me this opportunity. Basically, I have just two questions. One, what are the key risks that you identify or foresee in coming years? And second, what are the plans for international expansion?

Patanjali Keswani: We want to obviously grow our fees faster than the 20% that has occurred in the

last 2 years. And there is a reason for that. A lot of investors/analysts have asked us that if you are signing so many hotels, why is your fee income not growing at the same rate. And we found a very interesting thing. We did a study of this, and we found we typically open as many hotels in a year as we signed 3 years ago because that is the time it takes to operationalize. So, if you look at Lemon Tree and it signed 1,500 rooms 4 years ago.

Then we opened 1,500 rooms this year, although we are signing maybe 5,000 rooms. So, what this really tells you is whatever we are signing today, the fee stream will happen typically 3 years later, just as a number. And if you want to do it more rigorously than what you have to look at is what is our fee income per

operational room multiplied by this 5,000, we have signed this year and attributed to, say, FY29, and you know that is going to come then.

And you would be quite accurate then, so that is the fee income. So, whatever we have signed in the last 4 years, you have to look at attribute and income per room and then take it forward plus 3 years. Coming to international. I always ask a

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simple question. Why is it that we are so focused on international travellers coming into India, excluding the Indian diaspora, which is like 9-10 million people.

Why are we not looking at the fact that 30 million Indians travelled outside India last year. So, to me, 1 very attractive market is we are trying to build a connect with Indian consumers in India. If we build a strong enough connect, with a strong enough loyalty program, why should we not follow them where they go in large numbers. And I mentioned where are these places. This is Middle East; United Arab Emirates gets 10 million Indians every year. Even if I take out the migrant labour, there are still 5 million guys who go there every year.

If I look at Thailand, that is another phenomenal market. So, there are clear markets, Nepal, where we are already present. We would like to go where Indians go in large numbers and have our inventory share there where we can attract a disproportionate number of them. So that is a very simple thing. We want to follow wherever Indians go. We want to follow our customers. We have no greater ambition than that. And just to explain one thing, we expect that this 26 million – 30 million trips every year, our best case is that it will be 150 million in 6 years.

Vishnu Madat: Okay. And what are the key risks that you identified for coming in future?

Patanjali Keswani: Key risks.

Vishnu Madat: Yes.

Patanjali Keswani: See, our risk to us, there are 3 or 4 risks. The first risk is if we take our eye off the ball on our brand. Our brand is a very critical strategic value. Whatever is wrapped around our brand or whatever our brand wraps around, that is a very key risk. Second is people. People for us is an enormous risk because the fungibility of a hotel trained person is across industries and hotels are among the worst pay masters and cannot afford to pay better actually.

The third is technology risk and distribution risk. Somebody comes along, say, tomorrow, frankly, Amazon or Meta wakes up and says, I have got 2 billion guys on my platform. And you know what I am going to white label something called Amazon travel and stay, if I get enough of these guys to book through me, I will just ask a question. Give me your budget, give me the type of hotel, give me your itinerary and I will book your hotel room, your airline, your everything that you want, then they will disintermediate everybody. Any no brand in the world can withstand that.

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The only answer to that is you should control enough supply in a market, in a micro market where even this kind of strategy does not disintermediate you. So, look at Gurgaon. We would like out of the 4,000 rooms in Gurgaon; we would like 3,000. If we can do that, then

nobody can disintermediate you because you control supply.

Obviously, we constantly discuss risk, management risk mitigation, but I am trying to give you a flavour of it.

Moderator: Thank you. Next question comes from the line of Anuj Upadhyay with Investec. Please go ahead.

Anuj Upadhyay: Hi sir. Thanks for the detailed explanation of the restructuring. Sorry on my part, if I am repeating this question, but you mentioned that the margin across the Lemon Tree could go up from 70% - 80% over a period of time, and so as to do with Fleur which can fall at around 50% plus. I believe by the time this restructuring would happen, all our renovation exercise would have been done across Keys. So that would take scale on the margin for Keys. But how exactly the Lemon Tree margin would improve from 70% - 80%? And would there be any further scope for margin expansion across Fleur considering the fact, that rate hike could not be as steep as what we have seen in the past 2 or 3 years?

Patanjali Keswani: I am not going to get into specific numbers. We just looked at our management fee of Lemon Tree from Fleur and from third-party hotels this year, next year and the following year based on what we know for sure will happen and we asked ourselves, what are the expenses? The only expenses, frankly, are corporate expenses and technology expenses. If we look at that, and overlay what we expect to spend there, then our margins are already 76% - 77%. So that if goes to 80% is no-brainer, because once we add some more hotels, the corporate staff nor technology expenses will go up, but the Fee income will go up. So, when I said

80%, I am assuming a very small number of that, 2,500 rooms coming in. Because it is an asset-light business, it is just monetization of your brand because all your other expenses are distributed with the owners. As far as Fleur goes, you are absolutely right, I keep saying markets whipped Lemon Tree saying the margins have dropped to 42%-43%.

But that is actually incorrect, we have spent 9% of revenue in these one-offs and this what is called renovations, above normal, 9% above normal. So, minute we go to normal the margin will expand by 9%. It is simple and this is post fees. So, it 42%-43%, I am saying we will be over 50%. But to play safe, assuming there will be expenses, there will be many other things, we have said that we will definitely be 48% of our revenue will be net EBITDA after all expenses.

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Moderator: Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Patanjali Keswani: Thank you, everybody, for your interest and support. We will continue to stay engaged. Please be in touch with our Investor Relations team for any other details or discussion, and we look forward to interacting with you soon.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity and accuracy. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Feb 2026

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February 16, 2026

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
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Mumbai – 400 051

Name of Scrip: LEMONTREE BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai – 400 001

BSE Scrip Code: 541233

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Ref: Outcome of Conference Call with Analysts/Institutional Investors

Dear Sir/ Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation to the disclosure made on February 10, 2026 w.r.t. the audio recording of the conference call on Unaudited Financial Results for the quarter and nine months ended December 31, 2025 held on Tuesday, February 10, 2026 at 4:00 PM, please find enclosed herewith the transcript of the conference call with Investors/Analysts.

This is for your information and record.

Thanking You
For Lemon Tree Hotels Limited

Pawan Kumar Kumawat
Company Secretary
& Compliance Officer
M. No: A25377

Encl: a/a
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Lemon Tree Hotels Limited
Q3 FY26 Earnings Conference Call Transcript
February 10, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the Lemon Tree Hotels Limited's Earnings Conference Call. I now hand the conference over to Mr. Mitesh Jain from CDR India. Thank you, and over to you, sir.

Mitesh Jain: Thank you. Good evening, everyone, and thank you for joining us on Lemon Tree Hotels Q3 and 9M FY26 Earnings Conference Call.

We have with us Mr. Patanjali Keswani, Executive Chairman, Mr. Kapil Sharma, Executive Director and Chief Financial Officer, and Mr. Neelendra Singh, Managing Director and CEO of the company. We would like to begin the call with opening remarks from the management, following which we have the forum open for an interactive question-and-answer session.

Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation that was shared with you earlier. I would now request Mr. Keswani to make his opening remarks. Over to you.

Patanjali Keswani: Good afternoon, everyone, and thank you for joining us on this call. I will be covering the business highlights and the financial performance for Q3 FY26, post which we will open the forum for your questions and suggestions.

In Q3, Lemon Tree recorded its highest ever revenue and EBITDA at Rs. 407.8 crore, our revenue grew 15% compared to Q3 last year. Net EBITDA grew 12% YoY to Rs. 206.4 crore, translating into a net EBITDA margin of 50.6%, which decreased by 133 bps YoY. The decline was primarily due to continuing increased investments in renovation, technology, and the GST impact.

While these expenses in investments accounted for 6.4% of revenue for this quarter, we expect all these 3 expense heads to reduce to about 3.6% of revenue by FY28

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and onwards, leading to a corresponding expansion in EBITDA margins. The change in GST in this quarter accounted for 1.8% of revenue in a seasonally strong quarter of the year, and we expect this to be 2% for the full year in FY27 and then further reduce to 1.7% in FY28. This decrease will be a YoY trend as the number of customers paying a rate below Rs. 7,500 keeps reducing in the medium term with our planned price hikes and ARR growth. Additionally, all our future supply is being planned under the upper upscale Aurika brand, which remains largely unaffected by this change. Q3 FY26 recorded a gross ARR of Rs. 7,487, which increased 11% YoY. The occupancy for the quarter stood at 73.4%, a decrease of 82 bps YoY. This translated into a RevPAR of Rs. 5,494 which increased 9% YoY. We incurred an expense of Rs. 31.3 crore as one-off exceptional items related to the Labour Code Impact, ex-gratia payments to employees, which is finally over and a property tax payment in relation to the properties in New Delhi.

Consequently, the company's profit after tax stood at Rs. 81.8 crore for Q3 FY26, an increase of only 2% YoY. Cash profit for the company stood at Rs. 131.1 crore in Q3 FY26, an increase of 14% YoY.

On the asset-light side, in Q3, we signed 17 new management and franchise contracts, adding 1,855 rooms to our pipeline and operationalized 9 hotels, adding 816 rooms to our operational portfolio. As of December 31, 2025, the total inventory for the group stands at 259 hotels and 21,942 rooms with 11,772 rooms and 130 hotels being operational and the rest in pipeline.

Fees from management and franchise contracts for third-party owned hotels stood at Rs. 22.9 crore in Q3 FY26, an increase of 24% YoY. Fees from Fleur Hotels stood at Rs. 25.3 crore in Q3 FY26, which stayed flat YoY due to the impact of GST change and accelerated renovation in the Fleur portfolio. Total management fees for Lemon Tree stood at Rs. 48.2 crore in Q3 FY26.

Now briefly touching upon our other initiatives. We have finalized the designs for Aurika, Nehru Place, a glimpse of which you can see in the Annexure section of the investor presentation. Secondly, we plan to open 2 out of the 3 blocks of Aurika, Shimla by Q2 this year to capture the increased demand during the summer season. Thirdly, in January this year, we have signed a license deal for a 47-room heritage Aurika Hotel at Varanasi located right on the ghat adjoining the River Ganges. This hotel has the potential to do extremely high rates, owing to both the strategic location and the deep demand of the Varanasi market throughout the year.

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With this, I come to the end of my opening remarks and would ask the moderator to open the forum for any questions that you may have. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Karan Khanna from Ambit Capital. Please go ahead.

Karan Khanna: My first question is on the RevPAR growth during the quarter. Most industry reports mentioned a 12% RevPAR growth for the industry in 3Q FY26. And even your peers have reported RevPAR in the range of 11%-13%-14%. Despite some renovation benefits, you seem to have fallen short here. Could you share the reasons behind this?

Patanjali Keswani: Basically, Karan, one is we do not have peers who are currently operating in the Indian listed space. They are all mostly luxury heavy. The ability to reprice in winter is normally higher than ours, as I am sure you have observed in the last 3 years. Now if you look at what has happened to our portfolio, we have been affected by Gurgaon. Gurgaon has gone through a very weak quarter and in fact, our RevPAR growth has been negative. But if you look at the rest of the markets, Delhi has been 11%, Hyderabad has been 19%, Bangalore has been 14%. It is the Tier 2 markets, and Gurgaon, which have really

really affected us the most.

Secondly, while we are still focused on the occupancy side in Bombay. If you notice that our focus has always been how do we drive higher and higher occupancies before we reprice. I am quite pleased that for a very large inventory hotel, although it has been only 2 years, we have gone to 79% for 1,000 rooms at the airport micro market.

Overall, I am not unhappy with the performance. And you will see RevPAR expansion once stabilization occurs really in Bombay and Gurgaon picks up again. Rest of India is, anyway, if you look at all the reports, has all gone through minor increases in RevPAR growth. It is the main markets, the deep markets that have shown the highest growth.

Karan Khanna: Sure. My second question is on the renovation benefits. In the Keys portfolio, we have seen almost 25% RevPAR growth. Are there any other brands where you are expecting such growth going ahead? And consequently, going into FY27, what are your RevPAR growth expectations overall?

Patanjali Keswani: See, if you notice our performance, Karan, we have grown, like if I look at 2024 to 2023, we grew about 23%, 24% in 2025 to 2024, we grew about 20% in 2026, we have shut a lot of rooms. While we report RevPAR on full inventory we had shut

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1,200 rooms this year, part of which is still shut like the Keys portfolio and so on. You are not getting really a full picture of how the performance will be. I would say, if you look at 2028, that is when the entire portfolio is renovated, and we go back to our standard minor interventions in 1/6th of our portfolio for refurbishment.

Please realize that there is a shut inventory which affects us. And as I said, if I look at competitive performance in these markets for competitive hotels where we operate, we have shown actually a very significant improvement in performance relative to the market.

Karan Khanna: Sure. And then lastly, on Aurika, given that now even the demerger process is underway, how should one think about growth for both Lemon Tree standalone and for Fleur? And in your post-demerger call, you also spoke about Rs. 1,000 crore EBITDA for Fleur. You were mentioning that you are looking to close a few opportunities as far as Aurika is concerned. By when do you expect to close more announcements on this front?

Patanjali Keswani: You saw we did a small deal closure - the one we just closed, which was Aurika in Varanasi. It is equivalent of 150-room Aurika because its ARR will be 3x of what the other Aurikas will be. Hopefully, in the next 2-3 months, we will start construction of the Aurika, Delhi, which we hope we will complete in 3-3.5 years.

Going forward, I hope you will hear a bunch of announcements from us on acquisition/greenfield opportunities. I do not want to give guidance as to how many and where they are, but as I mentioned last time, there are roughly 2,500 rooms we are looking at, and we are pretty sure we will be able to add that level of inventory to our company in the next 1 year. That is point one. Point two, I said EBITDA of Rs. 1,000 crore, I mean, by FY28.

Moderator: The next question comes from the line of Vaibhav Muley from Haitong Securities.

Vaibhav Muley: My first question was regarding our status of renovation of the portfolio. Can you share the current percentage of portfolio that is being renovated? And for Q3, what was the portion of inventory that was shut down?

Patanjali Keswani: You see, we think of our renovation in 2 parts. There is a whole bunch of hotels that opened just before COVID. They do not really need renovation except a refurbishment. If I take those 1,400-1,500 rooms out, the portfolio that really needs renovation is about 4,100 rooms of the owned portfolio. We have completed over 65% of them. This year, I think we renovated about 1,200 rooms. At any given time, there were about 700-800 rooms shut. There was an overlap, obviously,

obviously, in the middle

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of the off-season. And we still have, I think, about 200 rooms shut, which are really in various parts of the Keys portfolio. My expectation is that the full portfolio which

we target will be done by next year, which are those 4,100 rooms and after that, we will go back to what is called just a refurbishment cycle. Every year, we just refurbish 1/6th of our hotels, and that will be at a much lower cost. And I think that is explained in various slides in our investor presentation. Does that answer the question, Vaibhav?

Vaibhav Muley: Yes, sir. My second question was on our performance for Lemon Tree Premier and Lemon Tree Hotels. I believe key properties in these 2 segments in these 2 brands have also been renovated, mainly for Hyderabad, Delhi market. But the overall RevPAR growth for these brands is in still high single digit. There has been a bit of an occupancy decline in Lemon Tree Hotels as well. Any reason for that?

Patanjali Keswani: Yes. One is the Lemon Tree Hotels that you see the major decline was in the portfolio in Gurgaon. Gurgaon, we have Lemon Tree Hotel in Sector 60. The same impact you will see in Red Fox Sector 60 in Gurgaon, which is 250 rooms, had very large blocks last year in Q3, which did not materialize this year.

Number 2 is that the other hotels of the Lemon Tree brand and the Red Fox brand also were notably weaker this quarter than the previous year same quarter. When you come to RevPAR improvements really, if you take out Gurgaon as an example, and the rest of India, which is Tier 2, Tier 3 kind of products, you will see our actual growth is Delhi was 11%, but of course, 100 rooms were shut in Delhi out of 500. Hyderabad had 60 rooms shut out of, I think, 660, but still managed 19%. Bangalore had about 15% of the inventory shut, grew 14%, Pune, we have finished renovating the Pimpri hotel. Hinjewadi was, I think, 20% of the inventory, about 25 rooms were shut. These markets where we have got nearly fully renovated products are showing quite a healthy growth. In fact, for Delhi, you will see the same thing from this year because now we have a fully renovated portfolio in Aerocity too.

Vaibhav Muley: Understood, sir. If I may squeeze in a last question regarding the slide which you have included in the presentation for impact of renovation, GST, and tech investments. Tech investment portion, you are saying will increase next year as well. Any infrastructure where you want to increase this expense because I believe our loyalty program is now in place. We have already revamped our website as well.

Patanjali Keswani: No, I think we have to make a lot more investment in loyalty, frankly. We are looking at gen-AI, we have got a big call centre where we have a certain amount of expense, which is obviously not reflected here. And we want to significantly reduce it, move towards chatbots, so on and so forth.

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Let me just assure you that all the tech investments we are looking at, we are looking at clear monetization of them. We started it only last year, in FY25, if you notice. And this will continue for the next 4-5 years. It will become increasingly a smaller percentage of our revenue. But we hope and expect that it will yield positive outcomes for us, especially for the managed and franchise portfolio.

Moderator: Your next question comes from the line of Achal Kumar from HSBC.

Achal Kumar: First, I just want to understand now given that you have already done sort of or draw a line in terms of your structuring and all. What is your key priority for the next 1 year or until you list your Fleur? I mean, where do you want to see Lemon Tree and Fleur at the time of listing in terms of size of the business, margins in ROCE? And if you could please give a bit of a colour on that?

Patanjali Keswani: Achal, you are asking me to give guidance, which is not something I really

want to

do because you will come and stick it down my throat 1 year later. But let me tell you broadly how we are looking at this. You may have seen that our fee income did not grow dramatically this year although we added I think, 1,600 rooms to our portfolio. Here is the deal about a management company.

Suppose you sign 5,000 rooms, I explained this earlier, 5,000 rooms this year. Typically, the full impact of the revenue stream or fee income from those rooms comes after 3-3.5 years because some of those hotels are being built, some are being converted, some are being renovated. And then once they open, they must all stabilize and the full impact of the fee income takes, 3-3.5 years. Really, what you are seeing of Lemon Tree is the fee income of hotels we signed 3 years or, in fact, pre-COVID.

Now if you look at those 1,600 rooms, we signed this year, half of them we opened this year, half of them opened in H1. And the impact is already showing at 24% growth in fee income. We opened another 800 rooms in this quarter, that is Q3.

There was nearly 0 impact of those 800 rooms.

I would urge you to look at it this way - we earn a certain amount of fees per room. It is easy, and that is why I do not want to give guidance. It is easy to say we are going to have 22,000 rooms as of today within the next 3 years. It is very easy to work out

what the fee stream will be.

Now as far as Fleur goes, because we are going public, I have given some form of guidance, that is by FY28, which will be the first year we think it will be public ly listed , we should do an EBITDA of about Rs. 1,000 crore . I am very confident we will

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achieve that number. And this is after our fees, and we will charge significant fees out o f a company of that size.

If you add Fleur fees, you add our 15,000 - 16,000 rooms beyond Fleur that we are going to be on a stable basis operating in the next 3 years. And excluding any new hotels we sign, which may or may not be operational 3 years out, the numbers are substantial . And i t is not difficult to calculate them. I do not want to give a number, but I will say, clearly, it is substantial. And keep in mind that Lemon Tree will be the first fully asset -light brand owning tech and distribution and management company in India, the first. I think it will be an interesting split, and you will have to wait until that moment for us to show you the actual numbers.

Achal Kumar: Right. Fair enough. Then second question, I wanted to understand about your plan in terms of rebranding. You rebranded one of your Red Fox hotel this quarter. Do you have plans to rebrand more inventory? And just want to understand what kind of spending does it or is it like the same hotel, you just rebrand it, or you spend, first you upgrade the rooms quality and all and then you sort of rebrand it? How easy or how difficult it is to rebrand? So, could you please give a bit of colo ur on that?

Patanjali Keswani: Since we are renovating as opposed to refurbishing our entire older portfolio, we said that we would look at those hotels in that portfolio where we felt there was a significant ability to reprice based on the new product that we imagine for it and its location. A classic case is Red Fox Hotel, New Delhi. We rebranded it Lemon Tree, and it showed a significant increase in ARR. It is not visible really because in the RevPAR growth of LTH, but it was quite significant.

Now we plan to rebrand since we are renovating Red Fox, Hyderabad, which is again in a great location with large rooms, we are planning to call it a Lemon Tree Hotel. It is adjoining the Lemon Tree Premier, and this will happen in Hyderabad by October this year.

Similarly, we rebranded Keys Select into a Keys Prima in Pimpri -Chinchwad. And we intend to rebrand Keys Whitefield into a Keys Prima, which is the equivalent of a Lemon Tree Premier once the renovation is compl

ete in the next 6 -8 months because

that is a large inventory 220 room hotel, and it is already showing significant improvement in performance. Other than that, I do not think we have a clear view on what else we should rebrand. There is no incremental cost in rebranding. Since we are renovating, all we are doing is fitting it into those new brand standards. We will, however, look at Lemon Tree, Alleppey, which is a small but very attractively located hotel outside of Cochin, and we will perhaps make it in Aurika, but not in the very near future.

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Another opportunity we feel faces us is that the Red Fox in Jaipur, which is a 183 - room hotel, the land has become so extremely valuable that if in our minds, we look at monetizing that land, then there is a case because of its location, it is between the airport and Rambagh on the main Jawaharlal Nehru Marg. There is a case to make it a 150 -room Aurika. These are the thoughts we have. This is obviously subject to a return on investment. And other than that, we are not really looking at rebranding anything . Does that answer the question?

Achal Kumar: Yes, absolutely. Tha t is fantastic. My final question was on the tech side. Basically, if you could sort of take a bit of a deeper dive as to what exactly are you doing? Are you strengthening your sales and distribution channel? Of course, you have talked about loyalty, you are doing a lot on the loyalty side. But what else are you doing on the tech side? And what kind of benefits do you think it would cause? And especially, I am sort of thinking about the sales and distribution channel because if I see, I mean, everybody is sort of trying to have extended sales and distribution cha nnel. Big hotels are talking about Marriott and all. For you guys, what are your plans and where you are standing in terms of tech, please?

Patanjali Keswani: Tech to us , well, one is the hygiene side, one is the revenue side . From the hygiene side, we feel it is necessary for us because we do not want to miss the boat, and we are a midsized company maybe in the hotel space. We do not have enough tech backbone as a standalone company. We asked ourselves what were our pinpoints? And how do we look at the whole tech journey for our company. And this was about 2 years ago when we first started talking to BCG about this.

We realized that one is that we need to go AI first, digital first and really, for us, i t has

been a short journey. It has only been 2 years. We focused on initially actually only on creating a single source of truth because we had multiple systems, which were talking to each other through APIs. Some of them were not talking to each other. The classic case of growth from small to medium.

First was getting all our data sources together, a single data lake, migrating it to AWS with a private cloud, so on and so forth. Then we asked ourselves, how do we use this data for better and more informed decision-making. The areas we looked at was revenue management, then we tied up with Salesforce for a better way of doing sales. It is called next-gen sales. We also looked at personalization and loyalty they were all in phases. You see this requires a cultural transformation in a company. The technology side is only 1/3rd. 2/3rd is the cultural change, and it is a journey we are going through. It is encouraging. We are also asking ourselves now that we have started creating products what I would call minimum viable products is how do we

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monetize it now with third-party users of this? Because for Lemon Tree at our size, we find a whole lot of tech painful and difficult to digest, then the question arises what happens to 1.5 million - 1.6 million rooms in India, which are much smaller individual hotels, the owners of those hotels. Is there a way we can offer them similar services? It is a 3-step process. It was first getting our house in order,

number 2, seeing how it would help us.

And now number 3 is how do we go to market with it? And then how do we overlay this with our own brands and move the franchise/management route in a more aggressive way. That is the vision. It is right now only 2 years. But I think the way we looked at it at the most basic level was that we have invested, Rs. 5,000 crore worth of assets we have created. Even if we improve the return by 1%, we are still talking a Rs. 50 crore improvement from technology alone and I think, frankly, we have achieved at least half of that. From a pure technology investment and return perspective, even within the system, it has been a good journey.

Moderator: Your next question comes from the line of Abhay Khaitan from Axis Capital.

Abhay Khaitan: A couple of questions. Firstly, a quick clarification on the management fees growth that we have seen. In terms of operational rooms, we can see around 32% growth in terms of managed rooms, but the fees have only grown by 10% in aggregate and from third party only 24%. Is there any reason why is there a discrepancy? Because one would assume that the growth would be at least the number of room growth and then there will be some RevPAR growth on top of it. Any reason for this discrepancy?

Patanjali Keswani: Yes. If I looked at it really, we added 1,600 rooms in the 9 months of this year. 800 rooms were added in H1, and 800 rooms were added in Q3. Now really, fee income becomes meaningful with new hotels only after they stabilize because a large portion of it is the kind of business you are pushing in there, the revenue that you generate and the incentive fees that you earn.

When I look at these 1,600 rooms, I would say they have generated a return only that of 1/4th of what their potential is. But it will take a year more for them to really give a return because many of them are new, many of them are in the undergoing stabilization. Do you get me Abhay? It is not like they will immediately start giving the full set of fees that we require or intend to earn.

As far as Fleur goes, there was an impact of GST changes and accelerated renovation. I think you will have to wait because when the renovation intensity at Fleur moderates and the full renovated inventory ramps up, then fee income growth

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will reaccelerate, and it will be aligned with the new income that we earn per room from this fully renovated portfolio.

Abhay Khaitan: Understood. That was very clear. My second question is mostly more on the strategy bit in the sense that I understand that there is a strategic restructuring that is going to happen on the Fleur side. But in terms of your own room addition, right now, I think it is completely focused on a few Aurikas. But would it be fair for us to assume that all the other own room addition that is going to happen from Fleur end will only happen after the demerger is completed? Or can we expect some announcement even before that as well for other brands like Lemon Tree or Lemon Tree Premier?

Patanjali Keswani: See, we would certainly like to show a good growth pipeline. And I am pretty sure that in the next 12 months, we will show a bunch of additions. Some may be greenfield, some may be brownfield and some may be outright acquisitions. We are looking at all kinds of opportunities. And I think you will have to wait over this next 1 year to hear what and how we intend to grow the portfolio. But it will be quite exciting.

Moderator: The next question comes from the line of Sameet Sinha from Macquarie.

Sameet Sinha: A couple of questions here. If I remember, when you did that call in January, you

spoke about the GST impact at 3% -3.5%. It seems that that it has come down. Is that kind of a re-evaluation of how you are planning to increase ARR and the repricing after renovations? That is question number 1.
Secondly, you spoke about what happened in Gurgaon. Can you

point us to what

we should be looking out for the next couple of quarters, maybe if you have visibility into some of these odd things that happened and which may or may not reoccur, that will help us in kind of thinking about the quarter or the year. Last question is in terms of Aurika, Nehru Place, did you increase the number of rooms by about 50? And does that change the CAPEX number that you had originally given?

Patanjali Keswani: Okay. Let us start with GST. The number I gave for GST was based on H1, our assessment of H1 because GST became operational on 23rd September. We worked backwards and said this is the maximum impact. As it happened, fortunately, our prices did go up because the price impact started from October but played out through till January because some of our prices are what are called RFP prices and that changes on a calendar basis. We can look at the impact of GST and say it will be about 2% next year based on just what we expect to do in revenue terms and how much of that revenue will be above Rs. 7,500. It is an approximate figure, but we think it is pretty accurate that was the first point.

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Point two is how do I see the next 2 or 3 quarters? This quarter is a good quarter. It started slowish, but February is looking very positive. I think my best guess is that all the listed players will report the same thing, which is January was sluggish. February is great. I am amazed to read this article today about some luxury hotels charging rooms in lakhs. I think it is a bit of a headline number. I do not think it is true really across the board. But February is very good and March also looks excellent for us. I would hope that we do better in growth than we did in Q3. That is nearly certain. How much of that will be impacted by what happens in Gurgaon. Gurgaon is still, frankly, a work in progress because we must find a replacement for the very large groups that we had in Q3 and Q4 last year in Gurgaon in the Lemon Tree and Red Fox portfolio. We also have a 150 -room Red Fox there, underperforming significantly versus last year for the same reason. What was the third question? Sorry, could you repeat the third question?

Sameet Sinha: The Aurika, Nehru Place, it seems like the number of rooms increased by 50?

Patanjali Keswani: That was our best guess case when we first informed. That is why we said 500 plus, Sameet. Now that we have got our architects, architects are based out of Singapore. They have done the Aurika, Bombay. They also work, I think, with the Marriotts in India. They have now done a broad massing, which is the pictorial we have put in our investor presentation.

In fact, the principal architect is coming to meet us next week and based on the early drawings and the options they sent us, we looked at it from a slightly space optimization perspective. And it turns out that we wanted a very large convention centre, which we have managed to get. I think the main banquet is like 14,000 - 15,000 square feet. And we wanted, obviously, not as many suites as they recommended. They recommended something like 50 suites, we reduced it significantly. And so, we think we will cross, I think, 550 or maybe even 560 rooms in this. There is no change in cost because it is the same built-up space, which is 370,000 square feet approximately.

Sameet Sinha: Got it. One final question. I know last call; you had mentioned Gurgaon and Bangalore as the 2 properties which are being renovated. So, Gurgaon, I guess, we know why the RevPAR was down. In the case of Bangalore, any thoughts on the occupancy side? You had great ADRs over there, but the occupancy was lower. Was it because you have grown, you are just repricing it higher and hoping that that price you will be able to maintain that price?

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Patanjali Keswani: No. It is interesting. Sameet, we shut different parts of our portfolio in the last 2 years

for accelerated renovation. If you look at, for example, our operational performance by region, you will find that Delhi, although we closed 100 rooms in Delhi, we managed to do it in bunches. It is also a function of floor plate. These hotels had a very large floor plate. Each floor had 100 rooms. We could shut 1 floor and renovate it and fill the balance.

Now if you look at Bangalore, these are tall buildings. And it is very peculiar since you mentioned it, I will explain that the floor plate has much fewer rooms. It has 20 - 30 rooms. We do not shut 1 floor. Then we shut like 4 -5 floors. And we have allocated

more resources in Bangalore this year. Our earlier focus was on Delhi and Hyderabad because those were showing the most promise. And that is why you will find that our Hyderabad portfolio, the ARR really went up because it was fully renovated. Delhi was already on a very high base. If you notice, it is still gone up significantly, though it includes a low-rate Red Fox, East Delhi, which is due for a renovation now.

Bangalore, we shut a heck of a lot of rooms in Bangalore, especially the Keys rooms, so a lot of Bangalore, 874 rooms, nearly half of them are Keys rooms and we were renovating them left, right, and centre. Even right now, we are renovating them because our view is we will take the short-term pain. It is a mix of many things. It is a lot of noise. Guests get upset because we are banging and breaking because these are full-scale renovations.

But bear with us, I think by next year, as I said, when we finish this renovation, you will see a massive improvement in performance in all these, including Keys. Keys I mean, you have not seen anything. Keys is showing 25%, I am very dissatisfied. I think Keys should show 50% growth in RevPAR and I have said earlier that the average daily rate should be equal to at least Red Fox. To me, it is still 12% short. Though we have grown the rate by 19%, Red Fox has also grown, and we intend to take Keys up to Red Fox.

Moderator: The next question comes from the line of Rahul Jain from Phillip Capital.

Rahul Jain: My first question is basically on the strategy that you mentioned earlier in Mumbai is right now more occupancy led. How do you expect this to transition to a more ARR-led strategy? Is there a timeline or a threat level that you would like to reach before you switch to an ARR-led strategy in this market?

Patanjali Keswani: The question is really in Bombay is we have got a large base of crew. Let me bring it to the crux. We took this large base of crew, though we have reduced it quite

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significantly. In fact, when we started it, it was about 100 rooms more than what it is today. We have managed to replace it. But crew is the lowest rate, but the steadiest business. Our intention is very simple, that once we build all the various segments that are supposed to fire to provide room nights, then we will reprice all segments because our ability to churn the portfolio and churn the mix improves significantly. Really, in Bombay, our strategy because of the very large inventory was fill the hotel, first get base so that you cover your costs, then start getting additional customers and then over time, keep increasing the prices as you can replace the customers with newer, higher-paying guests. That is the process.

Normally, in a 250-300 room hotel, we would have achieved it in 1-1.5 years, but this is more than double that size. It is 670 rooms. It is an ongoing journey. I am pretty sure like I have seen that there is a material improvement in occupancy in Aurika Bombay in this quarter because as you can see we achieved a 79% occupancy, which means really that we are close to where we can start repricing. And you will see some medium-sized impact in it in Q4. Hopefully, next year, you will see a very significant impact.

Rahul Jain: Understood, sir,

My second question is on the Pune market. We have seen a very healthy RevPAR growth in this market as well for the quarter. Any specific reason on why we are seeing a healthy growth? Or is it more macro led or a one-off for this quarter?

Patanjali Keswani: No, I think there are 2 reasons. One is Pune, out of the 426 rooms, 25% is the Keys Prima, which went through a 25%-30% hike in RevPAR. That is one impact. Then Lemon Tree Premier, Pune has also stabilized. It is performing nicely.

Hinjewadi was a market which was very good when we opened this hotel 20 years ago but today has become completely oversupplied. But fortunately, the supply has started getting absorbed, and we had taken advantage in Pune of the drop in demand in Hinjewadi by starting to renovate that portfolio. I think about 80% of Hinjewadi is also renovated or 70%. And now you will start seeing the outcome. Pune is, in fact, an interesting example of a nearly fully renovated portfolio.

Rahul Jain: Got it. And sir, my last question is on the managed pipeline. We currently sit on a 9,400 pipeline on the managed and the franchisee side. How much of this pipeline can be operationalized in the next year or 2? Just a ballpark figure, if you can give?

Patanjali Keswani: Your guess is as good as mine. We have given some numbers. This is a guess,

Rahul, because things slip from one quarter to the other because so much of it is not in our control. But based on our best guess, by the end of next financial year, we

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should have opened another, 1,200 - 1,500 more rooms because we are opening rooms, which we signed 3 years ago. Lots of things change. Those owners have

their own allocations of capital. Sometimes they delay investing in the hotels that they have promised they will open. You assume 1,500 rooms. What we opened in these 9 months, assume a similar number in the next year.

Moderator: Your next question comes from the line of Shruti Khopade from Yadnya Investment Academy.

Shruti Khopade: I just want one clarification regarding the occupancy rate. I know you already mentioned about Gurugram and Bengaluru region. I just wanted to ask about Hyderabad also because there also I can see YoY decrease in occupancy rate. It would be helpful to give clarification or colour on that.

Patanjali Keswani: Hyderabad is a very interesting example of the earlier question I was answering. If you noticed Hyderabad last year had an 80% occupancy. It was the second highest occupancy after Delhi. Hyderabad had no supply coming in, interestingly. We decided to reprice aggressively and, I think Hyderabad across all 4 hotels, the average rate became the second highest after Mumbai. We took it up 25%. The highest rate hike was Hyderabad.

As a result, there was a churn. And so, 80% became 77%. But we have obviously done this with a view that we will catch up. So, Hyderabad has been repriced. The occupancy has come down marginally, but we are confident we will be able to catch up. That is why you see the highest RevPAR growth is in Hyderabad.

Shruti Khopade: Okay. It will be fair to say in the next few years, there will be aggressive growth.

Patanjali Keswani: Yes. We will keep increasing the price.

Moderator: The next question comes from the line of Prashant Biyani from Elara Capital.

Prashant Biyani: Sir, how has this quarter been till date? And based on business on books, how is the remainder of the quarter looking like?

Patanjali Keswani: As I said earlier, Prashant, that the first month was a little sluggish, but we have caught up. I think we are expecting February and March, we are very bullish on it. I think it will be a good outcome. I do not want to give specific guidance, but I can say it will be a good outcome.

Prashant Biyani: And sir, Aurika, Shillong, when are we planning to start it within FY28?

Patanjali Keswani: I think it will be somewhere in the middle of CY27.

I think second half, Q3 CY27.

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Prashant Biyani: And how much is the investment in it?

Patanjali Keswani: Totally, I expect about Rs. 200 crore. But we have a very interesting deal there. We can borrow 70% of that money at a rate which is 5% lower than our cost of debt, which means we will basically be borrowing Rs. 140 crore at 3% or 2.5%. That is the deal. Number 2, we will be entitled to keep GST for the next, I think, 9 years or 15 years, Kapil?

Kapil Sharma: 9 years.

Patanjali Keswani: Next 9 years the state share of GST we will keep ourselves. That is an incentive given to us. All in all, it will be a very profitable investment from an asset perspective. We have looked at currently the performance. I think there is a Marriott there and a Taj there. And this Aurika will also compete with them. It is fantastically located. It is directly opposite the Chief Minister's house, and we think it will be an outstanding performer once we operationalize it next year.

Moderator: The next question comes from the line of Ashish Kumar from Infinity Alternatives.

Ashish Kumar: There was one request which we had and one clarification. Now that we have decided on the split of the 2 businesses, what might be helpful is if we can add pro forma financials for both of the assets as they look like so that while we are waiting for the listing, we do get a good sense of what the numbers are looking like.

Patanjali Keswani: Ashish, the scheme is effective from 1st of April. From next quarter, we will start reflecting both of them as 2 independent companies pro forma.

Ashish Kumar: Okay. But effectively, if you have announced, if you can maybe guide us to what those numbers look like for this quarter or maybe subsequent to the call. Second question was, as far as Fleur is concerned, when you are showing the fee income, this is actually what we are earning from the existing Fleur Hotels. It is more a clarification. The new hotels that are being transferred or proposed to be transferred in the scheme, is the fee income of that also included in the fee income from Fleur Hotels or that that will be additional income?

Patanjali Keswani: No, that is not included. That is Lemon Tree standalone. It will be included from next year.

Ashish Kumar: Okay. No, I am just looking at from a proforma perspective. Would it be fair to assume a similar percentage as what we get as a percentage of Fleur revenues as incremental fees revenues? There is a fixed and a variable component. So net of that, I am saying. I am just trying to understand.

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Patanjali Keswani: It will be the same. Actually, management fee income of Fleur will start shooting up. One of the big contributors is Aurika Bombay. And it is still, in my opinion, doing 75% of what it should be doing in terms of RevPAR. I am expecting that it will have a significant impact once it stabilizes.

Number 2 is that the Lemon Tree portfolio is an older portfolio of fully stable hotels. Though they are not in similar markets. They are in secondary markets, but the fee income will be in terms of percentage terms, identical.

Moderator: Your next question comes from the line of Nikhil Poptani from Kizuna Wealth.

Nikhil Poptani : Sir, I just wanted to ask like when you are targeting greenfield, brownfield expansion or acquisition targets, so in which micro markets are we going to target those acquisition or expansion? That is my first question, sir.

Patanjali Keswani: Well, I am traveling, for example, immediately after this call to Bombay. We are looking at a couple of hotel sites there. Then we are going to Pune, then we will be looking at Bangalore near the airport. We have identified key markets which have deep demand, which we feel where we would have a competitive advantage, and we are looking to some land acquisitions and a couple of operating assets. And then we are looking at certain other

markets where we think we will significantly benefit by deploying capital. That is under some form of NDA. I do not want to get into it, but those are large opportunities. And those are operating assets.

Nikhil Poptani : Is it fair to assume that we can go ahead and see acquisitions like in Varanasi that we did and when there is a leisure type of portfolio that we will buildout somewhere something like that?

Patanjali Keswani: Yes and no. Actually, right now, the opportunities we are looking at are not so much leisure right now, other than the Aurika in Varanasi. The rest of them are more focused on deep demand markets in generally large cities.

Nikhil Poptani : That is great to hear, sir. Now sir, the last question that I have, post our renovation on our consol portfolio, like we have seen a great impressive ADR growth in Keys hotels. What kind of ADR growth and occupancy ramp -up are we looking at post renovation, like let us say in FY28?

Patanjali Keswani: We are simply looking at a Rs. 60 crore EBITDA for the Keys portfolio.

Moderator: Your next question comes from the line of Sumant Kumar from Motilal Oswal.

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Sumant Kumar: My question is, when we talk about FY27, the normal industry ARR growth compared to Lemon Tree. Do you think Lemon Tree overall renovation of the product, the new product, the higher -value product launches, okay, and the benefit of GST in FY27 we will have outperformance v/s industry in ARR growth side? And can you quantify how much outperformance we can do that?

Patanjali Keswani: Again , this is guidance, Sumant. I would say broadly that we would be really looking at, at least a 15% revenue growth with our existing portfolio and beyond that, well, it may or may not happen, but 15% is something we are pretty sure we will achieve.

Sumant Kumar: Okay. And considering over the year, we have seen the MICE activity in India is increasing and when we compare FY25 and FY26 and the level of MICE activity because of increasing business activity in India is increasing significantly v/s other countries. How do you see the MICE business contribution to overall hotel industry and for Lemon Tree is going to have a better pie in the next couple of years?

Patanjali Keswani: Yes, we definitely see that. Our earlier hotels, our first, 20 -25 hotels were not built to focus on MICE, frankly. But the last many hotels that we have built have much larger banquet halls. And like I mentioned, even Aurika Nehru Place will have an enormous convention facility, just like Aurika Bombay has.

As we see new segments growing in India, we ourselves are redesigning our hotels to capitalize on them. And I have no doubt that MICE as a segment will become increasingly important for the Indian hotel industry and, of course, for Lemon Tree.

Moderator: Your next question comes from the line of Shashi Ranjan with Anand han Capital.

Shashi Ranjan: Congratulations for the good set of work that you are expecting this year. Just as Lemon Tree has like a very renowned brand among the Indians, what are our plans for international destinations, especially where most of the Indians are buying properties, e specially Dubai? I understand that Dubai, we have some property. Are we going to expand there more aggressively?

Patanjali Keswani: 100% . Sooner rather than later.

Shashi Ranjan: Okay. I understand with the CAPEX and the renovation, everything going on, we are focused more on India. By when we can start grabbing more space in the international market?

Patanjali Keswani: Okay. Let me go back for a moment. See at different times of our journey as a company, we are now 2 decades old. We have found sometimes we have grown

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faster than our customer base and sometimes our customer base has grown faster than our assets.

Right now, we are actually fairly well -positioned. We have kind of relaunched our loyalty program. We have massi

vely improved our distribution. This was all work in progress. A large part of it was technology and a large part of it was talent. And we have been putting these building blocks together. And we now feel we are at a point where our brand is exportable, which is that it has high recognition, trust and desirability for the mid - to upper mid -market Indians traveling globally. We have looked at multiple markets where Indians go and we feel now we have the ability to go into those markets with a moat, which means that any owner who signs with us or even if we ourselves deploy capital, we will be able to have an asymmetric edge, some arbitrage.

And we are only interested in capturing more and more wallet share of Indian travellers . I was interested to read today that MakeMyTrip has announced something called Loved by Indians. MakeMyTrip has started some label called Loved by Indians, and they are focusing increasingly on international travel by Indian travellers . And we are very sure we will get that label if we export our brand internationally. And we have every intention of doing so, but with a singular focus on following Indians where they go.

Moderator: The next follow -up question comes from the line of Achal Kumar from HSBC.

Achal Kumar: Last 2 questions, first one is this, the AI conference happening in Delhi? What kind of benefit do you see from that? And secondly, just wanted your thoughts on the cyclical, given that this upcycle looks very strong. Do you think we are sort of closer to the peak? Or do you think we are still very far from the peak?

Patanjali Keswani: Okay. The first question was AI Summit, that is at Bharat Mandapam. The beneficiaries will be hotels nearby. It will be the Oberoi certainly, which is the closest, followed by Taj Mansingh, followed by a bunch of other hotels in Connaught Place and so on. We will be indirect beneficiaries in the sense that the pricing there has gone up significantly and of course, demand.

A bunch of people who would normally have stayed in those micro markets will obviously look at Aerocity as the alternate where they will get much better pricing and supply availability. We will be indirect beneficiaries. As far as the cycle Achal, I do not think it is a cycle anymore. I really feel we are seeing early signs of a structural change in demand and a whole bunch of new customers, especially post -COVID, and these are younger customers, want to stay in branded hotels. It is quite clear to

me. The upcycle is still actually on a pure cyclical basis, we are nowhere near at the top of the cycle. Top of the cycle is defined when your India occupancy crosses 70%-75%. In fact, you have to hit closer to 75% -80% when you can significantly reprice. We are not there as far as I know, the reports I read say India's occupancy is still about 66%, but this is an aggregate.

In certain micro markets, we have already hit top of that kind of cycle, and there is not much supply coming in. Delhi is a classic case. Bombay is another case where the cost of new assets is very high and so is Hyderabad, as a matter of fact now. These markets will continue to show significant increases in RevPAR YoY. And if you overlay it with what I think will happen, which is a structural shift in demand as the Indian economy grows, then I think there will be a reset. Basically, there will be some kind of a small hockey stick where there will be a huge number of new Indians who will want to stay in hotels, in branded hotels in India. And it would not be a growth of 10 %-11%. It will certainly be a massive growth in 3 -4 years. And it is going to happen in the next few years because look at airline traffic, look at new aircrafts on order, after all, they are all going to carry passengers, and those passengers are going to want to stay in hotels.

Moderator: Your next question comes from the line of Vaibhav Muley from H

aitong Securities.

Vaibhav Muley: My quick follow -up on the potential acquisition that we are planning to do with 2,500 Keys. Assuming this is a branded chain, would we be open to have additional brands in our portfolio? Or would that be a rebranding that will happen across that acquired chain? That is the first question.

And secondly, if you can just guide on the overall CAPEX for next 2 -3 years. And since we mentioned during the Fleur demerger call that Lemon Tree would be a net cash company. When do you expect the entire debt repayment to happen? That is it from my side.

Patanjali Keswani: Firstly, that 2,500 rooms are multiple acquisition opportunities and anything we

acquire, we will not look at adding more brands. We would look at rebranding them, whatever be the current brand. That is the first point.

The second point is our CAPEX was very significant starting from last year, this year and next year because the main point is the renovation happening. Well, this is OPEX . OPEX would be over Rs. 100 crore . CAPEX would be another Rs. 70 crore - Rs. 80 crore . It is significant numbers, which will all shrink dramatically after FY27.

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What will happen is in the scheme of demerger, all the assets of Lemon Tree, including its debt will be transferred to Fleur. Lemon Tree will immediately effectively be a debt -free company from next year. And all the fee income that it earns, which will be fairly significant, will therefore be not redeployed in capital, but will rather be available as free cash. Then obviously, one of the things we want to come out with is what is the dividend policy of Lemon Tree going to be? How are we going to reward shareholders, so on and so forth? And that is something really the Board has to decide in the next 6 months. But we will come out with clarity on how we are looking at the free cash flow that Lemon Tree generates, considering that the only requirement going forward will be in technology and investments in marketing, branding, and so on. And those would not be anywhere near the kind of cash we generate. That is a call we have to take in the next 6 months. It is a good problem to have.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Patanjali Keswani: Thank you all once again for your interest and support. We will continue to stay engaged. Please be in touch with our Investor Relations team for any further details or discussions, and we look forward to interacting with you soon.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity and accuracy . The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Jun 2026

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June 03, 2026

National Stock Exchange of India Limited
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Mumbai – 400 051

Name of Scrip: LEMONTREE BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai – 400 001

BSE Scrip Code: 541233

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Ref: Outcome of Conference Call with Analysts/Institutional Investors

Dear Sir/ Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation to the disclosure made on May 29 , 2026 w.r.t. the audio recording of the conference call on Audited Financial Results for the quarter and year ended March 31, 2026 held on Friday, May 29 , 2026 at 04:00 PM IST, please find enclosed herewith the transcript of the conference call with Investors/Analysts .

This is for your information and record.

Thanking You
For Lemon Tree Hotels Limited

Pawan Kumar Kumawat
Company Secretary
& Compliance Officer
M. No: A25377

Encl: a/a
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Lemon Tree Hotels Limited
Q4 & FY26 Earnings Conference Call Transcript
May 29 , 2026

Moderator: Ladies and gentlemen, good day, and welcome to Lemon Tree Hotels Limited Earnings Conference Call. Please note that this conference is being recorded.
I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you, sir.

Anoop Poojari : Thank you. Good afternoon, everyone, and thank you for joining us on Lemon Tree Hotels Q4 and FY26 Earnings Conference Call.

We have with us Mr. Patanjali Keswani, Executive Chairman of the company , Mr. Neelendra Singh, Managing Director , Mr. Kapil Sharma, Executive Director and CFO , Mr. Saurabh Shatdal, Managing Director and CEO of Fleur Hotels , and Mr. Mayank Sharma, CFO of Fleur Hotels. We would like to begin the call with opening remarks from the management, following which we will have the forum open for an interactive question -and-answer session.

Before we start, I would like to point out that some statements made in today's call may be forward -looking in nature, and a disclaimer to this effect has been included in the earnings presentation that was shared with you earlier. I would now request Mr. Keswani to make his opening remarks.

Patanjali Keswani: Thank you very much. Good afternoon, everyone, and thank you for joining us today. Neelendra , the new Managing Director of Lemon Tree Hotels will be covering the business highlights and financial performance for Q4 and FY26. Post which, Saurabh, the Managing Director of Fleur Hotels, who will share an update on Fleur's business development. And lastly, I will then share an update on the demerger scheme, which we have also included in the earnings presentation this time. Post which, of course, we will open the forum for your questions and suggestions. Over to you, Neelendra .

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Neelendra Singh: Thanks, Patanjali . Despite intermittent global headwinds including renewed geopolitical tensions in the Middle East, aviation disruptions and GST changes during the year, FY26 was the best year in Lemon Tree's history across Occupancy, ARR, Revenue, EBITDA, PBT, PAT, Cash Profit and Q4 FY26 was the best ever fourth quarter on the same parameters.

For the full year FY26, the total revenue stood at Rs. 1,452.7 crore , up 13% YoY. Net EBITDA stood at Rs. 699.3 crore , up 10%. PAT grew at 19% to Rs. 288.3 crore and Cash Profit grew 16% to Rs. 443.1 crore . Our gross ARR stood at Rs. 6,875 for the full year, and occupancy was 73.5%, both the highest we have ever reported for a full financial year.

For Q4 specifically, revenue stood at Rs. 419.5 crore , up 11% YoY. Net EBITDA was Rs. 218.3 crore , up 7%. PAT was Rs. 116.5 crore , up 8% and Occupancy for the quarter was at 78.5%.

Our net EBITDA margins for FY26 was 48.1% compared to 49.4% in FY25, a contraction of about 126 bps. For Q4 specifically, margin was at 52%, down 198 basis points from Q4 FY25.

In FY26, our margins were impacted by 580 basis points due to significant step -up in renovation expenditure as we invest in upgrading our owned hotel portfolio , investments in technology and the GST -related change that came into effect during the year, which only had a half year impact in FY26 and will have a full year impact going forward. This GST impact will decrease YoY as the numbers of customers paying a rate below Rs. 7,500 keeps reducing in the medium term with our price hikes and ARR growth. Additionally, all our current future supply is being planned under the upper upscale Aurika brand which remains largely unaffected by this change. We expect all these 3 expense heads to reduce to approximately 3.7% of revenue by FY28 and onwards, leading to corresponding expansion in EBITDA margins.

On debt, we have brought our total borrowings down to Rs. 1,500 crore from Rs. 1,699 crore versus a year ago, and our cost of debt has fallen to 7.42%, down 115 basis points versus a year ago.

Our combined operational and signed pipeline inventory now stands at 22,581 rooms across 268 hotels, of which 131 hotels and 11,811 rooms are already operational. In FY26, on the asset -light side, we opened 20 managed and franchised hotels with 1,523 rooms and signed 55 managed and franchised hotels with 4,912 rooms.

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Fees from management and franchised contracts for third -party owned hotels stood at Rs. 73.9 crore in FY26, an increase of 23% YoY. Fees from Fleur Hotels stood at Rs. 95.8 crore in FY26, an increase of 8% YoY, which is partially subdued due to the impact of GST change and accelerated renovation in the Fleur portfolio. Total management fees for Lemon Tree stood at Rs. 169.7 crore in FY26, an increase of 14% YoY.

Lastly, the Indian hospitality market continues to be in favorable structural position, demand is consistently outpacing supply in the mid -market segment , and which is where exactly we operate. Now I will hand over to Saurabh to give an update on Fleur.

Saurabh Shatdal: Thank you, Neelendra. Thank you, everyone, for joining us on the call. I want to spend a few minutes on Fleur's business and pipeline. Post-scheme, Fleur will be India's largest hotel platform by inventory with 5,600 rooms and 39 operational hotels. While we operate pan-India, our economics are concentrated in top 6 cities that have structurally high barriers to entry and growing demand. We currently have 4 hotels with 875 rooms in our confirmed pipeline of which 572 rooms at Nehru Place, which is going to be the North India's largest hotel are under the final approval stage before we commence construction. We have finalized the design for Aurika, Nehru Place, a glimpse of which you can see in the annexure section of the investor presentation.

Secondly, we plan to open 2 out of

3 blocks of Aurika Naldehra, Shimla by Q2 this year to capture the increased demand during the summer season. Thirdly, in January this year, we have signed a license deal for a 47-room heritage, Aurika Hotel at Varanasi located right on the ghat adjoining the River Ganges. This hotel has the potential to do extremely high rates owing to both the strategic location and the deep demand of the Varanasi market throughout the year.

I also want to highlight that Aurika is the highest ARR and margin product, and the growing portfolio of Aurika elevates the group's overall profile and improves financial metrics and the growing network further strengthening the brand.

Combined with Warburg Pincus primary investment commitment and strong internal accruals, we now have the capital structure and the institutional backing to expand our top line even further. We are focused on urban markets with structurally deep demand, leisure markets, and international destinations that Indian travellers visit frequently.

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On the pipeline, I can tell you that we were evaluating a healthy and growing number of opportunities. We work across deal types, whether that is acquiring an asset, existing asset or development of new hotel, Fleur's peer-leading margins and in-house development capabilities are key differentiators that compress the time and risk in underwriting new opportunities.

We are not very rigid on structures, but we are very disciplined on returns. There are only a few players in the market that can build hotels at this scale and efficiency as Fleur. This is a genuine competitive advantage in the market where good assets do not always come packaged neatly.

Now I hand over the forum to Patanjali to give an update on composite scheme of demerger.

Patanjali Keswani: I want to take this opportunity to continue the conversation on the demerger scheme.

This time with the results we have shared pro forma financials for both Lemon Tree Hotels Limited and Fleur Hotels Limited as they would appear upon the demerger scheme becoming effective. The transaction itself is very simple.

Warburg has completed the purchase of APG's stake in Fleur. Next, Lemon Tree will transfer 17 hotels and development capabilities in exchange for which Lemon Tree shareholders will get Fleur shares, leading to Fleur's listing as a separate entity. This scheme will result in 2 distinct financially sound businesses.

Lemon Tree Hotels as a pure-play, asset-light company focused on offering hotel management, brand loyalty distribution and digital services. Fleur Hotels will operate as a large-scale growth-oriented hotel ownership/leasing platform with end-to-end in-house development capabilities and potentially, as Saurabh mentioned, a very large pipeline with a significant pool of available capital.

Each entity will have its own management team, capital structure and growth priorities while continuing to benefit from long-term operating agreements and arrangements and strategic alignment. Post the reorganization, Lemon Tree will emerge as a debt-free, high-margin, high ROCE company generating strong free cash flows from fees and brand-related income. Fleur Hotels will consolidate ownership of our group's existing hotels, all of which will be fully renovated by the time of the demerger.

From a shareholder perspective, the scheme is designed to unlock value while preserving continuity. Post reorganization, Lemon Tree shareholders will effectively own close to 74% of Fleur Hotels, 33% directly and about 41% indirectly through

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Lemon Tree. This is, of course, before any primary infusion by Warburg Pincus, and this is versus the 59%, which Lemon Tree directly owns in Fleur today.

Post scheme, Lemon Tree and Fleur will continue to enjoy synergistic benefits. Long-term management contracts give Lemon Tree stable and growing fee income from Fleur and Fleur can also under

write new opportunities with certainty and speed with

Lemon Tree as the management partner, while retaining strategic flexibility where the opportunity warrants for the other brands.

Today, as Executive Chairman, I continue to chair both companies with direct ownership in each. My primary focus will be on delivering the Fleur pipeline and growth as its Executive Chair. In Lemon Tree, I will cease to hold an executive role March 2027 onwards and transition to non-Executive Chair.

Our core values, including our commitment to being an employer of choice and fostering an inclusive diverse culture will remain central to how both platforms operate as we enter this next phase of accelerated growth. With this, we come to the end of our opening remarks, and I would like to ask the moderator to open the forum for any questions that you may have.

Moderator: The first question is from the line of Achal Kumar with HSBC.

Achal Kumar: I have 2 simple questions. So first, tomorrow after demerger, if Fleur believes that its inventory can be managed by some other operator and not Lemon Tree, how would that happen? Is it goes beyond arm's length basis, or can you please give a bit of colour on that?

Patanjali Keswani: Okay. First point, Achal, is that when Warburg came in, one of the things they did was check the quality and the economics of our management contracts and compare it to other similar operators and I think they were quite happy with the fact that we were very much in sync with that. Now the point is that if a new asset comes under development or acquisition, and it makes more sense for some other brand to operate it, then I can assure you as the Fleur Chairman, that we will make sure that happens.

However, having said that, there is a long relationship between Fleur and Lemon Tree and if we continue to deliver the results that we do in the mid-market segment, especially in the upscale segment, then there is also no reason why Lemon Tree will also be considered. And if the economics make sense, then Fleur will go with Lemon Tree. Short answer, brand agnostic but with one caveat that obviously Lemon Tree should not be discriminated against when opportunities arise.

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Achal Kumar: But then, is not that the loss of a management fees for Lemon Tree?

Patanjali Keswani: Yes. But Lemon Tree must be able to deliver best results to get it. Just because Lemon Tree has skin in the game with Fleur does not mean that it has an automatic right to any asset that Fleur develops. Let me give you an example. It will I think answer your question. We bid recently for a 5-star hotel. The economics were compelling. It was through NCLT. Unfortunately, we did not get it. It was run by another international brand and run very successfully by that international brand. The reason it was under NCLT, it was basically a financial structuring problem, and the owner had obviously gone bust. We did what would be a fair price for Fleur to buy it, assuming the same management contract. Unfortunately, it did not happen because we had an ultra-high net worth individual who outbid us. But my point here being that if we had bought it, we would have kept the contract with the existing operator.

Achal Kumar: Okay. Understood. And then my second question within your brands, you have such a huge divergence in terms of RevPAR growth. So, Aurika was only 3% while Keys was 16%. What is going on there? And how do you see going ahead? I mean, do you think what kind of growth you are reporting at Keys is the similar kind of growth is possible at Aurika also? Or is it the sort of a high-end brand so you do not see that kind of growth and the growth ARR or RevPAR growth will be in low-single digit range?

Patanjali Keswani: I want to clarify one thing. RevPAR growth is very subject to micro market, okay? Now Keys operates in certain micro markets and Aurika Hotels operates in differ

ent

micro markets. Aurika is only 2 hotels, 1 is Mumbai and 1 is Udaipur. Keys is from Ludhiana to Visakhapatnam to Bangalore and 2 markets to Trivandrum to Cochin to Pune, and micro markets within those cities. I would urge you to look at micro market growth.

I will give you an example. In Mumbai, a very interesting thing has occurred. What happened was that in the last, I think, 1 year, about 5 hotels have opened in the micro market where Aurika operates. I think it includes Accor Fairmont at the top end to Ginger and then in between at up per mid-scale there is something called ICONIQ, then there is some Novotel, some Radisson, multiple hotels opened. And this is about 2,000 Keys, temporarily there was a supply glut. But Mumbai always absorbs supply glut.

This is I think also a timing issue. I would urge you to really look at a full year performance and then look at how this grows over time. Udaipur is, of course, a very

seasonal market and a wedding market. I think I am quite pleased with the way our Aurika, Udaipur is also performing. But the growth was muted. And I think 1 very big reason, which I do not know if any other hotel company has talked about is the impact of the Indigo shutdown in December, which had an impact, December, spilling over to January and then, of course, the war, where the impact started marginally in early March, but by mid-March had become very significant and has, in fact, continued into April too.

So, these uncertainties also affect, because we are at the front end of discretionary consumption. And that affects some markets even more than others, especially airport markets. One must take all this into account. Now we look at the full year performance, we are looking at a quarter with some exceptional things but if I look at RevPAR growth for Aurika, FY25 to FY26 full year, it is 19%. And for Keys, it is 20%. And let me tell you an amusing thing. Keys is only reflecting the first 2 fully renovated hotels. When we finish the entire renovation, which is still ongoing, I mean, this 20% will continue for another 2 years till the entire portfolio is stable with those new fully renovated hotels. And I think I have mentioned this earlier to you in some past earnings call that Keys is going to be a very positive addition to our brand. As far as the other portfolio goes, as I said, it is subject to local micro markets and overall, we look at RevPAR as a group. Then obviously, we do disaggregate and see where we could do better and so on.

Moderator: Our next question is from the line of Karan Khanna with Ambit Capital.

Karan Khanna: Firstly, Patanjali, given the macro environment, especially with both the largest domestic carriers now announcing capacity cuts for the next 3 months, even in the domestic rooms. How should one think about the occupancy and RevPAR growth environment for specifically the next 2 to 3 months? And if this were to continue, then for full year FY27 as well, especially given most of this capacity reduction is in the metro-to-metro routes.

Patanjali Keswani: Karan, we took a call about I think in mid-March that we would start focusing on occupancy growth rather than price growth because in an environment like this, you are constrained with demand shrinking and therefore, you must look at innovative ways to grow demand. Therefore, our strategy in April, where the slowdown continued from March going on into May was very clear that we would adjust pricing, so that our occupancy would continue at a premium to the market.

Having said that, obviously, our strategy was not to drop prices ridiculously and therefore, we would at least maintain YoY price levels, tactical interventions in markets like the ones you mentioned to maintain an occupancy premium. What I can

report to you is that has worked very successfully. Normally, we would like to revert both Occupancy and ARR growth

still Occupancy ceiling.

I can tell you that in this quarter, amazingly, our Occupancy has hit some form of a ceiling. We have never seen this before. But our average rate growth has not been significant, has been actually more or less flat. And we are going to continue with this strategy if this uncertainty of war continues.

Karan Khanna: Secondly, on the signings to openings conversion, while you signed 55 hotels during FY26, openings stood at just 20 hotels with only 1 hotel opened in 4Q. How should one read this and more importantly in FY27 and FY28, where you have about 4,500 Keys to be opened, what are the confidence levels here and risks of slippages if any? And as a follow-up, what should the total managed management fee look like for FY27 and FY28 if the 4,500 Keys opening is on track?

Patanjali Keswani: The way to look at that and I am going to mail the comments for the following year. The way to look at openings and the way to look at signings is as follows because most of our management contracts are signed is not conversions, but hotels under construction. The best way to look at growth of openings is look at what we signed, say 3 years ago and use that as a rough benchmark as to what we will open this year, very rough.

The good news is that, while we opened about 1,500-1,600 rooms, we signed 5,000 rooms. Technically 3 years later we should open 5,000 rooms, but we may in that year signed 10,000 rooms. Going back 3 years, we signed a little under 2,000 rooms and we opened a little under about 1,500-1,600 rooms this year. We just follow that, by and large, in the right trajectory. If I am signing 5,000 rooms, assume 3 years later, I will be opening them +/-, some might get delayed. None will open earlier that I can assure you, unfortunately. But all will open that time or maybe six months slippage or sometimes even a greater slippage if the owner runs out of finance.

Karan Khanna: And the numbers for total management fee that you are mentioning for FY27-28,

how should we think about that .

Patanjali Keswani: No. I do not want to give guidance. What you can do is look back, okay, let us give a number, look this becomes guidance and if there is a slippage tomorrow, you will correctly ask why did you say this. But we expect broadly to open, how many rooms this ye ar?

Neelendra Singh: Same click as last year, opened about 2,000 rooms.

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Karan Khanna: Lastly on just Aurika, Mumbai, if you can provide some colour in terms of how the ADR occupancy and customer mix trended in FY26 and expectations for FY27, especially given capacity ramp -up at Navi Mumbai? And as a follow -up with 2 large airports becoming operational at Navi Mumbai and Jewar, how are you thinking about expansion near these airports?

Patanjali Keswani: These airports are opening not to shift demand but to cater to increasing demand. What really affects us in a micro market is the growth of supply. The growth of demand continues because all these new airports are basically catering to growing demand. What affected us in Mumbai was the supply growth of those hotels as I mentioned.

We took a call this year that we would also now start focusing on non -airline sector because we had kind of stabilized our crew levels. The crew levels themselves in quite dramatically because this year, we did not get the wet lease crew of last year becau se that shifted to a lower rated hotel. These are cost of doing business or I am not too worried about it. Our strategy was, can we grow either the ARR or the occupancy based on opportunity in this. As I said, the RevPAR of Aurika as a brand grew by about 19% for FY25 to FY26 , disproportionately more than the other brands. I mean top 2 performers were the top end and bottom end, Keys and Aurika.

Neelendra Singh: Most of our expansion is relatively recent. Clip off about opening, signing 55 hotels are opening about 20 -odd hotels wil

I safely continue in the future. If you see a density of our hotels, first slide in the deck, you will see that a large majority of our hotels are populated in the North and West. If you start now looking at the Southern region or the Eastern Coast of India or the far East, Bengal and beyond, there is a fair amount of expansion available now still, as we go deeper into India.

Purely from a general direction perspective, signing 55+ hotels every year and opening around 25 hotels annually, with openings typically taking place about three years later, we will certainly catch up as the pipeline continues to build and becomes operat ional. The hotels that we signed a couple of years ago will start contributing to that.

Patanjali Keswani: I think, the right way to look at it is, how many did you sign this year and 3 years later, you should open approximately those.

Moderator: Our next question comes from the line of Abhay Khaitan with Axis Capital.

Abhay Khaitan: First question is again on the near -term demand trends. I know that Lemon Tree as a portfolio is not very much dependent on foreign travel . However, based on the

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conversation that we had with your peers, some of them are now getting more aggressive to capture the domestic demand. If that continues throughout FY27, do you see that as a risk for the portfolio and is there any strategy that you can do maintain the occupancy level that you have right now?

Patanjali Keswani: Abhay, I will just say one thing. Every player in the market competes to maximize their outcomes. We are one of the players. What we do find is that our B2C business, which is direct customers booking us, whether through our own direct channels or through OTAs has gone through the roof. It is the corporate travel that has slowed down.

The other day I was with a friend of mine, who is the CEO of a large company in India and they have 100,000 employees, and they typically give 100,000 room nights a year to the hotel sector. He told me this is late March, that they have given instructions that all travel must reduce to the maximum extent possible, partly because of the rising air fares and partly because they themselves are worried about what is happening with the war.

Corporate travel is the first that kind of dries up when war happens because it is under the control normally of the CEO or an equivalent CXO and it is a one -person decision. What is encouraging, however is that the retail segment or what I would say, the non-corporate segment has continued growing and we have got more than our share than last year.

As I alluded to earlier, our occupancy is much better than last year, same period. And of course, if you recollect last year, I think there was Sindoor, roughly here. We are in a peculiar situation where last year, we had a short war in our or engagement,

whatever in this Q1 and this year, there is a war right next door to us.

We are coming out, I think, quite well. We are more concerned personally not about the fact that you see revenue is not in our hands, in a certain way, it is a function of how the economy is performing. What we are bothered about is how do we look at our cost structure, which we consider our moat.

Our cost structure has been adversely affected because of certain hard calls we took to do a catch-up renovation. I think if I look at the shocks that we got this year, I mean, simply from renovation, ex gratia, Labour Code impact and from GST impact and so on, that has affected us to a significant level.

Our intent now is how do we manage to bring that under control? How do we increase our EBITDA margins to the levels they were earlier? We have alluded to that in our Page 11 of 25

investor presentation. I think that is our current focus. I am confident that we will do reasonably well in the cost side from this year on. Even with a high double-digit growth QoQ, we still manage to maintain

high operating leverage.

Abhay Khaitan: That is very helpful. My second question is on Fleur. So, regarding the expansion to the 2,500 extra rooms that is supposed to be added. I just wanted to understand the thought, are we going to more Aurika, more Premier within that or is it going to be more evenly spread between Lemon Tree, Lemon Tree business as well?

And even across markets, are we looking at more metros, are we looking at non-leisure markets? Any thought process? And, if it will be going to be greenfield investments or are you also looking at expansion strategies? And what will be the timeline for that? Just a broad thought on that would be very helpful?

Patanjali Keswani: I will ask Saurabh, as the CEO of Fleur to answer that.

Saurabh Shatdal: The rooms which we are talking about 2,500, they are under various stages of discussions. And we are very sure that the capital coming in from Warburg Pincus and the strength of the balance sheet as well as our entire project teams sitting on the Fleur side. So, it is a combination which I would say, none of the any peers have. Given that, we are confident that we will be able to add that many rooms from a strategy of investment locations, we are, like we said, around a large amount of Fleur's revenue comes from the top 6 cities in India. And this remains a core city and will invest into upscale and upper upscale, which is between Aurika and Lemon Tree Premium and from a location perspective, we would like to be more in the top 6 cities. And from the kind of investment, we are looking at greenfield, we are looking at operating hotels, we are looking at brown fields all kind of assets. However, it must be core micro market within those 6-7 cities and some international destinations where Indians are traveling and very selective leisure markets.

Abhay Khaitan: Understood. But the timeline would be then close to 5 to 6 years for the entire 2,500 rooms? Is that a like a fair assumption?

Patanjali Keswani: Well, I can say that it is not 5 to 6 years. Those which we acquire is immediate, those which we acquire, but need renovation will be a 1-year period or 2-year period, those which are greenfield will be 4 years. It will never take 5 years. Unless there is a force majeure, we normally take 3 to 4 years to build a hotel. It is a competition of all.

But whatever I think Saurabh was mentioning, it is also covered in the presentation.

We are focused on deep markets which are structurally deep demand in India. We are focused on international destinations where Indians travel, we are focused on Page 12 of 25

leisure markets. As far as destinations go, as far as brands go, when we invest our own money for greenfield, we are focused more on Lemon Tree Premier and Aurika. That is investment in greenfield. But this is the broad strategy. There may be opportunities for us to acquire mid-market hotels, which makes sense in their micro market, and we would very happily look at those two.

Moderator: Thank you. Our next question comes from the line of Sameet Sinha with Macquarie Capital.

Sameet Sinha: A couple of questions here. If you can talk about GST and the headwind that is creating, obviously, it has been significant. And yes, we will see it go down, but it will go down only marginally in FY28. What are your plans there? How are you trying to achieve that offset? That is my first question.

Second question is, it seems like in terms of renovations, we are seeing that slipping into FY28 as well. Can you comment on that? How should we think about it? Are those final handful of rooms or is the major rooms being shifted?

Patanjali Keswani: No. What is happening, Sameet, is I think 2-3 quarters ago, I said the total spend we will do in FY27 and renovation will be a shade under 4%. I think, I have forgotten, I said 3.6% or 3.8%. Typically, 50% is OPEX, 50% is CAPEX. A bunch of it is also replacement of

air conditioning systems, pumps, D G set , so on and so forth for the Keys portfolio and some of the very old hotels that we have in our own Lemon Tree. Slide 29 in our presentation, we tried to give colour on the impact of these things and how we see them playing out with our revenue in terms of how it will affect our cost structure. In FY26, we spent 5.8% of our revenue on GST tech and renovation. In FY27, we have said the impact of GST will go from 1% of revenue to 2% of revenue because it is full year.

We will continue our tech investment at a higher level, because it will be 0.9% of our higher income rather than higher revenue rather than 0.6% of lower revenue in FY26. But renovation will come down to 1.9%. At that point, the entire portfolio is done.

Then we will revert to our normal renovation. And I think, I have mentioned this time and again that our normal renovation is 1.2% - 1.4% . We are assuming that we are doing that 1.3%. It may be less, but it will certainly not be more.

In some ways, this will compensate for the cost of the GST. But even GST, if we continue with a 7 %-8% price hike every year as we normally achieve, then the GST impact will come down to 1.7%, and technology will then stabilize at about 0.6% - 0.7% of our revenue. And that is why we have seen that from 5.8% of these 3 cost

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heads, it will drop to 4.8% in this financial year and then 3.7% in the next financial year, about 1% a year.

What besides this, what will change is that roughly Rs. 25 crore to Rs. 30 crore that we spent this year, incrementally one -offs on ex gratia on the property tax at Delhi, the new Labour Code impact that will disappear from the P&L from FY27, which is another 2% of income. So, to synopsis, we expect to save 1% of revenue every year from the GST, tech and renovation. And another Rs. 25 crore - Rs. 30 crore from that one -off impact, which will be a permanent saving.

Moderator: Our next question is from the line of Vaibhav Muley with Haitong.

Vaibhav Muley: My first question was on our Fleur demerger timeline . Earlier, we had mentioned that merger will be completed 12 months in Jan. Now the slide mentions that it will take another 12 to 15 months for SEBI and other approvals. Can you just highlight the new timeline for the demerger?

Patanjali Keswani: The CCI approval came in April. We are still awaiting. Kapil, can you give some flavour on this? You and Mayank?

Kapil Sharma: Yes. So, we are current at the stage of shareholders and the SEBI approval. That is the normal process before we file with the NCLT. There is 1 month delay only from that perspective. Generally, it takes 3 months for stock exchange. I would say 1 month delay . This estimate, which has been given a little conservative estimate because there are certain things which are procedural and especially, I would talk about the NCLT, which is a process depends on many factors . It could be shorter also; we will try our best to how fast it could be done.

But looking at the procedural of first motion order, second motion, in between, there would be shareholder approval and creditors approval as well. So that is why we are taking that much time, but it does not mean that it would go into end of CY27. That is not the case. So, we would not be far away from what we said earlier.

Patanjali Keswani: Actually, the real issue is NCLT. Will it take 6 months? Will it take 9 months? Will it take 12 months? We have been given multiple possible timelines by experts in this. If that happens earlier, then it will be 12 months from now. If it happens later, then it will be 18 months. So, I am giving you an outer limit.

Vaibhav Muley: Understood, sir. My second question was on the pro forma financials for the Lemon Tree standalone entity. We have reported 60% margins. My impression was that since the flow -through for the management fee income would be near 75% to 80% with 300

-odd Keys t hat will be under the lease model. Overall margin should be

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somewhere in the range of 70%. Can you just highlight why the margins are slightly at a lower end despite the asset -light portfolio? And where do you think this margin trajectory could go towards?

Patanjali Keswani: Good question, because that is something we were discussing ourselves. Our expectation is what we have said as guidance is that our steady state flow -through will be 70% +. We are currently at 60% for a very simple reason. One is that a bunch of our operating expenses in the corporate side of Lemon Tree have gone up. One of them being our tech investments and one of them being our hiring of new people. We have got a whole bunch of new people in, which Neelendra has brought in terms of operations, marketing, revenue, digital, and in sales. This is top -level talent, and it will contribute to the growth of the revenue of the company, but has a lag effect to that, but has immediately come on the P&L.

Second is, this is not steady state, what you are seeing. This is pro forma as we do

better, this 60% will become 70% and maybe 1 day it will be 75% to 80%. That is when all the hotels that we are signing start giving us fee income. It is very much true that we expect also north of 70% steady state, hopefully, 75%.

Vaibhav Muley: On the renovations bit, can you highlight the status of the renovation in terms of how much inventory is already renovated? And in the current quarter in Q4 and Q1 how much part of the inventory is shut for the renovations?

Patanjali Keswani: In the current quarter, it would be maybe 400 rooms. Fourth quarter would be 400 - 500 rooms because we normally maximize renovation in summer and minimize it in winter. But certain rooms like Keys, Whitefield is not complete. I think it will be complete in the next 4 months.

Certain parts of Lemon Tree Premier, Bangalore are under renovation. Keys Hosur Road is under renovation. Keys Pimpri, Pune is completely renovated. Red Fox Hotel, Delhi, which has now been rebranded to Lemon Tree Hotel, Delhi, has I think about 40 rooms to be renovated in this H1. Broadly, if I look at our portfolio, the rooms we did not have to renovate were about 1,700 rooms, which is Aurika Mumbai, Lemon Tree Premier, Mumbai Lemon Tree Premier, Pune Lemon Tree Premier, Calcutta and Aurika, Udaipur.

If I take those out and say that the amount, the ones we wanted to renovate are 5,000 of which heavy renovation is in 4,000. The 4,000, I would say about 85% is done. Renovation does not only include renovating rooms and public areas. It was also a catch-up in major repairs and maintenance and in replacement of equipment.

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That too is continuing. That is why in this year, our CAPEX is as high as our renovation spend, in fact, a little higher. But from next year onwards, we are showing 1.9% in FY27, 1.3% in FY28.

Next year onwards, it will be 1.3% or more likely, I think that is quite aggressive it would probably be 1.2% -1.1% from next year. In fact, I think it will be 1%. We have given you an outer limit because there is always some stuff that happened, some equipment that needs replacement and so on.

Moderator: Our next question comes from the line of Sumant Kumar with Motilal Oswal.

Sumant Kumar: In Aurika, the occupancy has declined by 2%. So, can we assume this decline is majorly due to Udaipur?

Patanjali Keswani: No. This is because of very large wet lease in Aurika Mumbai went away. That was a one-off. It has affected us. We were happy to take it when we needed it. But you will notice that has been commensurately compensated by the rate change because the segment change, therefore. So, occupancy dropped by 2%, but wet lease was about 8% of occupancy. It means really the wet lease went, but we replaced it with 6% of other demand, and that is how it flowed at better rates.

I think, Sumant, also keep in

mind that we had a big impact due to IndiGo. We also

had a big impact due to the war. I would urge you to look at the full year figures, which is what were you saying, Neelendra? Why did not you say it?

Neelendra Singh: Yes. Sumant, I think the best way to look at Aurika or any hotel business in this case because of last year, every quarter had some extraneous event. Especially to your question, the Q4 performance in Aurika is essentially a March performance. In fact, January was, let us say, reasonably good. February was excellent. It is only March when the war happened and the traffic or the air traffic decline and then at we had challenges in filling the hotel up. If you look at the full year, Aurika occupancy moved from 62% to 74%, as an aggregate. Therefore, 19% RevPAR growth. As very, very healthy as a brand portfolio for the full year.

Sumant Kumar: As price ARR increase of 5% is all because of a change in product mix in Aurika Mumbai?

Neelendra Singh: You are talking about Q4?

Sumant Kumar: Yes, Q4. I am talking about this quarter.

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Patanjali Keswani: In Q4, March, the price went down, retail price, because demand dropped. In February, it went up. First 2 weeks of January went down because demand dropped.

But second 2 weeks of January, it went up. It is a question of these expert circumstances Neel was referring to that determine our retail pricing. Corporate pricing does not change, but even corporate demand came down in March.

Sumant Kumar: 5% increase is because of Aurika Mumbai or Udaipur? ARR.

Patanjali Keswani: Yes, it would both be and maybe Aurika Udaipur was a little higher.

Sumant Kumar: Majorly driven by Aurika, Udaipur?

Patanjali Keswani: It would not be material. Let me put it this way. Because if Aurika Mumbai grows by 4% and Aurika Udaipur, which has one quarter the inventory and similar occupancy grows by 15%, the average is still 5%.

Sumant Kumar: Okay. Got it. See, we have seen a significant growth in Keys and what we were talking about post renovation, the ARR is going to increase. Currently, the Keys' ARR is 2,900 plus and you were talking about 16% kind of growth every quarter and a couple of years. Can we assume this Keys' ARR RevPAR can reach to Rs. 4,000 level?

Patanjali Keswani: The Keys' ARR currently.

Sumant Kumar: No. I am talking about RevPAR.

Patanjali Keswani: 2 years ago, I think I said that Keys was in Rs. 3,000 something and Red Fox was Rs. 4,000 something ARR. I said, Keys should move towards Red Fox's ARR. I think this was in an earnings call maybe 18 months ago and I was referring to post renovation. Let me give you one example, because you have one fully renovated hotel. If you go to the investor presentation, go to Slide 56. This is the first fully renovated hotel from last year. We have been able to focus both on occupancy and on ARR, because the others, when you either rebrand or you renovate fully, then you start with the price change and build up the occupancy because now you are targeting a different segment, okay? Are you on that Slide 56, Sumant?

Sumant Kumar: Yes, sir.

Patanjali Keswani: You will see what I mean. This is a 100 -room hotel and today, the EBITDA is Rs. 11 lakhs a room. Now obviously, all Keys Hotels will not have Rs. 11 lakhs a room. I have been conservative and said we want Rs. 60 crore EBITDA which means over 930 rooms. We want less than Rs. 6 lakhs a room EBITDA from Keys.

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Sumant Kumar: Yeah . I got it. My question was what you were talking about the ARR is going to reach at the Red Fox level, okay. Next 2 years, overall, currently, we have ARR of Rs. 4,700 in Q4 and average might be maybe in the range of, say, Rs. 4,200 to Rs. 4,300. Is there a potential to reach this hotel ARR to Rs. 6,000 in next 2 years?

Patanjali Keswani: That is market driven. I cannot comment on it. But what I can tell you is Keys ARR is today close to Red Fox's

ARR , but when I say we did an occupancy rate of 64% in Q4, there were rooms also shut about I do not know the exact number, but a few hundred rooms of Keys were shut, because those were the ones that we were renovating around the year. I do not see it as ambitious to say that we would like Keys occupancy to be like Red Fox's occupancy, which is about mid -70s. And in ARR, obviously, even if you assume that it is not Rs. 6,000 but Rs. 5,400 - Rs. 5,500, you should get to your Rs. 60 crore EBITDA number, which is our target for this portfolio at present.

Moderator: Our next question comes from the line of Jinesh Joshi with PL Capital.

Jinesh Joshi: Just one small observation. Our management fee income from third party was up by about 29%, which was a very healthy growth but the same from Fleur was up by only 3%. Does it imply that the managed portfolio was relatively less insulated from the Middle East crisis as compared to Fleur, or is there something more to read into this?

Patanjali Keswani: No. You see a large part of our fees comes from incentive fee, which is delivery of EBITDA at different slabs. Our incentive fees can go from 1% of revenue to 5% of revenue based on which slab of GOP or hotel level EBITDA we are at. Now what happened was that during this year, we aggressively renovated a lot of the owned portfolio, with a lot, obviously, Fleur hotels in that portfolio. GST impact and the elevated renovation impact dropped the EBITDA margins. As a result, our incentive fees were significantly affected. That is, again, linked to our delivery of EBITDA. Now if it picks up, as I am hoping it will, then obviously our fee will pick up proportionately. Saurabh Shatdal: Plus, Jinesh, the only other thing to add apart from what Patanjali was saying is that when you look at the management of third franchise hotels, I will give you the full year picture now. The full year fee growth was 23% in the third -party hotels and Fleur was 8%. 8% broadly because the same reason as Patanjali said, and the reason is 23% is because it is both same -store and scale revenue. There were net additions in the third -party owner, let us say, base of hotels and therefore, it is a 23% increase on a base -to-base. For Fleur hotels, the 8% full year number is based on a same -store basis, because there was no additional rooms added in that base. Making sense?

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Jinesh Joshi: Sure, sir. Sir, secondly, if I look at our presentation, I think in one slide, we have given the ratio of negotiated room nights. I think that figure in this quarter was about 55% versus 59% in the base quarter. So just wanted to get some understanding , I mean, have we lost some corporate contracts, or is it that due to fall in occupancy due to the Middle East crisis some of these nights got reallocated to the retail category since temporarily the mix has changed? From a long -term perspective, I mean how to think about this mix between negotiated and non -negotiated room

nights? Because I think there is a differential in rates in both these categories as well.

Patanjali Keswani: Negotiated room nights have a lower rate than non-negotiated generally. However, March was the key differentiator for Q4. As I said, corporate business dropped in March. We tried to build some occupancy up through retail at lower prices. You think of it as 59% of 77% last year was corporate. And this year, 55% of 78% was corporate. The corporate came down by about 2%, but it was replaced by 3% of the total occupancy by retail; but to get that occupancy in a downtime, we had to offer obviously slightly lower rates to pick business up.

Saurabh Shatdal: I will just, again, Jinesh, what you are looking at is the Q4 picture. It is not as material when you start looking at the full year picture. In the full year picture, our negotiated ratio is 55.4%, which has come down from 56.1%, so 50 basis points. It is not material in t

hat sense. I will tell you. This difference is largely driven by Q3 and Q4, which is where exactly to what Patanjali said, when the corporate demand dropped, the relative retail demand also picked up or we at least strived hard to compensate that to retail demand and hence, this slight change in the pie chart.

Patanjali Keswani: Our long-term strategy is to focus on building more. See, what insulates a company? Dependence on large aggregators or large concentrated demand or distributed demand. We are very clear, as we grow our portfolio and network, we want distributed demand. We have a joke within our company that it is better to have 100 individuals booking you than 1 company giving you 100 room nights because that 1 company can disappear tomorrow, but the 100 will not.

We are very clear that as we grow to 20,000 - 25,000 rooms operating, we want 65% of our business to be retail, which is direct to us so it is really a C2B business, customers coming to us directly, sometimes through OTAs who are our partners in this endeavour and more and more directly through our website, our loyalty program and our direct to hotel or call centre.

Moderator: Our next question is from the line of Anuj Upadhyay with Investec.

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Anuj Upadhyay: Just one question from my side. Have we set aside any total CAPEX or capital outlay, specifically for this proposed addition of 2,500 Keys across Fleur going ahead, which I believe is over the next 2-3 years' time?

Patanjali Keswani: If you look at acquisitions today, depending on sellers' need and buyers' need, it is available anywhere from 8x of EBITDA to 16x of EBITDA. In some trophy assets, which we are not interested in, it could be even higher. The capital we put aside is 2. One is if we are buying an existing asset, we obviously will have to pay a higher price for it, because it is an operating asset, it has EBITDA upfront and the maximum investment we would make would be in renovation, if required, which obviously we adjust in our acquisition price. If we build ourselves, then it is naturally much cheaper, but there is time to market in that case.

If I look at the committed capital from Warburg, this is entirely contingent upon availability of the right deals and that 2,500 active discussions are many of them right deals. If I take Fleur and Warburg's investment into account, we have the potential to deploy up to Rs. 3,000 crore in the next 12-18 months. Now will we deploy it? If all the 2,500 come plus everything that we are doing, then yes, we will deploy it. If it does not happen, we will deploy less. That is one.

Point number 2 is our current assets like Nehru Place. Nehru Place will, best guess, require Rs. 700 crore. As Saurabh had mentioned earlier, it is the single largest asset in North India. The next largest is a neighbour of ours here called Andaz, which is 525 rooms. This hotel, the cash flow will be over the next 3.5 years with 60% in the last 18 months, because that is when real money goes into finishing a hotel so we feel that we can build through our internal accruals.

So the cash that we have available, which is from Warburg and our own likely free cash flow in this financial year plus debt, should safely enable us to buy these 2,500 rooms, if all fructify and any other opportunistic acquisitions which align with the strategy of core markets, high leisure demand markets or international markets where millions of Indians travel.

Moderator: Our next question is from the line of Nikhil Poptani with Kizuna Wealth.

Nikhil Poptani: My first question is on margin side, like for the Lemon Tree Hotels and the Fleur Hotels, so when I look at our cost savings that we are estimating is going forward, so most of the cost saving is coming from the renovation expense coming down. All the flow through in the margins will go to Fleur Hotels. Is that understanding, correct? Sir, how much steady-state margin

in FY27 - FY28 margin, how much are we thinking for the Fleur Hotels?

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Patanjali Keswani: Margin . Well, pre -fees, these same stores should be in the late 50s, pre -fees.

Nikhil Poptani : During the January call for the demerger announcement, we said that Lemon Tree Hotels' PAT margin would be around 60% .

Patanjali Keswani: PAT margins? No, not PAT margin. I assume you are talking EBITDA margins.

Nikhil Poptani : In the January call, you stated that, sir. That is why.

Patanjali Keswani: No, I only talk EBITDA. PAT I never talk about. I think review what I said. It would be EBITDA. Anyway, let us assume it is EBITDA. What is the question please ask?

Nikhil Poptani : No sir. Then my question is answered, sir. So that is it, sir.

Moderator: Our next question comes from the line of Vikram Shah with Vikram Securities.

Vikram Shah: Congratulations on a great set of numbers. My question was towards 2,500 room deals and with or without it, what sort of peak debt number are you comfortable with?

Patanjali Keswani: You look at our debt -to-EBITDA today, it is about 2.25 . See, in a high -growth company with stable earnings, you can technically go 4x debt -to-EBITDA. But we are, I think, much more conservative. If we deploy Rs. 1,500 crore of capital and we would probably borrow and our debt would go to mid Rs. 2,500 crore to Rs. 3,000 crore as a consolidated entity of Fleur, which means that our debt -to-EBITDA would temporarily go up till the EBITDA started flowing in.

Now this is, of course, also a question of how much of these 2,500 rooms have existing EBITDA and how many will give EBITDA after a year or 2 years? It would be a mix and match. I cannot comment. It depends on which of these 2,500 rooms we finalize. I think this question you could perhaps ask us 12 months from now or earlier, if possible.

Vikram Shah: Okay. Sir, regarding the Iran war, how has it been in the last 3 months, and if status quo is maintained for the next 6 months, how worried will you be?

Patanjali Keswani: We are in the middle of the war and as I said, we find that our occupancies have improved, not diminished. I cannot comment because what happens is as uncertainty and volatility continues, then I am more concerned about the impact on the Indian economy. See, oil, inflation, current account deficit, all this will start hitting our country very hard. It is not Iran war, it is the U.S. war against Iran, I would say, but anyway.

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The thing is that if there is a conclusion to the war, then this question is irrelevant. But if there is no conclusion, then we have taken the necessary steps to mitigate our cost structure appropriately and I think we will be fine. Fortunately, this war has not had an impact on us other than in the months of March and April. May has been surprisingly good. I am just hoping that if it does not deteriorate further, then we should do reasonably well. If it repairs and the economy is not significantly hurt, then we would do even better than that. You are asking me a very difficult question. I cannot really answer it.

Vikram Shah: It was just directionally more than anything, but I will just squeeze in a quick last one, if you do not mind. For the next 5 years, again, directionally, could you give us an understanding where you foresee like CAGR growth for Lemon Tree, the platform owner, the asset -light over the next 5 years now that you have freed up , it is a very asset -light company, it is a lot of capital deployed and so much opportunity. How do you see the next 5 years?

Patanjali Keswani: See, let us go back for a minute. I do not want to give guidance, but I can give you a direction. We are signing 5,000 rooms a year. I think that will accelerate. One of the key resources we have hired or Neelendra has hired, is a top line business development head who has aggressively gone with his team to go and get more

hotels. Remember, 2.5 million rooms in India unbranded.

We have strong strengths to convert most of them because they are in our sweet spot, which is the mid -market to upper mid -scale segment. We have grown our fees at only 23%, I am using the word only. That is with about 6,000 branded rooms under the management contract side, keep Fleur aside for a moment.

If Fleur adds that 2,500 plus the 1,000 rooms under construction or 800 rooms under construction, then Fleur site will increase 60% in the next 3 years, in terms of operating assets. Those fees will come directly to Lemon Tree. Hopefully, unless there are some hotels which go to some other brand.

As far as the managed portfolio goes, we are talking about maybe 2,000 rooms opening in FY27. In FY23, I do not know the number but certainly by FY another 2, 3 years from now, we will be opening 5,000 rooms a year, because that is what we are signing now. You can do the math then. You say FY27, we will open 2,000 rooms and we have 11,000 rooms.

In FY28, Fleur will start contributing more. We will open maybe 3,000 rooms. In

FY29, maybe we will open 4,000 rooms . One can have a range. How many rooms
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we open , and you have a simple number, which is the following and this is where I would be very careful about assessment.

In the first 1 or 2 years of opening a hotel, normally 1 year, the income is not stable. Our fees are subdued. The minute the hotel gets stable, then our fees start kicking in on a full basis. Really, the fees can increase by 50 % - 60% on a stable hotel. One must compensate for that and say, okay, I am opening 2,000 rooms this year. Mainly I will earn Rs. 100 a room. But next year, these 2,000 rooms will give me Rs. 150 a room. Then it will be Rs. 150 going forward. Therefore, you must do this adjustment also in the fee income for the first 12 to 18 months, depending on lower fees till stability.

Okay. If you look at FY23 to FY26, our fee income of the managed portfolio grew at 27% a year. I would obviously expect it to be larger, although the base has become larger, this fee income should also grow much faster. I mean, we have projections, but I am not going to share it with you.

Moderator: Our next question comes from the line of Rahul with ER.

Rahul: Yes. I just wanted to ask about this loyalty program of yours. A lot of your international peers have very successful loyalty programs and tie -up with banks and card issuers. I am very surprised to see that as an asset -light company Lemon Tree, which is coming now, why do not we have a very exhaustive application, a mobile app and loyalty program because that will really drive consumers towards you, more particularly on the retail side, which will be booked directly through you rather than through OTAs? That is my question.

Neelendra Singh : Fair point, Rahul. That needs, of course, significant technology investment. I will answer this in a broader way before I come to the key points. So far, let us say, our technology investments have been focused on essentially making the operations seamless, getting our data aligned, making sure we have fit -for-purpose for scale. Therefore, we have invested in our revenue management system. We have invested in a market tool. We have invested in, let us say, sales force automation, what remains now going forward is when we should be able to direct our technology investments in some legacy systems transformation like a PMS system and working on our loyalty engine, which means essentially working on our website, our booking engine and the loyalty program.

The benchmark that you are talking about through international hotels is a very, let us say, well -executed playbook. It helps us, of course, in rebalancing our segments more towards the direct business. That is what you could expect from us in the next
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couple of years. With currently at the early stages of driving inves

ment on the loyalty side.

Though the loyalty program was rehashed a couple of years ago, we have about 24 lakh guests there, 48% of them are of the room nights that we sell in a year, almost 50% of them are driven by our guests from a loyalty guest, the first time sign -up of the loyalty guests, 25% of our room nights, the volume that we deliver every year is driven by a loyalty program. It shows all good signs. The benchmarks versus international chains are also solid at this point of time. Therefore, the next stage is what you just alluded to.

Rahul: That will be all, I think. I just look forward to a great app being a Lemon Tree customer myself. That will be all.

Patanjali Keswani: One question, sorry, is Nikhil of Kizuna Wealth still on the line? Anoop, can I talk to him?

Moderator: One moment, please, sir, I will just check. Sir, the line for Nikhil from Kizuna Wealth has been unmuted.

Patanjali Keswani: Nikhil, are you on the line? Nikhil, you are there?

Nikhil Poptani : Yes, sir.

Patanjali Keswani: My apologies, we just referred to the transcript. You were talking about what I said about Lemon Tree steady state that when it becomes a pure play brand and asset owner on a steady state when our EBITDA hits 75 %-80% and taxes 22 %-25%, then you are right. There is no depreciation. There is no interest. Our PAT will be 60% of the revenue. Thank you. You said something correct and I was incorrect.

Nikhil Poptani : Thank you, sir for the clarification. Sir, let us say, now my second follow -up question would be on that only. Now coming to the PAT margins, in our recent quarter that we have reported, our PAT margins are coming out to be 40%. For the FY25, it was 45%. How are we planning to increase those to 60%? Because most of the margin flow-through is going to go to Fleur rather than Lemon Tree. Because of

technological expenses are going to be staying at 0.7% or 0.9% of the revenue. Can you help us understand a bit more on how the margins will increase and because all the technical expense will go to Lemon Tree, if I am not wrong?

Patanjali Keswani: You are right. Let us put it this way. The Lemon Tree's current investment in technology, you must consider, although it is in the P&L, must be considered as an investment, which we must monetize. On a steady-state basis, we are not going to

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significantly increase our main expense, which are 2, in Lemon Tree as a brand, which is corporate expenses and technology expenses.

As our revenue grows in terms of management fee income and we have been discussing this, if you do some rough modelling, then on a steady-state basis, hopefully, earlier rather than later, the growth of management fee income will translate to a flow-through of about 75%-80%, on a steady state basis. That is what you should track over the next 2.5 years. How is this happening?

This is including technology. Then 75% flow-through means that if you take tax at 22%-23%, then you have a 60% PAT. This is broad. Obviously, if the fee income grows much faster than the fixed cost of Lemon Tree, then what will happen is that we will then hopefully achieve that 80% EBITDA, take out 25% tax and you have 60% PAT.

Moderator: Our next question is from the line of Sriram R, an Individual Investor.

Sriram R: Post restructuring, Lemon Tree is expected to generate substantial free cash flow over the coming years, right? How are you thinking about capital allocation? Like would the priority be to reinvest in adjacent growth opportunities or return the excess capital to shareholders through buybacks or dividends?

Patanjali Keswani: Lemon Tree will not need any significant capital other than potentially investments in technology or in marketing and so on. It will be essentially a zero-debt cash accretive company. What we will do is, I think we will sit down as a Board and decide what our dividend distribution or give

back to shareholder policy yet. Lemon Tree will effectively move into distribution of profit to shareholders.

As far as Fleur goes, Fleur is not currently seen as a dividend distributing company, at least, currently, we would like to deploy capital because we see we can really add to shareholder value by growing the business. It will be more focused towards capital growth or share capital growth and share value growth rather than distribution to shareholders because we think we can give a better return to shareholders simply by growing the business.

Sriram R: Basically, we are thinking about shareholder buybacks or dividend for the Lemon Tree stand-alone. That means we are ruling out any investments into adjacent growth areas, let us say, F&B or some other areas, right? We would not be investing in those lines. Am I right?

Patanjali Keswani: Currently, we do not see growth in F&B, because F&B has special list, it is not our core competence, frankly. It is not obviously not on the top of my mind or even our

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Board at present but if there are interesting opportunities to acquire asset-light platforms at the right value, which add value to our entire portfolio of brands or to our customers or to our technology platform, then it is possible we would invest there.

Frankly, we would have a very high hurdle rate there. Because our view is that if we are not sure we can adequately reward the shareholders by not giving the level of dividend we should, then there should be a compelling reason to then do this acquisition, whatever that is.

Moderator: Next question comes from the line of Vaibhav Muley with Haitong.

Vaibhav Muley: Just small bookkeeping question. Can you share the room revenue and F&B revenue for full year as well as Q4 if it is possible?

Patanjali Keswani: Okay. Nipun, our Head of Strategy, will call you and explain that to you.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of question-and-answer session. I now hand the conference over to the management for closing comments.

Patanjali Keswani: Thank you once again, everybody, for your interest and support. We will continue to stay engaged. Please be in touch with our Investor Relations team for any further details or discussions. We look forward to interacting with you soon. Thank you and have a good weekend.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity and accuracy. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.